TOYOTA

TOYOTA MOTOR CORPORATION

Sustainability Data Book

Last update: September 2026

Updated in June 2026

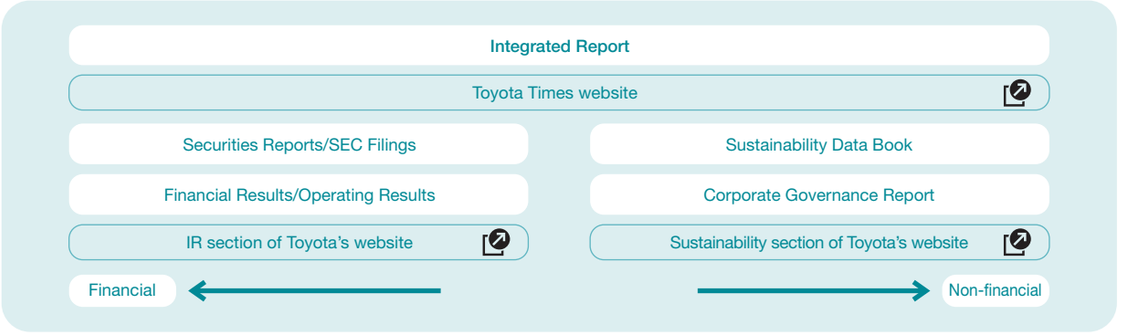
Sustainability Data Book Overview

GRI 2-2~4

1 Editorial Policy
2 Update History
3 Contents

Editorial Policy

The Sustainability Data Book explains Toyota's sustainability approach and policies for ESG initiatives along with practical cases and numerical data, as a medium for specialists and those who are particularly interested in sustainability issues.



Period Covered

Focusing mainly on the results of initiatives implemented during the previous fiscal year, the contents are mainly updated twice a year, in June and October. For update history, please see the following page.

Scope of Report

This Book introduces the initiatives and activities of Toyota Motor Corporation and its consolidated subsidiaries etc. in Japan and overseas. The scope of data covered is described in each section.

P. 122 Value Chain Collaboration

Toyota References in This Document

Toyota: Information on or initiatives of Toyota Motor Corporation and its consolidated subsidiaries

Toyota Group companies : Information on or initiatives of the 17 companies (As of June 2026) within the Toyota Group

Toyota Motor Corporation: Information on or initiatives of Toyota Motor Corporation

Toyota Group Company Information

Reference Guidelines

- Task Force on Climate-related Financial Disclosures (TCFD)
- Sustainability Accounting Standards Board
- (Reference code SASB TR-AU-●●● is indicated at each applicable part.)

  P. 168 SASB Content Index
- GRI Standards
  (Reference code GRI ●●●-●●● is indicated at each applicable part.)

  P. 169 GRI Content Index
- ISO 26000 Guidelines
- Corporate Sustainability Reporting Directive, European Sustainability Reporting Standards

Third-party Assurance

Third-party Assurance denotes data assured by an Independent Practitioner

Disclaimer

This report includes not only past and current facts pertaining to Toyota Motor Corporation and other companies within the scope of coverage of the report, but also plans and projections at the time of its publication as well as forecasts based on management policies and strategies. These forecasts are assumptions or determinations based on information available at the time they are stated, and the actual results of future business activities and events may differ from the forecasts due to changes in various conditions. In cases where information provided in prior reports is corrected or restated and in cases where material changes occur, the details thereof will be indicated in this report. The readers' understanding about this point would be appreciated.

Update History

September 2026	Promoting Sustainability	Sustainability Strategy and Philosophy
	Social	People Working at Toyota (Own workforce)
		Respect for Human Rights
		Human Resource Development
		Dialogue with Employees
		Diversity, Equity, and Inclusion (DE&I)
		Labor Practices
		Health and Safety
		Value Chain Collaboration
		Quality and Service
		Social Data
	Governance	Compliance
	SASB/GRI/TCFD Content Index	
June 2026	Promoting Sustainability	
	Environment	
	Social	Value Chain Collaboration
		Vehicle Safety
		Quality and Service
		Information Security
		AI
		Intellectual Property
		Health and Safety
		Social Contribution
	Governance	
	SASB/GRI/TCFD Content Index	
March 2026	Promoting Sustainability	Sustainability Issues and Initiatives (Materiality)
	Social	Diversity, Equity, and Inclusion (DE&I)
		AI
February 2026	Environment	Carbon Neutrality (CN)
		Third-Party Assurance
October 2025	Promoting Sustainability	Organizational Structure
	Environment	
	Social	Diversity, Equity, and Inclusion (DE&I)
		Value Chain Collaboration
		Vehicle Safety
		Quality and Service
		Human Resource Development
		Health and Safety
		Social Contribution
		Social Data
June 2025	Promoting Sustainability	
	Environment	Climate-related Financial Disclosures Based on TCFD Recommendations
	Social	
	Governance	
	SASB/GRI/TCFD Content Index	TCFD Content Index
March 2025	Promoting Sustainability	Sustainability Issues and Initiatives (Materiality)
January 2025	Environment	Climate Change
		Third-Party Assurance

Contents

Overview

Sustainability Data Book Overview	Editorial Policy	1
	Update History	2
	Contents	3
Overview of Toyota Motor Corporation	Company Profile	5
Promoting Sustainability	Fundamental Approach	6
	Organizational Structure	7
	Sustainability Strategy and Philosophy	8
	Stakeholder Engagement	14
	Public Policy	15
	Toyota's SDGs	15

Environment

Policy and Environmental Management	Fundamental Approach	17
	Environmental Management	18
Carbon Neutrality (CN)	Fundamental Approach	19
	Governance	22
	Identification and Assessment of Climate Change-Related Impacts, Risks, and Opportunities	23
	Resilience Analysis	29
	Transition Plan	31
Circular Economy (CE)	Fundamental Approach	46
	Use Less Resources	47
	Promote Longer Use	49
	Avoid Waste	50
Nature Positive (NP)	Fundamental Approach	52
	Initiatives Addressing Nature-related Issues	53
	Biodiversity	54
	Water Environment	57
Value Chain Collaboration	Initiatives with Suppliers	58
	Initiatives with Dealers and Distributors	60
	Stakeholder Engagement	61
Metrics and Targets	Greenhouse Gases	62
	Energy	64
	Water	65
	Circular Economy	66
	VOC, NOx, and SOx	66
	Referenced Coefficients	67
	Medium- and Long-Term Target Structure	68
	Review of the 7th Toyota Environmental Action Plan (2025 Target)	70
	The 8th Toyota Environmental Action Plan (2030 Target)	73
Third-Party Assurance		74

Social

People Working at Toyota (Own Workforce)	Fundamental Approach	79
Respect for Human Rights	Fundamental Approach	82
	Organizational Structure	83
	Human Rights Policy Development and Dissemination	84
	Human Rights Due Diligence	85
	Actions for Anti-harassment	86
Human Resource Development	Fundamental Approach	87
	Embedding "Philosophy, Skills, and Behavior"	89
	Education and Development to Enhance "Skills and Expertise" Required for Each Role and Job	91
	Supporting Self-Directed Career Development through Transfers, Assignments, Evaluation and Feedback	92
	Securing Talent to Support Sustainable Growth and Transformation Into a Mobility Company	92
	Recruitment and Development of Digital Human Resources and Software Professionals	94
Dialogue with Employees	Fundamental Approach	95
	Dialogue between the Company and Employees	96
	Well-being/Engagement	97
Diversity, Equity, and Inclusion (DE&I)	Fundamental Approach	100
	Organizational Structure	101
	Action for "Active Contribution by All"	102
	Promotion of Women's Active Participation	104
	Childcare/Nursing Care Support	106
	Promoting Active Participation of the Senior Employees	107
	Inclusion of Persons with Disabilities	108
	Inclusion of LGBTQ+ Employees	109
	Actions Related to Respecting Rational, National, and Cultural Diversity	109
Labor Practices	Fundamental Approach	110
	Employment Stability	111
	Adequate Compensation	112
	Appropriate Management of Working Hours and Flexible Work Styles	112
Health and Safety	Fundamental Approach	113
	Organizational Structure	115
	Health and Safety Education	115
	Action for Health	116

	Action for Safety	120
Value Chain Collaboration	Fundamental Approach	122
	Initiative with Suppliers	122
	Actions to Prevent Migrant Labor (Forced Labor)	125
	Actions to Prevent Child Labor	126
	Responsible Material Sourcing	126
	Initiative with Dealers	128
Vehicle Safety	Fundamental Approach	129
	Integrated Safety Management Concept	129
	Active Safety	130
	Passive Safety	131
	External Safety Evaluations	131
	Emergency Response	131
	Automated Driving Technology	132
	Initiatives to Improve Traffic Safety Awareness	133
Quality and Service Fundamental Approach	Fundamental Approach	134
	Organizational Structure	135
	Product Safety Initiatives	135
	Quality Risk Management	135
	Fostering Quality-oriented Awareness and Culture	136
	Coping with Quality Problems	136
	After-sales Service	137
	Customer Feedback System	138
Information Security	Fundamental Approach	139
	Organizational Structure	139
	Information Security Measures	140
	Preparing for Information Leaks and External Attacks	140
	Security for Automobiles	141
Privacy	Fundamental Approach	142
	Organizational Structure	142
	Respect for Privacy and Protection of Personal Information	143
AI	Fundamental Approach	145
	Initiatives for AI	145
Intellectual Property	Fundamental Approach	146
	Organizational Structure	146
	Intellectual Property Activities	146
Social Contribution	Fundamental Approach	147
	Organizational Structure	147
	Social Contribution Activities	147
Social Data	Human Capital (TMC)	148
	Human Capital (Consolidated)	150
	People Working at Toyota	150
	Human Resource Development	151
	Health and Safety	151
	Supply Chain	152
	Quality	152
	Social Contribution Activities	152
	Internal Control	158
Risk Management	Fundamental Approach	159
	Organizational Structure	159
	Risk Management System	160
	Business Continuity Management (BCM)	160
Compliance	Fundamental Approach	162
	Compliance Education	162
	Bribery / Corruption Prevention Measures	163
	Initiatives for Taxation	163
	Speak-up	164
	Checks & Improvement Activities	165
Governance Data	Governance	166

Governance

Corporate Governance	Fundamental Approach	154
	Corporate Governance Structure	154
	Board of Directors	156
	Audit & Supervisory Committee	157
	Executive Compensation	157

SASB/GRI/TCFD Content Index

SASB Content Index	168
GRI Content Index	169
TCFD Content Index	175

Updated in June 2026

Overview of Toyota Motor Corporation

GRI 2-1-7

Company Profile

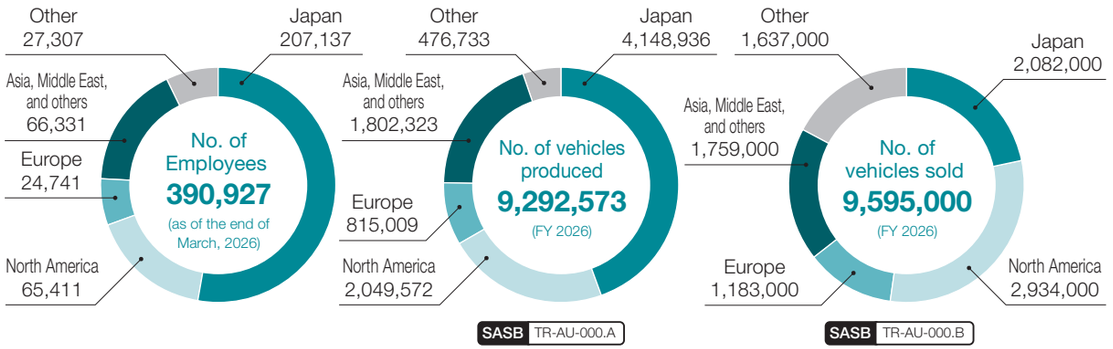
Company Name	Toyota Motor Corporation
President and Representative Director	Kenta Kon
Company Address Head Office Tokyo Head Office Nagoya Office	1 Toyota-cho, Toyota City, Aichi Prefecture, Japan 1-4-18 Koraku, Bunkyo-ku, Tokyo, Japan 4-7-1 Meieki, Nakamura-ku, Nagoya City, Aichi Prefecture, Japan
Founded	August 28, 1937
Capital	635.4 billion yen (as of the end of March, 2026)
Main Business Activities	• Automotive business • Financial services (vehicle loans and leasing, etc.) • Other operations (information technology, etc.)
No. of Employees (consolidated)	390,927 (as of the end of March, 2026)
No. of Consolidated Subsidiaries	602 (as of the end of March, 2026)
No. of Associates and Joint Ventures Accounted for by the Equity Method	159 (as of the end of March, 2026)

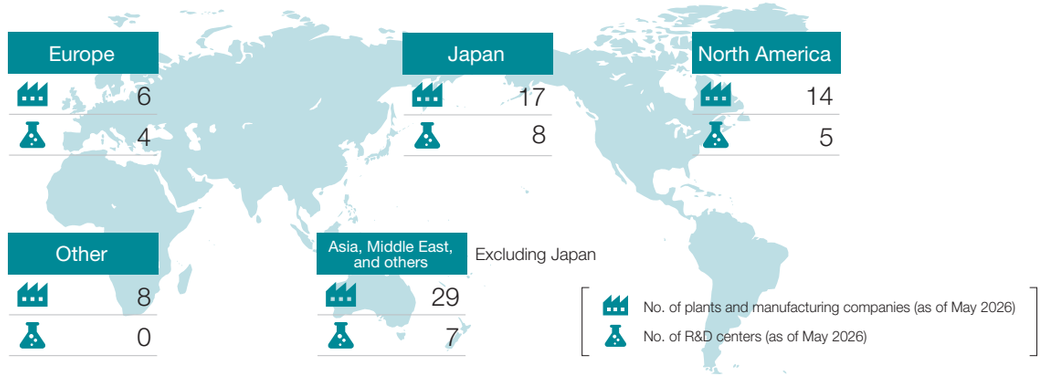
Vision & Philosophy

For details of our Vision & Philosophy, please see our official website.

Vision & Philosophy

Global/Regional Data





Financial Data

For our major financial data, please see our official website.

Financial Data

Updated in June 2026

Promoting Sustainability

GRI 2-12~14·17·24·28·29, 3-1·2

6 Fundamental Approach
7 Organizational Structure
8 Sustainability Strategy and Philosophy
14 Stakeholder Engagement
15 Public Policy
15 Toyota's SDGs

Fundamental Approach

Aim

- Contributing to the creation of a prosperous society through our business activities based on the Guiding Principles at Toyota while continuing to uphold the spirit of the Toyoda Principles, which we have inherited since our foundation.
- Aiming to be the "best company in town" that is both loved and trusted by local people to achieve the mission of "Producing Happiness for All" under the Toyota Philosophy compiled in 2020.
  ⇒ **Contributing to the sustainable development of our society and planet** by promoting sustainability under the Toyota Philosophy.

Toyota Philosophy

Guiding Principles at Toyota

Our Commitment to Sustainable Business - Message from the Vice Chairman -

Initiative

- Advancing initiatives based on our **Sustainability Fundamental Policy** and individual policies and guidelines.

Sustainability-related policies

Sustainability Fundamental Policy

<Related policies>

Environment	Toyota Earth Charter	Toyota Policy on Harmony with Nature	Toyota Policy on Carbon Removal and Carbon Credits
Information	Information Security Policy	AI Principle	
Human rights	Toyota's Human Rights Policy		
Supply chain	Toyota's Basic Purchasing Policies Policies and Approaches to Responsible Mineral Sourcing TOYOTA Green Procurement Guidelines	Supplier Sustainability Guidelines Policy for Sustainable Natural Rubber Procurement	
Health and safety	Declaration of Health Commitment	Basic Philosophy for Safety and Health	
Social contribution	Basic Principles and Policies of Social Contribution Activities		
Compliance	Toyota Code of Conduct Toyota Speak Up Policy	Toyota Global Anti-Bribery and Anti-Corruption Policy Anti-Bribery Guidelines (For Business Partners)	
Taxation	Tax Policy		

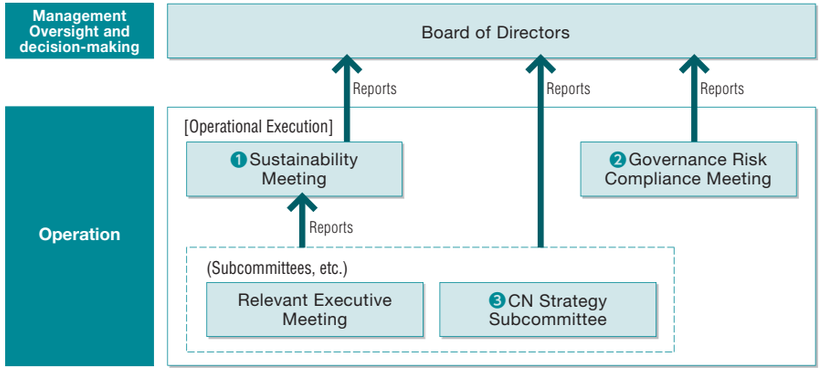
Organizational Structure

Aim

- **Addressing issues of greater importance and urgency** on a priority basis while grasping, for example, changes in the external environment and social needs.

Initiative

- Continuously promoting and improving our sustainability activities with oversight and decision-making provided by the Board of Directors. We will work in close liaison with relevant departments to carry out ESG (environmental, social, and governance)-related initiatives.
- Sustainability related issues and themes, including Material Impacts, risks, and opportunities (IROs), are deliberated at Relevant Executive Meeting and CN Strategy Subcommittees.
- Key material sustainability issues and cross-functional plans, including IROs, are deliberated and monitored at the Sustainability Meeting chaired by the President (main themes: environmental and social issues) or the Governance Risk Compliance Meeting chaired by the CRO*1 (main themes: governance-related issues).
- Matters that the meeting body chairs consider important in light of IROs, and other relevant items, are appropriately referred to and reported to the Board of Directors.



(As of June 2026)

	1 Sustainability Meeting	2 Governance Risk Compliance Meeting	3 CN Strategy Subcommittee
Chairperson	President	CRO and CCO*2	President of Carbon Neutral (CN) Engineering Development Center
Members (number of people)	Vice Chairman (1), Executive Vice President (2), Outside member of the Board of Director (1), Outside Audit and Supervisory Committee Member (2), CRO and CCO (1), and others (3)	Executive Vice President (2), Outside member of the Board of Director (1), Outside Audit and Supervisory Committee Member (3), Outside Audit & Supervisory Board Member (1), CCO, and others (4)	Executive Vice President (2), Operating Officer (4), and others (10)
Number of times held in FY2026	4	4	3
Frequency of reports to the Board of Directors	When an important matter arises	When an important matter arises	When an important matter arises
Content	• To increase corporate value by deliberating, making decisions on, and promoting activities on key sustainability issues in management practices	• To propose and deliberate key matters related to governance, risk, and compliance, particularly those that require direction at the management level	• To cultivate a shared understanding of significant global trends related to carbon neutrality and environmental challenges • To report and deliberate on important management policies, such as targets and KPIs related to the above

*1 Chief Risk Officer *2 Chief Compliance Officer

Sustainability Strategy and Philosophy

Aim

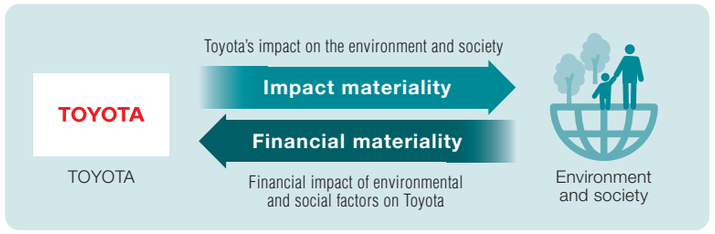
- On transforming into a mobility company under the mission of "Producing Happiness for All", identify and continuously evaluate our materiality (key issues) in response to shifts in the societal landscape as well as feedback from our stakeholders, as we work to realize a Mobility Society where everyone can move freely, enjoyably, and comfortably.

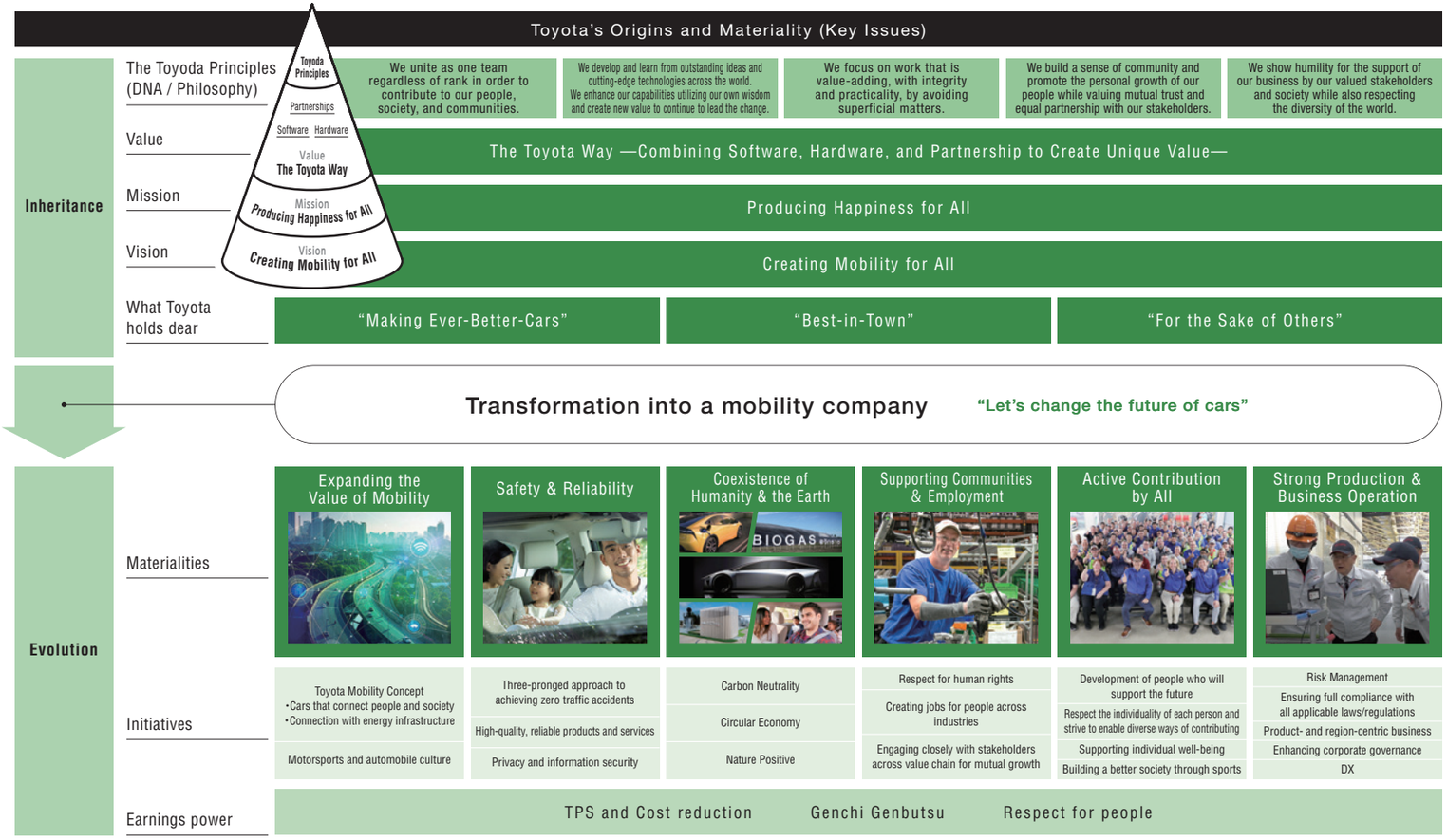
Initiative

Identifying Materiality (Key Issues)

- Rooted in the principles that Toyota has built on since its founding, six materiality issues have been identified to fulfill our mission of "Producing Happiness for All": "Mobility for All".
- Using information from inside and outside the company, we identify and organize the materiality issues needed for our transformation into a mobility company: the impact Toyota has on the environment and society (impact materiality) and the impact the environment and society have on Toyota (financial materiality).

Concept of Double Materiality (direction of impact: TOYOTA ⇔ environment and society)



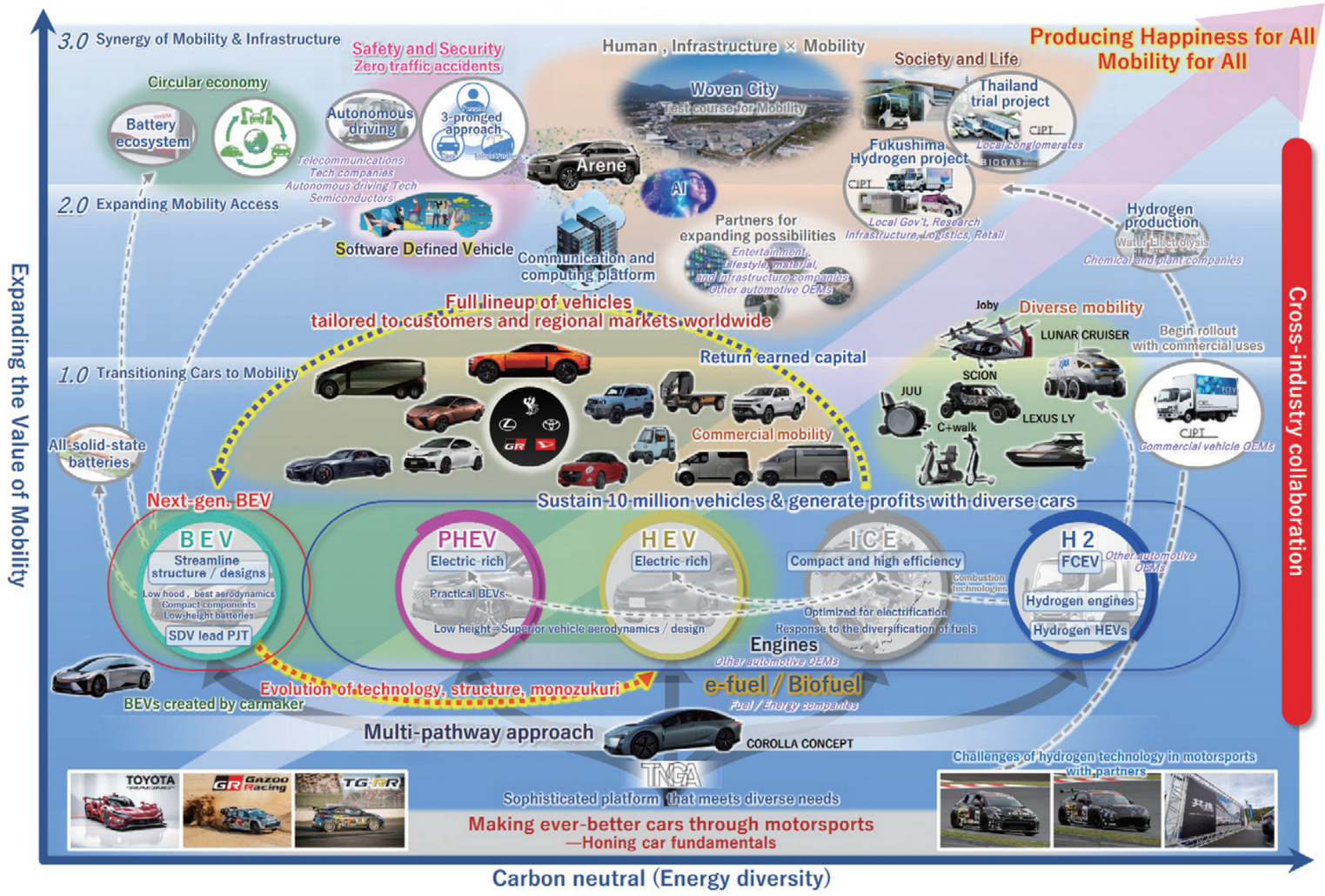


Toyota Mobility Concept

- Initiatives for our transformation into a mobility company are organized under the "Toyota Mobility Concept"
  Mobility 1.0: Transitioning Cars to Mobility
  Mobility 2.0: Expanding Mobility Access
  Mobility 3.0: Synergy of Mobility & Infrastructure
- Specific initiatives related to energy diversification and diverse mobility needs are organized in line with the two priority themes driving our transformation into a mobility company: "Expanding the value of mobility" and "Carbon neutrality (CN)".
- We are steadily driving our transformation into a mobility company by translating the "Toyota Mobility Concept" into tangible action.

Integrated Report 2025, p. 41, Toyota's Vision for the Mobility Society

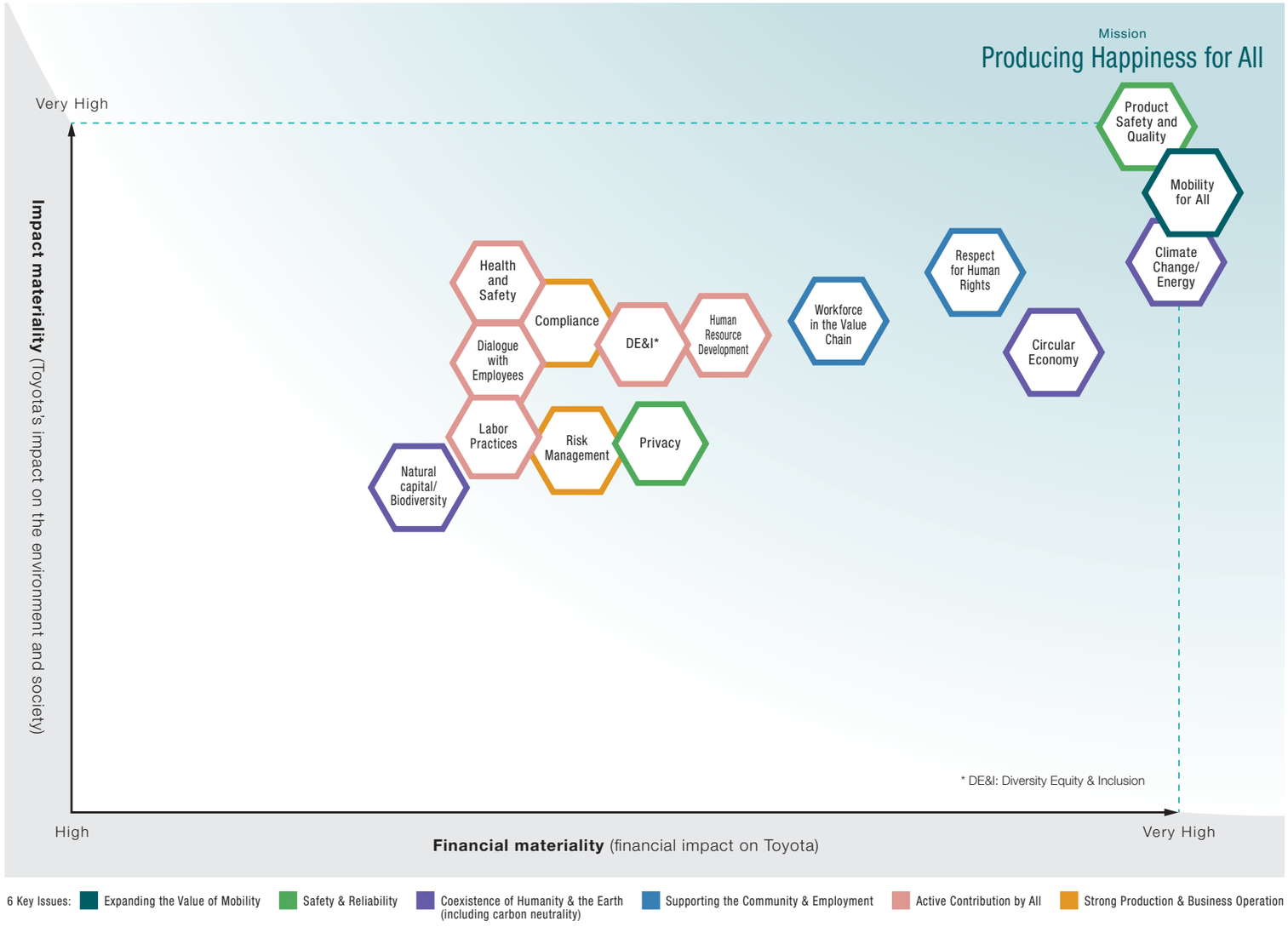
Toyota Mobility Concept



Bringing Key Issues to Light with a Double Materiality Map

- Key issues are organized in the form of a double materiality map to promote awareness of materiality across the organization and link them to concrete actions by individual employees, helping stakeholders understand and relate to how we aim to contribute to society.
- Materiality is broken down into more specific issues, with the degree of importance assessed quantitatively along two axes: impact materiality and financial materiality.
- Initiatives and aims are clarified for each issue in the double materiality map.
- Materiality is continuously evaluated in response to shifts in the societal landscape as well as feedback from our stakeholders.

Materiality Map



Materiality		Initiatives		Aim
Expanding the Value of Mobility	Mobility for All	• Toyota Mobility Concept • Cars that connect people and society • Connection with energy infrastructure • Motorsports and automobile culture		Provide freedom of movement for all through people-centric mobility
Safety & Reliability	Product Safety and Quality	• Three-pronged approach to achieving zero traffic accidents		Zero casualties from traffic accidents, and ultimately, the realization of a society with zero traffic accidents
		• High-quality, reliable products and services		Provide safe and high-quality products that meet diverse values and needs of customers
	Privacy	• Privacy and information security		Create ever better cars, and help develop ever better communities and societies through appropriate information management, use, and application
Coexistence of Humanity & the Earth	Climate Change/Energy	• Carbon Neutrality		Achieve carbon neutrality throughout the entire vehicle lifecycle, including those already owned
	Circular Economy	• Circular Economy		Achieve circular economy by using less resources, promoting longer use, and avoiding waste
	Natural capital/Biodiversity	• Nature Positive		Realize a society in harmony with nature by minimizing environmental impact and promoting conservation throughout the entire vehicle lifecycle
Supporting the Community & Employment	Respect for Human Rights	• Respect for Human Rights		Respect for the human rights of all people involved in our business activities
	Workforce in the Value Chain	• Creating jobs for people across industries • Engaging closely with stakeholders across value chain for mutual growth		Pursue the best-in-town approach to achieve mutual prosperity through mutual trust with stakeholders across value chain
Active Contribution by All	Human Resource Development	• Development of people who will support the future		Recruit and develop people who, based on the Toyota Philosophy, think independently and continue to act for the sake of others
	Dialogue with employees			Promote action through dialogue between the company and employees based on "mutual trust and mutual responsibility"
	DE&I	• Respect the individuality of each person and strive to enable diverse ways of contributing		Ensure that all people working at Toyota are respected and that those with diverse talents and values can fully demonstrate their individuality, strengths, and abilities
	Labor Practices	• Supporting individual well-being • Building a better society through sports		Contribute to employees' peace of mind and the sustainable growth of local communities by ensuring stable employment and maintaining and improving working conditions
	Health and Safety			Continue to protect the health and well-being of employees and their families, while embedding a safety culture and striving for zero workplace accidents
Strong Production & Business Operation	Risk Management	• Risk Management	• Product- and region-centric business • Enhancing corporate governance • DX	Create a system that supports taking on new challenges in the face of uncertainty
	Compliance	• Ensuring full compliance with all applicable laws/regulations		All people working at Toyota act with integrity to fulfill expectations from the society

Integrated Report 2025, p. 5, Sustainability Issues and Initiatives (Materiality)

Materiality Identification Process

Step 1

- Universal values like the Toyota Philosophy were classified as "inheritance," and issues necessary to promote our transformation into a mobility company were classified as "evolution."
- Referring to both internal and external information, we organized and identified issues that are pertinent to Toyota in terms of the impact Toyota has on the environment and society as well as the impact the environment and society have on Toyota itself while also determining issues that must be addressed to ensure Toyota's transformation into a mobility company.
- References: the European Sustainability Reporting Standard (ESRS), the Sustainability Accounting Standards Board (SASB), and such ESG assessment indicators as MSCI and FTSE.

Step 2

- Discussions regarding the issues identified and organized in Step 1 were held with eight NGOs and NPOs, four experts, and 10 institutional investors, our own employees.
- We then reordered the issues in response to the feedback we received.

Step 3

- Discussions on the issues identified in Step 2 were held in the Sustainability Meeting, which is chaired by President and attended by Outside Directors and executives, with six key issues identified.

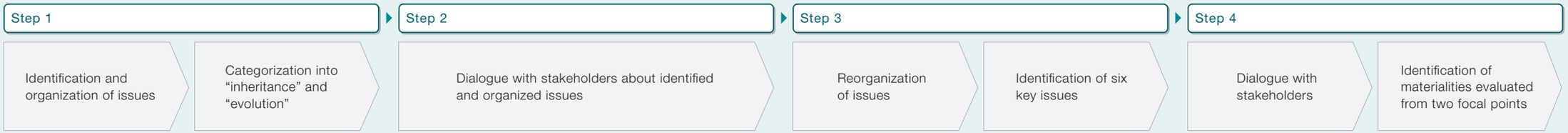
Key Remarks from Stakeholders

NGOs and NPOs	• We'd like Toyota to express its perspective on the "society and future" it wishes to create.
Experts	• "Nature Positive" will be an important initiative in the future and should be considered. • Theoretical components and management intentions are consistent and reasonable in terms of double materiality.
Institutional investors	• It is taken directly from Toyota's DNA and has a quality that is unique to this Company. • It is important to have a story that connects such KPIs as financial impact with materialities. • Toyota's stance on addressing climate change should be communicated in clear language.
Employees	• Once we understand how our roles are connected to Toyota's values, we can accelerate our efforts. • I'd like to use this as a compass to get the concepts communicated by top management down to a tangible level of detail.

Step 4

- Discussions regarding the issues identified in Step 3 were evaluated from two focal points: the impact Toyota has on the environment and society (impact materiality), and the impact the environment and society have on Toyota (financial materiality).
- Materiality was identified in dialogue with stakeholders and through discussions in the Sustainability Meeting.

Steps



Major Themes of Sustainability Initiatives

- Priority themes for initiatives are set from the following perspectives based on the materiality issues identified:
  - Issues that must be tackled immediately with a view to the next decade
  - Issues that are difficult to resolve in terms of decision-making on an individual corporate function basis (e.g., issues that span multiple functions or lack cost-effectiveness in the short term)
- Through each of these themes, Toyota aims to achieve both the resolution of social issues and sustainable growth in collaboration with a wide range of internal and external stakeholders.

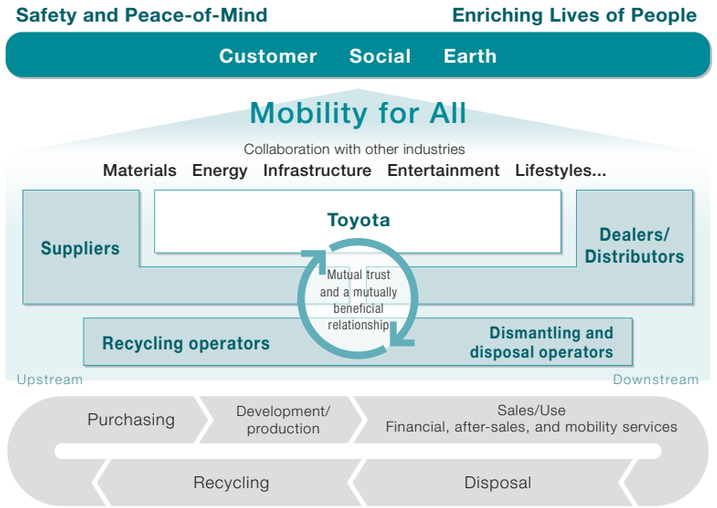
Promoting the active role of diverse human resources	• Strengthening the human resources foundation that supports the creation of new value and sustainable growth through the establishment of employee-friendly and fulfilling work environments • Promoting the creation of an environment where each individual can fully express their diverse personalities, values, and abilities **P. 102** Action for "Active Contribution by All"
Dramatically improving plant environments and reforming workstyles	• Transforming the environment and landscape of plants in light of the shrinking labor force and diversifying work styles • Promoting people-centered sustainable *monozukuri* built around productivity and fulfillment **P. 103** Future Factory
Strengthening initiatives toward carbon neutrality, including for vehicle ownership	• Striving to achieve carbon neutrality in a way that leaves no one behind guided by Toyota's multi-pathway strategy • Promoting initiatives that extend beyond new vehicles to cover those customers already own and use (previously sold vehicles) Integrated Report 2025, p. 55, Toyota's Vision for Carbon Neutrality: Overview of the Multi-Pathway Strategy
Pursuing comprehensive corporate digital transformation	• Developing information infrastructure aimed at realizing a mobility society where cars, people, goods, services, and information enrich and add convenience to daily life • Building a comprehensive information management system that goes beyond corporate functions, spanning development, production, sales, and after-sales services Integrated Report 2025, p. 154, Comprehensive Corporate Digital Transformation
Promoting a circular economy	• Striving to build a sustainable value chain that addresses a range of concerns, including the environment, human rights, and economic security • Promoting development, production, sales, and recovery activities based on the premise of a circular economy, in collaboration with all stakeholders **P. 46** Circular Economy (CE)

Integrated Report 2025, p. 8, Major Themes of Sustainability Initiatives

Value Chain

- We build broad value chains with partners inside and outside the Toyota Group to develop advanced and attractive products.
- We collaborate upstream with a large number of suppliers, including over 11,000 first-tier suppliers, and downstream with dealers and distributors serving customers around the world, as well as dismantling and recycling operators.
- Across this broad value chain, Toyota's activities extend beyond development, procurement, production, and sales to include financial services and after-sales services in partnership with dealers and distributors, as well as mobility services that use connected vehicle technology.
- Through expanded collaboration with other industries and the growth of value chain business through robotics, SDVs*, and the development of land, sea, and air mobility solutions, Toyota is contributing to the realization of a mobility society.

* Software Defined Vehicle: A vehicle designed with functions that can be continuously updated and expanded after purchase



Stakeholder Engagement

Aim

- Engaging in stakeholder-oriented management to contribute to sustainable development and striving to **maintain and develop sound relationships with stakeholders** through open and fair communication.

Initiative

- **Holding dialogues** with major stakeholders through Toyota's relevant divisions and offices around the world.
- In addition to engaging in dialogue with external experts and speaking at outside events, Toyota also shares its sustainability initiatives through the Toyota Times.

Customers

Based on our "Customer First" policy, we take measures to incorporate the comments and opinions of customers into better products and services.

Communication methods and frequency	Incorporation into corporate activities
● Toyota Customer Assistance Center (as needed) Responding to customer opinions by telephone and email forms	Improving customer satisfaction activities
● Official website, product websites (as needed) Disseminating company information and business details, providing FAQs, etc.	
● Information sharing through social media (as needed) Disseminating company information and business details	Disseminating information in response to customer demand

Shareholders

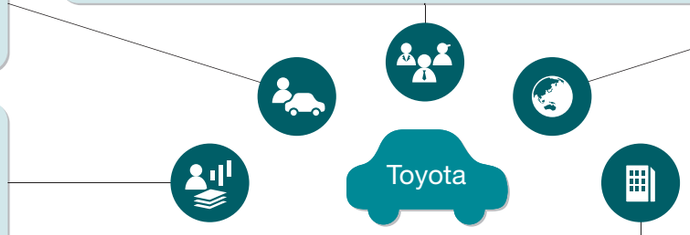
Timely and appropriate disclosure of operation and financial results to shareholders and investors, and constructive dialogues toward sustained growth and enhancement of corporate value.

Communication methods and frequency	Incorporation into corporate activities
● Shareholders' Meeting (once a year) Unconsolidated and consolidated financial statements, audit and supervisory board reports, and deliberation and decisions on resolutions	Improving management quality through constructive dialogue
● Financial results announcement (four times a year) Press and telephone conferences to explain Toyota's financial status and initiatives	
● Individual meetings (as needed) Explanation and discussion on financial status, local projects, technologies, products, etc. with institutional and private investors	
● Investor information website, etc. (as needed) Providing information on financial status, business details, etc.	

Employees

Bilateral communications to build teamwork and foster a sense of unity based on a labor-management relationship founded on mutual trust and responsibility.

Communication methods and frequency	Incorporation into corporate activities
● Joint labor-management roundtable conferences/ Labor-management meetings (several times a year) Discussions/negotiations, opinion exchanges and mutual understanding regarding labor-management issues	Strengthening labor-management relationships
● Well-being Survey (once a year) Surveying employees' satisfaction regarding workplace culture and company life	Improving workplace culture and evaluating and planning various labor-management and personnel policies



Business Partners

Close communication to achieve a mutually beneficial relationship based on mutual trust.

Communication methods and frequency	Incorporation into corporate activities
[Dealers] ● Various meetings, seminars, and events (as needed) Sharing corporate policies	Building closer, mutually beneficial relationships based on mutual trust
[Suppliers] ● Supplier conventions, various meetings with supplier associations, seminars, and events (as needed) Sharing purchasing policies and strengthening mutual study and partnerships	

Local Communities/ Global Society

Dialogue with various stakeholders to build good relationships with local communities and to solve global social and environmental issues.

Communication methods and frequency	Incorporation into corporate activities
● Roundtable conferences with local residents (several times a year) Explanation and discussions with local representatives on Toyota's initiatives at each plant	Promoting mutual understanding and forming stable local communities
● Inviting local communities to Toyota's events and participating in local events (as needed) Social gatherings with local residents	
● Participating in joint projects between public and private sectors (as needed) Cooperating in progressive initiatives such as verification tests	Improving advanced technologies and recognizing/ resolving social issues
● Participating in economic and industry organizations (as needed)	Introducing policies to improve the vitality of the nation/ industries
● Participating in collaborative activities with NGOs and NPOs (as needed) Social contribution activities in each region around the world	Recognizing social needs in individual regions

- Major initiative we participate in
  - World Business Council for Sustainable Development (WBCSD)

P. 61 Stakeholder Engagement (Environment)

P. 85 Engagement with stakeholders (Human Right)

Public Policy

Aim

- Toyota builds and maintains positive relationships with governments, administrative bodies, regulatory authorities, political parties, NGOs, local communities, customers, and other stakeholders as we strive to be the "best company in town".

Initiative

- We engage in policy advocacy and contribute to the development of public policy in various regions around the world in collaboration with stakeholders, taking into account policies, social needs, and advances in technology.
- Participating in and contributing to advocacy and development of public policy in regions around the world in collaboration with stakeholders and taking into account policies, social needs, technological advances, and the diverse needs of our customers.

  Examples
  - Energy policy directed at expanding the use of electrified vehicles
  - Engagement with governments and authorities on infrastructure development

- **Disclosing Toyota's Views on Climate Public Policies**
- Articulating our fundamental approach to climate change-related policies and conducting objective evaluations of lobbying activities related to climate change-policies of the industry associations to which we belong. These efforts are intended to bring transparency to our activities, reinforce trust with local communities, and drive forward initiatives through dialogue with stakeholders.

Toyota's Views on Climate Public Policies

Toyota's SDGs

Aim

- Producing happiness for all individuals in the era of diversification, with a "**YOU perspective**" that sees the other side of the story.

Initiative

- Promoting initiatives based on the desire of working for the benefit of others, which has been passed on since our founding.

  Examples
  - **Initiatives for the global environment**
  - **Initiatives for a happier society**
  - **Initiatives for working people**

SDGs Initiatives

SUSTAINABLE DEVELOPMENT GOALS

Environment

17 Policy and Environmental Management
19 Carbon Neutrality (CN)
46 Circular Economy (CE)
52 Nature Positive (NP)
58 Value Chain Collaboration
62 Metrics and Targets
74 Third-Party Assurance

Updated in June 2026

Policy and Environmental Management

GRI 2-25-27, 3-3, 306-2

17 Fundamental Approach
18 Environmental Management

Fundamental Approach

Aim

- Reduce our environmental footprint and contribute to the sustainable development of society and the world throughout all areas of our business activities.
- Build close, cooperative relationships with a wide spectrum of individuals and organizations involved in environmental preservation.

Initiative

Toyota Earth Charter

- Toyota has continuously promoted environmental initiatives since the 1960s.
- In 1992, Toyota established the Toyota Earth Charter alongside the Guiding Principles at Toyota, which articulates the kind of company Toyota seeks to be.
- It was established to concretely implement the Guiding Principles at Toyota: “Dedicate our business to providing clean and safe products and to enhancing the quality of life everywhere through all of our activities.”
- We revised the Toyota Earth Charter in 2000 to incorporate perspectives aligned with the demands of the times, such as the challenge of achieving zero emissions and participating in creating a recycling-based society.
- In 2020, Toyota established the Sustainability Fundamental Policy, which clearly defines our approach to sustainability management to achieve Toyota’s mission of the “Producing Happiness for All,” and positioned it as a relevant policy to the Toyota Earth Charter.
- We regard climate change and all environmental issues as our materiality (key issues), and we will continue our efforts to contribute to the sustainable development of each region through the global Toyota.

Guiding Principles at Toyota
Sustainability Fundamental Policy
Toyota Earth Charter

Toyota Environmental Challenge 2050

- Formulated in 2015 to present Toyota’s long-term initiatives for the global environment through 2050.
- We announced six challenges addressing global environmental issues, such as climate change, water scarcity, resource depletion, and biodiversity loss.
- We promote initiatives across global Toyota under our values of “making ever-better cars,” “best-in-town,” and “for the sake of others.”
- To achieve the Environmental Challenge 2050, we developed the 8th Toyota Environmental Action Plan (2030 target), our latest five-year action plan, and launched initiatives in April 2026.
- We set targets focusing on three key areas that Toyota has traditionally emphasized, Carbon Neutrality (CN), Circular Economy (CE), and Nature Positive (NP).

Toyota Environmental Challenge 2050, **p. 68**
The 8th Toyota Environmental Action Plan (2030 Target), **p. 73**

Environmental Management

Aim

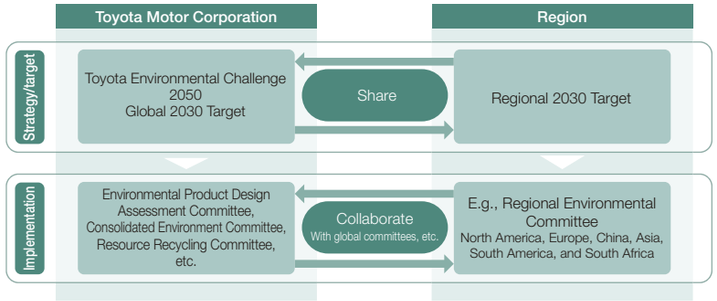
- Establish a global environmental management system with consolidated subsidiaries to minimize risks and maximize environmental performance in order to develop sustainably together with society.
- Continuously improve the management system and respond swiftly to changes in environmental issues including the worsening impact of climate change.

Initiative

Establish an Environmental Management System

- Establish strategies, policies, and approaches in each field under the lead of the Environmental Product Design Assessment Committee, the Consolidated Environment Committee, and the Resource Recycling Committee, which are reported to the CN Strategy Subcommittee supervised by the Board of Directors.
- Critical management issues, cross-functional plans considering climate change-related impacts, risks and opportunities, and their progress are reported to the Sustainability Meeting chaired by the President.
- Share our target with the following companies and promote environmental management.
  - Consolidated subsidiaries on a financial accounting basis (527 companies)
  - Unconsolidated vehicle manufacturing companies (8 companies)
- Establish environmental affairs offices in the six countries and regions (North America, Europe, China, Asia, South America, and South Africa) to promote global environmental initiatives that take regional circumstances into consideration.

Global Environmental Management Framework



ISO*1 14001

Certification as of 2025

- ISO 14001: Production plants of Toyota Motor Corporation and 124 consolidated subsidiaries.

*1 International Organization for Standardization

Minimizing Risks

- Take the following actions at the business sites of Toyota Motor Corporation and its consolidated subsidiaries:
  - Legal compliance
  - Preventing environmental risks
  - Put systems in place, to respond to a violation or a complaint in a timely manner, if needed, and work to prevent reoccurrence by identifying root causes.
- Conduct mutual learning for production plants by sharing practices among Toyota Group companies.

Maximizing Environmental Performance

- Proceed with initiatives based on the Toyota Environmental Challenge 2050.

Carbon Neutrality, **p. 19**
Circular Economy, **p. 46**
Nature Positive, **p. 52**

- Initiatives related to compliance with regulations on chemical substances and air quality and those related to waste and logistics packaging materials have been promoted based on the targets under the 7th Toyota Environmental Action Plan.

External Recognition of Our Commitment to Climate Change and Water Security

CDP*2 Corporate Research in Fiscal Year 2026

- Selected as an A list company under the CDP climate change and an A- (A minus) list company under the CDP water security.

*2 An international NGO that encourages and assesses corporate disclosures on environmental initiatives based on calls from global institutional investors with high levels of interest in environmental issues



Updated in June 2026

Carbon Neutrality (CN)

GRI 2-13·16·22, 201-2, 302-4·5, 305-3·5

TCFD Governance, Strategy, Risk Management

19 Fundamental Approach
22 Governance
23 Identification and Assessment of Climate Change-Related Impacts, Risks, and Opportunities
29 Resilience Analysis
31 Transition Plan

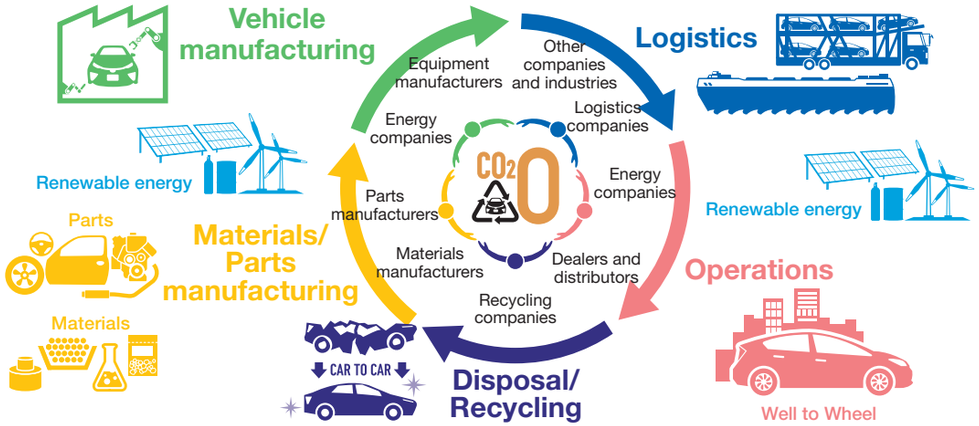
Fundamental Approach

Aim

- Aim to establish a sustainable society in harmony with nature through contributions to the goal of carbon neutrality (CN).
- Address climate change-related impacts, risks, and opportunities guided by the principles of the Toyota Earth Charter and Toyota Environmental Challenge 2050, intending to fully concentrate on achieving CN by 2050 across the entire vehicle life cycle.
- Reduce greenhouse gas (GHG) emissions through multiple approaches, including the multi-pathway strategy, driven by the principles of “leaving no one behind” and “delivering freedom of movement to all.”

Toyota Earth Charter
Policy and Environmental Management, **p. 17**
Toyota Environmental Challenge 2050, **p. 68**
The 8th Toyota Environmental Action Plan (2030 Target), **p. 73**

Toyota Aims to Achieve CN Throughout the Vehicle Life Cycle Through Initiatives at Each Stage



Overview of the Multi-Pathway Strategy

SASB TR-AU-410a.3

- The push for carbon neutrality is a matter of urgency if automobiles are to remain a necessary part of society.
- Efforts to provide our customers around the world with options for mobility under our multi-pathway strategy, while also promoting the decarbonization of our monozukuri (manufacturing) and supply chains, serve as the core of our activities.
- It is important to consider the ways in which mobility takes into account the future of energy.
  - The basic premise of the multi-pathway strategy is that we need to move away from fossil fuels from the perspectives of the global environment and sustainability.
  - We infer that, over the medium to long term, renewable energy sources will continue to proliferate, with electricity and hydrogen emerging as the primary energy sources sustaining society.
  - In the short term, however, we believe that it is critical to acknowledge global realities and implement changes in practical ways that maintain energy security.
  - This is precisely why we are committed to providing mobility options that are aligned with a diverse range of energy situations and customer needs, while also keeping an eye on the future of electricity and hydrogen.
- The underlying concept of our multi-pathway strategy is to achieve carbon neutrality through practical transition.

Diverse Options (Multi-Pathway)



- Sales volume to reach 3.5 million units per year by 2030
- Positioned as practical BEVs
- Development of PHEVs with EV driving range of 200 km or more
- Effective means to reduce GHG emissions immediately
- Contributions to GHG emissions reduction from owned vehicles (New and previously sold vehicles)
- Development of hydrogen engines utilizing internal combustion engine technologies
- Mass production and commercialization of vehicles mainly used for commercial purposes

* Battery electric vehicles (BEVs), plug-in hybrid electric vehicles (PHEVs), hybrid electric vehicles (HEVs), and fuel cell electric vehicles (FCEVs)

Initiative

BEV

- Targeting global BEV sales of 3.5 million units by 2030.
- Development and production in large markets
  - On February 5, 2025, Toyota announced that it would sign a comprehensive partnership agreement with the Shanghai municipal government in China on carbon neutrality. In addition, Toyota established Lexus (Shanghai) New Energy Co., Ltd., in Shanghai, to develop and produce BEVs and batteries. Production is scheduled to begin in 2027 onward.
- Next-generation BEVs challenge
  - We aim to achieve a driving range of 1,000 km and a charging time of 20 minutes using next-generation batteries.
  - We put ourselves up to the challenge of creating more compact components, more spacious interiors, and constant evolution of augmentation capacity.
  - By effectively using intelligent BEVs as a medium for transferring energy and information, and linking vehicle, lifestyle, and energy data, we will expand our efforts from cars to the world of mobility.
- Innovative battery technologies
  - We aim to achieve a 1,000 km driving range as well as lower costs and quicker charging times with liquid lithium-ion batteries by improving energy density.
  - We aim to contribute to the widespread use of BEVs through the adoption of bipolar structure batteries, which use inexpensive lithium iron phosphate (LFP).
  - We will also continue to advance the development of products and mass production methods for all-solid-state batteries, for which increased power output, longer driving ranges, and shorter charging times are anticipated, aiming for commercialization in 2027 or 2028.

Strategy for Battery Electric Vehicles. Integrated Report 2025, **p. 62**

PHEV and HEV

- Expand our lineup to meet our customers' diverse needs.
- Redefine PHEVs with a driving range of 200 km or more as practical BEVs, and enforce development to increase customers' options.
- Advance combustion technology to develop engines that can suppress GHG emissions.

CN Fuels

- To realize CN, it is necessary to reduce GHG emissions from not only new cars but also owned vehicles, and to reduce the carbon emissions of the fuel used is also required.
- Collaboration with partners
  - We are collaborating with partners from across various industries on hydrogen fuels, synthetic fuels (e-fuels), and bioethanol fuels generated using electricity derived from renewable energy sources.
    - In Japan: In May 2024, a study was launched on the introduction and widespread use of CN fuels for automobiles together with Idemitsu Kosan Co., Ltd., ENEOS Corporation, and Mitsubishi Heavy Industries, Ltd.
    - In the U.S.: On-road evaluations of fuels used for research purposes were carried out with Exxon Mobil Corporation, and fueling demonstrations of low-carbon fuels in new vehicles were conducted in collaboration with Chevron Corporation, in order to raise awareness and promote the practical application of CN fuels.
- Utilization of hydrogen and synthetic fuels
  - Verification on hydrogen utilization considering total cost is underway, producing and consuming hydrogen in fuel cells (FC) in regions where hydrogen is inexpensive, whereas regions with high hydrogen prices are producing e-fuel*1 in areas where hydrogen costs are relatively low and transporting it.
- Utilization of biofuels*2
  - In Japan: In July 2022, Toyota and six private companies established the raBit, a research association on biomass innovation for next-generation automobile fuels, through which we have been promoting studies with the aim of improving manufacturing technologies for second-generation bioethanol fuels.
  - In emerging countries: We are advancing the introduction of vehicles in a timely manner and in the best possible locations (for example, expanding the introduction of biofuel (ethanol)-compatible vehicles in some countries where the use of biofuel is expanding)

*1 Refers to fuels produced by synthesizing CO_2 captured from the air and other sources with hydrogen produced by water electrolysis
*2 Biomass-based fuels such as bioethanol and biodiesel

Carbon-Neutral Fuel Initiatives. Integrated Report 2025, **p. 74**

Hydrogen and FCEV

- Advance hydrogen business based on three core concepts
  - Development and production in large markets
    - In Europe: Toyota Motor Europe NV/SA is engaged in the development, production, and sales of hydrogen fuel-cell (FC) systems.
    - In China, we established a development and production base in collaboration with Beijing SinoHytec Co., Ltd. Fuel cell production began in August 2024.
  - Strengthening of coordination with key partners
    - In 2019, Toyota began offering the fuel-cell unit installed in the MIRAI to partners aiming to realize a hydrogen society, reaching a global cumulative total of more than 3,000 units as of December 2025.
    - To create a hydrogen-powered society, we are promoting the widespread adoption of fuel-cell products, including passenger and commercial fuel-cell electric vehicles as well as fuel-cell stationary generators. Through such initiatives, we are working with various industry partners in the production, transportation, and use of hydrogen.
    - In Japan, Toyota established Commercial Japan Partnership Technologies Corporation (CJPT) in 2021 together with Isuzu Motors Ltd., Hino Motors, Ltd., Suzuki Motor Corporation, and Daihatsu Motor Co., Ltd., with the aim of contributing to the resolution of issues in the transportation industry and helping achieve a carbon-neutral society.
  - Innovative evolution of competitiveness and next-generation fuel cell technologies
    - Our next-generation fuel cell technologies offer a level of durability equivalent to twice that of the current generation, which have improved fuel efficiency and driving ranges by 20%.
    - We plan to roll out these technologies starting in fiscal year 2027.

Business Axes of Hydrogen Factory



Hydrogen Business Strategies. Integrated Report 2025, **p. 68**
Commercial Sector Initiatives. Integrated Report 2025, **p. 71**

Governance

Climate Change-Related Governance Structure

■ Supervision of climate change-related issues by the Board of Directors

- The Board of Directors is Toyota's ultimate supervisory, decision-making authority for climate change-related issues, including risks and opportunities.
- In order to effectively plan and execute strategies in response to social trends, we bring important climate change-related issues before the Board of Directors as they arise.
- Responses to climate change-related issues (including risk and opportunity assessments and management implemented more than once a year) are addressed primarily by the CN Strategy Subcommittee, with oversight by the Board of Directors.
- The Board of Directors makes decisions based on the deliberations of each committee, including trade-offs between sustainability and climate change-related issues.
- The CN Strategy Subcommittee approves the formulation, review and monitoring of progress of climate change-related targets under the oversight of the Board of Directors, following deliberation by each committee.
  - The Environmental Product Design Assessment Committee discusses LCA*1 and Scope 3 categories 1 and 11. The Consolidated Environment Committee addresses Scopes 1 and 2, and Scope 3 categories 4 and 9.

*1 Life Cycle Assessment. A comprehensive assessment technique to quantify a vehicle's impact on the environment (including global warming, acidification and resource depletion) in each stage from materials production to disposal/recycling

Policy and Environmental Management, **p. 17**
Organizational Structure, **p. 7**

■ Climate change-related skills of the Board members and the link to compensation

- Toyota considers the ability to address climate change and other environmental issues and resolve social issues related to Toyota's vehicles and value chain a necessary skill for directors, and appoints them accordingly.
- To achieve the goal of enhancing corporate value, we aim to improve environmental initiatives through an executive compensation system linked to both financial and non-financial metrics.

Skills Matrix. Integrated Report 2025, **p. 159**
Executive Compensation. Integrated Report 2025, **p. 112**

■ Decisions made by the Board of Directors

- Approved the signing of a comprehensive partnership agreement with the municipal government of Shanghai and the establishment of Lexus (Shanghai) New Energy Co., Ltd., which develops and manufactures BEVs and batteries, in 2025, with the aim of contributing to achieving carbon neutrality in China. The new company will develop Lexus-brand BEVs, with mass production to launch in 2027 or later.

Links Between Company-Wide Risk Management and Climate Change-Related Risk Management Processes

■ Recognizing that the risks and opportunities present in climate change are key management concerns, we conduct scenario analyses based on the TCFD*2 recommendations to identify risks and opportunities and assess the resilience of our business activities.

■ The Toyota Global Risk Management Standard (TGRS), designed by Toyota based on ISO*3 standards and the COSO*4 framework, is being implemented company-wide as a risk management system.

■ We utilize TGRS and other tools to identify all risks related to global business activities. When necessary, we establish cross-company task forces to promote risk management while monitoring the progress of countermeasures.

■ Risks are assessed based on the magnitude of impact and vulnerabilities. By setting a specific time horizon, we can clarify actual and strategic impacts on our businesses.

- Magnitude of impact:
  Rated on a five-grade scale for each of the following factors: finance, reputation, violation of laws and regulations, and business continuity.
- Vulnerability:
  Assessed based on the current status of countermeasures and probability of occurrence.

■ Risk owners are assigned for the key risks assessed by region, function (such as production and sales) and product based on the above perspectives. Chief Officers of divisions, and in-house company presidents oversee initiatives, while at the working level, relevant measures are implemented and monitored under the instructions by divisional General Managers of their own divisions.

■ In addition to the aforementioned TGRS, climate change-related risks and opportunities are reviewed by relevant executives and divisions in charge, and the status of the response is monitored and reviewed. Toyota actively works to identify a wide range of risks and opportunities stemming from environmental issues, regularly reviews the validity of strategies such as the Toyota Environmental Challenge 2050 and promotes activities to boost competitiveness.

■ Current and future GHG emissions from vehicles, production and sales operations, and supply chains are calculated and assessed in line with relevant science-based emission reduction pathways.

■ Important risks and opportunities that require prompt responses are deliberated at the Governance Risk Compliance Meeting and reported to the Board of Directors to determine the course of action.

*2 Task Force on Climate-Related Financial Disclosures
*3 International Organization for Standardization. Non-governmental body that sets internationally accepted standards
*4 Committee of Sponsoring Organizations of the Treadway Commission. Body responsible for developing guidelines to evaluate internal controls

Identification and Assessment of Climate Change-Related Impacts, Risks, and Opportunities

Overview of Impacts, Risks, and Opportunities

- Toyota identifies factors that may impact the future based on the identified Impacts, Risks, and Opportunities (IROs). The company responds appropriately under Toyota's strategies and transition plans.
- Overview of climate change-related IROs
  - Impacts
    - Effects that a company has on the environment and society as a result of its activities or business transactions.
  - Risks
    - Transition risk: Negative impact on the company arising from the transition to a low-carbon society, such as the introduction or strengthening of climate change-related policies and the advancement of low-carbon technologies.
    - Physical risk: Negative impact on the company arising from physical climate events caused by climate change.
  - Opportunities
    - Positive impact for the company arising from responses to market changes and technological innovation, driven by the transition to a low-carbon society and the progression of climate change.
- We established a process to identify and assess climate change-related risks and opportunities using scenario analysis. We also incorporated financial impact assessments into the process to enhance the accuracy of IRO materiality.
- Time horizon for IRO assessment

Short-term	Medium-term	Long-term
1 year	1-5 years	Over 5 years

Process of Identifying and Assessing Climate Change-Related Impacts

- Analyze activities across Toyota and our value chain to identify potential environmental and social impacts.
- Conduct assessments on identified impacts based on severity (scale and scope of impact) and likelihood of occurrence.
- Toyota's Scope 3 emissions account for 99% of the total and category 11 emissions constitute 72% of Scope 3 emissions. As they contribute significantly to climate change, reduction efforts across the entire value chain are essential.
- However, Scopes 1 and 2 emissions, while accounting for a small percentage (1%), fall within the company's direct control. This makes them important for Toyota, which has set a target under the Life Cycle Zero CO_2 Emissions Challenge.

Process of Identifying and Assessing Climate Change-Related Risks and Opportunities

- Toyota identifies and assesses climate change-related risks and opportunities through scenario analysis based on assumptions of various future social conditions together with in-house climate teams and external experts to assess corporate strategic resilience.

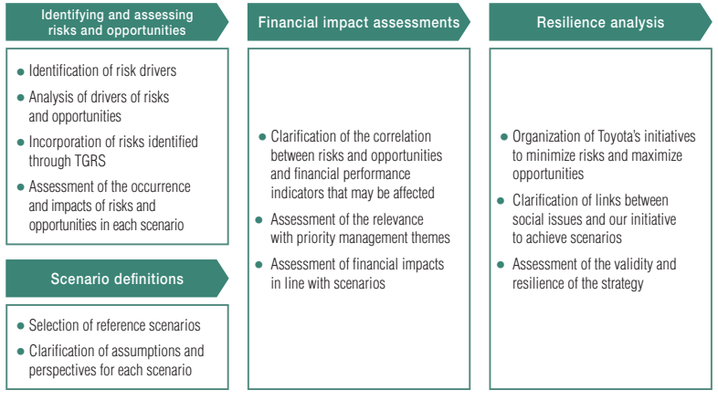


Chart created by Toyota based on guidance from the TCFD and Ministry of the Environment, Japan

Identification and Assessment of Risks and Opportunities

- Identify primary factors (risk drivers) for climate-related risks and opportunities based on anticipated future social conditions from the perspectives of transition risks (policies/legislation, markets, technology, reputation) and physical risks (acute, chronic).
- Identify risks and opportunities by analyzing driving factors.
- Incorporate disclosure topics defined in ISSB* industry-based guidance, as well as climate change-related risks identified through TGRS, Toyota's cross-functional risk management system, and climate change-related risks and opportunities specified by referencing external information into risks and opportunities identified through driver analysis.
- Examine how the likelihood and impact of risks and opportunities differ in each scenario based on the identified risk drivers.
- The overall materiality of each risk and opportunity is determined based on a quantitative assessment of likelihood and impact as well as a qualitative assessment that takes into account factors such as corporate social responsibility and Toyota's key issues.

* International Sustainability Standards Board

Scenario Analysis Overview

- Scenario analysis is conducted in accordance with the processes outlined in guidance provided by the TCFD and Ministry of the Environment, Japan.
- Conduct 1.5°C scenario analysis to assess transition risks and opportunities as well as a 4°C scenario analysis to assess physical risks based on climate hazards.
- The scope and impact assessment period for scenario analysis are defined as follows:

- Scope
  - Transition risks and opportunities: Automotive business and value chains in Toyota Motor Corporation and its consolidated subsidiaries
  - Physical risks: Toyota Motor Corporation, consolidated subsidiaries, and unconsolidated vehicle manufacturing subsidiaries
- Impact assessment period
  - Transition risks and opportunities are determined by considering Toyota's medium-term targets, the scheduled implementation of various climate change-related policies, and the target years set in the NDC.*1
  - Physical risks are determined based on a timeframe when climate hazards are expected to become more apparent.
    - Transition risks and opportunities: Up to 2035
    - Physical risks: Up to the late 21st century

*1 Nationally Determined Contribution. National reduction targets

1.5°C Scenario Analysis

Selection of Scenarios

- Use the following scenarios as reference for analysis
- Multiple published scenarios, such as the scenarios from IEA*2 and IPCC*3 AR6*4 WG3 report
- Basis for selecting scenarios
- Toyota envisions society's future energy landscape as converging on electricity and hydrogen with the widespread introduction of renewable energy, and recognizes that the transition speed varies by region depending on energy conditions.
- Against the backdrop of recent global developments, discussions have begun on balancing environmental issues with economic security. There are also observable phenomena such as a slowdown in renewable energy investments due to international inflation and a stagnation in the growth trend of BEV sales in Europe and the U.S.
- At international forums such as the Conference of the Parties (COP) to the United Nations Framework Convention on Climate Change, discussions are progressing on transitional measures extending into the future. There is a growing recognition of the importance of introducing diverse decarbonization methods tailored to conditions in each country and region.
- In recognition of these backgrounds, our multi-pathway strategy offers options that address actual energy situations in each country/region and the diverse needs of customers through a practical transition in the short term with a focus on the future of electricity and hydrogen in the long term.
- The 1.5°C scenario analysis for passenger vehicles considers both the IEA NZE scenario,*5 which highlights the introduction of BEVs and PHEVs as key decarbonization measures, and other 1.5°C scenarios that incorporate regional characteristics and an increased range of mitigation measures (CO_2 removal (CDR*6), carbon capture and storage (CCS*7), carbon-neutral fuels, etc.) to assess corporate strategic resilience.

- Consider the assumptions and global circumstances of each scenario as follows:

- IEA NZE Scenario (*IEA World Energy Outlook 2025*)
  - Reducing GHG emissions from the power generation sector may decrease emissions from other sectors.
  - GHG emissions may be reduced by the widespread adoption of BEVs in the road transport field of the transportation sector, where electrification is relatively easier. In reality, the speed of progress and timeframe of these initiatives may be delayed depending on energy conditions and policy developments in each country and region. In such cases, CDR technologies will become essential.
- Other 1.5°C scenarios
  - Concerns over energy and economic security and a decline in industrial competitiveness will cause delays in the progress of mitigation measures driven by energy conditions and policy developments in each country and region to spread globally. Furthermore, the introduction of decarbonization technologies to the market requires substantial investment in the initial stages, and differences in investment levels may lead to disparities in progress.
  - While decarbonization technologies beyond electrification may be utilized with low-emission power, the expansion of biofuel usage in road transport could be limited by the food-versus-fuel dilemma and variations in supply volume caused by land-use restrictions to protect the environment.
  - A slower pace of reduction for GHG emissions will inevitably lead to an overshoot in temperature rise, making it necessary to assume the later large-scale and extensive deployment of CDR technologies compared to the NZE scenario.

*2 International Energy Agency
*3 Intergovernmental Panel on Climate Change
*4 Sixth Assessment Report
*5 Net Zero Emissions by 2050 Scenario
*6 Carbon Dioxide Removal
*7 Carbon Capture and Storage

Study on the IEA NZE Scenario

- The IEA reports about the following to accomplish the NZE scenario.
  - The shift of passenger vehicles to BEVs will progress as electricity is decarbonized with the active introduction of renewable energy, leading to a sharp reduction in GHG emissions after 2030 and the achievement of net zero emissions, including emissions from owned vehicles by 2050.
  - To achieve this goal, governments around the world will introduce ambitious climate policies such as carbon pricing, tighter fuel efficiency standards, and bans on the sale of vehicles with internal combustion engines, along with expanded incentives to support the growth of BEVs.
  - BEVs will become more widely accepted in the market as consumer awareness of the environment grows and stronger policies are put in place, along with technological advancements in vehicle electrification, development of innovative batteries, and energy management systems powered by renewable power. The societal shift towards electrification and renewable energy will suppress energy consumption with improvements in efficiency.
  - For fossil fuels in hard-to-electrify sectors and delays in transitioning to electrification and renewable energy, carbon removal from the atmosphere via CDR technology is necessary.
  - In the IEA World Energy Outlook prior to 2023, the use of CDR technology was not assumed in the NZE scenario. However, the 2024 edition reports that it will be necessary, and the 2025 edition indicates even greater use is required.

- Transition risks associated with this scenario
  - Fines or other penalties imposed for non-compliance with fuel efficiency, GHG, or ZEV regulations.
  - Ramp-down of production and decrease in units sold caused by sudden product changes to comply with regulations.
  - Increase in R&D costs in response to developments in powertrain technology.
  - Supply shortages and rising procurement costs due to increased demand for feedstocks related to BEVs.
  - Increase in manufacturing costs due to the surge in renewable electricity prices.

- The following challenges must be addressed to accomplish this scenario:
  - Formulation of government policies and active investment to promote the Introduction of renewable energy.
  - Creation of social systems to secure the supply of battery feedstocks and development of recycling technologies.
  - Innovating and reducing the costs of decarbonization technologies that use electricity and hydrogen.
  - Development of charging infrastructure accompanying the widespread adoption of electric vehicles.
  - An increase of cost burdens associated with the introduction of decarbonization and CDR technologies.

Studies on Other 1.5°C Scenarios

- In addition to the IEA NZE scenario, multiple 1.5°C scenarios published by the IPCC and various research institutions are compared and examined in detail to analyze differences in energy conditions and policy developments across countries and regions.
- Pathway toward achieving the 1.5°C target set out in the Paris Agreement
  - Energy sector:
    Introduction of various technologies, such as CCS, in addition to the use of renewable energy and the adoption of low-carbon and carbon-neutral (CN) fuels, such as biofuels and synthetic fuels.
  - Transportation sector:
    In addition to vehicle electrification, efforts also include the use of fuel-efficient vehicles and the adoption of low-carbon and CN fuels such as biofuels and synthetic fuels.
  - Differences between countries and regions:
    Renewable energy sources, such as biomass, are utilized to their fullest extent depending on conditions in each country and region. During the transition period, aim to balance economic development and CN by also using fossil fuel combined with CCUS* technologies. With the advancement of diverse energy infrastructure such as low-carbon fuels and CN fuels, various energy sources and powertrains are selected based on their respective convenience.

* Carbon Capture, Utilization and Storage

- Transition risks associated with the aforementioned scenarios
  - Transition risks associated with the enhancement of BEVs are similar to those stated in the IEA NZE scenario; however, their impact on Toyota's strategy and finances will be relatively small, considering the current track record of BEV adoption in each country and region and reviews of their policies.
  - Delays in the adoption of low-carbon fuels and CN fuels such as biofuels and synthetic fuels.
  - Increase in R&D costs associated with the diversification of automotive fuels.
  - Increase in energy procurement costs due to the decarbonization of energy sources such as gas and liquid fuels, in addition to electricity.

- Social challenges toward achieving scenarios are more diverse compared to the IEA NZE scenario.
  - Developing technologies for low-carbon and CN fuels, such as hydrogen, biofuels, and synthetic fuels, adapted to each country and region, and support in the early stage of introduction
  - Solving issues such as the food versus fuel dilemma related to biofuels and curbing the rise in fuel prices
  - Ensuring the supply of low-carbon fuels and CN fuels through collaboration with other sectors
  - Development of infrastructure and aid policies to ensure a stable supply of energy

Risks and Opportunity Trade-Offs in the 1.5°C Scenario

- While electrification presents opportunities in relation to sales fluctuations, it also brings risks such as increased R&D expenses and higher raw material procurement costs.

4°C Scenario Analysis

Selection of Scenarios

- We selected IPCC AR6 WG1 SSP5-8.5 as the reference scenario for the 4°C scenario analysis.
- The IPCC SSP5-8.5 is the highest emission scenario that represents a fossil fuel-dependent economic development path without the implementation of climate policies, resulting in the occurrence of extremely frequent and severe physical climate events.
- We assessed the resilience of our business activities by conducting analyses under this scenario.

Studies on the 4°C Scenario

- Major physical risks under this scenario:
  - Suspended production and sales resulting from supply chain disruptions caused by more frequent and severe natural disasters.
  - Impacts on production caused by water shortage and higher water costs.
- Screening high-risk sites
  - Screened high-risk sites for flooding hazards, such as river flooding, inland flooding, and storm surges, using geographical coordinates for 137 business locations in Japan and 73 locations overseas.
  - Identified sites in and outside of Japan where future hazard grades have been changed as a result of climate change and are evaluated as hazard grade B or higher, requiring attention to risks.
- Results of risk analysis
  - We confirmed that some business sites are at risk for river flooding, inland flooding, and storm surges, but the impact is slight.

Definition of Hazard Grade

Grade	Definition of grades
A	Flooding is expected to submerge most of the first floor
B	Preventing indoor flooding is difficult with typical countermeasures
C	Flooding of the building and its surroundings is anticipated
D	Flooding hazard is considered slight
E	Flooding hazard is considered extremely slight, or no hazard information available

Results of Physical Risk Screening

Hazard	Hazard assessment target site	Number of sites where the hazard grade changed to B or higher from the present through the latter half of the 21st century
River flooding	137 sites (Japan)	0 sites
	73 sites (overseas)	0 sites
Inland flooding	73 sites (overseas)	3 sites
Storm surge	73 sites (overseas)	8 sites

Assessment conditions:
Assessment of changes in hazard grades from the present to the latter half of the 21st century under the 4°C scenario (SSP5-8.5) based on the following conditions
Sites (Japan): Logic: MS&AD InterRisk Research & Consulting, Inc. (e.g., Flood Risk Finder)
Assessment item: Inundation hazards due to river flooding
Sites (overseas): Logic: Tokio Marine dR Co., Ltd. (e.g., Fathom Global Flood Map)
Assessment item: Inundation hazards due to river flooding, inland flooding, and storm surges

Efforts to Minimize Risk

- Toyota is undertaking the following initiatives to minimize physical risks.
  - Selection of locations for new plants, taking water risk into account
  - Taking measures based on the results of water risk assessments
  - Continuous revisions of BCP*1 based on experience from past disasters
- For details on initiatives related to BCM*2, including the supply chain, refer to p. 160 for details.

*1 Business Continuity Plan. A plan for companies to minimize damage and ensure business continuity and recovery when emergencies such as disasters occur
*2 Business Continuity Management. A framework for operational management that ensures each countermeasure plan defined in the BCP functions can be executed

Financial Impact Assessments

- Analyze causal links between identified risks and opportunities and their financial impacts.
- Assess relationships with management themes, such as mobility concepts related to identified risks and opportunities and priority sustainability initiatives, to confirm the materiality of these risks and opportunities.
- Assess the financial impacts of identified high-priority risks and opportunities in light of the assumptions of each scenario.

Impact

	Category	Impact	Time horizon*	Value chain
I-1	Negative	Impact to climate change through GHG emissions from direct operations (Scopes 1 and 2)	Short-term, medium-term, long-term	Direct operation
I-2		Impact to climate change through GHG emissions in value chain (Scope 3)	Short-term, medium-term, long-term	Upstream and downstream
I-3		Impact of industrial structure changes due to climate change-related measures (electrification) on suppliers, regional economies, and residents (issues regarding business continuity and employment retention for internal combustion engine parts suppliers)	Medium-term, long-term	Upstream and direct operation
I-4	Positive	Contribution to carbon neutrality (CN) through reduction of GHG emissions from direct operations (Scopes 1 and 2)	Short-term, medium-term, long-term	Direct operation
I-5		Contribution to CN through reduction of GHG emissions from the value chain (Scope 3)	Short-term, medium-term, long-term	Upstream and downstream
I-6		Contribution to carbon neutrality by providing decarbonization solutions (storage batteries, renewable energy utilization, logistics efficiency improvements, etc.) to society	Medium-term, long-term	Downstream
I-7		Impact of industrial structure changes due to climate change-related measures (electrification) on suppliers, regional economies, and residents (construction of battery manufacturing plants and creation of new employment)	Medium-term, long-term	Upstream and direct operation

* Short-term: less than a year, medium-term: less than five years, long-term: over five years

Material Risks and Opportunities

■ Risks and opportunities that have significant or certain level of global impact are defined as “material risks and opportunities”.

No.	Category		Driver	Risk/Opportunity		Time horizon*2	Value chain	Financial impact*3 (Qualitative)
RO-1	Transition risks and opportunities (1.5°C scenario)	Policy/ Legislation	• Tighter fuel efficiency, GHGs, and ZEV regulations	Fines or other penalties imposed for non-compliance with fuel efficiency regulations	Risk	Short-term, medium-term, long-term	Direct operation	High
RO-2				Ramp-down of production and decrease in units sold caused by sudden product changes to comply with regulations	Risk	Short-term, medium-term, long-term	Direct operation and downstream	High
RO-3		Technology/ Market (product)	• Development of low-carbon technologies • Increase in electrification and the Introduction of renewable energy • Fuel conversion • Diversification of energy and low-carbon emissions • Fluctuations in fossil fuel demand	Increased sales due to growing demand for electrified vehicles	Opportunity	Short-term, medium-term, long-term	Direct operation and downstream	High
RO-4				Increased R&D costs associated with the development of powertrain technology	Risk	Medium-term, long-term	Direct operation	Medium
RO-5				Creation of new value in mobility, acquisition of new customers, and cultivation of new demand through collaboration with other companies in product development	Opportunity	Medium-term, long-term	Direct operation	Medium
RO-6				Creation of new value chains, acquisition of new customers, and cultivation of new demand through cooperation with other companies in low-carbon fuel development	Opportunity	Medium-term, long-term	Direct operation and downstream	Medium
RO-7			• Low-carbonization of materials • Resource shortages and rising costs • Introduction of regulations for end-of-life vehicles and batteries	Supply shortages due to increased demand for low-carbon materials and battery feedstocks and the associated rise in procurement costs	Risk	Medium-term, long-term	Direct operation	High
RO-8				Improved stability in resource supply and manufacturing through the promotion of the Battery 3R*1 initiatives, including development of a battery ecosystem	Opportunity	Medium-term, long-term	Direct operation	High
RO-9				Acquiring new customers and cultivating new demand through battery and energy management-related businesses	Opportunity	Medium-term, long-term	Direct operation	High

*1 Reduce, reuse/rebuilt, recycle

Other Risks and Opportunities

■ Although the impact on global operations is minimal, risks and opportunities that are specified based on their relevance to corporate social responsibility and Toyota’s key issues are defined as “Other Risks and Opportunities.”

No.	Category		Driver	Risk/Opportunity		Time horizon*2	Value chain	Financial impact*3 (Qualitative)
RO-10	Transition risks and opportunities (1.5°C scenario)	Technology/ Market (manufacturing)	• Accelerated energy savings • Development of low-carbon technologies	Increased manufacturing costs due to the purchase of low-carbon equipment and upgrading existing equipment	Risk	Medium-term, long-term	Direct operation	Slight
RO-11				Lower costs due to improved energy efficiency and stable production as a result of a diversified energy mix	Opportunity	Medium-term, long-term	Direct operation	Slight
RO-12			• Expanding renewable electricity	Increase in manufacturing costs due to the surge in renewable electricity prices	Risk	Medium-term, long-term	Direct operation	Slight
RO-13			• Fuel conversion/electrification • Diversification of energy and low-carbon emissions	Higher manufacturing costs due to capital investment related to the use of low-carbon fuels, such as hydrogen and biofuels, and rising fuel prices	Risk	Medium-term, long-term	Direct operation	Slight
RO-14	Physical risks and opportunities (4°C scenario)	Acute/Chronic	• Increased severity of natural disasters, water stress, others	Costs of repairing buildings and equipment at production sites damaged by extreme weather events like flooding and high tides	Risk	Short-term, medium-term, long-term	Direct operation	Slight
RO-15				Production halt due to supply chain disruption caused by abnormal weather	Risk	Short-term, medium-term, long-term	Upstream, direct operation, and downstream	Slight

*2 Short-term: less than a year, medium-term: less than five years, long-term: over five years

*3 Financial impact assessment criteria: The 2030-2035 financial impact is defined as (1) High: has a strong impact globally, (2) Medium: has a certain level of impact globally, or (3) Slight: has a lower level of impact globally

Resilience Analysis

Strategies and Business Models for Addressing Material IROs

- We recognized that the material IROs specified through the aforementioned process assessment have a significant impact on Toyota.
- Under the multi-pathway strategy, we incorporate measures to address these IROs into the transition plan and others, and secure resources to address these responses.

Overview of the Multi-Pathway Strategy, **p. 20**
Transition Plan, **p. 31**

Resilience Analysis

- The strategic resilience of the multi-pathway strategy is verified through scenario analysis.

Scenario Analysis, **p. 24**

1.5°C Scenario Analysis Results

- Scenario analysis has revealed a variety of pathways to achieve the 1.5°C target aligned with the Paris Agreement, each accompanied by specific conditions and social challenges.
- With our global reach, we have reaffirmed the validity of focusing on our multi-pathway strategy, which includes various measures and technologies capable of addressing uncertainties to respond to global market and stakeholder demands, rather than specializing in or adhering to a single policy or technology.

4°C Scenario Analysis Results

- Through the scenario analysis, some domestic and overseas sites are facing risks for river flooding, inland flooding, and storm surges, but the impact is estimated to be slight.
- Disaster drills and other means for improvements through PDCA cycles have proven to enhance the effectiveness of BCP and accelerate the speed of recovery after a disaster.
- We have positioned these activities as BCM and are promoting it as a collaborative framework between employees and their families, the Toyota Group and suppliers, and Toyota Motor Corporation.

Results from Resilience Analysis

- Guided by the philosophy of being the “best-in-town,” we will continue to provide a lineup of vehicles that are well-received by customers and adaptable to different economic and energy situations in order to contribute to the development of each country and region.
- We will strive to reduce GHG emissions by utilizing existing infrastructure and assets.
- Toyota’s multi-pathway strategy has proven to be highly resilient in all of the scenarios presented.
- As indicated in the IPCC assessment reports and other publications, there are multiple paths available to achieve the 1.5°C target as set out in the Paris Agreement. These paths can vary depending on local energy conditions and government policy, requiring the involvement of various industries and making collaboration with partners, including encouraging the use of carbon-neutral fuels, crucial.
- We stand with the Paris Agreement and take action to achieve its goals. We prioritize alignment with the Paris Agreement and work with our partners to promote the development of vehicles and social infrastructure based on our mobility concept, intending to fully concentrate on achieving CN by 2050.
- As the landscape changes, we will continue to conduct scenario analysis to reassess risks and opportunities, and reflect the responses to them into our strategies to further strengthen our resilience.

Key Initiatives for Minimizing Risk and Expanding Opportunities

Transition Risks and Opportunities (1.5°C Scenario)

Category	Risk/Opportunity	Key initiatives for minimizing risks and expanding opportunities
Policy/Legislation	• Fines or other penalties imposed for non-compliance with fuel efficiency regulations • Ramp-down of production and decrease in units sold caused by sudden product changes to comply with regulations	• Monitoring regulatory trends in each region and promptly incorporate them into product planning by collaborating with regional headquarters overseas • Introducing a range of powertrains adapted to the specific needs of each country and region • Developing technologies and building social systems with stakeholders in various fields that can respond to diverse scenarios involving CN fuels like biofuels and synthetic fuels, as well as CO_2 capture
Technology/Market (product)	• Increased sales due to growing demand for electrified vehicles • Increased R&D costs associated with the development of powertrain technology • Creation of new value in mobility, acquisition of new customers, and cultivation of new demand through collaboration with other companies in product development • Creation of new value chains, acquisition of new customers, and cultivation of new demand through cooperation with other companies in low-carbon fuel • Supply shortages due to increased demand for low-carbon materials and battery feedstocks and the associated rise in procurement costs • Improved stability in resource supply and manufacturing through the promotion of the Battery 3R initiatives, including development of a battery ecosystem • Acquiring new customers and cultivating new demand through battery and energy management-related businesses	• Monitoring regulatory trends in each region and promptly incorporate them into product planning by collaborating with regional headquarters overseas • Developing technologies that advance electrification with the efficient utilization of battery feedstocks (practical BEVs) • Developing resource-efficient and long-life batteries • Building a battery ecosystem that values the thoughtful use of limited resources through the Battery 3R approach, which focuses on reusing or remanufacturing batteries and recycling rare metals with minimal GHG emissions • Encourage the widespread adoption of fuel-efficient vehicles such as HEVs to ensure stable energy supply and efficient use of existing resources, while simultaneously advancing GHG emission reductions • Developing technologies and building social systems with stakeholders in various fields that can respond to diverse scenarios involving CN fuels like biofuels and synthetic fuels, as well as CO_2 capture
Technology/Market (manufacturing)	• Increased manufacturing costs associate with the purchase of low-carbon equipment and upgrades to existing equipment • Lower costs due to improved energy efficiency and stable production due to a diversified energy mix • Increase in manufacturing costs due to the surge in renewable electricity prices • Higher manufacturing costs due to capital investment related to the use of low-carbon fuels, such as hydrogen and biofuels, and rising fuel prices	• Enhancing energy-saving through *Kaizen* (improvement) and the introduction of innovative technologies • Developing technologies that advance electrification with the efficient utilization of battery feedstocks (practical BEVs) • Developing resource-efficient and long-life batteries • Building a battery ecosystem that values the thoughtful use of limited resources through the Battery 3R approach, which focuses on reusing or remanufacturing and reusing batteries and recycling rare metals with minimal GHG emissions • Cooperating with relevant stakeholders to develop technologies using renewable electricity and hydrogen, such as solar cells, water electrolysis systems, and hydrogen

Physical Risks and Opportunities(4°C Scenario)

Category	Risk	Key initiatives for minimizing risks
Acute/Chronic	• Costs of repairing buildings and equipment at production sites damaged by extreme weather events like flooding and high tides • Production halt due to supply chain disruptions caused by abnormal weather	• Selection of locations for new plants, taking water risk into account • Taking measures based on the results of water risk assessments • Continuous revisions to BCP based on experience from past disasters

Transition Plan

SASB TR-AU-410a.3

Overview of the Transition Plan

- We announced the Toyota Environmental Challenge 2050 in October 2015, prior to the Paris Agreement. We established the Life Cycle Zero CO_2 Emissions Challenge, New Vehicle Zero CO_2 Emissions Challenge, and Plant Zero CO_2 Emissions Challenge to clarify our long-term climate change objectives.
- The 8th Toyota Environmental Action Plan sets specific reduction targets for each emission scope in the medium term. We have our reduction targets for Scope 1, Scope 2, and Scope 3 category 11 approved by SBTi*1.
- We support the Paris Agreement and under these GHG reduction targets, we intend to fully concentrate on achieving the 2050 Carbon Neutrality (CN) by advancing a multi-pathway strategy.
- We formulated a transition plan that organizes reduction initiatives and other measures aimed at achieving targets. This plan is recognized as crucial for Toyota to address climate-related risks and opportunities, and is integrated into management plans such as sales plans and the midterm business plan.

*1 Science Based Targets initiative. An initiative established by the CDP, the United Nations Global Compact, World Resources Institute (WRI) and the World Wide Fund for Nature (WWF)

Climate Change-Related Governance Structure, **p. 22**
Medium- and Long-Term Target Structure, **p. 68**

Overall Structure of the Transition Plan

- The transition plan is developed around key emission scopes and includes initiatives Toyota considers important for contributing to CN.
- We set primary reduction initiatives as reduction levers for each emissions scope. Under these levers, we implement specific emission reduction measures and manage the progress of our efforts. Details of targets and actions for each emission scope are described on the following pages.
- The transition plan considers the assumptions of the 1.5°C scenario referenced in the scenario analysis.

1.5°C Scenario Analysis, **p. 24**

- As the plan includes investment plans for advancing initiatives, required management resources are secured.

Emission scope	Target*2, *3			Reduction levers	Related IROs*4
	2030	2035	2050		
Life cycle (GHG: t*5 CO_2e/unit)	30% reduction	—	CN	—	—
Scopes 1 and 2 (GHG: kt CO_2e)	47% reduction	68% reduction	CN	• Advancing energy-saving activities • Introduction of renewable energy • Fuel switching	I-1, 4 RO-10, 11, 12, 13
Production in plant (GHG: kt CO_2e)	—	CN	Zero CO_2 emissions		
Renewable electricity introduction rate (%)	80%	—	—		
Scope 3 category 11 (Average GHG from new vehicle*6: g CO_2e/km/unit)	Passenger cars and light commercial vehicles 33.3% reduction Medium- and heavy-freight trucks 11.6% reduction	Reduction of 50% or more	CN	• Widespread use of electric vehicles	I-2, 3, 5, 7 RO-1, 2, 3, 4, 5, 6
Scope 3 category 1	—	—	—	• Collaboration with suppliers • Adoption of low-carbon materials • Introduction of renewable energy	I-2, 5 RO-7

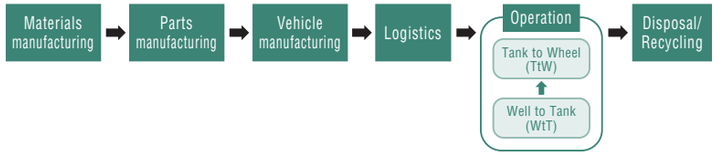
*2 The base year for all reduction rate targets is 2019
The most recent performance year at the time of target setting (2020) saw a decline in sales volume due to the COVID-19 pandemic and global semiconductor shortages; therefore, the preceding year was set as the base year
*3 All reduction rate targets are based on gross emissions
*4 I-6, RO-8, and RO-9, which do not fit into the emission scopes in above table, are addressed in relation to Other Initiatives
*5 Metric ton (tonne, 1 t = 1,000 kg)
*6 Per unit, g CO_2e/km, WtW (Well to Wheel)
WtW includes the GHG emissions from the process of driving the tires from the engine or motor (TtW, Tank to Wheel), as well as GHG emissions from fuel extraction/production and electricity generation stages (WtT, Well to Tank)

Life Cycle

Life Cycle Overview

- Advancing carbon neutrality (CN) at each stage of the vehicle life cycle: material manufacturing, parts manufacturing, vehicle manufacturing, logistics, operation (in use), and disposal/recycling.

Image of Stages of a Vehicle Life Cycle



Target

- 2050:
  Achieve CN for GHG emissions throughout a vehicle's life cycle*1
- 2030:
  Reduce GHG emissions by 30% throughout a vehicle's life cycle*1 (compared to 2019 levels)

*1 Per unit

Medium- and Long-Term Target Structure, **p. 68**

Assumptions for Setting the 2030 Target

- Scope
  - Automotive business*2
  - Toyota Motor Corporation and its consolidated subsidiaries. However, Scopes for which targets have been set shall correspond to their respective Scopes.
  - Includes energy-derived CO_2, non-energy-derived CO_2, and the other six types of GHG listed in the GHG Protocol*3.
- Uncertainties such as future production volume changes are not considered.
- The base year is set as 2019.
- Set on a gross basis.

*2 The automotive business accounts for 90% of total sales revenue and 99% of GHG emissions.
*3 *Greenhouse Gas Protocol Corporate Accounting and Reporting Standard, Revised Edition (2004; 'Corporate Standard')*

GHG Emissions Measurement Method

- Toyota's Scopes 1, 2 and 3 GHG emissions are calculated based on the GHG Protocol.
- GWP*4 values based on a 100-year time horizon of IPCC assessment is used for CO_2 equivalency calculation of GHG.
  For other coefficients, refer to Referenced Coefficients under Metrics and Targets on p. 67.
- Refer to Greenhouse Gases under Metrics and Targets on p. 62 for measurement approach and primary activity data.

*4 Global Warming Potential

Referenced Coefficients. Metrics and Targets, **p. 67**
Greenhouse Gases. Metrics and Targets, **p. 62**

Approach to Achieving Targets

- Achieve CN for GHG emissions generated throughout the vehicle life cycle. Since Toyota's Scope 3 emissions account for 99% of the total and category 11 emissions constitute 72% of Scope 3 emissions, achieving the category 11 target is crucial.
- Provide optimal products by considering the diverse energy conditions and power generation mix ratios in each country and region.
- Accelerate measures for the development of technologies that contribute to GHG emissions reduction and create eco-friendly designs as we pursue "ever better cars".
- Make further efforts in GHG reduction activities throughout the entire vehicle life cycle with various stakeholders involved in the value chain, such as suppliers and dealers.
- Aim to achieve clean vehicle manufacturing throughout the entire life cycle of a vehicle and promote environmental management to achieve reduction targets.

Performance Measured Against Targets

GHG emissions	2019 (Base year)	2023	2024	2025
Life cycle	58.9 t CO_2e/unit	11% reduction	11% reduction	12% reduction

- GHG emissions were reduced by 12% in 2025 as a result of reductions in the operation phase.

Scopes 1 and 2

Target*1

- 2050:
  - Achieve carbon neutrality (CN) in GHG emissions from corporate activities*2
  - Achieve zero CO_2 emissions from production at plants*3
- 2035:
  - Reduce GHG emissions from corporate activities by 68% (compared to 2019 levels)*2, *4
  - Achieve CN for GHG emissions from production at plants*3
- 2030:
  - Reduce GHG emissions from corporate activities by 47% (compared to 2019 levels)*5
  - Achieve 80% introduction rate for renewable electricity*2

*1 Total emissions

*2 Applies to emissions from energy consumption associated with the corporate activities of Toyota Motor Corporation and its consolidated subsidiaries and emissions from production processes of Toyota brand vehicles by unconsolidated subsidiaries (Scopes 1 and 2 and voluntary activities)

*3 Applies to emissions from energy consumption associated with the plants of Toyota Motor Corporation and its consolidated subsidiaries and emissions from production processes of Toyota brand vehicles by unconsolidated subsidiaries (Scopes 1 and 2 and voluntary activities)

*4 Reduction target approved by SBTi

*5 Covers GHG emissions from energy consumption in the corporate activities of Toyota Motor Corporation and its consolidated subsidiaries (Scopes 1 and 2), or Scopes 1 and 2 and voluntary activities

Medium- and Long-Term Target Structure, **p. 68**

Assumptions for Setting 2030 and 2035 Targets

- Scope
  - All corporate activities
  - Toyota Motor Corporation and its consolidated subsidiaries (voluntary activities are included in some targets)
  - Targets include energy-derived CO_2, non-energy-derived CO_2, and the other six types of GHG listed in the GHG Protocol.
- Reference scenarios, standards, and scientific basis
  - The reference scenario is “to limit the global average temperature increase to 1.5°C above pre-industrial levels” and the target has been approved by SBTi as aligned with this goal.
  - Based on SBTi’s 1.5°C cross-sector pathway.
- Scope 2 emissions are calculated using market-based methods based on the GHG Protocol.
- Uncertainties such as future production volume changes are not considered.
- The base year is set to 2019.
- Reduction rate targets are set on a gross basis, while CN targets are set on a net basis.
- For the concept of carbon credits in net targets, refer to Carbon Removal and Carbon Credits on p. 44.

Carbon Removal and Carbon Credits, **p. 44**

GHG Emission Measurement Method

- GHG emissions are calculated according to the GHG Protocol.
- Calculated by multiplying the activity volume for the corresponding consolidated fiscal year by a coefficient, as there is no direct measurement.
- Scope 2 is calculated using location-based and market-based criteria.
- GWP values based on a 100-year time horizon of IPCC assessment is used for CO_2 equivalency calculation of GHG.
- For other coefficients, refer to Referenced Coefficients under Metrics and Targets on p. 67.
- Refer to Greenhouse Gases under Metrics and Targets on p. 62 for measurement approach and primary activity data.

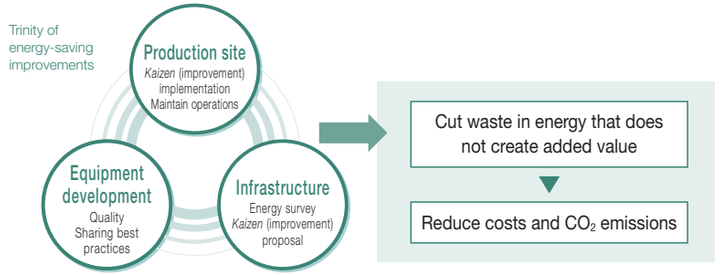
Referenced Coefficients. Metrics and Targets, **p. 67**
Greenhouse Gases. Metrics and Targets, **p. 62**

Approach to Achieving Targets

- Implement GHG emission reduction activities across all corporate activities in all business sites, including logistics, offices, and R&D facilities.
- Accelerate energy-saving activities, adopt renewable energy, and implement fuel conversion across all business locations where voluntary activities of Toyota Motor Corporation, consolidated subsidiaries, or our business partners are conducted.
- Accelerate energy-saving activities
  - Introduction of *Kaizen* (improvement) measures and innovative technologies
  - Collaboration between divisions/departments for production, production engineering, and facility on energy assessments, *Kaizen* (improvement) proposals, and countermeasures for production sites (internal ESCO activities*6).

*6 Energy reduction support & cooperation

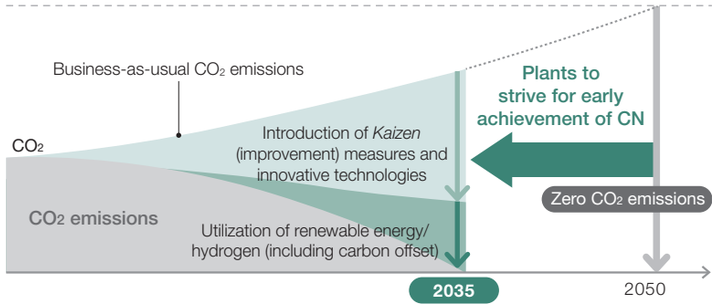
Concept of Internal ESCO Activities (Trinity of Energy-Saving Improvements)



■ Introduction of renewable energy
- Advancing the Introduction of renewable energy globally while considering the energy conditions of each country and region.
- Actively introducing power generation equipment using renewable electricity on our company's premises.
- Broadly collaborating with stakeholders to build the social systems necessary for widespread Introduction.

■ Fuel conversion
- Promoting the utilization of biofuels and hydrogen.
- Collaborate broadly with stakeholders to build social systems.

Striving to Achieve Carbon Neutrality (CN) at Plants by 2035



Acceleration of Energy-Saving Activities

[Case] Optimizing Building Ventilation Frequency

Myochi Plant, Toyota Motor Corporation (Japan)

■ Reduced heating load by optimizing building ventilation frequency.
■ Optimized operating conditions for indoor temperature, air cleanliness, and air balance (intake/exhaust airflow and pressure balance between inside and outside the building) based on regulations in Japan and company standards.
■ Shutdown air conditioners and exhaust fans and switched to operation using return air.
■ Continue to review operating conditions based on changes in line layout and production status.

Fiscal Year 2026 performance
- CO_2 emission reduction: 115 t CO_2/year

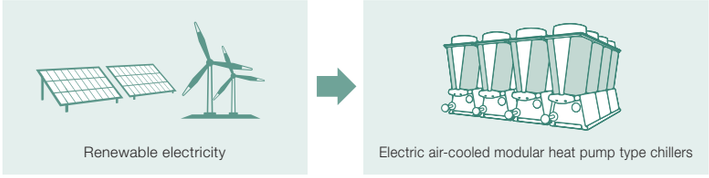
[Case] Electrification of Air Conditioning Equipment

Mikkabi Learning Center, Toyota Motor Corporation (Japan)

■ Replaced two aging chiller-heaters with a switch from absorption type to electric air-cooled modular heat pump type chillers.*1
■ Advanced the Introduction of renewable energy by switching the power source from kerosene to electricity.
■ Achieved space savings and high efficiency through this modular configuration. Designed based on airflow analysis to ensure appropriate intake and exhaust.

Fiscal Year 2026 performance
- CO_2 emission reduction: 111 t CO_2/year

*1 An electrically driven heat source unit that utilizes ambient air heat to produce chilled or hot water



Introduction of Renewable Energy

[Case] Renewable Electricity Introduction Rate: 100%*2

■ Achieved a 100% renewable electricity introduction rate in the production process for the Lexus brand vehicles in Japan*3 in the fiscal year 2026.

*2 On a purchased electricity basis
*3 Toyota Motor Corporation: Motomachi Plant, Tahara Plant
Toyota Auto Body Co., Ltd.: Yoshiwara Plant
Toyota Motor East Japan Inc.: Iwate Plant
Toyota Motor Kyushu Inc.: Miyata Plant

[Case] Solar Farm Operation

Toyota Motor Thailand Co., Ltd. (Thailand)

■ Installed solar panels sufficient to cover daytime power demand.
- Generation capacity: 30.4 MW (Roof-mounted: 6.3 MW, Solar Farm: 24.1 MW)



Solar farm of Toyota Motor Thailand Co., Ltd.

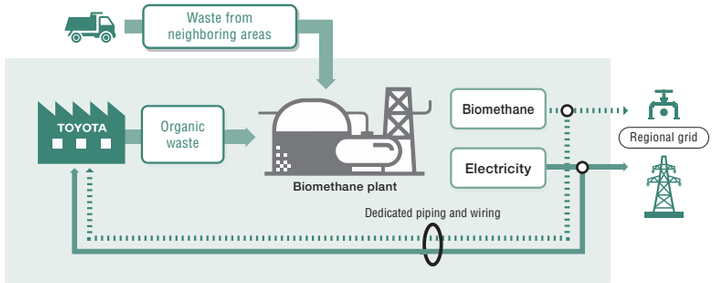
Fuel Conversion

[Case] Utilization of Waste-Derived Biomethane

Deeside Plant, Toyota Motor Manufacturing (UK) Ltd. (United Kingdom)

- In 2026, a waste-derived biomethane plant will begin operation on adjacent land through collaboration with the local community and construction companies.
  - Converts 120 kt/year of organic waste that was previously being sprayed on farmland, landfilled, or incinerated into biomethane.
  - Organic waste generated at the Deeside Plant, Toyota Motor Manufacturing (UK) Ltd. (TMUK-D) is also utilized as feedstock for biomethane.
  - Power generation equipment is also installed in the biomethene plant, which is used for renewable electricity supply.
- This biomethane and renewable electricity will meet 100% of the TMUK-D's energy demand.

Overview of the Use of Biomethane and Renewable Electricity



[Case] Introduction of Hydrogen Production Equipment

Honsya Plant, Toyota Motor Corporation (Japan)

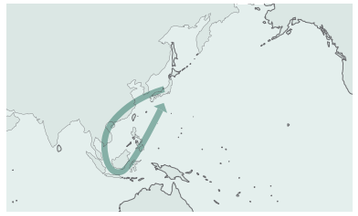
- In 2023, we developed a water electrolysis system by repurposing the fuel cell technology from the MIRAI. We created a compact system through repeated improvements and optimizing equipment layout and structural designs. Hydrogen output increased by 24 times compared to conventional systems within the same area across the entire system.


Concept illustration of hydrogen park at Honsha Plant

- A large-scale demonstration of this water electrolysis plant began in May 2026 at the Honsha plant.

[Case] Introduction of LNG-fueled Car Carriers on Southeast Asian Routes

- Two state-of-the-art LNG-fueled car carriers commenced service in 2025.
- Compared to conventional heavy oil-fueled vessels of similar size, CO_2 emissions are reduced by approximately 30%, in combination with the effects of the latest ship improvements.


Southeast Asia route


LNG-fueled car carriers

Performance Measured Against Targets

FY2026 Performance

		Base year: FY 2020	FY 2024	FY 2025	FY 2026
Scopes 1 and 2	Emissions	6,696 kt CO_2e	—	—	32% reduction
Scopes 1 and 2 and voluntary activities*1	Emissions	7,428 kt CO_2e	—	—	32% reduction
	Renewable electricity introduction rate	—	—	—	51%

2025 Performance

		Base year: 2019	2023	2024	2025
Scopes 1 and 2 and voluntary activities*1	Emissions*2	7,383 kt CO_2e	14% reduction	24% reduction	32% reduction
Plant*3	Emissions	5,678 kt CO_2e	—	—	34% reduction

- By implementing energy-saving activities, adopting renewable energy, and converting fuel, Scopes 1 and 2 emissions were reduced by 32% in 2025.

*1 Applies to GHG emissions from energy corporate activities with the corporate activities of Toyota Motor Corporation and its consolidated subsidiaries, and GHG emissions from production processes of Toyota brand vehicles by unconsolidated subsidiaries
*2 Progress of reduction targets approved by SBTi
*3 Applies to GHG emissions from energy consumption associated with the corporate activities of Toyota Motor Corporation and its consolidated subsidiaries, and GHG emissions from production processes of Toyota brand vehicles by unconsolidated subsidiaries (Scopes 1 and 2 and voluntary activities)

Toyota's First Carbon Neutral (CN)Plant: Tahara Plant

Tahara CN Model Plant

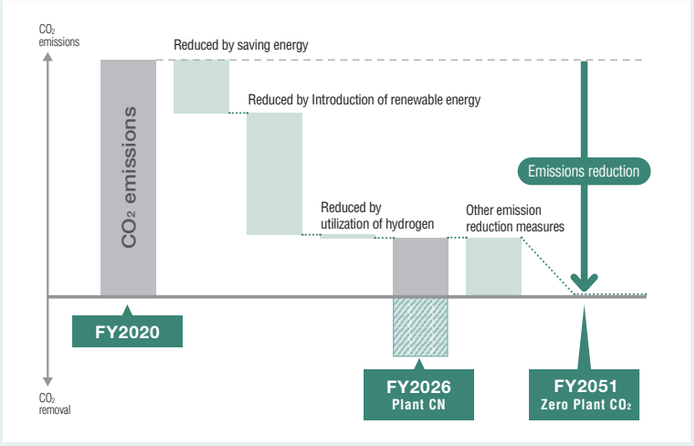
Third-party assurance 2025 data

- Attained CN*1 as a model plant in fiscal year 2026, ahead of the global target of "Achieve zero CO_2 emissions from production at plants by 2050".
  - GHG emissions from Tahara Plant (fiscal year 2026): 33 kt CO_2e◆
  - Carbon credit amount retired for Tahara Plant in fiscal year 2026: 33 kt CO_2e◆
- Practiced a factory-wide shift in environmental awareness through human resource development, promoting CN activities where everyone plays an active role.
- Made efforts on energy-saving activities through the introduction of *Kaizen* (improvement) measures and the introduction of innovative technologies.
  - Improvements are achieved through collaborative efforts between the departments for facility engineering that supplies energy and the departments for manufacturing that use it.
- Steadily advanced self-sufficiency in renewable electricity through wind and solar power, utilizing geographical advantages.
- Expanded hydrogen utilization aiming for zero CO_2 emissions in the future.

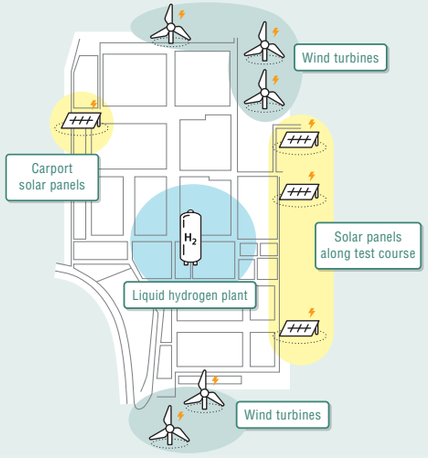
*1 Third-party assurance of GHG emissions and credit retirements are obtained (◆ shows values verified by the third party)
To show progress toward the target of the model plant, disclosed total GHG emissions (Scopes 1 and 2) and Carbon credits retired amount

Third-Party Assurance, **p. 74** [B], Metrics and Targets, **p. 62** Referenced Coefficients. Metrics and Targets, **p. 67**

Tahara Plant CN and the Path to Achieving Zero CO_2 Emissions



CN Efforts Map



ToyotaTimes The First Toyota Plant to Go Carbon Neutral: "One Tahara"

Definition of Plant Carbon Neutrality

- State in which GHG emissions from the plant that were not avoided or reduced were offset through carbon removal or carbon credits.
- A transitional phase aiming for zero CO_2 emissions from production at plants.

Carbon Removal and Carbon Credits, **p. 44**

Human Resource Development

[Case] New and Expanded CN Experience Workshops

- The CN Experience Workshop was designed for participants to observe, interact, and experience.
- Introduced a CN experiential area where participants can feel reduction effects. (Exhibited a model that lets visitors experience air leaks from piping routes and the resulting energy waste.)
- Discussed concrete improvements with department leaders based on insights gained in the CN Experience Workshop to help employees develop the knowledge and practical perspectives needed for effective energy-saving activities.


CN experience workshop

[Case] Workplace-Led Improvement Activities Incorporating CN Themes

- Promoted workplace improvement activities, such as QC circles (small-group activities by frontline employees) and individual workplace improvement efforts where each employee identifies problems and implements countermeasures based on the knowledge and practical perspectives gained through the CN Experience Workshop.

[Case] Environmental Awareness Reform Utilizing Thinned Wood from Toyota Mie Miyagawa Forest

- Toyota Motor Corporation's approximately 1,700-hectare company-owned forest, "Toyota Mie Miyagawa Forest," located in Odai Town, Mie, has obtained FSC certification*2 (FSC C084762) and implements sustainable forest management.
- Utilizing thinned woods, employees crafted furniture and fixtures to be used on the premises.
- This activity contributed to improving the convenience of the factory premises and aesthetics while improving environmental awareness.

*2 An international system where the Forest Stewardship Council certifies forests managed appropriately and proves products made from them

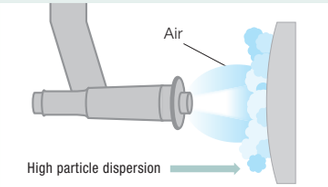
Acceleration of Energy-Saving Activities
Kaizen (Improvement) measures and Introduction of Innovative Technologies

[Case] Reducing GHG Emissions in Vehicle Parts Manufacturing Processes

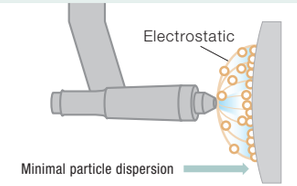
- Reduce burner combustion time to decrease gas usage.
  - Current: The burners remain ON even during periods when heating is not required.
  - Countermeasure: Implemented intermittent operation control to turn burners OFF immediately after heating completion.

[Case] GHG Emission Reduction Through Airless Sprayer Introduction

- Replaced conventional air sprayers used in the vehicle body painting process with airless sprayers that utilize electrostatic.
- Improved coating efficiency (the ratio of sprayed paint actually adhering to the vehicle body) from approximately 60-70% with conventional equipment to over 95%, reducing GHG emissions in the painting process.



Conventional:
Air spray coating machine (air atomization)



New machine:
Airless sprayer (electrostatic atomization)

Introduction of Renewable Energy

- Tahara Plant on-site renewable electricity introduction rate
  Fiscal Year 2026 Performances
  - 13%

[Case] Installation of Japan's Largest Onshore Wind Turbine

- Tahara City boasts among the best wind conditions in Aichi Prefecture and is the most suitable location for introducing wind power generation among Toyota Motor Corporation's plants in Japan.
- The plant boasts one of the largest self-generation and self-consumption capacities in Japan, supplying over 15% of its electricity demand.
- It strives to accumulate knowledge of operational maintenance and enhance its operational rates.
  - Generation capacity: 21.5 MW (4.3 MW × 5 units)

[Case] Installation of Solar Panels Utilizing Plant Premises (Fiscal Year 2027)

- Utilization of surplus land on the vehicle test course
  - Maximized installation while assuring no interference with vehicle testing, applying measures to prevent sunlight reflection, and giving full consideration to driving safety.
  - Generation capacity: 1.1 MW
- Installation of carports with solar panels
  - A structure was selected that balances ease of parking with structural strengths, such as wind resistance.
  - Installing solar panels with high-efficiency design, including the use of bifacial panels, brought about improved generation capacity.
  - Generation capacity: 1.1 MW


Wind turbine


Solar panels in vehicle test course

Fuel Conversion
Hydrogen Utilization

[Case] Introduction of Liquid Hydrogen Plant

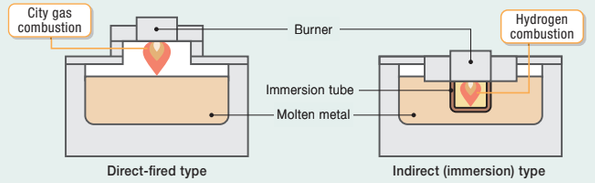
- Installed liquid hydrogen tanks to expand hydrogen utilization within the plant.
  - Tank capacity: 78 kL/unit
- Implemented measures to prevent and detect leaks and to reduce ignition risks, thereby ensuring safety.


Liquid hydrogen tank

[Case] Hydrogen Utilization in the Casting Process

- Hydrogen utilization commenced in the casting process in 2025.
- Replaced direct-fired city gas burner furnaces with indirect (immersion) hydrogen burner furnaces for holding furnaces (temporary storage furnaces for molten metal) in the die-casting process, and achieved energy savings and GHG emission reductions through fuel conversion.
- Suppressed the increase of nitrogen oxide (NOx) by switching combustion methods according to the immersion tube temperature.
- Implemented safety measures for hydrogen combustion that balance maintainability and space efficiency.

Burner furnace mechanism



Outlook Toward Zero CO_2 by 2050

- With its experience and achievements in achieving carbon neutrality, the Tahara Plant will continue to take on the challenge of reaching Toyota Motor Corporation's target of "zero CO^2 emissions from plant production by 2050" by combining various approaches.
- By collaborating with internal and external stakeholders as well as local communities, we aim to realize a sustainable society by globally applying the knowledge and expertise cultivated at the Tahara Plant.

Scope 3 Category 11

Target

- 2050: Achieve carbon neutrality (CN) in average GHG emissions*1 during the operation of new vehicles.
- 2035: Reduce average GHG emissions*1 during the operation of new vehicles by 50% or more (compared to 2019 levels)
- 2030: Reduce average GHG emissions*1 during the operation of new vehicles (compared to 2019 levels)
  - Passenger cars and light commercial vehicles: 33.3% reduction*2
  - Medium- and heavy-freight trucks: 11.6% reduction*2

*1 Per unit, g CO_2e/km/unit, WtW
*2 Reduction target approved by SBTi

Medium- and Long-Term Target Structure, **p. 68**

Assumptions in Setting the 2030 Target

- Scope
  - All corporate activities
  - Completed vehicles branded under Toyota Motor Corporation and consolidated subsidiaries*3
  - Includes energy-derived CO_2, non-energy-derived CO_2, and the other six types of GHG listed in the GHG Protocol
- Referenced scenarios, standards, and scientific basis
  - The reference scenario is for the goal of “holding the increase in the global average temperature to well below 2°C above pre-industrial levels,” and our targets are validated by SBTi as consistent with this.
  - Uses SBTi’s Automotive and Land Transport Sectoral Decarbonization Approach.
  - SBTi is currently developing the 1.5°C automotive standard, and once the official guidance is released, we will conduct analysis and review.
- Considerations in setting targets
  - Regulatory trends, energy circumstances, and electric vehicle sales trends in each country and region.
  - Electrification transition speed depends on the above trends.
- Base year set to 2019
- Set on a gross basis

*3 Excluding buses under the fuel efficiency standard of Japan

GHG Emission Measurement Method

- GHG emissions are calculated based on the GHG Protocol.
- Passenger cars and light commercial vehicles (TtW)
  In principle, the values reported to authorities in their country or region are used; for vehicles in some countries or regions, values reported to authorities in other countries or regions are used.
  Calculate by converting official values to WLTP values and multiplying by the actual fuel efficiency correction factor (1.1 times).*4
- Medium- and heavy-duty trucks (TtW)
  Official values reported under the fuel efficiency standards in Japan are used.
- GWP values based on a 100-year time horizon of IPCC assessment is used for CO_2 equivalency calculation of GHG.
  For other coefficients, refer to Referenced Coefficients under Metrics and Targets on p. 67.
- Refer to Greenhouse Gases under Metrics and Targets on p. 62 for the measurement approach and primary activity data.

*4 Refer to SBTi Guidelines

Referenced Coefficients. Metrics and Targets, **p. 67**
Greenhouse Gases. Metrics and Targets, **p. 62**

Approach to Achieving Targets

- To achieve CN, provide suitable products by considering the diverse energy situations and power generation mix ratios in each country and region.
- Our key theme is “Practical and Sustainable,” and based thereon, we endeavor to provide products that customers find easy to use and want to drive.
- Based on the idea that eco-friendly vehicles contribute to the environment only when they come into widespread use, enhance the lineup of biofuel-convertible vehicles and promote their spread.
- Refer to the Fundamental Approach under the Multi-Pathway Strategy on p. 20

Overview of the Multi-Pathway Strategy, **p. 20**

[Case] Expansion of the HEV /PHEV Lineup

- The new RAV4 HEV was launched in December 2025, and its PHEV model was launched in March 2026.
  - The PHEV EV cruising range and total cruising range were extended to 150 km*5 and 1,350 km, respectively.
  - Supports Vehicle to Home*6
  - Achieves a towing capacity of 3,500 lbs.
- The new Crown Estate was launched in March 2025.

*5 In-house measurement values in EV mode with a full charge as of February 2026
*6 System utilizing the vehicle’s battery as a home power source


New RAV4


New Crown Estate

[Case] Expansion of BEV Passenger Vehicle Lineup

- The new bZ Woodland was launched in March 2026.
- The new Lexus ES was launched in May 2026.
  The first model used a common platform for BEV and HEV.


New bZ Woodland


New LEXUS ES (Prototype)

[Case] Expansion of BEV Commercial Vehicle Lineup

- The new Hilux is scheduled for launch in 2026 or later.
- The EV cruising range will be over 300 km.*1
- The next-generation mobility “e-Palette” was launched in September 2025.
- It provides value encompassing freedom to move and various mobility services.
- The Pixis Van BEV was launched in February 2026.
- The BEV system was jointly developed in collaboration with Suzuki Motor Corporation and Daihatsu Motor Co., Ltd., which are experts in compact vehicle manufacturing, leveraging their expertise for compact vehicle manufacturing and our electrification technology.
- CJPT will also participate in the planning to pursue specifications optimized for efficient last-mile delivery.

*1 Value under NEDC, development target value

[Case] Expansion of the FCEV Commercial Vehicle Lineup

- Production of next-generation fuel cell route buses is scheduled to begin in fiscal year 2027.
- Isuzu Motors Limited and Toyota Motor Corporation have agreed to jointly develop next-generation fuel cell route buses for practical use.



New Hilux (Prototype)



Next-generation mobility e-Palette

[Case] Hydrogen Engine Development

- Pursuing further technology advancements to expand multi-pathway options.
- Aiming to extend cruising range in motorsports.



The GR Corolla with a liquid hydrogen engine

Performance Against Targets

Intensity	2019 (base year)	2023	2024	2025
Passenger cars & light commercial vehicles*2	208.8 g CO_2e/km	10.3% reduction	9.9% reduction	12.2% reduction
Medium- and heavy-duty trucks*2	496.0 g CO_2e/km	12.4% reduction	8.7% reduction	10.4% reduction

- Through the widespread adoption of electric vehicles, a 12.2% reduction in emission intensity in the passenger car and light commercial vehicle category was achieved in 2025.
- Through the widespread adoption of electric vehicles, the emission intensity was reduced by 10.4% in the medium- and heavy-duty truck category in 2025.

*2 Progress of reduction targets approved by SBTi

Electrified Vehicles Adoption Record*3

SASB TR-AU-410a.2 | Third-party assurance 2025 data

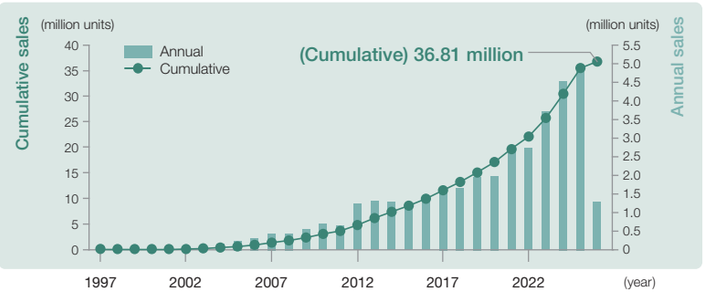
- Cumulative sales: 36.81 million units (As of end of March 2026)◆

*3 Applies to Toyota Motor Corporation brand vehicles

<Third-Party Assurance>

◆: Values verified through third-party assurance

Cumulative Sales of Electrified Vehicles



Scope 3 Category 1

Assumptions in the Calculation

- Scope
  - All corporate activities
  - Toyota Motor Corporation and its consolidated subsidiaries

GHG Emission Measurement Method

- GHG emissions are calculated based on the GHG Protocol.
- GWP values based on a 100-year time horizon of IPCC assessment is used for CO_2 equivalency calculation of GHG.
  For other coefficients, refer to Referenced Coefficients under Metrics and Targets on p. 67.
- Refer to Greenhouse Gases under Metrics and Targets on p. 62 for measurement approach and primary activity data.

Referenced Coefficients. Metrics and Targets, **p. 67**
Greenhouse Gases. Metrics and Targets, **p. 62**

Approach to the Activity

Challenges in Material Manufacturing and Parts Manufacturing

- Toyota Motor Corporation requests all tier 1 suppliers to implement basic measures to reduce environmental impact based on the *Toyota Green Procurement Guidelines*, and works on activities as part of its efforts to achieve life cycle targets.

Initiatives with Suppliers, **p. 58**

- Encourage the adoption of low-carbon materials and renewable energy to reduce emissions at the materials and parts manufacturing stages.
- With reference to activities in Japan, implement activities to reduce GHG emission from materials and parts manufacturing at overseas bases in line with local circumstances.

Adoption of Low-Carbon Materials

[Case] Steel-Related Challenges

- As part of our initiatives toward decarbonization in the material manufacturing phase, we began to use Kobe Steel, Ltd.'s *Kobenable® Steel*, JFE Steel Corporation's *JGreeX®*, Nippon Steel Corporation's *NSCarbolex® Neutral*, and POSCO Holdings Inc.'s carbon-reduction-allocated steel in 2025. These are the products recommended by the Japanese government under the Green Steel for Green Transformation (GX)* initiative.
- In addition, we plan to begin adopting Tokyo Steel Manufacturing Co., Ltd.'s low-CFP steel*, which uses steel scrap as its primary raw material, in 2025.

* Green Steel for GX and low CFP steel are definitions established by the Study Group on Green Steel for GX, organized by the Ministry of Economy, Trade and Industry of Japan

[Case] Aluminum-Related Challenges

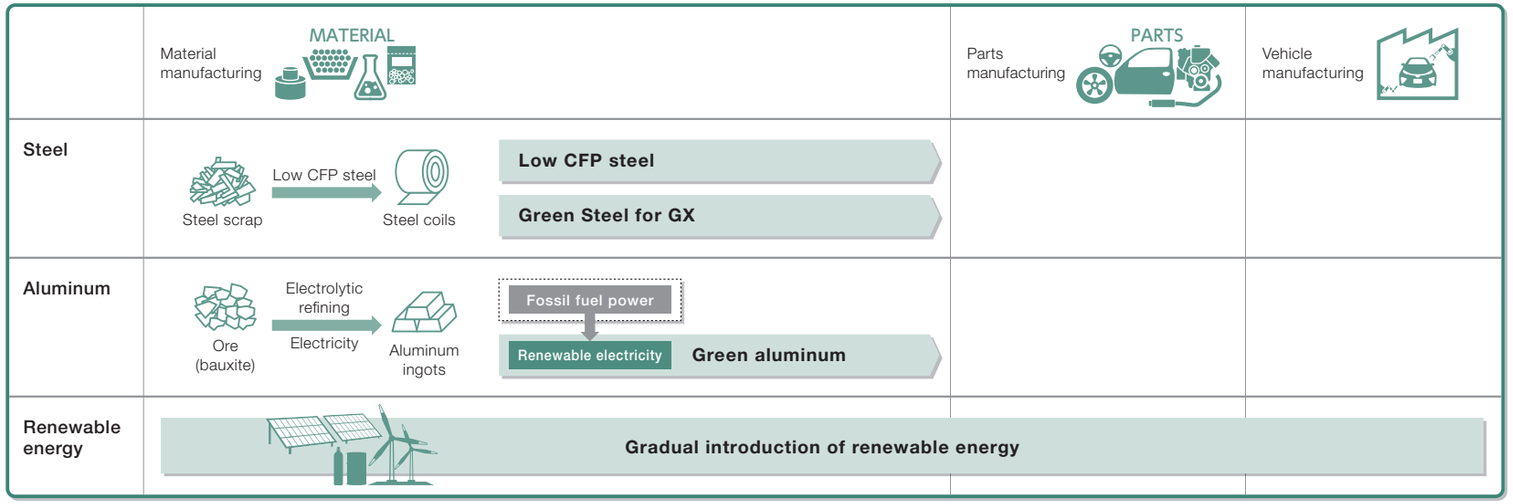
- Aluminum requires a significant amount of electricity during the smelting process from ore (bauxite) using electrolysis.
- We began adopting aluminum produced through smelting using electricity derived from renewable energy instead of coal-fired power generation, which emits large amounts of GHGs, starting in late 2025.

Introduction of Renewable Electricity

[Case] Activity in Japan

- We have started initiatives targeting suppliers with whom we have direct transactions in Japan, aiming for 100% renewable electricity usage in parts manufacturing by 2030.

Strategies Aimed at Achieving CN in Collaboration with Suppliers

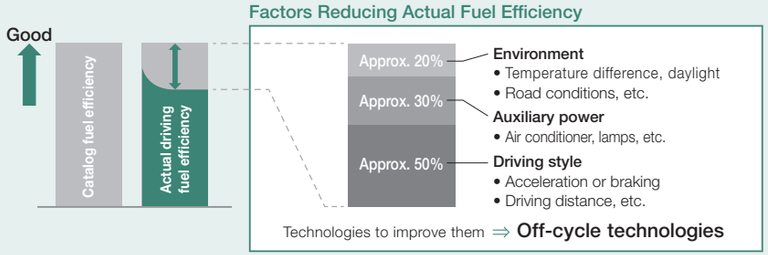


Other Initiatives (Efforts to Reduce GHG Emissions of Vehicles in Operation)

Items to Reduce GHG emissions

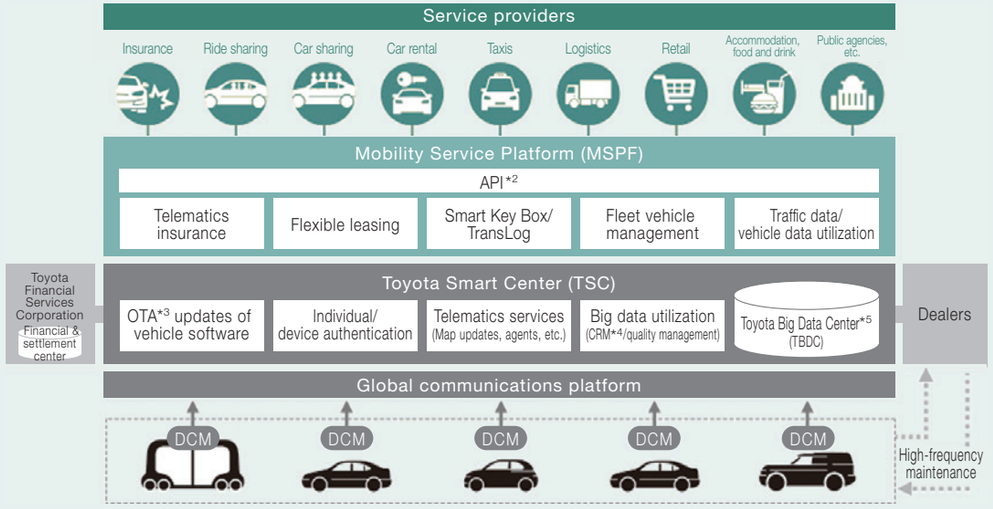
Off-Cycle Technology Development

- In addition to increasing its electrified vehicle lineup, Toyota is advancing the development of technologies that reduce GHG emissions in actual driving conditions, though these effects are not reflected in official fuel economy figures (catalog fuel efficiency). These off-cycle technologies include reducing heating/cooling energy consumption, lowering power consumption, etc.
- We aim to globally roll out these off-cycle technologies to achieve carbon neutrality.



Evaluating GHG Reduction Effects Through Connected Data

- Toyota is accumulating driving data obtained from DCM*1 as big data, which is used to design better vehicles and to implement appropriate maintenance.



*1 Data Communication Module. On-board communication device for automobiles
*2 Application Programming Interface. A set of defined rules and specifications that enable software and different applications to communicate and share each other's functions and data
*3 Over The Air. Technology for updating and maintaining devices and software via a wireless network
*4 Customer Relationship Management. Data collection and management
*5 Toyota Big Data Center. Safely aggregate and analyze data collected from DCM for utilization in various services

- Utilizing big data, analyze how cars are used in the market to quantitatively assess GHG reduction effects.

Third-party assurance 2025 data

	GHG emission reduction (kt CO_2e)*8	Calculated scope of impact	Eco-friendly options for customers	Evaluating of reduction effects using big data
Global expansion of off-cycle technologies	8,614◆	Japan, the U.S., Europe, China, Saudi Arabia		
Understanding GHG reduction effects through connected data				
Energy-saving route guide	0.06◆	Japan	○	○
A/C recirculation control (Recirculation two-layer flow air conditioning system)	749◆	Japan	○	○
S-FLOW (A/C airflow control with occupant detection)	39◆	Japan	○	○
ECO Mode (Drive Mode Switching)	375◆	Japan	○	○
Adaptive cruise control (ACC*6)	7◆	Japan	○	○
Predictive SOC*7 control (pre-parking charge/discharge control)	2◆	Japan		○
Tire pressure monitoring system	2◆	Japan	○	○

<Third-Party Assurance>
◆: Values verified through third-party assurance

*6 See p. 42 for details
*7 State of charge. See p. 42 for details
*8 P. 66 Calculation Methods of GHG Reduction Amount for Fiscal Year 2026

Calculation Methods of GHG Reduction Amount for Fiscal Year 2026, **p. 75**

Energy-Saving Route Guide

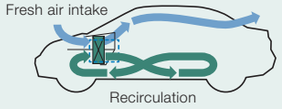
- Navigation suggests routes which contributes fuel consumption saving based on road gradient, vehicle weight, speed, and other factors in addition to traffic information.
- Available on genuine Toyota in-car navigation systems for Japan (vehicles after 2017 model year) from July 2022.
- Introduction to other countries and regions is under consideration.

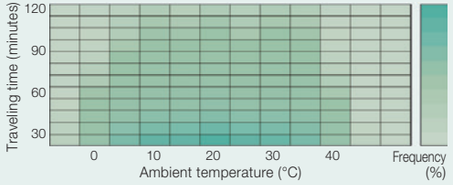


A/C Recirculation Control (Recirculation Two-Layer Flow Air Conditioning System)

- Air conditioning control switching from fresh air mode to recirculation mode.
- In cases where a significant energy-saving effect is expected, for example, when the ignition is on, the AUTO mode of the air-conditioning control switch is selected, or the outside temperature is high, the system contributes to improving fuel efficiency by automatically switching to recirculation mode and reducing the air conditioning load.

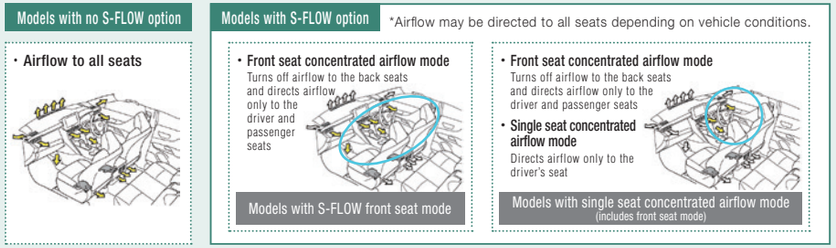
Recirculation Control and Frequency of Use





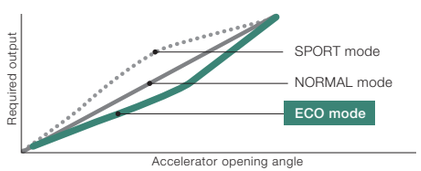
S-FLOW (A/C Airflow Control with Occupant Detection)

- Automatically controls airflow from the air conditioner to prioritize the seats where passengers are detected.
- Minimizing excessive heating and cooling helps improve fuel efficiency.



ECO Mode (Drive Mode Switching)

- One of the drive modes selectable via the drive mode selector switch.
- When Eco-Drive mode is selected, the accelerator's response is delivered more smoothly, helping to promote fuel-efficient driving.
- The air onditioner operation (heating/cooling) is automatically controlled, which enhances fuel efficiency.



Adaptive Cruise Control (ACC)

- This function detects whether there is a vehicle ahead and determines the distance between vehicles to ensure an appropriate following distance.
- When driving on highways, turning on the cruise control reduces the number of times the driver needs to press the accelerator and brake pedals, thereby to improved fuel efficiency.

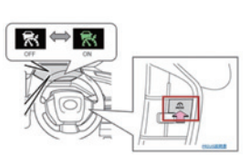
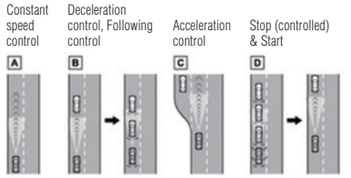


Illustration of ACC switch (Prius HEV)



Basic ACC functions

Predictive SOC Control (Pre-Parking Charge/Discharge Control)

- Estimates the long-term parking location (destination) based on GPS data.
- When the vehicle approaches the destination, it switches automatically to EV mode to discharge electricity.
- At the next engine startup, the drive battery is charged while warming up the engine, and a shorter warm-up time enables more efficient control of the hybrid system, which contributes to fuel efficiency.



*1 Reflect the learned results in control

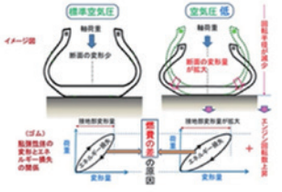
Tire Pressure Monitoring System

- Alerts the driver to low air pressure at an early stage.
- The recommended air pressure for each vehicle model is specified on a label.
- By maintaining tire pressure above the recommended level, the rolling resistance can be reduced compared to low pressure tire, and fuel consumption can be improved as well.


Confirmation of the recommended tire pressure



The tire pressure display function of the Tire Pressure Monitoring System


Fuel efficiency differences due to air pressure differences (Cited from JATA*2 HP)

*2 Japan Automobile Transport Technology Association

Other Initiatives (Efforts to Promote Low-Carbon Fuels and Carbon-Neutral (CN) Fuels)

CN Fuels

■ Carbon-neutral fuels are fuels that limit GHG emissions across the entire vehicle life cycle (in some cases, this is currently limited to lower carbon fuels that emit low GHG emissions).

- Synthetic fuels:
  Fuels produced by combining CO_2 and hydrogen
  - e-fuels:
    Fuel produced by combining CO_2 captured from the air or other sources with hydrogen produced by electrolysis of water.*
- Bio-fuels:
  Biomass-based products such as bioethanol and biodiesel

* Using electricity derived from renewable energy

Toyota Times. *Synthetic Fuels: A Promising Option for Decarbonizing Engines*

Consideration of Utilization of Lower Carbon and CN Fuels

■ Measures related to privately owned vehicles

- To achieve CN, reducing carbon emissions from the fuel used is crucial. This includes not only promoting widespread adoption of electrified vehicles mainly sold as new vehicles, but also reducing GHG emissions from privately owned vehicles.

■ Responses to regional needs

- Due to differences in natural factors such as hours of sunshine and wind conditions, as well as equipment installation costs, the spread of electricity from renewable sources differs from region to region.
- CN can be promoted by producing synthetic fuels in regions where electricity derived from renewable energy is available at lower costs and by utilizing them around the world.

■ Approach for practical use

- Collaboration with various partners across industry boundaries is essential throughout the process, from raw material procurement to manufacturing.

Activities for the Early Adoption of Lower Carbon and CN Fuels

[Case] Collaboration with Fuel Companies In and Outside of Japan

■ Enhance collaboration with fuel manufacturers including oil companies in and outside of Japan, and work together with them to raise awareness of CN fuels and promote their adoption in society.

- Conducted demonstration runs using liquid hydrogen and ENEOS Corporation's low-carbon gasoline (E20), which was produced in Japan, for the Super Taikyu (Japanese Endurance Race) series in May 2025. Fuel and automobile manufacturers are working together as one under "KYOCHO (joint challenges)" toward the realization of a CN society.



2025 Super Taikyu Fuji 24 Hours, Car No. 28 "GR86"

- During the 2025 Japan International Exposition (Expo 2025 Osaka, Kansai, Japan), we provided passenger vehicles with fuel blended with synthetic fuel for the transportation of guests and workers within the venue.

Taking a Multi-Pathway Approach at Super Taikyu Fuji 24 Hours Race

Collaboration to Make Engine-Equipped Vehicles Carbon Neutral Using Synthetic Fuel

Expanding the Value of Mobility Integrated with Social Systems

The Three Steps of the Toyota Mobility Concept

■ We are advancing Toyota's transformation into a mobility company under the Toyota Mobility Concept. With "Carbon Neutrality" and "Expanding the Value of Mobility" as pillars, we collaborate with various partners.

■ We have organized the steps toward evolving mobility with the car at its core as: Mobility 1.0: Transitioning Cars to Mobility; Mobility 2.0: Expanding Mobility Access; and 3.0: Synergy of Mobility & Infrastructure.

Toyota Mobility Concept. Integrated Report 2025, **p. 41**

Increasing the Value of Automotive Energy

■ Social implementation

- Advancing projects tailored to each region, such as the social implementation of data, energy, and mobility in Thailand, and the implementation of autonomous driving and a hydrogen society in China.

■ Energy storage business and battery ecosystem

- Leveraging technology cultivated through electrified vehicle development, we have developed a sweep energy storage system utilizing electrified-vehicle drive batteries.
- In pursuing the evolution of mobility, we are also strengthening our circular economy initiatives based on the principles of "use less resources," "promote longer use," and "avoid waste."

Battery Ecosystems. Integrated Report 2025, **p. 77**

Carbon (Dioxide) Removal and Carbon Credits

Aim

- While prioritizing efforts to reduce GHG emissions, we aim to become the “best-in-town” by utilizing high-quality carbon removal and carbon credits to achieve carbon neutrality (CN).

Initiative

Toyota Policy on Carbon Removal and Carbon Credits

- Based on the Toyota Philosophy, we aim to be the “best-in-town” that is loved and trusted by local people through “Producing happiness for All”, while promoting initiatives to reduce GHG emissions throughout the entire vehicle lifecycle to achieve the Toyota Environmental Challenge 2050.
- Reaffirming that emission reduction is our top priority, we have established the Toyota Policy on Carbon Removal and Carbon Credits, which sets forth the approach and principles for the use of carbon removal and carbon credits to achieve CN.

Toyota Policy on Carbon Removal and Carbon Credits: Five Principles

1. Prioritizing the reduction of greenhouse gas emissions
2. Utilization of high-quality carbon removal and carbon credits
3. High-transparency information disclosure
4. Diverse carbon removal approaches
5. Regional contribution aiming to be the “best-in-town”

Toyota Policy on Carbon Removal and Carbon Credits

Quantification of Carbon Removal in Toyota Mie Miyagawa Forest

- Ensuring quality by independently quantifying the annual carbon removal of the company-owned “Toyota Mie Miyagawa Forest” (approx. 1,700 ha) located in Odai-cho, Mie Prefecture.
- Monitoring the carbon removal amount using LiDAR (Light Detection And Ranging) sensors mounted on aircraft and drones.*1
- Conducting tree height and species estimation using the data obtained, in collaboration with the graduate school of Nagoya University.
- The amount of carbon removal is quantified based on our in-house calculation rules following the J-Credit methodology FO-001 (Forest management activity) and verified by the Japan Quality Assurance Organization (JQA).
- The Toyota Mie Miyagawa Forest is certified by FSC*2 (FSC C084762), and forest management activities that contribute to biodiversity conservation and the preservation of soil and water resources are carried out.
- Toyota continues its research and development to increase the carbon removal amount while remaining in harmony with nature.

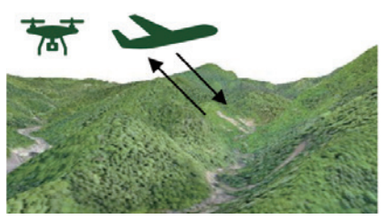
  Fiscal Year 2025 Performance
  - Forest carbon removal amount: 6,563 t CO_2

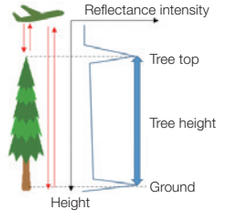
*1 The analysis results of the aerial survey were prepared by analyzing the survey results under the jurisdiction of the Mie Prefecture Agriculture, Forestry and Fisheries Department, following approval by the Governor of Mie Prefecture (Approval No. 30-245 dated October 18, 2023)

*2 FSC certification is an international system by which the Forest Stewardship Council certifies forests managed sustainably and verifies products derived from them

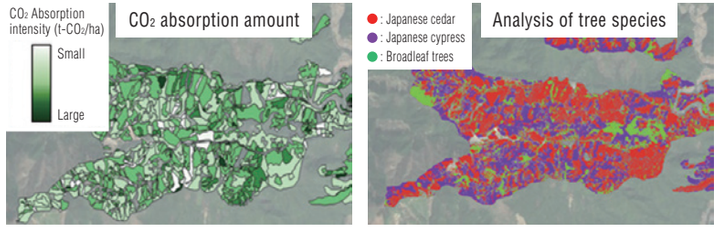
Technical Review. Green Carbon, Blue Carbon, Vol.60, no.2

Illustration of Airborne LiDAR and Drone LiDAR Measurement





Example of Measurement Results for Miyagawa Forest



Investment in Forest Fund

- Toyota made its first investment in the Manulife Forest Climate Fund (MFCF).
- MFCF is managed by Manulife Investment Management Timberland and Agriculture Inc. (MIMTA), which has the largest assets under management among timberland investment managers.
- Increase the carbon removal amount by forests through sustainable forest management and generate high-quality carbon credits.
- We recognize this fund as one means of securing high-quality carbon credits.



MFCF-owned forest (Michigan, USA)

Procurement of Carbon Credits

- Procured carbon credits that meet the Toyota Policy on Carbon Removal and Carbon Credits to achieve carbon neutrality at the Tahara Plant.
- Developed policies and quality standards based on international rules in collaboration with the Mizuho Research Institute (research and consulting section of Mizuho Bank, Ltd.)
- Conducted due diligence based on the policies and quality standards, including site visits to the project sites.
- In fiscal year 2026, we will only purchase carbon credits from forest projects that practice sustainable forest management and that hold FSC certification.

Carbon Credits Retired for Tahara Plant in Fiscal Year 2026

Program	Project no.	Methodology	Project	Vintage	Quantity (kt CO_2e)	Retirement Date
J-Credit	225	Forest Management	Nishiawakura-mura 100-Year Forest Project CO_2 absorption	FY2022-2024	10	April 10, 2026
	253		Kyushu Electric Power Company forest CO_2 absorption project	FY2022-2024	10	April 10, 2026
	254		Mitsui's Forests Mie forest management project	FY2022-2023	7	April 10, 2026
	327		Gifu land of clear waters Prefectural forest project - Takayama City, Kuguno District	FY2023	1	April 10, 2026
	331		Mitsui's Forests Hokkaido Iburi/Hidaka regional forest management project	FY2023	3	April 10, 2026 May 7, 2026
Gold Standard	GS4221	ARR*	Vichada Climate Reforestation Project	2021	2	April 10, 2026

* Afforestation, Reforestation, and Revegetation

Updated in June 2026

Circular Economy (CE)

GRI 203-1, 301-1~3, 306-2·4

46 Fundamental Approach
47 Use Less Resources
49 Promote Longer Use
50 Avoid Waste

Fundamental Approach

Aim

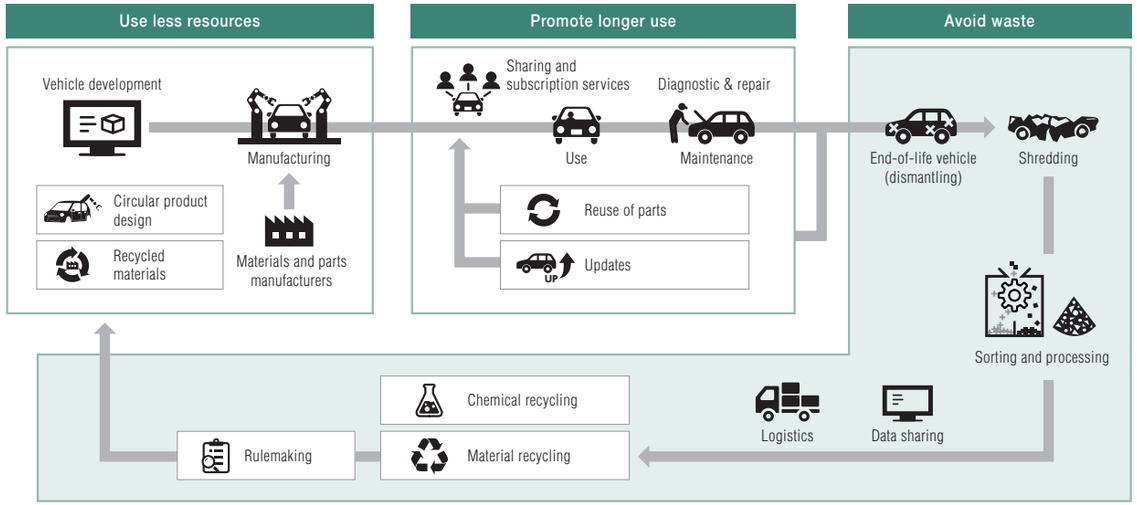
- Achieve a circular economy by using less resources, promoting longer use, and avoiding waste.

Initiative

- In 2015, we established and initiated a challenge to create a recycling-based society and systems as part of our efforts toward resource recycling under the Toyota Environmental Challenge 2050.
- In 2024, Toyota announced the three pillars of circular economy and start initiatives in each pillar.
- In April 2026, we revised the title of our challenge to the “Circular Economy Challenge.”

Circular Economy. Integrated Report 2025, **p. 76**
Commitment to Advancing a Circular Economy
Medium- and Long-Term Target Structure, **p. 68**

The Three Pillars of the Circular Economy at Toyota



Use Less Resources

Aim

- Standardizing parts and reducing the number of parts
- Promoting automotive manufacturing that minimizes the use of rare resources
- Expanding the use of recycled materials through technological development

Initiative

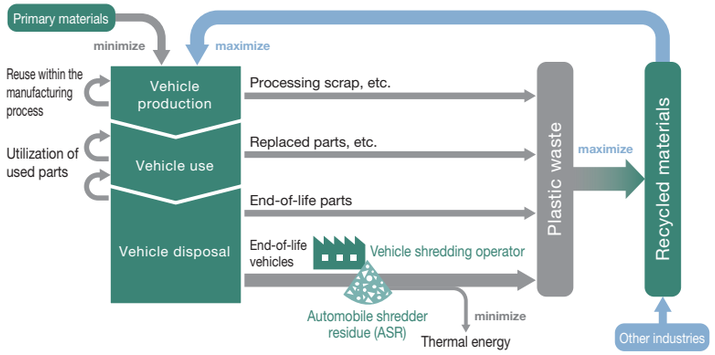
- Maximizing the use of recycled materials
  - Aiming to reuse car parts in other cars
  - Aiming to recycle everyday products into car parts

Maximizing the Use of Recycled Materials

2030 Target
Aim to use 30% or more recycled materials on average*1 to facilitate the creation of a society that maximizes resource circulation by 2050 (Scope: new models introduced after 2030)

*1 On a vehicle weight basis

Approach to Maximizing the Use of Recycled Materials



Aiming to Reuse Car Parts in Other Cars

[Case] Recycled Steel Use

- The use of recycled steel made from 100% scrap began in 2025.
- Suspension arms, which are part of the chassis and are made from recycled steel, have been used in the new Prius since January 2026. This is the first time Toyota has used a recycled steel suspension arm.
- Greenhouse Gas (GHG) emissions per metric ton from recycled steel are about one-fifth of those from primary steel. We will continue to promote the use of recycled steel while working to further reduce GHG emissions during parts manufacturing.


The Prius suspension arm

[Case] Secondary Plastic Use

- Replaced bumpers are collected from dealers and recycled.
- Starting from the Prius in 2022 and vehicles manufactured in Japan, recycled plastic use has been gradually expanded.
- Planning to increase the use of recycled plastic threefold by 2030.

2025 Performances

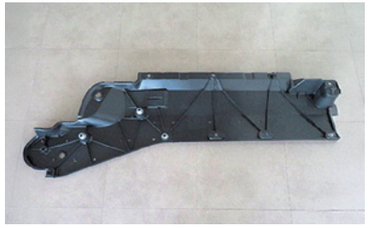
- The index for recycled plastic use in vehicles manufactured in Japan*2 remained at 1.2 times, and will further expand the range of vehicles and parts in which recycled plastics are applied.
- The index for recycled plastic use in vehicles manufactured in Europe*2 increased 1.6-fold.

*2 Applies to Toyota and Lexus branded vehicles

[Case] Using ASR*-Derived Recycled Plastic

- ASR has primarily been used as an energy source. In order to reuse ASR as a material, Toyota worked with Planic Co., Ltd. to develop ASR-derived polypropylene resin. This recycled material was adopted in the Crown Sport and the RAV4 in 2025. This material will be further applied to other models and parts.

* Automobile Shredder Residue. The result of shredding end-of-life vehicles



The RAV4 Body undercover

Aiming to Repurpose Everyday Products for Use in Car Parts

[Case] Use of In-House Collected PET Bottles

- PET bottles disposed of within the company are separated, washed, and collected as clean bottles. The bottles are then recycled into high-quality PET-derived fiber and textiles in collaboration with other companies. The material is used for the seat covering of the Land Cruiser 250 and the 4Runner.

[Case] Use of Marine Debris-Derived Materials

- To reduce the amount of marine debris, which is a global issue, PET bottles that have washed ashore on Japanese islands are collected, cleaned, and crushed and are currently being considered as the next new material for vehicles.

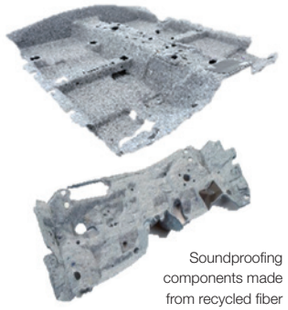




Sheet covering made from 100% marine litter washed ashore on Tsushima Island

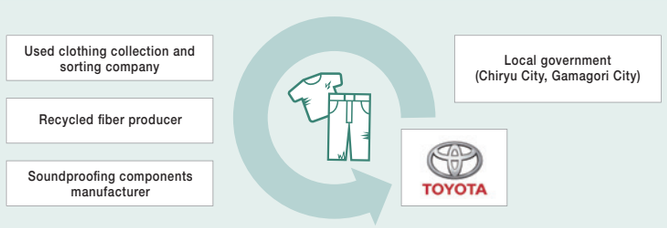
[Case] Using Recycled Used Clothing

- Every year, approximately 750,000 t of used clothing are disposed of, of which 500,000 t are discarded and incinerated in Japan.
- With the cooperation of Chiryu City and Gamagori City in Aichi Prefecture, used clothing was collected to make Soundproofing components. In order to make effective use of this resource, Toyota has started collecting and sorting used clothing.



Soundproofing components made from recycled fiber

Used Clothing Collection Process



Promote Longer Use

Aim

- Creating highly durable vehicles designed for long-term use
- Determining appropriate repair timing through analysis of accumulated vehicle and parts data
- Maintaining vehicle value and enabling long-term use through hardware (parts) improvements and software updates

Initiative

- Reuse and remanufacturing of parts

Reuse and Remanufacturing of Parts

[Case] Establishing the “Toyota Circular Factory” in the UK to Advance Circular Economy

Toyota Motor Europe S.A. N.V. (Belgium)

- Toyota Motor Europe S.A. N.V. and Toyota Motor Manufacturing UK Limited (TMUK) established the “Toyota Circular Factory” at TMUK’s Burnaston Plant in Derbyshire, UK, in March 2025.
- The plant remanufactures commodity items, such as batteries and wheels and recovers recyclable raw materials, including copper, aluminum, steel, and plastic, from vehicles that have reached their end-of-life.
- It anticipates recycling around 10,000 end-of-life vehicles a year, recovering 300 tons of high-purity plastic and 8,200 t of steel, and giving new life to around 120,000 parts.
- The company plans to roll out similar operations across Europe and is eager to collaborate with other organizations.

[Case] Demonstration of a Stationary Battery Energy Storage System (BESS) Using On-board Batteries

Toyota Motor Asia (Thailand) Co., Ltd. (Thailand)

- A demonstration project for a stationary BESS using on-board batteries was launched in March 2025 at a newly established dedicated area within the premises of Siam Toyota Manufacturing in Thailand.
- It uses a 0.63 MWh BESS to manage electricity from onsite and offsite solar generation and develops and optimizes energy management through smart grid technology.
- Through stable renewable energy supply, under Thailand’s climate conditions, it contributes to the achievement of carbon neutrality (CN).
- Other participating companies: Siam Cement Group, Toyota Tsusho Corporation, local partner companies, and Toyota Motor Corporation.



Opening ceremony of the BESS demonstration in Thailand

Avoid Waste

Aim

- Developing technology which promotes recycling through ASR use
- Minimizing waste from factories and promoting resource reuse
- Making efforts to recover usable parts and materials from end-of-life vehicles

Initiative

- Promoting appropriate treatment of end-of-life vehicles
- Recovering materials from end-of-life vehicles
- Reducing factory waste
- Battery recycling

Promoting Appropriate Treatment of End-of-Life Vehicles

- Improper abandonment and inappropriate dismantling of end-of-life vehicles negatively impacts the local environment and could pose a threat to the health and safety of local residents.
- Toyota promotes the Toyota Global 100 Dismantlers Project, by investing its technologies and know-how, to create a nature-positive system through appropriate treatment of end-of-life vehicles.

Fiscal Year 2026 Performance

[Case] Second End-of-Life Vehicle (ELV) Dismantling Facility Set Up in the Philippines

Toyota Motor Philippines Corporation (Philippines)

- Toyota Motor Philippines formally set up an ELV dismantling model facility with the cooperation of Standard Insurance & Co., Inc., making this the second in that country.
- This facility has the capacity to dismantle around 850 vehicles per year and realize a recycling system with safety and low environmental impact.
- In particular, it contributes to the reduction of GHG emissions by appropriately collecting fluorocarbons in air conditioning units, leading to the realization of carbon neutrality. This is the fifth model facility in Southeast Asia and is an important step toward building a recycling-based society.



From the opening ceremony at Standard Insurance

[Case] Promoting Proper Dismantling Procedures for End-of-Life FCEVs in the United States

- Conducted training sessions for an U.S. automobile dismantling company on proper FCEV treatment methods, including hydrogen gas releasing and tank removal, to ensure consistent implementation. As a result, 50 locations operated by the company nationwide are now capable of properly processing FCEVs.
- Raised awareness of Toyota's recommended dismantling procedures and hydrogen degassing tool through the U.S. automotive recycling industry, promoting awareness and understanding across the industry to ensure safe and proper processing of FCEVs.



FCEV hydrogen gas release training session

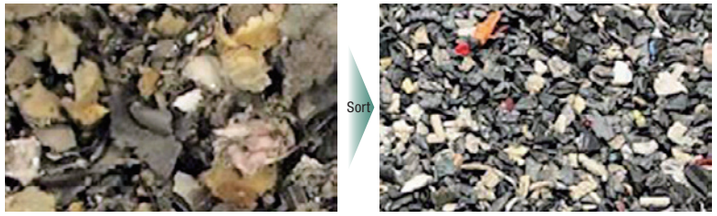


Hands-on training on tank removal for FCEVs

Circulating Materials Derived from End-of-Life Vehicles

[Case] Technology Development for Extracting Plastics from ASR

- To enable the reuse of ASR from end-of-life vehicles, which has primarily been used as an energy source, Toyota Metal Corporation's crushing and sorting technology is being utilized.
- Established technology to efficiently sort and recover plastics with high polypropylene content from ASR for use as recycled plastic base material.



ASR　　Plastics after sorting

Reduction of Waste Generation at Plants

- Minimizing factory waste and promoting resource reuse
- Promoting the development and introduction of production technologies, as well as daily improvement activities, to avoid waste

[Case] Waste Reduction Through Recycling of In-Process Scrap

Toyota Motor Manufacturing Turkey Inc. (Turkey)

- Developed and installed equipment to recycle in-process scrap generated in the plastic-molding process, and succeeded in reducing waste through reuse.
- Previously, in the plastic molding process for certain vehicle body parts, 24% of the used plastic was discarded when trimming or removing the part from its mold.
- By developing and installing recycling equipment with crushing, granulation, and filtering functions within the factories, the company can reuse in-process scrap as raw material.

2025 Performance

- Reduction effect in waste generation volume: 35.8 t/year.

Battery Recycling

- With the aim of achieving carbon neutrality and a circular economy, research and development to recover rare metals from used batteries are underway. Efforts to advance battery recycling are progressing worldwide, including in North America.

[Case] Development and Verification of Battery Recycling Without Incineration

- Toyota Tsusho Corporation and Toyota Chemical Engineering Co., Ltd. have started joint verification of battery recycling without incineration.
- Lithium-ion batteries are incinerated as they contain flammable electrolytes.
- The new recycling method can reduce CO_2 emissions and improves resource recovery rates by feeding waste directly into recycling equipment for crushing, rather than incinerating it.
- This enables not only the recovery of valuable materials containing rare metals but also the separation and recovery of extracted electrolytes.


Materials recovered from recycled batteries

Initiatives Overarching the Three Pillars of CE

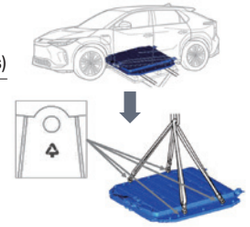
[Case] Circular Product Design

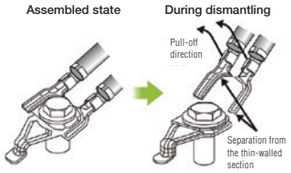
- Circular Product Design refers to design that considers dismantlability to stimulate circulation of resources from end-of-life vehicles. It overarches all three pillars: Use less resources, Promote longer use, and Avoid waste.
- Having visited and surveyed dismantlers around the world since the launch of the Raum in 2003, Toyota actively adopts vehicle structures for new vehicles that make it easy to dismantle and separate parts to ensure safe and speedy dismantling.
- Vehicle models adopting the design launched in 2025: bZ4X, CHR+, e-palette, Crown Estate, Hilux, Land Cruiser "FJ," RAV4, YARIS ATIV, and Lexus RZ
- Toyota's recyclability rate based on vehicle design values is more than 85%, while the recoverability rate, including as an energy source, is more than 95%.

Examples of Easy-to-Dismantle Design

Instructions showing hoist positioning for large batteries for BEVs (Marking to improve dismantling processes)

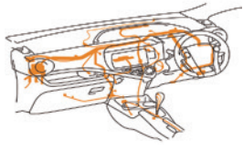
Marking to improve dismantling processes has been added to indicate the hoisting points that allow large, heavy batteries to be lifted while maintaining the correct balance. (bZ4X, Lexus RZ450e)





Wiring Harness: Use of Pull-tab Type Ground Terminal

The wiring harness is designed to be easily detachable using a pull-tab type ground terminal.



Wiring Harness Routing Innovation

The wiring harness can be removed without contact with other parts.

Updated in June 2026

Nature Positive (NP)

GRI 101-1·2·4~8, 303-1·2

52 Fundamental Approach
53 Initiatives Addressing Nature-Related Issues
54 Biodiversity
57 Water Environment

Fundamental Approach

Aim

- To realize a society in harmony with nature, reduce the impact on nature throughout the life cycle, and promote conservation activities.

Initiative

- As part of Toyota's efforts to address biodiversity and water issues under the Toyota Environmental Challenge 2050, we established the Challenge of Establishing a Future Society in Harmony with Nature and the Challenge of Minimizing and Optimizing Water Usage in 2015, and launched related initiatives.
- We have been a member of the TNFD* Forum since 2024.

* Taskforce on Nature-related Financial Disclosures

Toyota Policy on Harmony with Nature

- We established the Biodiversity Guidelines in 2008, renewed them as the Toyota Policy on Harmony with Nature in 2021, and revised it in June 2026.
- To advance initiatives for the future, expand the Harmony with Nature activities from local communities to the global stage, in collaboration with various stakeholders.

Toyota Policy on Harmony with Nature

We as Toyota aim for growth that is in harmony with the environment by seeking to minimize the environmental impact of our business operations, such as by working to reduce the effect of our vehicles and operations on climate change and biodiversity. We strive to develop, establish, and promote technologies that enable the environment and economy to coexist harmoniously and to build close and cooperative relationships with a wide spectrum of individuals and organizations involved in environmental preservation.
We benefit from nature in many ways, including through the use of raw materials and water; however, we also place various burdens on nature by emitting GHGs, withdrawing and discharging water, and using land.
We support the Kunming-Montreal Global Biodiversity Framework adopted at the 15th Conference of the Parties (COP15) to the United Nations Convention on Biological Diversity, and promote initiatives to coexist with nature in accordance with the Toyota Policy on Harmony with Nature.

1. **Minimize the impact on nature throughout the life cycle**
   - Identify dependence and impacts on nature throughout all stages of the life cycle, from procurement to production, use, disposal, and recycling.
   - Implement initiatives to avoid or minimize dependence and impacts on nature across all business operations.
     Related policies:
     Supplier Sustainability Guidelines
     Toyota Green Procurement Guidelines
     Policy for Sustainable Natural Rubber Procurement
     Policies and Approaches to Responsible Mineral Sourcing
     Toyota Water Environment Policy

2. **Drive forward initiatives to guide nature toward restoration**
   - Conserve and restore nature, including business sites and their surrounding areas, and aim to be the "best-in-town".
   - Collaborate with various stakeholders to advance nature conservation and restoration activities tailored to local conditions on a global scale.

3. **Integrate and advance together with carbon neutrality and the circular economy**
   - Recognizing our interdependence with nature, we pursue our multi-pathway strategy aimed at achieving carbon neutrality.
   - Promote efficient use of natural resources through circular economy initiatives.

Toyota Policy on Harmony with Nature

Initiatives Addressing Nature-Related Issues

Aim

- To realize a society in harmony with nature, reduce the impact on nature throughout the life cycle and promote conservation activities.
- We appropriately disclose efforts addressing nature-related issues and continuously advance and improve these initiatives through dialogue with stakeholders.

Initiative

- Identify the relationship with nature at Toyota's sites, mainly at production and R&D sites (hereinafter referred to as "direct operation sites") and within the value chain, and determine priority items for action.
- Refer to methods recommended by TNFD and the WEF*1 report, *Nature Positive: Role of the Automotive Sector* (hereinafter referred to as the "WEF Report", issued by the WEF in 2024, to understand nature-related issues.

*1 World Economic Forum

<Direct Operation Sites>
Identifying Relationships with Nature and Selecting Priority Action Items

- Using the WEF Report, ENCORE,*2 and TN LEAD,*3 understand dependencies and impacts on our automotive business.
- Select priority actions to mitigate dependencies and impacts.

Dependencies	Dependence on ecosystem services such as water and other resource use and disaster mitigation
Impacts	Water withdrawal and discharge, waste disposal, and land use through our business activities may be changing the natural state of the environment

- To avoid or mitigate dependence and impacts on nature, we have selected four priority actions to be implemented at our direct operation sites.
  1. Biodiversity assessment: Maintaining biodiversity and ecosystems around business locations
  2. Water management: Control of water usage and wastewater discharge
  3. GHG emission reduction: Reduction of GHG emissions from manufacturing processes
  4. Pollution prevention: Control of air pollutant emissions and waste disposal from manufacturing processes

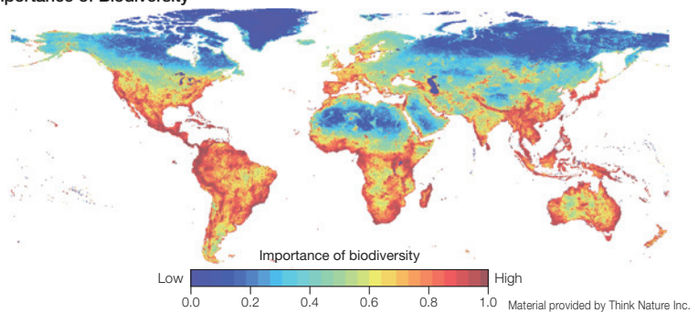
*2 Exploring Natural Capital Opportunities, Risks, and Exposure: A tool to understand the dependencies and impacts of business activities on nature

*3 Analysis services based on the LEAP approach provided by Think Nature Inc., recommended by TNFD

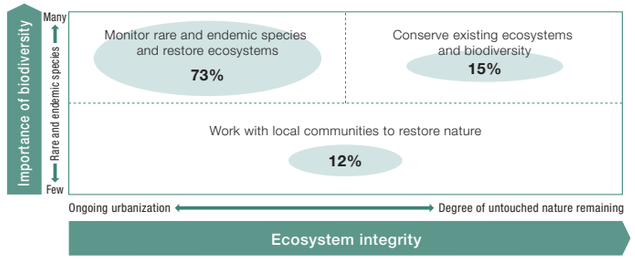
Priority Action Item Progress

1. Biodiversity assessment
- We assessed the importance of biodiversity and ecosystem integrity at major direct operation sites, and confirmed that over 70% of these sites belong to areas with high biodiversity importance but that are undergoing urbanization.
- We used the assessment results to study the direction of harmony with nature activities to be implemented at each site.

Importance of Biodiversity



Direction of Activities Promoting Harmony with Nature Based on Assessment



2. Water management
- Conducted risk assessments at production sites on water quantity and quality using Aqueduct.*4
- Water quantity: Sites with extremely high risks are selected as priority sites. Water quality: Priority sites are selected based on risk assessments, taking into account the discharge of effluent into rivers.

*4 A water risk assessment tool developed by the World Resources Institute

3. GHG emission reduction
- Implemented activities aimed at achieving carbon neutrality across all plants.

Scopes 1 and 2, **p. 33**

4. Pollution prevention
- Established environmental management systems and obtained ISO 14001 certification, and enforced the strict control of chemicals, air pollution, and waste at all plants.

Environmental Management, **p. 18**
Value Chain Collaboration, **p. 59**

Objectives of the Initiative

- Set targets for priority initiatives in the 8th Toyota Environmental Action Plan.
  1. Expand Harmony with Nature activities beyond production sites.
  2. Set individual management targets for water quantity and quality at priority sites.
  3. Reduce GHG emissions under Scopes 1 and 2 by 47% compared to 2019 levels.
  4. Thorough management in line with regulatory trends in each country.

The 8th Toyota Environmental Action Plan Future Actions (2030 Target), **p. 73**

<Value Chain>
Selection of Materials to be Prioritized to Take Action

- Identify the interface with nature in the upstream raw material procurement within the automotive value chain.
- Based on external research,*5 social trends, and per-vehicle usage rates, we have identified natural rubber and battery feedstocks as materials to be prioritized.

*5 High Impact Commodity List SBTs for Nature), Material Change (Drive Sustainability, Responsible Minerals Initiatives, and the Dragonfly Initiative)

Responsible Material Sourcing, **p. 126**

Future Actions

- Review of the progress of the 8th Toyota Environmental Action Plan
- Identification of priority direct operations sites
- Detailed analysis of materials to be prioritized

Biodiversity

Aim

- Promote biodiversity conservation activities and contribute to the prevention and recovery of biodiversity loss based on the *Toyota Policy on Harmony with Nature* and the *Policy for Sustainable Natural Rubber Procurement*, toward the realization of a society in harmony with nature.

Initiative

Challenge of Establishing a Future Society in Harmony with Nature

Expand the Reach of Nature Conservation Activities among Communities, with the World, to the Future

- Toyota Green Wave Project
  Plant in Harmony with Nature ⇒ "Connecting Communities" activities
- Toyota ESD*1 Project
  Environmental education for the next generation ⇒ "Connecting to the Future" activities

*1 Education for Sustainable Development

Toyota Green Wave Project
Plant in Harmony with Nature ⇒ "Connecting Communities" Activities

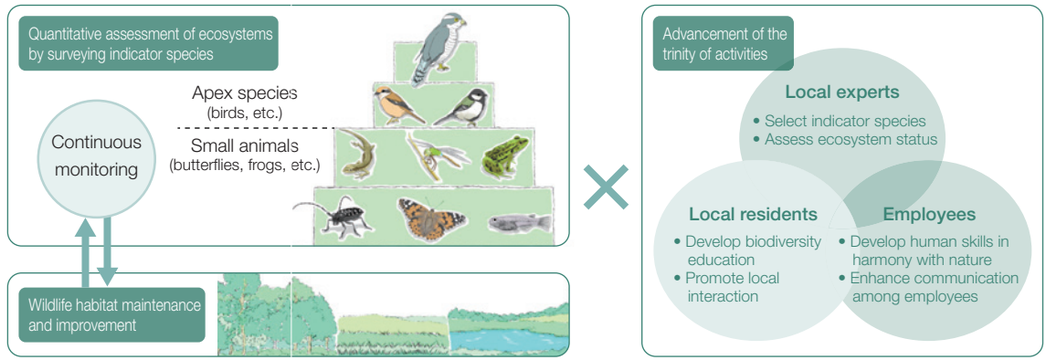
2025 Target

- Achieve Plant in Harmony with Nature at six plants in Japan and four plants overseas.
- Promote activities to connect with local communities in collaboration with affiliated companies.
- Start activities promoting harmony with nature in collaboration with local communities and companies toward biodiversity conservation.

2021-2025 Results

- Achieved targets at a total of six plants in Japan and four plants overseas.
- Promoted activities in collaboration with 25 Toyota Group companies and global affiliates (number of activities: 4,528).

Overview of the "Plant in Harmony with Nature"



Registration as Nationally Certified Sustainably Managed Natural Sites (Japan)

- To achieve the 30by30*2 target set under the Kunming-Montreal Biodiversity Framework (2022), the Act on Promoting Activities to Enhance Regional Biodiversity was enacted in April 2025, initiating the certification of Nationally Certified Sustainably Managed Natural Sites*3 by the competent ministers (Minister of the Environment of Japan, Minister of Agriculture, Forestry and Fisheries of Japan, and Minister of Land, Infrastructure, Transport and Tourism of Japan).
- Toyota Motor Corporation has joined the 30by30 Alliance for Biodiversity led by the Ministry of the Environment of Japan and obtained certification for five sites (as of March 2026).
- These sites are also registered in the World Database on OECMs*4 and contribute to the achievement of 30by30.

*2 30by30: A global target to conserve and protect 30% of land and marine areas by 2030
*3 Nationally Certified Sustainably Managed Natural Sites:
Sites certified by the Japanese government as areas where conservation of biodiversity is being promoted through private sector initiatives, etc.
*4 Other Effective area-based Conservation Measures

自然共生サイト認定 30by30

Site name	Location	Area	Overview of main activities	Date of certification
Toyota Technical Center Shimoyama	Toyota City and Okazaki City, Aichi Prefecture	385 ha	Conduct forest thinning, paddy field cultivation, and grass cutting to maintain the Satoyama environment adjacent to the R&D center	September 2025
Toyota Technical Center Shibetsu	Shibetsu, Hokkaido	832 ha	Conserve key species, control invasive species, and promote environmental education to preserve the harsh yet abundant natural environment in the northern part of Japan at the country's largest test course	
Toyota Biotope Tsutsumi	Toyota City, Aichi Prefecture	0.74 ha	Have established a biotope within the production site to contribute to the conservation of the local native ecosystem	
The Forest of Toyota	Toyota City, Aichi Prefecture	45 ha	Conserve the Satoyama environment and utilize it as a place for maintenance, research, and community-oriented education	
Toyota Mie Miyagawa Forest	Taki County, Mie Prefecture	1689.28 ha	Promote sound forest management based on forest resource information and establish a healthy forest that can fulfill public functions	March 2026

[Case] Obtaining WHC Certification (North America)

- Since 1999, in collaboration with Tandem Global,*1 TMNA has been promoting activities to conserve the habitats of pollinators and protect indicator species and native species at its plants and business locations in North America.
- Currently, 17 sites have obtained WHC certification.*2

*1 An international NPO engaging in biodiversity conservation and related activities in 19 countries
*2 Wildlife Habitat Council Certification: A certification program administered by Tandem Global recognizing efforts to enhance biodiversity and education activities

Toyota Site Name	Certification Level
Production and Engineering Manufacturing Center, Kentucky	WHC CERTIFIED GOLD
Toyota Motor Manufacturing Canada, Cambridge	
Toyota Motor Manufacturing Canada, Woodstock	
Toyota Motor Manufacturing, Kentucky	
Toyota Motor Manufacturing, Mississippi	
Toyota Motor Manufacturing, Texas	
Toyota Motor Manufacturing, West Virginia	
Toyota Technical Center, Ann Arbor, Michigan	WHC CERTIFIED SILVER
Toyota Technical Center, York Township, Michigan	
Toyota Auto Body, California	WHC CERTIFIED
Toyota Motor Manufacturing, Alabama	
Toyota Motor Manufacturing, Guanajuato	
Toyota Motor Manufacturing, Indiana	
Toyota Motor Manufacturing, Missouri	
Toyota Motor Manufacturing, Tennessee	
Toyota Motor North America Headquarters in Plano, Texas	
Toyota Logistics Services in Portland, Oregon	

[Case of Plant in Harmony with Nature 1]

Toyota Motor Manufacturing, West Virginia, Inc. (TMMWV) (U.S.)

- TMMWV promotes the preservation of habitats for pollinators through the cultivation of native plants and beekeeping in the Toyota West Virginia Biodiversity Park located within the plant premises, and received the WHC Ibis Award*3 in 2022 for these efforts.
- The Biodiversity Park is open to the public and is utilized for environmental education for kids and students, as well as recreational activities for local residents.

*3 An award given to projects that have continued to carry out biodiversity conservation activities even under difficult situations


Beekeeping


Weed control in solar power generation areas through grazing

2025 Performance

- TMMWV has received the Gold Certification from the WHC for 10 consecutive years.
- By 2025, approximately 90% of the plant's green space was successfully converted into habitats for pollinators through 17 projects.

[Case of Plant in Harmony with Nature 2]

Ban Pho Plant, Toyota Motor Thailand Co., Ltd. (TMT) (Thailand)

- The Harmony with Nature facility within the TMT premises, "Cheewa Panavet," has obtained government certification in May 2026 as one of the Thailand's first OECM sites.
- As a private-sector company, TMT implements sustainable biodiversity conservation activities and advances environmental education and awareness-raising activities in collaboration with local residents and students.



TMT received an OECM certificate from the Thai government


Cambodian Striped Squirrel
(scientific name : *Tamiop rodolphii*)

2025 Performance

- Through a joint biological survey with local NGOs, 134 plant species and 553 animal species (including 152 bird species and 328 insect and spider species) were identified.
- Since its establishment in 2016, more than 70,000 people have participated in TMT's environmental education programs.

[Case of Plant in Harmony with Nature 3]

Myochi Plant, Toyota Motor Corporation (Japan)

- Makes efforts to increase native species utilizing waterfront and forested environments by establishing biotopes within the premises along with invasive alien species control activities.


Tropical Bluetail


Planting

2025 Performance

- Commenced surveys of indicator species (dragonflies, the Japanese pygmy woodpecker, the great tit, etc.) under expert guidance.
- Planted approximately 1,000 trees of six species (including Indian hawthorn and Japanese kerria, which provide year-round flowers and fruit) around the site perimeter.

Toyota ESD Project
Transforming “Environmental Education for the Next Generation” to “Connect to the Future”

2025 Targets

- Implement global unified measures for the development of eco-friendly human resources who bear the future.
  - Provide opportunities for environmental learning using biotopes and other resources in collaboration with “Plant in Harmony with Nature.”
  - Utilize tools to learn harmony with nature for the next generation and advance the development of eco-friendly human resources at both internal and external business facilities (e.g., plants, and The Forest of Toyota, respectively).

Fiscal Year 2026 Performance

- Implemented environmental education programs worldwide.
  - Examples from Toyota Motor Corporation
    - Conducted environmental learning sessions
      - Plant in Harmony with Nature: 64 sessions
      - The Forest of Toyota: 217 sessions

Global Development of Environmental Education for the Next Generation

- Building good relationships with local communities through environmental learning has a positive impact on Toyota’s business in the medium to long term.
- Promoting the Toyota ESD Project in regions around the world and hosting a number of environmental learning sessions and events provide opportunities for local communities and employees to learn and take action together.

[Case] Activities Connecting to the Future

Tsutsumi Plant, Toyota Motor Corporation (Japan)

- Since fiscal year 2025, we have been collaborating with local elementary schools to promote environmental education activities conducted by our employees.
- Wildlife observation and biotope tours were held to foster a sense of caring for local biodiversity and living species.

Total Children Participating Since Program Launch

- Fiscal Year 2025: 531 children
- Fiscal Year 2026: 407 children


Introducing the biotope


Observing living creatures


Observing and sketching living creatures

Water Environment

Aim

- Minimize the global impact on water environments under conditions that vary from region to region.
- Aim to be the best plant in the region that can contribute to the prosperity of society as a whole through the effective use of water resources.

Initiative

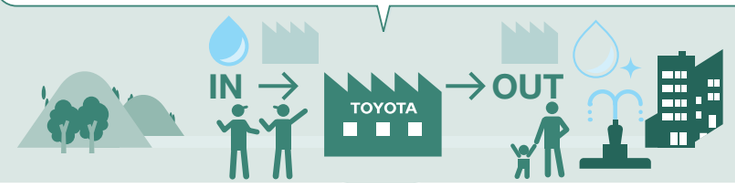
Toyota Water Environment Policy

- Aim to be the best plant in the region that contributes to the overall prosperity of society.
- Minimize impacts on the water environment through a dual approach: drastic reductions in water use (IN) and returning clean water to the environment (OUT).

Toyota Water Environment Policy

Toyota strives to consider water sustainability and aims to create a prosperous society where healthy water environments can be shared with future generations.

Become the **BEST PLANT IN THE REGION** leading to prosperity throughout the entire society.



Thoroughly reduce the amount of water usage

Minimize the impact on local water resources by minimizing water withdrawal and utilizing rainwater

Purify wastewater thoroughly and return

Have a net positive impact on the environment by returning clean water to the local water environment

Challenge of Minimizing and Optimizing Water Usage

Minimize Water Usage and Manage Wastewater Discharge According to Individual Local Conditions

- Water quantity (IN): Activities to reduce water usage
- Water quality (OUT): Comprehensive management of wastewater, and activities to clean water before it is returned to the environment

Example of Water Usage Reduction

[Case] Reducing Water Consumption Through Comprehensive Wastewater Recycling

Toyota Motor Thailand Co., Ltd. (Thailand)
PT. Toyota Motor Manufacturing Indonesia (Indonesia)

- Reduce water withdrawal by thoroughly reusing water
  - Implemented a wastewater recycling system combining filters, such as sand and activated carbon, with RO membranes (reverse osmosis membrane).
  - Achieved zero wastewater discharge off-site by reusing recycled water in both production and non-production areas

  Water usage reduction volume in 2025
  - Toyota Motor Thailand Co., Ltd.: 183,149 m^3
  - PT. Toyota Motor Manufacturing Indonesia: 2,250 m^3


Team members of Toyota Motor Thailand Co., Ltd.



Team members of PT. Toyota Motor Manufacturing Indonesia


Wastewater recycling system

Updated in June 2026

Value Chain Collaboration

GRI 101-2·5, 308-1·2, 414-1·2

58 Initiatives with Suppliers
60 Initiatives with Dealers and Distributors
61 Stakeholder Engagement

Initiatives with Suppliers

Aim

- Contribute to a sustainable society by reducing the environmental impact throughout the entire life cycle in collaboration with suppliers, based on mutual trust and prosperity with them.

Initiative

Toyota Green Procurement*1 Guidelines*2

Rollout of the Guidelines

- Toyota Motor Corporation requests all tier 1 suppliers, including new suppliers, to undertake fundamental initiatives based on the *Toyota Green Procurement Guidelines*, and also rollout and awareness the guidelines to all tier 2 and subsequent suppliers so that the guidelines will take root.
- Based on the 8th Toyota Environmental Action Plan, we request suppliers to collaborate on initiatives for carbon neutrality, circular economy, nature positive, and environmental management.

*1 Prioritizing the procurement of parts, materials, equipment, and services with a low environmental footprint when manufacturing products
*2 Revised on January 2026

- Regional green procurement policies
  - Rolling out guidelines tailored to local circumstances at each regional procurement office and requesting ongoing efforts

[Case] Green Procurement Policy in the United States

Toyota Motor North America, Inc. (U.S.)

- Updated the existing guideline and renewed it as the *Green Supplier Requirements* in April 2021. Reinforced environmental management by including compliance with requirements (for example, greenhouse gas (GHG) emission reductions) in the terms and conditions.

Toyota Green Procurement Guidelines

Policy for Sustainable Natural Rubber Procurement

- Toyota promotes the eradication of deforestation and ecosystem conversion within the natural rubber supply chain.
- Believing that protection of forests and other natural ecosystems is critical for maintaining biodiversity, we have formulated the *Policy for Sustainable Natural Rubber Procurement* for natural rubber used in vehicles.

Approach to the Policy for Sustainable Natural Rubber Procurement

- Being aligned with the policy and framework adopted in a September 2020 resolution by the General Assembly of the Global Platform for Sustainable Natural Rubber (GPSNR*3), of which Toyota Motor Corporation is a member.
- Respecting the UN Guiding Principles on Business and Human Rights, as well as the guidelines and conventions established by the International Labour Organization (ILO).

2025 Performance

- Toyota is working together with suppliers to gather information and give responses to questions received from the GPSNR regarding the implementation status of this policy.

*3 Global Platform for Sustainable Natural Rubber

Policy for Sustainable Natural Rubber Procurement

Compliance with the Guidelines

- The guidelines state that if a supplier does not make improvements after violations of laws or guidelines are identified, the business relationship may be reconsidered.
- The *Supplier Sustainability Guidelines* (revised in 2021) containing the above content have been distributed to tier 1 suppliers.

Supplier Sustainability Guidelines

Monitoring

Self-Assessment Sheet

- Have each company use a self-assessment sheet to confirm the status of their initiatives and share their results.

  Fiscal Year 2026 Performance
  - Received self-assessments from 242 major companies in Japan and provided feedback on the scoring results.

Supply Chain Program

- To continuously advance environmental measures with suppliers, we monitor their risks, and opportunities, as well as the status of their initiatives related to climate change and water security.
- We hold information sessions every year to share social trends and policies related to Toyota's initiatives and to provide feedback on the survey results, thereby creating opportunities for communication on environmental issues.

  2025 Performance
  - Responses were received from suppliers that account for approximately 81 percent of the total procurement amount for Toyota Motor Corporation.
  - Approximately 73 percent of these suppliers reduced their GHG intensity (per sales) compared to the previous year.
- To achieve sustainable development alongside society, we have established an environmental management system across our consolidated subsidiaries to globally promote thorough risk management and compliance, and maximize environmental performance.
- We continuously improve the environmental management system to respond swiftly to evolving environmental challenges, such as the intensification of climate change.

Supply Chain Program Performance (2025)

		Climate Change	Water Security
Number of companies that responded		164	164
Response rate		68	68
Percentage selecting "implemented"	Governance (board-level oversight, corporate policy)	66	64
	Identifying risks	67	51
	Integrating issues into business strategy	77	45
	Setting quantitative targets	95	54

Initiatives Toward Reducing GHG Emissions

- Shared carbon neutrality in 2050 as a common goal and studied specific GHG reduction strategies by setting emission reduction targets customized for each supplier.

  2025 Performance
  - Achieved the targets set in each country or region.
  - Applicable countries and regions: Seven regions with purchasing functions (Japan, North America, Europe, China, Asia, South America, and South Africa)

Risk Management

Ensuring Compliance with Global Chemical Substance Control

- Comply with laws and regulations on chemical substances in various countries and regions, such as the Chemical Substances Control Law*1 in Japan, and the Directive on ELV*2 and REACH*3 in the European Union (EU).
- Improve structures and undertake operational management in cooperation with all parties involved in conveying chemical substance information.
- Continue industry collaboration and global deployment and comprehensive implementation of regulations tailored to the regional cultures and industrial structures.

  2025 Performance
  - Revised regulations based on the Global Automotive Declarable Substance List (GADSL) of regulated substances reflecting the latest laws and regulations in each country (setting content rate targets for each substance in consideration of legal and regulatory requirements, etc.)
  - Steadily introduced vehicles that comply with these regulations and worked in cooperation with European affiliates to continue to fully respond to the data registration framework (WFD Directive*4) in Europe.
  - Continued supplier awareness-raising activities to ensure thorough chemical substance management and continued to engage in collaborative activities with global companies.

*1 Act on the Regulation of Manufacture and Evaluation of Chemical Substances: An act to prevent environmental pollution caused by chemical substances that pose a risk of impairing human health and interfering with the inhabitation and growth of flora and fauna
*2 Directive on End-of-Life Vehicles: A directive designed to reduce the load of end-of-life vehicles on the environment
*3 Registration, Evaluation, Authorisation and Restriction of Chemicals: A regulation for managing chemical substances to protect human health and the environment
*4 Waste Framework Directive: A European directive

Environmental Due Diligence in Procurement

- Policies and Approaches to Responsible Mineral Sourcing
  - Established the *Policies and Approaches to Responsible Mineral Sourcing* in accordance with OECD*5 guidance*6 to take into account the impact on local communities of the procurement of minerals that may cause social problems relating to human rights and the environment.
- Due diligence policy
  - Identify and assess risks in the supply chain together with suppliers, and if any risk is identified, implement appropriate measures to mitigate the risk.

*5 Organization for Economic Co-operation and Development
*6 OECD Due Diligence Guidance for Responsible Supply Chains of Minerals from Conflict-affected and High-risk Areas

Supplier Sustainability Guidelines
Policies and Approaches to Responsible Mineral Sourcing
Responsible Material Sourcing, **p. 126**

Supplier Hotline

Supplier Hotline, **p. 123**

Awareness-Raising Activities (in Japan)

Training for Persons in Charge of Procurement

- Conducted group learning on sustainability, including environmental topics, for new employees in the procurement section.
- Regularly held study sessions on carbon neutrality (CN) for persons responsible for communicating directly with suppliers.

Training Sessions with Suppliers

- A variety of practical opportunities are provided for joint learning about environmental issues.

Initiatives by Kyohokai*

- Established research groups for studying environmental topics in 2019.
- In fiscal year 2026, four theme-specific groups (environmental management, circular economy, renewable energy, and carbon footprint) were established, and each group carried out independent study activities for one year.
- Outcomes were reported at the activities report meeting and made available to members on the Kyohokai website.

* Voluntary organization consisting of more than 200 suppliers delivering automotive parts, bodies, etc.

Dissemination of Information on Carbon Neutrality

- Disseminate specific emission reduction calculation methods and tools to achieve GHG reduction targets.
- Provide study sessions on energy saving, renewable energy, and achieving resource recycling.
- Organize webinars and exhibitions to connect companies providing emission reduction solutions with suppliers facing challenges in cutting emissions.
- Calculate emission reduction targets for each supplier (Scopes 1, 2, and 3).
- Share guidelines for the adoption or rejection of GHG emission reduction measures with suppliers.
- To achieve these targets, aim to prioritize the use of renewable electricity in parts manufacturing and aim 100 percent adoption of green aluminum. Encourage the involvement of tier 2 and subsequent suppliers through tier 1 suppliers, striving to ensure that the aforementioned initiatives spread throughout the entire supply chain.

Awareness-Raising and educational Activities, **p. 124**

Recognition of Suppliers' Environmental Initiatives

- We present the Environmental Activity Awards, established in 2017, to commend suppliers that conduct exceptional environmental initiatives every year.

Initiatives with Dealers and Distributors

Aim

- Work together with dealers and distributors toward reducing the environmental footprint, help them earn trust from their local communities and serve as the "best-in-town," and contribute to their communities and customers.

Initiative

Implement the Environmental Global Policy in Sales and Service

- Have continuously implemented a strategy to reduce the environmental footprint in store operations since 2016.

Designated Countries and Regions

- Dealers in 72 major countries and regions in Japan, North America, Europe, Asia, South America, Oceania, and Africa (approximately 15,000 stores, accounting for 94 percent of the total in terms of the number of vehicles sold)

Actions

- Formulate a framework for initiatives.
- Minimize environmental risks.
- Improve environmental performance.
- Undertake activities to improve the environment with customers and society.

Efforts to Reduce CO_2 Emissions

2025 Target

- One hundred percent introduction rate of CO_2 reduction initiatives at newly constructed and remodeled dealers.

Fiscal Year 2026 Performance

- Achieved targets in 71 countries and regions.

Initiatives with Dealers in Japan

- Emission tracking across all stores
  - We have expanded GHG emission data collection to all dealers nationwide since fiscal year 2025 to initiate emission tracking.
- Enhancing support for reduction activities
  - Each store starts developing plans for installing solar panels and measures to reduce emissions in fiscal year 2026 and puts them into operation.
  - We continue to support the installation of rapid chargers at dealers, aiming to improve the convenience of BEVs and PHEVs.

Stakeholder Engagement

Aim

- Establish positive relationships with national governments and administrative agencies, regulators, political parties, NGOs, civil society organizations, local communities, customers, dealers, suppliers, and employees, aiming to be the “best-in-town.”
- Utilize our expertise to engage in and contribute to public policy and other areas through participation in industry associations and various initiatives.

Initiative

Climate Change-Related Initiatives

- Engage in policy activities aligned with the goals of the Paris Agreement not only within our company but also through the activities of the industry associations we belong to.
- Specifically, we perform engagement activities and make proposals concerning climate change-related policies, including the achievement of carbon neutrality (CN), as well as the wide ranging adoption and stable supply of renewable energy.

[Case]

- U.S.: Work together with suppliers to promote activities while requesting them to set emission reduction targets under the *Green Supplier Requirements*. With dealers, under the “Dealer Environmental Excellence Program (D.E.E.P.),” we provide technical support and recognize dealers that demonstrate outstanding activities.
- Europe: Host the “Sustainability Forum,” annually inviting a diverse array of stakeholders including NGOs, academia, business partners, etc. to exchange views on sustainability issues such as carbon neutrality.
- Japan: In the challenging field of motorsports, we collaborate with like-minded business partners to promote the development of technologies that utilize sustainable low-carbon fuels and hydrogen.

Toyota’s Views on Climate Public Policies 2025

Collaboration with Suppliers

- U.S.: Participate in the Suppliers Partnership for the Environment*1 to promote proceed with environmental initiatives in which suppliers, governments, NGOs, and other stakeholders collaborate.
- Europe: Address key sustainability issues in the supply chain as a member company of CSR Europe’s*2 Drive Sustainability, an automobile industry partnership program.

*1 A U.S. public-private partnership program for automobile manufacturers and their suppliers to advance sustainability
*2 A European organization that operates a European business network with the aim of promoting corporate sustainability

Suppliers Partnership for the Environment
Drive Sustainability

Note: The period covered by this chapter shall be from April 1, 2025, to March 31, 2026, unless otherwise specified.

Updated in June 2026

Metrics and Targets

TCFD Metrics and Targets

62 Greenhouse Gases
64 Energy
65 Water
66 Circular Economy
66 VOC, NOx, and SOx
67 Referenced Coefficients
68 Medium- and Long-Term Target Structure
70 Review of the 7th Toyota Environmental Action Plan (2025 Target)
73 The 8th Toyota Environmental Action Plan (2030 Target)

Greenhouse Gases

A Greenhouse Gases (GHG) Emissions
Scope 1 (Direct Emissions), Scope 2 (Indirect Emissions Generated from Purchased Energy), Scope 3 (Other Indirect Emissions)

(kt*1 CO_2e)*2

	2023	2024	**2025**
Scopes 1, 2, and 3 total	600,261*3	589,573*3	**513,981**

*1 kt: k (kilo) multiplied by 10^3 and t (ton) as the metric ton (tonne, 1 t = 1,000 kg)
*2 Calculated on a GHG-basis from 2024. Some figures were calculated on an energy-related CO_2 emissions basis for 2023
*3 Including the Toyota brand from entities other than consolidated subsidiaries, as well as from the brands of consolidated subsidiaries

[B], Metrics and Targets, **p. 62**
[C], Metrics and Targets, **p. 63**
Referenced Coefficients. Metrics and Targets, **p. 67**

B GHG Emissions, GHG Emission Intensity Scope 1 (Direct Emissions) and Scope 2 (Indirect Emissions Generated from Purchased Energy)

GRI 305-1, 305-2, 305-4 Third-party assurance 2025 data

(kt CO_2e)

		2023	2024	**2025**
Scope 1		2,627	2,518	**2,466◆**
Scope 2	Location-based	4,083	4,127	**4,125**
	Market-based	2,868	2,533	**2,057◆**

(t CO_2e/unit)

	2023	2024	**2025**
Per unit produced (market-based)	0.6	0.6	**0.5**

<Scope>
- Toyota Motor Corporation and its consolidated subsidiaries

<Calculation Method>
- Calculated based on the GHG Protocol
- Rather than by direct measurements, emissions were calculated using activity data multiplied by emission factors. The primary activity data are fuel consumption and electricity consumption
- Calculated using the operational control approach reflecting Toyota's actual management situation
- The measurement approaches are the same as those used for Scopes 1 and 2 targets
- The calculation excludes carbon credits or greenhouse gas emission allowances that have been removed, purchased, sold, or transferred
- The 2023 and 2024 data (comparative data) are presented by reorganizing the data on "CO_2 Emissions & CO_2 Emissions Intensity" and "Greenhouse Gases Emissions from Sources Other Than Energy-related CO_2" reported in the "Sustainability Data Book 2025."

<Third-Party Assurance>
◆: Values verified through third-party assurance

Referenced Coefficients. Metrics and Targets, **p. 67**

In principle, fractions are rounded down to the nearest unit. For this reason, the total and the breakdown totals do not always match.

C GHG Emissions

Scope 3 (Other Indirect Emissions)

GRI 305-3 | Third-party assurance 2025 data

(kt CO_2e)

		2023	2024	**2025**	Key calculation items	Main activity data
1	Purchased goods and services	129,878*4	126,325*4	**115,461**	Manufacture of new vehicles, prototype models, and service parts	Vehicle weight, material weight, production volume, sales volume, prototype vehicle volume
					Manufacture of indirect materials	Purchase price
2	Capital goods	6,092	4,316	**6,250**	Manufacture, transportation, installation, and construction of the installed equipment	Amount of capital investment
3	Fuel- and energy-related activities (not included in Scope 1 or 2)*1	998	1,044	**936**	Energy consumption related to mining, refining, and transportation, as well as transmission losses in power consumption	Energy consumption
4	Upstream transportation and distribution*1	4,566*4	5,296*4	**4,709**	Transportation of completed vehicles, production parts, and service parts	Fuel consumption, transport weight, transport distance
5	Waste generated in operations	101	109	**112**	Disposal of waste generated at production sites	Waste volume
6	Business travel*1, *2	87	108	**324**	Employee business trips	Travel records
7	Employee commuting*1, *2	587	57	**60**	Employee commuting	Commuting costs
8	Upstream leased assets*3	–	–	–	–	–
9	Downstream transportation and distribution*1	96*4	200*4	**186**	Transportation of completed vehicles and service parts	Fuel consumption, transport weight, transport distance
10	Processing of sold products	11*4	12*4	**11**	Body building of trucks and buses	Sales volume, vehicle weight
11	Use of sold products	436,274*4	432,163*4	**368,263◆**	Lifetime mileage of new cars sold in the reporting year	Number of vehicles sold, fuel efficiency, lifetime mileage
12	End-of-life treatment of sold products	12,143*4	12,090*4	**9,811**	Disposal of new cars sold in the reporting year	Vehicle weight, material weight, sales volume
13	Downstream leased assets*1, *2	22	145	**154**	Assets leased to other companies	Number of leased vehicles, total floor area
14	Franchises*1, *2	3,853	2,640	**2,235**	Distributor and dealership operations	Energy consumption
15	Investments	120*5	16*5	**946**	Financed emissions	Proportion of shares held in holding
Total		594,829*4	584,522*4	**509,458◆**		

<Scope>
- Toyota Motor Corporation and its consolidated subsidiaries

<Calculation Method>
- Calculated based on the GHG Protocol
- The calculation method mainly involves multiplying activity data by emission factors. The main calculation scopes, activity data, and emission factors are shown in the table
- Primary data is not used for emission calculation
- The data are calculated using the operational control approach, reflecting Toyota's actual management situation
- The measurement approaches are the same as those used for Scopes 1 and 2 targets
- The calculation excludes carbon credits or greenhouse gas emission allowances that have been removed, purchased, sold, or transferred

Referenced Coefficients. Metrics and Targets, **p. 66**

*1 Calculated on a GHG-basis from 2024. However, they were calculated on an energy-related CO_2 emissions basis for 2023
*2 Some emissions are recorded under category 11 in Scope 3
*3 Recorded under Scopes 1 and 2
*4 For 2023 and 2024, calculations include the Toyota brand from entities other than consolidated subsidiaries, as well as from the brands of consolidated subsidiaries. For 2025, these are excluded
*5 For 2023 and 2024, the calculation was based on the deemed holdings of Toyota Motor Corporation. For 2025, the calculation was changed to cover investments, including equity-method affiliates

<Third-Party Assurance>
◆: Values verified through third-party assurance

D CO_2 Emissions

Scope 1 (Direct Emissions), Scope 3 (Other Indirect Emissions) Biofuel-based CO_2

(kt CO_2)

	2025
Scope 1	**7**
Scope 2	–
Scope 3	**8,573**

<Scope 1 Target>
- Toyota Motor Corporation and its consolidated subsidiaries

<Scope 3 Target>
- Toyota Motor Corporation and its consolidated subsidiaries brand, excluding buses under the fuel consumption standard of Japan
- Scope 3 category 11

<Calculation Method>
- Emissions were not measured directly, but were calculated using activity data multiplied by emission factors
- The primary activity is fuel consumption
- Emissions were calculated using the operational control approach, reflecting Toyota's actual management situation

Referenced Coefficients. Metrics and Targets, **p. 67**

In principle, fractions are rounded down to the nearest unit. For this reason, the total and the breakdown totals do not always match.

E Average CO_2 Emissions from New Vehicles

SASB TR-AU-410a.1 GRI 302-5, 305-5

(g CO_2/km)

By country or region	2023	2024	**2025**
U.S.	142.8	133.3	**121.9**
Canada	120.4	115.9	**117.0**
Brazil	98.5	98.7	**102.4**
Europe	107.1	103.0	**95.4**
Japan	114.0	115.1	**115.0**
China	128.7	123.5	**119.6**
Taiwan	140.1	134.7	**133.3**
India	126.0	120.6	**117.3**
Thailand	148.0	141.5	**134.9**
Indonesia	142.9	143.4	**144.8**
Saudi Arabia	141.8	140.2	**150.3**
Australia	164.4	158.0	**152.8**
South Africa	184.9	171.8	**170.8**

<Scope>
- Toyota brand vehicles
- TtW (Tank to Wheel) values are based on fuel efficiency, CO_2, or GHG test modes in each country or region, but NEDC is used for vehicles in Thailand, Indonesia, and South Africa
- Excluding freight trucks categorized as freight under fuel efficiency, CO_2, or GHG regulations in each country or region, and also excluding trucks and buses

F Electrified Vehicle Sales

SASB TR-AU-410a.2 Third-party assurance 2025 data

(thousand units)

By type	2023	2024	**2025**
Hybrid electric vehicles (HEVs)	3,594	4,441	**4,620**
Plug-in hybrid electric vehicles (PHEVs)	141	161	**175**
Battery electric vehicles (BEVs)	117	145	**243**
Fuel cell electric vehicles (FCEVs)	4	1	**1**
Total	3,855	4,748	**5,040◆**

(%)

	2023	2024	**2025**
Percentage of electrified vehicles in total sales	37	46	**48**

<Scope>
- Toyota brand vehicles

<Third-Party Assurance>
◆: Values verified through third-party assurance

Energy

G Energy Consumption and Energy Intensity

GRI 302-1, 302-3, 302-4 Third-party assurance 2025 data

(GWh*1)

By region	2023	2024	**2025**
Toyota Motor Corporation	3,350	3,273	**3,173**
Japan (excluding Toyota Motor Corporation)	6,333	6,394	**6,539**
North America	4,451	4,506	**4,609**
Europe	985	939	**978**
Asia	2,771	2,703	**2,763**
Others (South America, Oceania, Africa, Middle East)	2,631	2,469	**2,453**
Total	20,519	20,284	**20,516◆**

(GWh*1)

By type		2023	2024	**2025**
Fossil fuels	Electricity	6,210	5,624	**4,486**
	Natural gas	7,536	7,329	**7,191**
	Coke	67	64	**68**
	Heavy oil	2,426	2,283	**2,206**
	Diesel oil	602	640	**617**
	Kerosene	52	48	**48**
	Hot water	20	22	**21**
	Others	643	611	**600**
	Total	17,555	16,621	**15,237**
Renewable energy	Electricity	2,964	3,663	**5,243**
	Others	0	0	**36**
	Total	2,964	3,663	**5,279**
Grand total		20,519	20,284	**20,516◆**

(MWh*2/unit)

	2023	2024	**2025**
Per unit produced	2.3	2.3	**2.3**

<Scope>
- Toyota Motor Corporation and its consolidated subsidiaries

<Calculation Method>
- Calculated based on final energy consumption

<Third-Party Assurance>
◆: Values verified through third-party assurance

Referenced Coefficients. Metrics and Targets, p. 67

*1 GWh: G (giga) denotes 10 to the 9th power; Wh (watt-hour) is a unit of energy quantity
*2 MWh: M (mega) is 10 to the 6th power; Wh (watt-hour) is a unit of energy quantity

Water

GRI 101-6

H Water Withdrawal

GRI 303-3 | Third-party assurance 2025 data

(Mm³*1)

By region	2023	2024	2025
Toyota Motor Corporation	6	6	**6**
Japan (excluding Toyota Motor Corporation)	13	14	**15**
North America	7	7	**7**
Europe	1	1	**1**
Asia	6	6	**6**
Others (South America, Oceania, Africa, Middle East)	2	1	**1**
Total	35	36	**36◆**

(Mm³*1)

By water source	2023	2024	2025
Surface water	0.3	0.4	**0.3**
Groundwater	7	7	**8**
Seawater	0	0	**0**
Produced water	0	0	**0**
Third-party water	27	28	**28**
Total	35	36	**36◆**

(m³/unit)

	2023	2024	2025
Per unit produced	3.9	4.1	**4.0**

<Scope>
- Production processes of Toyota Motor Corporation and its consolidated subsidiaries

<Third-Party Assurance>
◆: Values verified through third-party assurance

*1 Mm³: M (mega) is 10 to the 6th power; m³ (cubic meter) is a unit of volume

I Water Discharge

GRI 303-4

(Mm³)

By water discharge destination	2023	2024	2025
Surface water	19	19	**18**
Groundwater	0	0	**0**
Seawater	2	3	**3**
Third-party water	11	11	**11**
Total	33	33	**32**

<Quality Management of Water Discharge>
- Indicators*2 specified in the regulations of each country are strictly managed by each plant setting its own control standards that are stricter than the standard values specified by the regulations of each country

<Scope>
- Production processes of Toyota Motor Corporation and its consolidated subsidiaries

*2 Biological oxygen demand (BOD), chemical oxygen demand (COD), nitrogen, phosphorus, pH, etc.

J Water Consumption

GRI 303-5

(Mm³)

	2023	2024	2025
Water consumption	2	3	**3**

<Scope>
- Production processes of Toyota Motor Corporation and its consolidated subsidiaries

<Calculation Method>
- Calculated using the formula below in accordance with GRI 303
  Water consumption = (Water withdrawal) - (Water discharge)

K Recycled Water

(Mm³)

	2023	2024	2025
Recycled water	1	2	**2**

<Scope>
- Production processes of Toyota Motor Corporation and its consolidated subsidiaries

Circular Economy

L Raw Material Content and Recycled Content

GRI 301-1, 301-2, 306-4

(kt)

Raw material content	2023	2024	2025
All materials	16,055	16,745	**17,320**
Steel	9,736	10,139	**10,458**
Aluminum	1,665	1,758	**1,825**
Others	4,653	4,848	**5,038**

(%)

Recycled content	2023	2024	2025
Percentage of recycled content in raw materials	21	21	**19**[*1]

<Scope>
- Toyota brand vehicles

<Calculation Method>
- Estimated values for global vehicle production based on raw material usage and recycled content for representative vehicle types

*1 Calculation conditions are changed based on JAMA guidelines

M Waste

SASB TR-AU-440b.1 | GRI 306-3 | Third-party assurance 2025 data

(kt)

By region	2023	2024	2025
Toyota Motor Corporation	29	23	**26**
Japan (excluding Toyota Motor Corporation)	107	103	**103**
North America	48	65	**70**
Europe	11	10	**10**
Asia	35	38	**41**
Others (South America, Oceania, Africa, Middle East)	10	10	**9**
Total	239	249	**260◆**

(kt)

By disposal operation	2023	2024	2025
Recycling for a fee[*2]	171	180	**187**
Incineration	46	47	**51**
Landfilling	22	22	**22**
Total	239	249	**260◆**

(kt)

By type	2023	2024	2025
Non-hazardous waste	207	212	**224**
Hazardous waste	33	37	**36**
Total	239	249	**260◆**

(kg/unit)

	2023	2024	2025
Per unit produced	26.8	28.6	**28.9**

<Scope>
- Production processes of Toyota Motor Corporation and its consolidated subsidiaries

<Third-Party Assurance>
◆: Values verified through third-party assurance

*2 Costs incurred for recycling items. Excludes valuable materials

VOC[*3], NOx[*4], and SOx[*5]

GRI 101-6

N VOC Emissions

GRI 305-7

(kt)

	2023	2024	2025
VOC	24	24	**24**

<Scope>
- Production processes of Toyota Motor Corporation and its consolidated subsidiaries

*3 Volatile organic compound

O NOx and SOx Emissions

GRI 305-7

(kt)

	2023	2024	2025
NOx	3	2	**2**
SOx	1	1	**1**

<Scope>
- Toyota Motor Corporation and its consolidated subsidiaries

<Calculation Method>
- NOx emission volume = Σ (Fuel consumption × Emission factor for each fuel)
- SOx emission volume = Σ (Fuel consumption × Density × Sulfur content)

*4 Nitrogen oxides
*5 Sulfur oxides

Referenced Coefficients. Metrics and Targets, **p. 67**

Referenced Coefficients (For Fiscal Year 2026 Calculations)

GHG Emissions, GHG Emission Intensity

B **Scope 1 (Direct Emissions), Scope 2 (Indirect Emissions Generated from Purchased Energy)**

C **Scope 3 (Other Indirect Emissions)**

CO_2 Emissions

D **Scope 1 (Direct Emissions), Scope 3 (Other Indirect Emissions) Bio-based CO_2**

Source/Database name	Scope 1	Scope 2	Scope 3 Category 1	2	3	4	5	6	7	8	9	10	11	12	13	14	15
Japanese Act on Promotion of Global Warming Countermeasures: Greenhouse Gas Emissions Accounting and Reporting Manual (Ministry of the Environment, Ministry of Economy, Trade and Industry, Japan)	●		●						●			●					
Explanation of the Standard Calorific Values and Carbon Emission Factors by Energy Source (Fiscal Year 2019 Revised Edition) (Agency for Natural Resources and Energy of Japan)	●		●			●					●	●				●	
2006 IPCC Guidelines for National Greenhouse Gas Inventories, Volume 2: Energy	●		●			●			●		●	●	●			●	
Report on the Analysis of Total Efficiency and Greenhouse Gas Emission (March 2011, Japan Automobile Research Institute)	●	●				●					●		●				
Proposed Revisions to Gasoline GHG Emissions (June 2020, Agency for Natural Resources and Energy of Japan)	●	●				●					●		●				
S&P Global Fundamentals: Refining and Marketing Annual Strategic Workbook 2025	●	●				●					●		●				
Japan: *Basic emission factors by electric power supplier (for calculation of GHG emissions by specified emitters)* (Ministry of the Environment, Japan)		●															
Outside Japan: *Emission factors by electricity provider*		●															
Emissions Factors 2025 (International Energy Agency)		●	●			●			●		●	●	●		●	●	
Life Cycle Upstream Emission Factors 2025 (International Energy Agency)			●		●	●			●		●	●	●		●	●	
LCI Database IDEA version 3.2.0 (April 15, 2022) IDEA Laboratory, Research Institute of Science for Safety and Sustainability, National Institute of Advanced Industrial Science and Technology (AIST)	●		●		●	●		●	●		●	●	●			●	
Emissions Unit Values for Accounting of Greenhouse Gas Emissions, etc., by Organizations Throughout the Supply Chain (Ministry of the Environment, Japan)			●	●	●	●	●		●		●	●			●		
JAMA's Guidelines on Carbon Footprint of Automobile Products 2024 Version (JAMA)			●									●		●			
Joint Guidelines on Methods for Calculating Carbon Dioxide Emissions in the Logistics Sector (Ministry of Economy, Trade and Industry, Ministry of Land, Infrastructure, Transport and Tourism, Japan)						●					●						
Waste Treatment Technology information (Ministry of the Environment, Japan website)							●										
Automobile fuel efficiency list (Ministry of Land, Infrastructure, Transport and Tourism, Japan)													●				

G **Energy Consumption and Consumption Intensity**

Other than electricity

- *Explanation of the Standard Calorific Value and Carbon Emissions Factors by Energy Source (Fiscal Year 2019 Revised Edition)* (The Agency for Natural Resources and Energy of Japan)

O **NOx and SOx Emissions**

- *Environmental Activity Evaluation Program* (Ministry of the Environment of Japan)

In principle, fractions are rounded down to the nearest unit. For this reason, the total and the breakdown totals do not always match.

Medium- and Long-Term Target Structure

- Toyota has systematically formulated its vision and targets for the environmental issues in order to realize its mission of coexistence of humanity and the earth and “Producing Happiness for All”.
- We share and collaboratively promote Toyota Environmental Challenge 2050 as our long-term vision, and the 8th Toyota Environmental Action Plan as our medium-term target, with Carbon Neutrality (CN), Circular Economy (CE), and Nature Positive (NP) prioritized as our major pillars.

	Carbon Neutrality (CN)				Circular Economy (CE)	Nature Positive (NP)	
	Challenge Life Cycle Zero CO_2 Emissions Challenge	Challenge New Vehicle Zero CO_2 Emissions Challenge	Corporate Activities	Challenge Plant Zero CO_2 Emissions Challenge	Challenge Circular Economy Challenge	Challenge Challenge of Establishing a Future Society in Harmony with Nature	Challenge Challenge of Minimizing and Optimizing Water Usage
Long-term	Toyota Environmental Challenge 2050						
	Achieve CN for GHG emissions throughout the life cycle by 2050	Achieve CN in average GHG emissions during the operation of new vehicles by 2050	Achieve CN for GHG emissions from corporate activities by 2050	Achieve zero CO_2 emissions from production at plants by 2050	Achieve circular economy by using less resources, promoting longer use, and avoiding waste	Expand the reach of nature conservation activities among communities, with the world, to the future	Minimize water usage and manage wastewater discharge according to the specific local conditions
Medium-term		Reduce average GHG emissions during the operation of new vehicles by 50% or more by 2035 (compared to 2019 levels)	Reduce GHG emissions from corporate activities by 68% by 2035 (compared to 2019 levels) SBTi	Achieve CN for GHGs emitted from production activities at plants by 2035			
	The 8th Toyota Environmental Action Plan (2030 Target)						

The 8th Toyota Environmental Action Plan (2030 Target), **p. 73**

Reference Information on Long-term and Medium-term Targets

Relationship Between Scopes 1, 2, and 3 and Environmental Challenges

		Challenge Life Cycle Zero CO_2 Emissions Challenge	Challenge New Vehicle Zero CO_2 Emissions Challenge	Corporate Activities	Challenge Plant Zero CO_2 Emissions Challenge
Scope	1, 2	●	–	●	○
	3	●	○	–	–
Notes			Applies only to Scope 3 category 11		Applies only to production processes

Scope of Scopes 1, 2, and 3 Targets (All Categories)

●: Full scope ○: Limited scope

		Scope of coverage	Toyota Motor Corporation	Consolidated subsidiaries
Medium-term	Reduce life cycle GHG emissions by 30% by 2030 (from 2019 levels)	Scopes 1 and 2	●	●
		Scope 3	●	●
Long-term	Achieve carbon neutrality (CN) from life cycle GHG emissions by 2050	Scopes 1 and 2	●	●
		Scope 3	●	○

Scope of Scope 3 Targets

Category 11 (Operation of Sold Products)

		Completed vehicles of the Toyota Motor Corporation brand	Completed vehicles of consolidated subsidiaries' brands
Medium-term	Reduce average GHG emissions during operation of new vehicles by 2030 (from 2019 levels) [SBTi] • Passenger cars and light commercial vehicles: 33.3% reduction • Medium-/heavy-freight trucks: 11.6% reduction	●	●
	Reduce average GHG emissions by 50% or more from the use of new vehicles by 2035	●	–
Long-term	Achieve CN in average GHG emissions from the operation of new vehicles by 2050	●	–

Scope of Scopes 1 and 2 Targets

		Toyota Motor Corporation		Consolidated subsidiaries		Production processes of Toyota Motor Corporation brand vehicles by unconsolidated subsidiaries
		Production processes	Non-production processes	Production processes	Non-production processes	
Medium-term	Reduce GHG emissions from corporate activities by 68% by 2035 (from 2019 levels) [SBTi]	●	●	●	●	○
	Achieve CN in GHG emissions from plant production by 2035	●	–	●	–	○
Long-term	Achieve CN in GHG emissions from corporate activities by 2050	●	●	●	●	○
	Achieve zero CO_2 emissions from plant production by 2050	●	–	●	–	○

Review of the 7th Toyota Environmental Action Plan (2025 Target)

GRI 305-6, 413-1

■ Toyota promoted the 7th Toyota Environmental Action Plan (2025 Target), a five-year action plan to achieve the Toyota Environmental Challenge 2050

Evaluation legend
✓✓: Achieved
✓: Challenges remain
–: Unachieved

Six Challenges	No.	Action Items	Specific Actions and Targets	Progress Results for Fiscal Year 2026	Evaluation
New Vehicle Zero CO_2 Emissions Challenge Third-party Assurance 2025 data	1	Average CO_2 emissions from new vehicles	• Reduce global*1 average CO_2 emissions (TtW*2, g/km) from new vehicles by at least 30% compared to 2010 level *1. Global values are calculated for the following countries and regions: Japan, the U.S., Europe, China, Canada, Brazil, Saudi Arabia, India, Australia, Taiwan, Thailand, and Indonesia *2. TtW (Tank to Wheel): CO_2 emissions during vehicle operation	• Reduced by 35% compared to 2010 levels◆ • Achieved the target one year ahead of schedule	✓✓
	2	Electrified vehicles	• Achieve cumulative sales of more than 30 million units	• Achieved cumulative sales reaching 36.81 million units◆ • Achieved the target one year ahead of schedule	✓✓
Plant Zero CO_2 Emissions Challenge	3	CO_2 emissions from plants	• Reduce CO_2 emissions through innovative technology, improvement measures, and the introduction of renewable energy • Reduce CO_2 emissions from global plants by 30% compared to 2013 levels	• Accelerated CO_2 emission reduction activities by developing and introducing low-CO_2 production technologies and sharing globally daily improvement practices through shop-oriented environmental activities • Reduced CO_2 emissions from global plants by 44% compared to 2013 levels	✓✓
			• Achieve a 25% introduction rate for renewable electricity	• Purchased renewable energy, taking into consideration the characteristics of each country and region • Achieved a 51% global introduction rate for renewable electricity • Maintained 100% introduction of electricity from renewable sources at all plants in Europe and South America	✓✓
			• Actively promote the development of hydrogen utilization technologies	• Implemented demonstration projects for hydrogen utilization at the Honsha Plant, the Motomachi Plant, and the Tahara Plant	✓✓
Life Cycle Zero CO_2 Emissions Challenge	4	Life cycle CO_2 emissions	• Reduce life cycle CO_2 emissions by more than 18% compared to 2013 levels	• Reduced life cycle CO_2 emissions by 20% compared to 2013 levels	✓✓
	5	Logistics	• Japan • Reduce CO_2 emissions by 7% compared to 2018 levels by improvements in transportation efficiency (an average annual reduction of 1%) • Japan ⇔ Other regions • Reduce CO_2 emissions by ocean-going vessels (Replace two car carrier ships with liquefied natural gas (LNG) vessels)	• Japan • Implemented transport efficiency improvements including loading efficiency improvements, joint transport, modal shifts*3 and use of tandem trailers • Increased average transportation distances due to the relocation of production sites, and increased transport volumes due to higher production volumes • Reduced CO_2 emissions by 5% compared to 2018 levels by improving transportation efficiency despite increased logistics activity volume (average annual reduction of 0.7%) *3 Shifted freight transportation from automobiles to more environmentally friendly methods such as rail and shipping • Japan ⇔ Other regions • Replaced 3 car carrier ships with liquefied natural gas (LNG) vessels in fiscal year 2026	–
	6	Suppliers	• Promote CO_2 emissions reduction activities among major suppliers	• Engaged in communication with suppliers in each region and promoted activities in accordance with the local situation	✓✓
	7	Dealers and distributors	• Achieve a 100% implementation rate of CO_2 reduction measures in newly constructed and remodeled dealers	• Promote the implementation of CO_2 reduction measures at newly constructed and remodeled dealers Scope: 72 major countries and regions, including Japan, North America, Europe, Asia, South America and Oceania, and Africa • Achieved a 100% implementation rate of CO_2 reduction measures at newly constructed dealers • Some remodeled dealers have not yet achieved the target	–

<Third-Party Assurance>
◆: Values certified through third-party assurance

Evaluation legend
✓✓: Achieved
✓: Challenges remain
—: Unachieved

Six Challenges	No.	Action Items	Specific Actions and Targets	Progress Results for Fiscal Year 2026	Evaluation
Challenge of Minimizing and Optimizing Water Usage	8	Water quantity	• Reduce water usage, taking into consideration the water environment of each country and region • Engage in various activities such as daily improvements, wastewater recycling, and rainwater utilization • Reduce water usage per global production unit by 3% compared to 2013 levels (34% reduction compared to 2001 levels) • Complete measures at two priority-challenge plants with significant water environmental impact	• Introduced or implemented the improvement measures tailored to each country and region to reduce water usage • Engaged in various activities such as daily improvements, wastewater recycling, and rainwater utilization to achieve the target • Reduced by 17% compared to 2013 levels • Completed taking measures at 4 priority-challenge plants with high-impact toward the 2030 milestone	✓✓
	9	Water quality	• Implement thorough wastewater management based on voluntary standards that are stricter than regulations • Continuously assess the impact of wastewater discharge at all plants that discharge into rivers	• Continued wastewater management based on voluntary standards stricter than regulations • Conducted assessment at all production plants that discharge into rivers	✓✓
Challenge of Establishing a Recycling-Based Society and Systems	10	Toyota Global 100 Dismantlers Project	• Complete the setup of 15 model facilities for appropriate treatment and recycling of end-of-life vehicles	• Completed the setup of 22 model facilities for the appropriate treatment and recycling of end-of-life vehicles	✓✓
			• Continuously accelerate easy-to-dismantle designs*1 • Integrate easy-to-dismantle designs to respond to appropriate treatment and recycling of end-of-life vehicles and resource issues, and provide suitable information *1 Large batteries, fuel cell (FC), hydrogen tank	• Continued to integrate easy-to-dismantle designs into new models and provided suitable information through appropriate treatment manuals	✓✓
	11	Toyota Global Car-to-Car Recycle Project	• Establish a safe and efficient system for Battery 3R,*2 eyeing the widespread use of electrified vehicles • Aim to maximize the collection and detoxification of end-of-life batteries globally • Start engaging in Battery 3R initiatives throughout 5 regions—Japan, the U.S., Europe, China, and Asia *2 Reduce, reuse/rebuilt, recycle	• Reuse • Thailand: A stationary Battery Energy Storage System (BESS) using EV batteries has started • Recycling • Japan: Demonstrations of a battery recycling process that separates and recovers rare metals without incineration are ongoing	✓✓
			• Develop technologies to utilize recycled materials (especially plastics) in accordance with the conditions in each region • Promote utilization through technological development to optimally exploit recycled materials in Europe and to increase the supply of recycled materials in Japan	• Began concrete studies to expand the utilization of recycled materials in response to the circular economy • Step-by-step application of the use of recycled plastics started with the Prius in December 2022, and expanded to the RAV4 and the Crown Sport in fiscal year 2026 with the aim of achieving the target of expanding the use of recycled plastics by 2030 (Refer to p. 47 for details of the initiative)	✓✓

Evaluation legend
✓✓: Achieved
✓: Challenges remain
—: Unachieved

Six Challenges	No.	Action Items	Specific Actions and Targets	Progress Results for Fiscal Year 2026	Evaluation
Challenge of Establishing a Future Society in Harmony with Nature	12	Toyota Green Wave Project	• Achieve Plant in Harmony with Nature at six plants in Japan and four plants overseas • Promote activities to connect with local communities in collaboration with affiliated companies • Start activities promoting harmony with nature in collaboration with local communities and companies toward biodiversity conservation	• Established 6 plants in Japan and 4 model plants overseas and continued to promote initiatives by sharing know-how with other plants (One plant in Japan has been certified as one of the Nationally Certified Sustainably Managed Natural Sites based on the Act on Promoting Activities to Enhance Regional Biodiversity of Japan and has been added to the World Database on OECMs • Conducted activities in collaboration with 25 Toyota Group companies and global affiliates (Number of activities from 2021 to 2025: 4,528)	✓✓
	13	Toyota Today for Tomorrow Project	• Globally strengthen the conservation of endangered species, which symbolize biodiversity, in collaboration with NGOs and others	• In fiscal year 2021, completed a support agreement and other memorandums of cooperation with the IUCN for the assessment of endangered species and the selection of projects to be supported by the Toyota Environmental Activities Grant Program	✓✓
	14	Toyota ESD*1 Project	• Implement globally unified initiatives to foster environmentally conscious persons responsible for the future ◦ Offer environmental education opportunities by utilizing biotopes and other facilities in collaboration with the Plant in Harmony with Nature ◦ Foster environmentally conscious persons at both in-house and outside facilities, such as plants and the Forest of Toyota, by effectively utilizing educational tools in harmony with nature for the next generation *1 Education for Sustainable Development	• Conducted environmental education programs around the world [Case in Japan] ◦ Environmental learning session: Plant in Harmony with Nature (64 sessions), The Forest of Toyota (217 sessions)	✓✓
Environmental Management	15	Chemical substances	• Implement thorough management by carefully considering legal trends in each country and region	• Steadily introduced vehicles that comply with the latest regulations and restricted substances • Promoted continued evaluation of and improvements to the chemical substance management system together with affiliates and suppliers in each region	✓✓
	16	Air quality	• Product Steadily introduce low-emission vehicles and boost further improvement by introducing and increasing ZEVs*2 • Production Continue volatile organic compound (VOC) emission reduction activities and maintain an industry-leading position *2 Zero Emission Vehicles: Vehicles emit no CO_2 or nitrogen oxides (NOx) during operation, such as battery electric vehicles (BEVs) and fuel cell vehicles (FCEVs).	• Product ◦ In response to stricter exhaust gas regulations in various countries and regions, introduced vehicles that satisfy those regulations • Production ◦ Promoted a switch to water-based paint for painting bumpers ◦ Implemented initiatives to completely eliminate the use of ozone-depleting substances (ODS) with no significant emissions of these substances	✓✓
	17	Waste	• Promote activities to thoroughly reduce waste globally, and aim to minimize the volume of resource input and waste, keeping the environment and economy in balance	• Promoted activities to reduce waste through the development and introduction of waste reduction-oriented production technologies and daily improvement	✓✓
	18	Logistics packaging	• Implement initiatives to reduce and recycle plastics used in packaging and recycle them	• Continued to promote the reduction of plastics used in packaging by reviewing packaging specifications and actively using of recycled materials	✓✓
	19	Risk management GRI 306-3	• Thoroughly comply with environmental laws and regulations and strengthen proactive environmental risk prevention activities in each country and region	• There were 8 environmental non-compliance issues in production areas (3 in Japan and 5 in other regions) and 2 environmental non-compliance issues in non-production areas (2 in Japan and 0 in other regions), for which countermeasures were completed No major breaches of environmental laws or regulations, nor any instances of environmental non-compliance, have occurred	✓✓

The 8th Toyota Environmental Action Plan (2030 Target)

GRI 101-1

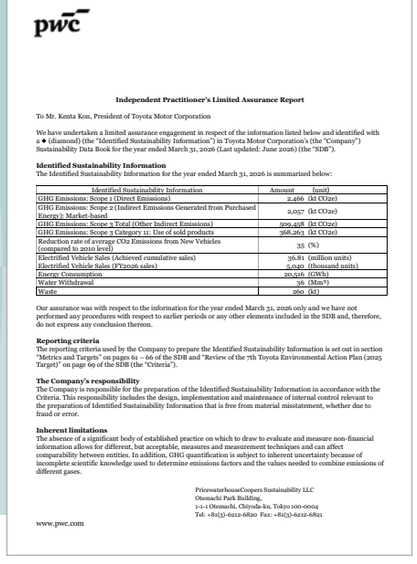
- Toward the realization of Toyota Environmental Challenge 2050, we have formulated the 8th Toyota Environmental Action Plan (2030 target), a new five-year action plan, and begun its implementation this April.
- Based on the three pillars that Toyota has long prioritized—Carbon Neutrality (CN), Circular Economy (CE), and Nature Positive (NP)—we have developed specific targets for 17 categories.
- In 10 overseas countries and regions (North America, Europe, China, Asia, India, South America, South Africa, Australia, New Zealand, and South Korea), regional 2030 targets have been formulated in line with this.

Action Items			2030 target
Carbon Neutrality (CN)	Life cycle		• Reduce life cycle GHG emissions by 30% per unit compared to fiscal year 2020 levels
	Scopes 1 and 2		• Reduce GHG emissions from corporate activities by 47% compared to fiscal year 2020 levels • Utilize low-carbon technologies including hydrogen and CN fuels
		Renewable electricity	• Achieve 80% introduction rate for renewable electricity
	Scope 3	Category 4 Upstream transportation and distribution	• Continuously improve transportation efficiency and utilize low-carbon technologies including hydrogen and CN fuels for medium-term GHG reduction
		Category 11 Use of sold products	• Reduce average GHG emissions*1 per new vehicle • by 33.3% for passenger light duty vehicles and light commercial vehicles from calender year 2019 levels • by 11.6% for medium and heavy freight trucks from calendar year 2019 levels *1 g CO_2e/km, Well to Wheel: Includes GHG emissions from the production of fuel and electricity, as well as GHG emissions during vehicle operation
Circular Economy (CE)	Recycled materials		<Toyota Global Car-to-Car Recycle Project> • Aim to use 30% or more recycled materials on average*2 to facilitate the creation of a society that maximizes resource circulation by 2050 (Scope: New models introduced after 2030) *2 On a vehicle weight basis
	Product design		• Expand the introduction of circular product design*3 *3 Easy-to-dismantle product design, etc.
	Battery		<Toyota Global Car-to-Car Recycle Project> • Reduce: Aim to reduce the amount of critical minerals in next-generation batteries • Reuse: • Promote the commercialization of the battery ecosystem concept in accordance with the circumstances in each country and region, starting with the joint-venture project in China • Develop technologies that enable the reuse of automotive batteries with cost efficiency and high quality • Recycling: Establish a battery-to-battery recycling supply chain and start the utilization of recycled critical minerals such as Ni, Co, and Li
	Appropriate treatment and recycling of end-of-life vehicles		<Toyota Global 100 Dismantlers Project> • Start demonstrations of resource circulation originated from model facilities (facilities for appropriate treatment and recycling of end-of-life vehicles)
	Waste		• Promote activities to thoroughly reduce waste globally and aim to minimize the volume of resource input and waste, with the environment and economy in balance • Manage the waste volume at global plants per vehicle produced below fiscal year 2020 levels
Nature Positive (NP)	Harmony with nature		• Increase sites in harmony with nature • Provide support for environmental NGOs and environmental education (inside and outside Toyota) • Promote the All Toyota Green Wave Project
	Water	Water quantity	• Manage water withdrawal at global plants per vehicle produced below fiscal year 2020 levels (While Toyota has steadily reduced water withdrawal so far, the subsidiarization of battery production companies will result in an increase. Toyota will promote further efforts to manage water withdrawal below fiscal year 2020 levels and develop management targets for plants in focused regions.*4) *4 Regions of concern for water scarcity and pollution identified through external evaluation
		Water quality	• Develop management targets for plants in focused regions
Environmental Management	Environmental education		• Disseminate the image of the Toyota's ideal environmentally conscious person throughout global Toyota
	Chemical substances		• Implement thorough management by carefully considering legal trends in each country and region
	Air quality		• Product: Introduce steadily low-emission vehicles and contribute to further improvement by introducing and increasing zero emission vehicles (ZEVs) • Production: Continue volatile organic compound (VOC) emissions mitigation activities and maintain industry-leading levels
	Risk management		• Thoroughly comply with environmental laws and regulations and strengthen proactive prevention activities for environmental risks in each country and region

Updated in June 2026

Third-Party Assurance

GRI 2-5



Independent Practitioner's Limited Assurance Report

To Mr. Kenta Kon, President of Toyota Motor Corporation

We have undertaken a limited assurance engagement in respect of the information listed below and identified with a ◆ (diamond) (the "Identified Sustainability Information") in Toyota Motor Corporation's (the "Company") Sustainability Data Book for the year ended March 31, 2026 (Last updated: June 2026) (the "SDB").

Identified Sustainability Information
The Identified Sustainability Information for the year ended March 31, 2026 is summarized below:

Identified Sustainability Information	Amount (unit)
GHG Emissions: Scope 1 (Direct Emissions)	2,466 (kt CO2e)
GHG Emissions: Scope 2 (Indirect Emissions Generated from Purchased Energy): Market-based	2,057 (kt CO2e)
GHG Emissions: Scope 3 Total (Other Indirect Emissions)	500,458 (kt CO2e)
GHG Emissions: Scope 3 Category 11: Use of sold products	368,263 (kt CO2e)
Reduction rate of average CO2 Emissions from New Vehicles (compared to 2010 level)	35 (%)
Electrified Vehicle Sales (Achieved cumulative sales)	36.81 (million units)
Electrified Vehicle Sales (FY2026 sales)	5,049 (thousand units)
Energy Consumption	20,516 (GWh)
Water Withdrawal	35 (Mm³)
Waste	269 (kt)

Our assurance was with respect to the information for the year ended March 31, 2026 only and we have not performed any procedures with respect to earlier periods or any other elements included in the SDB and, therefore, do not express any conclusion thereon.

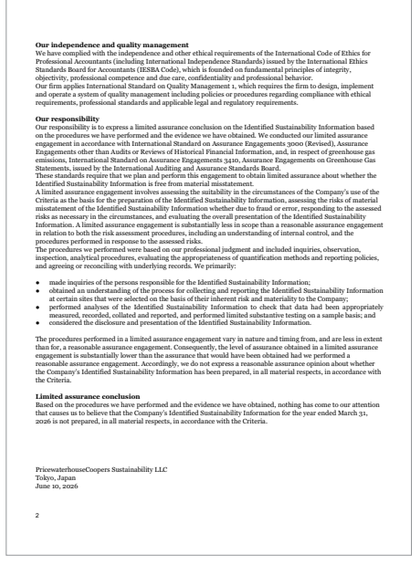
Reporting criteria
The reporting criteria used by the Company to prepare the Identified Sustainability Information is set out in section "Metrics and Targets" on pages 61 – 66 of the SDB and "Review of the 7th Toyota Environmental Action Plan (2025 Target)" on page 69 of the SDB (the "Criteria").

The Company's responsibility
The Company is responsible for the preparation of the Identified Sustainability Information in accordance with the Criteria. This responsibility includes the design, implementation and maintenance of internal control relevant to the preparation of Identified Sustainability Information that is free from material misstatement, whether due to fraud or error.

Inherent limitations
The absence of a significant body of established practice on which to draw to evaluate and measure non-financial information allows for different, but acceptable, measures and measurement techniques and can affect comparability between entities. In addition, GHG quantification is subject to inherent uncertainty because of incomplete scientific knowledge used to determine emissions factors and the values needed to combine emissions of different gases.

PricewaterhouseCoopers Sustainability LLC
Otemachi Park Building,
1-1-1 Otemachi, Chiyoda-ku, Tokyo 100-0004
Tel: +81(3)-6212-6820 Fax: +81(3)-6212-6821

www.pwc.com



Our independence and quality management
We have complied with the independence and other ethical requirements of the International Code of Ethics for Professional Accountants (including International Independence Standards) issued by the International Ethics Standards Board for Accountants (IESBA Code), which is founded on fundamental principles of integrity, objectivity, professional competence and due care, confidentiality and professional behavior.
Our firm applies International Standard on Quality Management 1, which requires the firm to design, implement and operate a system of quality management including policies or procedures regarding compliance with ethical requirements, professional standards and applicable legal and regulatory requirements.

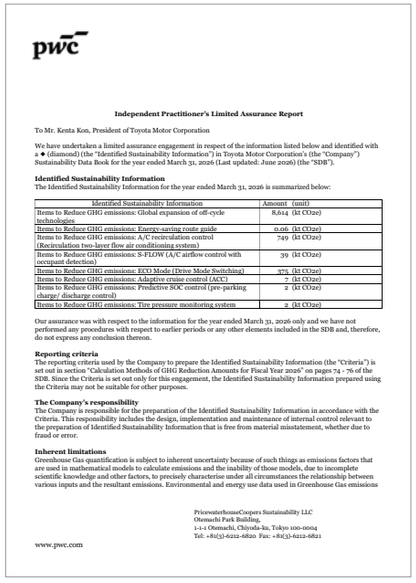
Our responsibility
Our responsibility is to express a limited assurance conclusion on the Identified Sustainability Information based on the procedures we have performed and the evidence we have obtained. We conducted our limited assurance engagement in accordance with International Standard on Assurance Engagements 3000 (Revised), Assurance Engagements other than Audits or Reviews of Historical Financial Information, and, in respect of greenhouse gas emissions, International Standard on Assurance Engagements 3410, Assurance Engagements on Greenhouse Gas Statements, issued by the International Auditing and Assurance Standards Board.
These standards require that we plan and perform this engagement to obtain limited assurance about whether the Identified Sustainability Information is free from material misstatement.
A limited assurance engagement involves assessing the suitability in the circumstances of the Company's use of the Criteria as the basis for the preparation of the Identified Sustainability Information, assessing the risks of material misstatement of the Identified Sustainability Information whether due to fraud or error, responding to the assessed risks as necessary in the circumstances, and evaluating the overall presentation of the Identified Sustainability Information. A limited assurance engagement is substantially less in scope than a reasonable assurance engagement in relation to both the risk assessment procedures, including an understanding of internal control, and the procedures performed in response to the assessed risks.
The procedures we performed were based on our professional judgment and included inquiries, observation, inspection, analytical procedures, evaluating the appropriateness of quantification methods and reporting policies, and agreeing or reconciling with underlying records. We primarily:

- made inquiries of the persons responsible for the Identified Sustainability Information;
- obtained an understanding of the process for collecting and reporting the Identified Sustainability Information at certain sites that were selected on the basis of their inherent risk and materiality to the Company;
- performed analyses of the Identified Sustainability Information to check that data had been appropriately measured, recorded, collated and reported, and performed limited substantive testing on a sample basis; and
- considered the disclosure and presentation of the Identified Sustainability Information.

The procedures performed in a limited assurance engagement vary in nature and timing from, and are less in extent than for, a reasonable assurance engagement. Consequently, the level of assurance obtained in a limited assurance engagement is substantially lower than the assurance that would have been obtained had we performed a reasonable assurance engagement. Accordingly, we do not express a reasonable assurance opinion about whether the Company's Identified Sustainability Information has been prepared, in all material respects, in accordance with the Criteria.

Limited assurance conclusion
Based on the procedures we have performed and the evidence we have obtained, nothing has come to our attention that causes us to believe that the Company's Identified Sustainability Information for the year ended March 31, 2026 is not prepared, in all material respects, in accordance with the Criteria.

PricewaterhouseCoopers Sustainability LLC
Tokyo, Japan
June 10, 2026



Independent Practitioner's Limited Assurance Report

To Mr. Kenta Kon, President of Toyota Motor Corporation

We have undertaken a limited assurance engagement in respect of the information listed below and identified with a ◆ (diamond) (the "Identified Sustainability Information") in Toyota Motor Corporation's (the "Company") Sustainability Data Book for the year ended March 31, 2026 (Last updated: June 2026) (the "SDB").

Identified Sustainability Information
The Identified Sustainability Information for the year ended March 31, 2026 is summarized below:

Identified Sustainability Information	Amount (unit)
Items to Reduce GHG emissions: Global expansion of off-cycle technologies	8,614 (kt CO2e)
Items to Reduce GHG emissions: Energy-saving route guide	0.06 (kt CO2e)
Items to Reduce GHG emissions: A/C recirculation control (Recirculation two-layer flow air conditioning system)	749 (kt CO2e)
Items to Reduce GHG emissions: S-FLOW (A/C airflow control with occupant detection)	39 (kt CO2e)
Items to Reduce GHG emissions: ECO Mode (Drive Mode Switching)	375 (kt CO2e)
Items to Reduce GHG emissions: Adaptive cruise control (ACC)	7 (kt CO2e)
Items to Reduce GHG emissions: Predictive SOC control (pre-parking charge/ discharge control)	2 (kt CO2e)
Items to Reduce GHG emissions: Tire pressure monitoring system	2 (kt CO2e)

Our assurance was with respect to the information for the year ended March 31, 2026 only and we have not performed any procedures with respect to earlier periods or any other elements included in the SDB and, therefore, do not express any conclusion thereon.

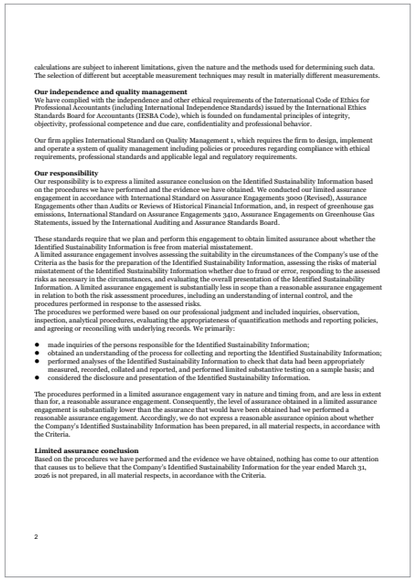
Reporting criteria
The reporting criteria used by the Company to prepare the Identified Sustainability Information (the "Criteria") is set out in section "Calculation Methods of GHG Reduction Amounts for Fiscal Year 2026" on pages 74 - 76 of the SDB. Since the Criteria is set out only for this engagement, the Identified Sustainability Information prepared using the Criteria may not be suitable for other purposes.

The Company's responsibility
The Company is responsible for the preparation of the Identified Sustainability Information in accordance with the Criteria. This responsibility includes the design, implementation and maintenance of internal control relevant to the preparation of Identified Sustainability Information that is free from material misstatement, whether due to fraud or error.

Inherent limitations
Greenhouse Gas quantification is subject to inherent uncertainty because of such things as emissions factors that are used in mathematical models to calculate emissions and the inability of those models, due to incomplete scientific knowledge and other factors, to precisely characterise under all circumstances the relationship between various inputs and the resultant emissions. Environmental and energy use data used in Greenhouse Gas emissions

PricewaterhouseCoopers Sustainability LLC
Otemachi Park Building,
1-1-1 Otemachi, Chiyoda-ku, Tokyo 100-0004
Tel: +81(3)-6212-6820 Fax: +81(3)-6212-6821

www.pwc.com



calculations are subject to inherent limitations, given the nature and the methods used for determining such data. The selection of different but acceptable measurement techniques may result in materially different measurements.

Our independence and quality management
We have complied with the independence and other ethical requirements of the International Code of Ethics for Professional Accountants (including International Independence Standards) issued by the International Ethics Standards Board for Accountants (IESBA Code), which is founded on fundamental principles of integrity, objectivity, professional competence and due care, confidentiality and professional behavior.

Our firm applies International Standard on Quality Management 1, which requires the firm to design, implement and operate a system of quality management including policies or procedures regarding compliance with ethical requirements, professional standards and applicable legal and regulatory requirements.

Our responsibility
Our responsibility is to express a limited assurance conclusion on the Identified Sustainability Information based on the procedures we have performed and the evidence we have obtained. We conducted our limited assurance engagement in accordance with International Standard on Assurance Engagements 3000 (Revised), Assurance Engagements other than Audits or Reviews of Historical Financial Information, and, in respect of greenhouse gas emissions, International Standard on Assurance Engagements 3410, Assurance Engagements on Greenhouse Gas Statements, issued by the International Auditing and Assurance Standards Board.

These standards require that we plan and perform this engagement to obtain limited assurance about whether the Identified Sustainability Information is free from material misstatement.
A limited assurance engagement involves assessing the suitability in the circumstances of the Company's use of the Criteria as the basis for the preparation of the Identified Sustainability Information, assessing the risks of material misstatement of the Identified Sustainability Information whether due to fraud or error, responding to the assessed risks as necessary in the circumstances, and evaluating the overall presentation of the Identified Sustainability Information. A limited assurance engagement is substantially less in scope than a reasonable assurance engagement in relation to both the risk assessment procedures, including an understanding of internal control, and the procedures performed in response to the assessed risks.
The procedures we performed were based on our professional judgment and included inquiries, observation, inspection, analytical procedures, evaluating the appropriateness of quantification methods and reporting policies, and agreeing or reconciling with underlying records. We primarily:

- made inquiries of the persons responsible for the Identified Sustainability Information;
- obtained an understanding of the process for collecting and reporting the Identified Sustainability Information;
- performed analyses of the Identified Sustainability Information to check that data had been appropriately measured, recorded, collated and reported, and performed limited substantive testing on a sample basis; and
- considered the disclosure and presentation of the Identified Sustainability Information.

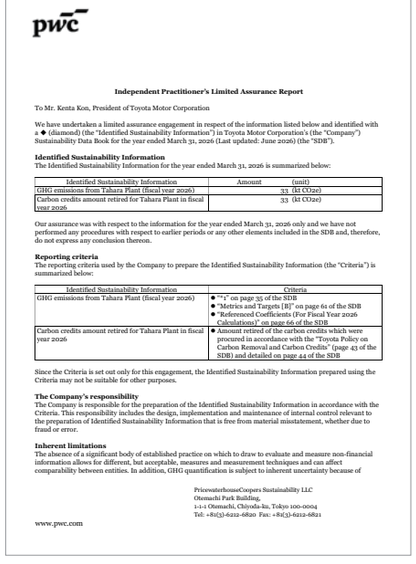
The procedures performed in a limited assurance engagement vary in nature and timing from, and are less in extent than for, a reasonable assurance engagement. Consequently, the level of assurance obtained in a limited assurance engagement is substantially lower than the assurance that would have been obtained had we performed a reasonable assurance engagement. Accordingly, we do not express a reasonable assurance opinion about whether the Company's Identified Sustainability Information has been prepared, in all material respects, in accordance with the Criteria.

Limited assurance conclusion
Based on the procedures we have performed and the evidence we have obtained, nothing has come to our attention that causes us to believe that the Company's Identified Sustainability Information for the year ended March 31, 2026 is not prepared, in all material respects, in accordance with the Criteria.



Restrictions on Use
This assurance report has been prepared solely for the purpose of providing management of the Company with assurance on the Identified Sustainability Information prepared in accordance with the Criteria and should not be used for any other purpose. To the fullest extent permitted by law, we assume no responsibility to anyone other than the Company and management for our work or for this report.

PricewaterhouseCoopers Sustainability LLC
Tokyo, Japan
June 10, 2026



Independent Practitioner's Limited Assurance Report

To Mr. Kenta Kon, President of Toyota Motor Corporation

We have undertaken a limited assurance engagement in respect of the information listed below and identified with a ◆ (diamond) (the "Identified Sustainability Information") in Toyota Motor Corporation's (the "Company") Sustainability Data Book for the year ended March 31, 2026 (Last updated: June 2026) (the "SDB").

Identified Sustainability Information
The Identified Sustainability Information for the year ended March 31, 2026 is summarized below:

Identified Sustainability Information	Amount (unit)
GHG emissions from Tahara Plant (fiscal year 2026)	33 (kt CO2e)
Carbon credits amount retired for Tahara Plant in fiscal year 2026	33 (kt CO2e)

Our assurance was with respect to the information for the year ended March 31, 2026 only and we have not performed any procedures with respect to earlier periods or any other elements included in the SDB and, therefore, do not express any conclusion thereon.

Reporting criteria
The reporting criteria used by the Company to prepare the Identified Sustainability Information (the "Criteria") is summarized below:

Identified Sustainability Information	Criteria
GHG emissions from Tahara Plant (fiscal year 2026)	● "7" on page 35 of the SDB ● "Metrics and Targets [8]" on page 61 of the SDB ● "Referenced Coefficients (For Fiscal Year 2026 Calculations)" on page 66 of the SDB
Carbon credits amount retired for Tahara Plant in fiscal year 2026	● Amount retired of the carbon credits which were procured in accordance with the "Toyota Policy on Carbon Removal and Carbon Credits" (page 43 of the SDB) and detailed on page 44 of the SDB

Since the Criteria is set out only for this engagement, the Identified Sustainability Information prepared using the Criteria may not be suitable for other purposes.

The Company's responsibility
The Company is responsible for the preparation of the Identified Sustainability Information in accordance with the Criteria. This responsibility includes the design, implementation and maintenance of internal control relevant to the preparation of Identified Sustainability Information that is free from material misstatement, whether due to fraud or error.

Inherent limitations
The absence of a significant body of established practice on which to draw to evaluate and measure non-financial information allows for different, but acceptable, measures and measurement techniques and can affect comparability between entities. In addition, GHG quantification is subject to inherent uncertainty because of

PricewaterhouseCoopers Sustainability LLC
Otemachi Park Building,
1-1-1 Otemachi, Chiyoda-ku, Tokyo 100-0004
Tel: +81(3)-6212-6820 Fax: +81(3)-6212-6821

www.pwc.com



incomplete scientific knowledge used to determine emissions factors and the values needed to combine emissions of different gases.

Carbon Credits are subject to inherent limitations, including but not limited to the extent of environmental or social impact, the risk of double counting, lack of additionality and permanence, possible leakage, and uncertainties as to whether the expected removals will occur. This could impact the estimated removal of CO2e assigned to those credits.

Our independence and quality management
We have complied with the independence and other ethical requirements of the International Code of Ethics for Professional Accountants (including International Independence Standards) issued by the International Ethics Standards Board for Accountants (IESBA Code), which is founded on fundamental principles of integrity, objectivity, professional competence and due care, confidentiality and professional behavior.

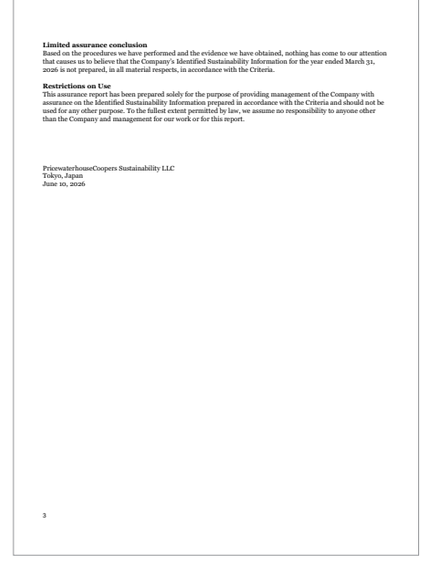
Our firm applies International Standard on Quality Management 1, which requires the firm to design, implement and operate a system of quality management including policies or procedures regarding compliance with ethical requirements, professional standards and applicable legal and regulatory requirements.

Our responsibility
Our responsibility is to express a limited assurance conclusion on the Identified Sustainability Information based on the procedures we have performed and the evidence we have obtained. We conducted our limited assurance engagement in accordance with International Standard on Assurance Engagements 3000 (Revised), Assurance Engagements other than Audits or Reviews of Historical Financial Information, and, in respect of greenhouse gas emissions, International Standard on Assurance Engagements 3410, Assurance Engagements on Greenhouse Gas Statements, issued by the International Auditing and Assurance Standards Board.

These standards require that we plan and perform this engagement to obtain limited assurance about whether the Identified Sustainability Information is free from material misstatement.
A limited assurance engagement involves assessing the suitability in the circumstances of the Company's use of the Criteria as the basis for the preparation of the Identified Sustainability Information, assessing the risks of material misstatement of the Identified Sustainability Information whether due to fraud or error, responding to the assessed risks as necessary in the circumstances, and evaluating the overall presentation of the Identified Sustainability Information. A limited assurance engagement is substantially less in scope than a reasonable assurance engagement in relation to both the risk assessment procedures, including an understanding of internal control, and the procedures performed in response to the assessed risks.
The procedures we performed were based on our professional judgment and included inquiries, observation, inspection, analytical procedures, evaluating the appropriateness of quantification methods and reporting policies, and agreeing or reconciling with underlying records. We primarily:

- made inquiries of the persons responsible for the Identified Sustainability Information;
- obtained an understanding of the process for collecting and reporting the Identified Sustainability Information;
- performed analyses to check that the data had been appropriately measured, recorded, collated and reported, and limited substantive testing on a sample basis for the GHG emissions;
- traced the amount of retired carbon credits to the relevant Notices of Cancellation, based on our understanding of the applicable credit scheme; and
- considered the disclosure and presentation of the Identified Sustainability Information.

The procedures performed in a limited assurance engagement vary in nature and timing from, and are less in extent than for, a reasonable assurance engagement. Consequently, the level of assurance obtained in a limited assurance engagement is substantially lower than the assurance that would have been obtained had we performed a reasonable assurance engagement. Accordingly, we do not express a reasonable assurance opinion about whether the Company's Identified Sustainability Information has been prepared, in all material respects, in accordance with the Criteria.



Limited assurance conclusion
Based on the procedures we have performed and the evidence we have obtained, nothing has come to our attention that causes us to believe that the Company's Identified Sustainability Information for the year ended March 31, 2026 is not prepared, in all material respects, in accordance with the Criteria.

Restrictions on Use
This assurance report has been prepared solely for the purpose of providing management of the Company with assurance on the Identified Sustainability Information prepared in accordance with the Criteria and should not be used for any other purpose. To the fullest extent permitted by law, we assume no responsibility to anyone other than the Company and management for our work or for this report.

PricewaterhouseCoopers Sustainability LLC
Tokyo, Japan
June 10, 2026

Calculation Methods of GHG Reduction Amounts for Fiscal Year 2026

Toyota's greenhouse gas (GHG) reduction targets, covering Scopes 1, 2, and 3 emissions, have been approved by the Science Based Targets initiative (SBTi) as being aligned with the Paris Agreement. We provide annual reports on our progress.
Beyond these reduction efforts across Scopes 1, 2, and 3, we are also accelerating development of GHG-reducing functions in our vehicle and promoting their spread, with the aim of further contributing to decarbonization. By disclosing the GHG reduction impact of these functions and by encouraging customers to increase the use and installation of such functions, we engage in GHG emission reduction based on the multi-pathway strategy.
This section outlines the GHG reduction effect calculation methods during operation in order to provide greater transparency.

Target function	Purpose of disclosure	Calculation method	Scope of report
Global Expansion of Off-Cycle Technologies	■ Purpose of disclosure • Toyota is advancing its off-cycle technologies as part of the multi-pathway strategy, with the aim of increasing installation rates by highlighting the GHG emission reduction effects of these technologies ■ Description of the technology Items to Reduce GHG emissions, **p. 41**	■ Assumption • Fuel efficiency that does not consider off-cycle function effects ■ Scope • Country/Region and period: [Japan] April 1, 2024 to March 31, 2025 [U.S.] January 1, 2023 to December 31, 2024 [Europe] January 1, 2024 to December 31, 2024 [China] January 1, 2024 to December 31, 2024 [Saudi Arabia] January 1, 2024 to December 31, 2024 • Vehicles: [Japan] Manufactured vehicles (number of units registered) [U.S.] Manufactured vehicles (2024 model year vehicles) [Europe] Registered vehicles (number of units announced by authorities) [China (locally produced vehicles)] Manufactured vehicles (number of units registered) [China (imported vehicles)] Imported vehicles (number of units landed) [Saudi Arabia] Manufactured vehicles (number of units that obtained type approval) • GHG reduction effects: This applies to the reduction effect during operation*1; however, it is calculated on a WtW basis that includes GHG emissions during the fuel and electricity mining and production stage (WtT) in addition to the GHG emissions generated during the process of vehicle propulsion by the engine or motor (TtW)*2 *1 The calculation covers energy consumption related to vehicle operation, excluding upstream and downstream effects *2 Emission intensity: Emission factor of each powertrain calculated in Scope 3 category 11 ■ Primary calculation formula: (1) × (2) × (3) × (4) (1) GHG reduction effects within the scope given by off-cycle technology*3 (kg CO_2e/unit/km) [Countries/Regions introducing the off-cycle system: The U.S., Europe, China, and Saudi Arabia] Calculated based on the effects verified by the vehicle model by the authorities of each country and region [Country/Region NOT introducing the off-cycle system: Japan] Calculated by multiplying the GHG reduction effects verified by the vehicle model by the U.S. authorities by the coefficient for each usage environment (ambient temperature and idling time)*4 (2) Annual mileage*3 (km/year) (3) Lifetime usage period*3 (years) (4) Number of units in each country and region in fiscal year 2026 *3 Calculated according to the SBTi guidance Annual mileage and lifetime usage period refer to the IEA Mobility Model *4 · Ambient temperature: Refers to IMAC-GHG-LCCP*5 · Idling time: Calculated using the ratio of stopping time in fuel efficiency measuring mode in the U.S. and Japan *5 IMPROVED MOBILE AIR CONDITIONING-GREENHOUSE GAS-LIFE CYCLE CLIMATE PERFORMANCE (IMAC-GHG-LCCP) TOOL	Reduction effect in lifetime mileage in operation of vehicles specified in the scope

Target function	Purpose of disclosure	Calculation method	Scope of report
Understanding GHG Reduction Effects Through Connected Data			
Guidance on Energy-Saving Routes	■ Purpose of disclosure • Toyota is advancing its actual fuel efficiency technologies as part of the multi-pathway strategy, with the aim of increasing installation rates and improving customer usage rates by highlighting the GHG emission reduction effects of these technologies ■ Description of the technology Items to Reduce GHG emissions, **p. 41**	■ Assumption • Recommended route,*1 which was chosen by a majority among options *1 Routes suggested first by the navigation system, balancing factors such as toll costs, time, and ease of driving ■ Scope • Country/Region and period: [Japan] April 1, 2025 to March 31, 2026 • Vehicles: • Engine-powered vehicles (ICE vehicles and hybrid electric vehicles (HEVs)) sold under the Toyota Motor Corporation brand • Vehicles equipped with DCM that can give data allowing evaluation of this technology • GHG reduction effects: This applies to the reduction effect during operation*2; however, it is calculated on a WtW basis that includes GHG emissions during the fuel and electricity mining and production stage (WtT) in addition to the GHG emissions generated during the process of vehicle propulsion by the engine or motor (TtW)*3 *2 The calculation covers energy consumption related to vehicle operation, excluding upstream and downstream effects *3 Emission intensity: Emission factor of each powertrain calculated in Scope 3 category 11 ■ Primary calculation formula: (1) × (2) × (3) (1) Average GHG emissions (kg CO_2e/km) by powertrain type (2) Distance traveled on energy-saving routes by powertrain type*4 (km) Ratio of each powertrain × Annual distance traveled using the energy-saving route function (km) (3) Fuel reduction rate*5 by powertrain when traveling on energy-saving routes (%) *4 The annual distance is estimated using actual data for November 2025, since seasonal variation does not need to be considered *5 Calculated based on all of the recommended and energy-saving routes, deeming them similar in terms of travel conditions	Reduction effect in operation of vehicles and in the period specified in the scope

Target function	Purpose of disclosure	Calculation method	Scope of report
Understanding GHG Reduction Effects Through Connected Data			
Air Conditioning Recirculation Control **S-FLOW** **Eco-SW** **Adaptive Cruise Control** **Predictive SOC Control** **Tire Pressure Monitoring System**	■ Purpose of disclosure • Toyota is advancing its actual fuel efficiency technologies as part of the multi-pathway strategy, with the aim of increasing installation rates and improving customer usage rates by highlighting the GHG emission reduction effects of these technologies ■ Description of these technologies Items to Reduce GHG emissions, **p. 41**	■ Assumption • Fuel efficiency when each function is inactivated ■ Scope • Country/Region and period: [Japan] April 1, 2025 to March 31, 2026 • Vehicles: • Engine-powered vehicles (ICE vehicles and HEVs) sold under the Toyota Motor Corporation brand • Vehicles equipped with DCM that can give data allowing evaluation of these technologies • GHG reduction effects: This applies to the reduction effect during operation*1; however, it is calculated on a WtW basis that includes GHG emissions during the fuel and electricity mining and production stage (WtT) in addition to the GHG emissions generated during the process of vehicle propulsion by the engine or motor (TtW)*2 *1 The calculation covers energy consumption related to vehicle operation, excluding upstream and downstream effects *2 Emission intensity: Emission factor of each powertrain calculated in Scope 3 category 11 ■ Primary calculation formula: (1) × (2) × (3) × (4) (1) GHG emissions*3 when a function is activated (kg CO_2e/unit/km) • Air Conditioning Recirculation Control: Comparison when using air conditioning • S-FLOW: Comparison when only the driver is seated • Eco-SW: Comparison in all states during operation • Adaptive Cruise Control (ACC): Comparison during driving on the highway • Predictive SOC Control: Comparison of driving after a cold start • Tire Pressure Monitoring System: Comparison between periods when tire pressure is below the recommended value and after it is adjusted to above the recommended value (2) Annual mileage*4 (km/year) (3) Lifetime usage period*4 (year) (4) Actual number of units sold (unit) *3 Taking into consideration GHG reduction effects per unit of distance, the occurrence rate of driving conditions and usage environments where the function activates, the utilization rate, and the emission intensity. Considers the driving conditions and data extraction period (annual or seasonal) in order to enable allocation for each technology *4 Calculated according to the SBTi guidance · Annual mileage and lifetime usage period refer to the IEA Mobility Model	Reduction effect in lifetime mileage in operation of vehicles specified in the scope

Social

79 People Working at Toyota (Own Workforce)
82 Respect for Human Rights
87 Human Resource Development
95 Dialogue with Employees
100 Diversity, Equity, and Inclusion (DE&I)
110 Labor Practices
113 Health and Safety
122 Value Chain Collaboration
129 Vehicle Safety
134 Quality and Service
139 Information Security
142 Privacy
145 AI
146 Intellectual Propert
147 Social Contribution
148 Social Data

Updated in September 2026

People Working at Toyota (Own Workforce)

Fundamental Approach

Aim

- Regarding people as our greatest asset and developing the talent that will shape the future based on the philosophy that "*monozukuri* (manufacturing) begins with developing people."

Developing People Who Act for the Sake of Others

- The common foundation for Toyota's human resource development is as follows:
  - Philosophy: Toyota Philosophy
  - Skills: Toyota Production System (TPS)
  - Behavior: Toyota Way 2020
- Based on the philosophy of **"for the sake of others,"** Toyota* develops people who acquire TPS skills—thoroughly eliminating Muda (waste) and shortening lead times—and embody that philosophy through their behavior.
- Guided by the principle of "Respect for People," individuals with diverse knowledge, skills, and values respect and support one another while continuously pursuing improvement, thereby contributing to the growth of both individuals and the organization.

* For definitions of "Toyota," "Toyota Group companies," and "Toyota Motor Corporation" as used in this document, see p.1 "Toyota References in This Document"

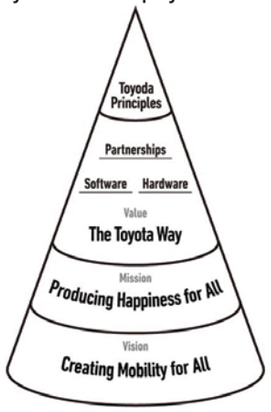
P. 1 Toyota References in This Document

"Making Ever-better Cars, Best-in-Town"

- By enabling *genba* (frontline workplaces) rooted in their communities to act autonomously and make **"ever-better cars"** that respond to customer needs and social issues that differ by region, Toyota aims to become the **"best-in-town"** company—loved by and relied upon by the local community.
- To support this, the company and its employees engage in dialogue at *genba* in each region and company, and work together to create optimal talent development and workplace environments that support the sustainable growth of both individuals and the organization.

Toyota Philosophy | Toyota Production System | Toyota Way 2020

Toyota Philosophy



Toyota Production System (TPS)

TPS has been Toyota's management principle since the foundation of Toyota. The two pillars of TPS are "*Jidoka*" and "*Just-In-Time*." *Jidoka* (automation with a human touch) is rooted in the Toyoda power loom invented by Sakichi Toyoda, and *Just-In-Time* was proposed by Kiichiro Toyoda. Toyota has been pursuing the optimization of production through thorough elimination of *Muda*.


Sakichi Toyoda


Kiichiro Toyoda

Toyota Way 2020

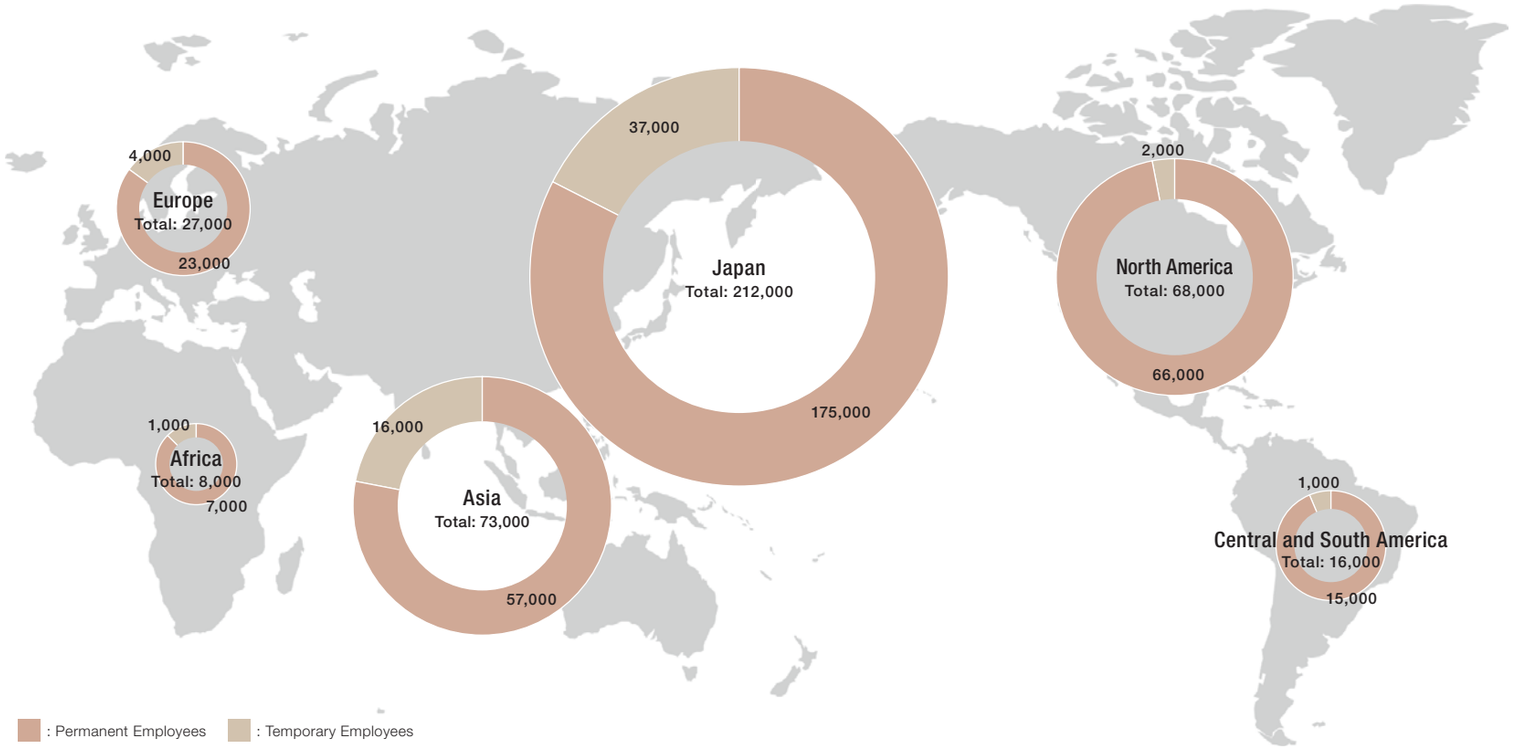
At Toyota We…

- Act for Others
- Work with Integrity
- Drive Curiosity
- Observe Thoroughly
- Get Better and Better
- Continue the Quest for Improvement
- Create Room to Grow
- Welcome Competition
- Show Respect for People
- Thank People

People Working at Toyota

■ Employees and non-employees at Toyota Motor Corporation and its consolidated subsidiaries (including manufacturing, sales, financial services, and other businesses) are active across countries and regions worldwide.

Number of Employees in Major Regions*1 *2 (as of March 2026)



*1 Figures include only permanent employees and temporary employees as defined in the table on the right. All figures are rounded down to the nearest 1,000
*2 For Non-guaranteed working hours employees and non-employees, refer to the "Social Data" chapter

P. 148 Social Data

Definitions of Employees and Non-Employees with Reference to the ESRS (European Sustainability Reporting Standards)

Employees	Permanent Employees	• Workers with indefinite-term employment contracts (including part-time employees) • Executive officers with indefinite-term contracts
	Temporary Employees	• Employees with fixed-term employment contracts (including term employees) • Executive officers with fixed-term contracts • Interns with employment contracts • Employees accepted on secondment from within and outside the consolidated Group
	Non-guaranteed hours employees	• On-call employees*3
Non-employees		• Contractors (self-employed individuals and freelancers) • Agency workforce accepted from outside the consolidated Group

*3 Employees whose minimum or fixed working hours are not guaranteed and who are required to remain available to work as needed

Workforce Composition

■ On a consolidated basis, we have approximately 400,000 employees, the majority of whom are based in Japan primarily in Japan.

- By Employment Category
  - In major regions, permanent employees account for approximately 80% of the workforce.
  - To respond to seasonal and demand-related economic fluctuations, Toyota employs a certain number of fixed-term contract workers under appropriate working conditions based on the labor laws and practices of each country and region.
- By Region
  - About half of Toyota's consolidated employees are employed in Japan.
  - Asia and North America each account for just under 20% of the consolidated total.

P. 112 Actions to Address Precarious Work

Initiative

Materiality (Key Issues)

- Under its mission of “Producing Happiness for All,” Toyota identified six material issues*1 as it transforms into a mobility company.

*1 Expanding the Value of Mobility; Safety & Reliability; Coexistence of Humanity & the Earth; Supporting the Community & Employment; Active Contribution by All; and Strong Production & Business Operation

- Of the above, “Supporting the Community & Employment” and “Active Contribution by All” were translated into specific related to people working at Toyota, as shown in the table below.
- Toyota aims to create an environment in which all people working at Toyota can fully demonstrate their individuality, strengths, and abilities, thereby enabling the company to deliver better value to customers.

Materiality*2		Aim
Supporting the Community & Employment	Respect for Human Rights	Respect for the human rights of all people involved in our business activities
Active Contribution by All	Human Resource Development	Recruit and develop people who, based on the Toyota Philosophy, think independently and continue to act for the sake of others
	Dialogue with Employees	Promote action through dialogue between the company and employees based on “mutual trust and mutual responsibility”
	DE&I	Ensure that all people working at Toyota are respected and that those with diverse talents and values can fully demonstrate their individuality, strengths, and abilities
	Labor Practices	Contribute to employees’ peace of mind and the sustainable growth of local communities by ensuring stable employment and maintaining and improving working conditions
	Health and Safety	Continue to protect the health and well-being of employees and their families, while embedding a safety culture and striving for zero workplace accidents

*2 For details on the approach and actions for each material issue, please refer to the relevant chapter

P. 12 Materiality Identification Process

Identification of Material Impacts, Risks, and Opportunities (IROs)

- Based on the identified material issues, we identified the material IROs.

Material Impacts: Toyota’s Impact on Its Workforce

	Materiality	Category	Impact	Time Horizon*3	Value Chain
I-1	Respect for Human Rights	Positive	Respecting the fundamental human rights of people working at Toyota and creating an environment where everyone can work with peace of mind and fully demonstrate their abilities	Short, medium, and long term	Own operations
I-2		Negative	Violating the fundamental human rights of people working at Toyota through discrimination, harassment, child labor, forced labor, or related issues		
I-3	Human Resource Development	Positive	Embedding Toyota’s shared values and enhancing employee growth and fulfillment through work		
I-4	Dialogue with Employees	Positive	Promoting company growth and employee well-being through dialogue with employees and actions based on their feedback		
I-5	DE&I	Positive	Improving each individual’s well-being by enabling ways of working that allow them to leverage their diverse individuality, strengths, and abilities		
I-6	Labor Practices	Positive	Ensuring stable employment and contributing to local communities		
I-7		Positive	Fostering employees’ peace of mind through adequate compensation and flexible work styles		
I-8	Health and Safety	Positive	Building a foundation that enables employees to continue working with peace of mind by maintaining and promoting employees’ physical and mental health		
I-9		Negative	Experiencing injuries or illness due to work-related accidents		

Material Risks and Opportunities: Risks and Opportunities for Toyota Related to Its Workforce

	Materiality	Category	Risk/Opportunity	Time Horizon*3	Value Chain
RO-1	Human Resource Development	Opportunity	Promoting the transformation into a mobility company and enhancing productivity through talent acquisition and active employee contribution	Short, medium, and long term	Own operations
RO-2		Risk	Experiencing production limitations and stagnation in talent development and the transfer of technical skills due to increasing difficulty in securing talent	Medium and long term	
RO-3	DE&I	Opportunity	Creating innovation and retaining talent by enabling diverse talent to make active contributions and fully demonstrate their capabilities	Short, medium, and long term	

*3 short-term: up to 1 year; medium-term: more than 1 year and up to 5 years; long-term: more than 5 years

Policy for Managing Material IRO

- We have rolled out Toyota's Human Rights Policy across the consolidated Group.
  - The policy outlines our perspectives and approaches to prohibiting forced labor, human trafficking, and child labor, and to respecting diversity and non-discrimination.

P. 84 Human Rights Policy Development and Dissemination
Toyota’s Human Rights Policy

Updated in September 2026

Respect for Human Rights

GRI 2-25-26, 3-3

Overview
82 Fundamental Approach

Details
83 Organizational Structure
84 Human Rights Policy Development and Dissemination
85 Human Rights Due Diligence
86 Actions for Anti-harassment

Fundamental Approach

Aim

- Respect for the human rights of all people involved in our business activities.

Material Impacts, Risks, and Opportunities (IROs)*

	Category	Impact/Risk/Opportunity	Time Horizon	Value Chain
I-1	Positive impact	Respecting the fundamental human rights of people working at Toyota and creating an environment where everyone can work with peace of mind and fully demonstrate their abilities	Short, medium, and long term	Own operations
I-2	Negative impact	Violating the fundamental human rights of people working at Toyota through discrimination, harassment, child labor, forced labor, or related issues	Short, medium, and long term	Own operations

* Respect for human rights applies to all people involved in our business activities; however, this disclosure covers only the people who work at our own company, whom we consider particularly important

Initiative

Actions to Address Material IROs

- We deepen understanding of Toyota's Human Rights Policy among all people working at Toyota and embed policy-based actions through human rights due diligence and educational opportunities.
- We aim to create a workplace free from human rights violations, where all people working at Toyota respect the dignity of others.
- Each company determines the specific implementation and operational details of these actions, tailored to its management policies and the characteristics of its region and business. Each company continuously promotes the actions through diverse approaches.

Toyota's Human Rights Policy

Respect for the Fundamental Human Rights of Employees I-1

P. 84 Human Rights Policy Development and Dissemination

Human Rights Policy Development and Dissemination

- We have established and published Toyota's Human Rights Policy. It covers all people involved in our business activities, including employees, business partners and customers. We support the United Nations Guiding Principles on Business and Human Rights (UNGPs).
- We implement various awareness-building measures, including human rights education, for executives, employees, and business partners. These measures promote understanding of and action on preventing human rights violations, eliminating discrimination, and fostering open and sincere dialogue.

Creating a Workplace Free from Human Rights Violations I-2

Human Rights Due Diligence

- We continuously identify and assess human rights violations risks affecting stakeholders, including employees, and promote the mitigation and prevention of those risks.

P. 85 Human Rights Due Diligence

- Addressing particularly significant human rights violations risks:
  - People Working at Toyota
    - Harassment P. 86 Actions for Anti-harassment
  - Supply Chain
    - Migrant labor (forced labor) P. 125 Actions to Prevent Migrant Labor (Forced Labor)
    - Child labor P. 126 Actions to Prevent Child Labor
    - Supply chain due diligence P. 122 Value Chain Collaboration

Corrective Action and Remediation

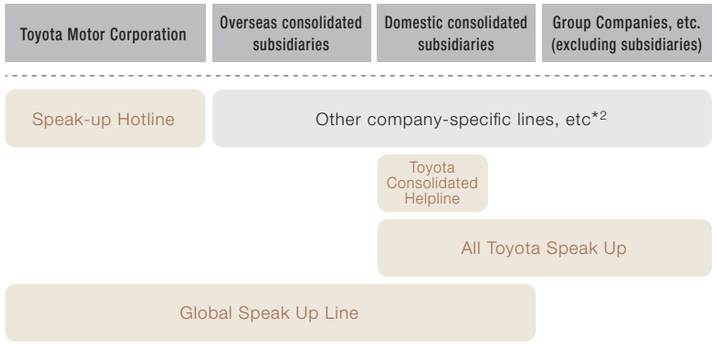
- We have established multiple channels and methods to create an environment in which employees can easily consult the company about workplace concerns and questions, or report concerns they may have. Toyota responds promptly to the consultations and reports it receives.

  Channels and methods to consult and report concerns and questions
  - A direct supervisor or a manager who is not the employee's direct supervisor
  - Internal specialized departments, including HR, Compliance, and Legal
  - A speak-up line*1 operated by the employee's company or Toyota Motor Corporation

*1 Speak-up lines established by Toyota Motor Corporation, including the Global Speak Up Line, supplement those established by subsidiaries

- The speak-up channels described above fairly investigate consultations and reports and, as necessary, take corrective and remedial actions and implement measures to prevent recurrence.

Toyota Speak-up Lines



*2 Company-specific lines and lines for specific groups are established and operated according to the circumstances of each region and company.

P. 164 Speak-up

Targets and Metrics

- In line with Toyota's approach to strategic regional management, targets for these actions are established by each region and company based on their specific circumstances and priorities, while remaining aligned with Toyota's shared principles and objectives.
- Each region and company evaluates the effectiveness of its own human rights actions. These evaluations are based on feedback from workplaces gathered through dialogue with employees, engagement surveys, speak-up lines, and other means.
- Toyota has begun collecting multiple metrics related to material IROs and monitoring the status of each company.

P. 166 Governance Data

Overview | Details

Organizational Structure

Aim

- To fulfill our corporate responsibility to respect human rights by embedding human rights actions throughout the organization and ensuring their effective implementation

Initiative

- The proposed direction, issues, and other matters are presented and deliberated at meetings attended by the heads of the relevant departments at Toyota Motor Corporation.
- Important matters are deliberated at the Sustainability Meeting, chaired by the President, and then submitted to the Board of Directors for oversight and decision-making.

Organizational Structure for Human Rights Issue

Scope	Primary responsible division
Our own employees	Toyota Motor Corporation Human Resources Division
Supply chain	Toyota Motor Corporation Purchasing Group (in coordination with the Human Resources, Environment, Compliance, and Sustainability-related divisions)

Human Rights Policy Development and Dissemination

Aim

- Toyota's Human Rights Policy applies to all executives and employees at Toyota. We also expect our business partners, including our suppliers, to understand and agree with this policy, and to work with us to ensure that their business operations respect this policy. This policy includes:
- Respect for internationally recognized human rights in line with international norms including the **UNGPs and the Universal Declaration of Human Rights**.
- Compliance with international human rights obligations together with the laws and regulations of the countries in which we operate.

Initiative

Development of Human Rights Policies

- In 2021, Toyota established and published Toyota's Human Rights Policy and set out the "Salient issues" in the Appendix.
- In 2026, Toyota revised its Human Rights Policy to expand the "Salient issues" set out in the Appendix.

	Overview
Name	• Toyota's Human Rights Policy (Human Rights Policy)
Established	• September 2021 (Last revised and issued: September 2026)
Scope	• All executives and employees of Toyota Motor Corporation and its consolidated subsidiaries • We also expect our business partners, including our suppliers, to understand and agree with this policy and to work with us to ensure that their business operations respect the policy
Communication with employees	• Published on the website of Toyota Motor Corporation • We embed this policy through training and related programs for executives and employees at each company
Process for establishment and revision	• Board approval following consultation with stakeholders*

* certain consolidated subsidiaries, labor unions, human rights organizations, etc.

Toyota's Human Rights Policy

Dissemination of Human Rights Policy

Toyota Motor Corporation and All of Its Consolidated Subsidiaries

- We shared the Human Rights Policy with all consolidated subsidiaries.
- To strengthen human rights awareness, we added a human rights section to the "Toyota Code of Conduct" in 2023.
- In line with Human Rights Policy, we continuously identify and assess human rights violations risks and reflect the findings in education, awareness-building, and other measures.
- We promote these efforts at each company by surveying how well the Human Rights Policy was understood and put into practice.

Suppliers

- Through the "Supplier Sustainability Guidelines" cascaded to Tier 1 suppliers, we also promote the dissemination of our Human Rights Policy across their own operations and supply chains.

P. 122 Value Chain Collaboration

Dealers (Japan)

- We added specific human rights provisions to the "Dealer Basic Contracts."

Case: Actions at Toyota Motor Corporation

- The company provided human rights education to all employees in August 2022 and have since incorporated it into onboarding education for new hires. We plan to revise the education content in 2026.
- The company launched a human rights site containing educational content and ESG-related information on the company's intranet (December 2023). Since 2023, we have designated December as "Human Rights Month" and annually published and distributed an "Examples Collection Guide" on the human rights site. This guide highlights common human rights violations that may occur in the workplace.
- The company has incorporated specific human rights statements into the "New Business Planning Guidelines."

Education on Human Rights

Training for:	Main Actions
Executives	• Explain international norms and expectations, the responsibilities expected of companies, and key human rights issues
All employees	• Learn, based on international norms and case studies, about the responsibilities expected of companies and the scope of those responsibilities, in order to promote respect for human rights in day-to-day operations
Newly appointed managers of overseas affiliates / Employees assigned to HR functions	• Share positive labor-management communications, information on past labor disputes, labor-management negotiations, the latest trends in human rights, international norms, and regulations
Employees assigned to procurement functions at overseas affiliates	• To support employees' daily purchasing responsibilities at their overseas postings, the training will accommodate building healthy labor-management relationships with local suppliers, including lectures related to human rights

Human Rights Due Diligence

Aim

■ Continuously identify and assess human rights violations risks affecting stakeholders, while ensuring mitigation and preventative measures are implemented.

Initiative

Human Rights Due Diligence Process

Identification and Assessment	• Toyota identifies and assesses human rights risks with reference to various international norms and standards. • Toyota consults human rights experts and other stakeholders on automotive industry-specific issues and risks. • Toyota classifies and analyzes human rights risks based on stakeholder impact and business relevance.*1 • Risks are reported and assessed at meetings attended by the heads of the relevant departments.
Prevention	• Toyota continuously conducts the following risk monitoring activities: • Monitoring of risk trends through dialogue with consolidated subsidiaries, monitoring of subsidiaries' personnel data, engagement with human rights organizations, and dialogue with relevant stakeholders • Assessment of human rights risks in the Company's own business and among related business partners • Collaboration with relevant subsidiaries or business partners when high risks are identified*2
Mitigation	• Toyota implements mitigation measures with the consent of relevant stakeholders • These plans are tracked regularly and reviewed annually by the human-rights-related functions to evaluate their progress and effectiveness, while the need for improvement is also determined
Remedy	• Establishment of grievance mechanisms • Domestic consolidated subsidiaries: Toyota Consolidated Helpline • Domestic consolidated subsidiaries, Toyota Group, etc.: All Toyota Speak Up Line • Toyota Motor Corporation and all of its consolidated subsidiaries: Global Speak Up Line • Toyota Motor Corporation: Speak-up Hotline • In addition, each company has established its own consultation hotline • Migrant workers in Japan: JP-MIRAI Speak Up for Migrant Workers • Dealers in Japan: Helpline for Dealers P. 164 Speak-up P. 125 Collaboration with JP-MIRAI

*1 For raw materials, sourcing region, volume, type and other factors are considered
*2 For supply chain due diligence, see the chapter "Value Chain Collaboration"

P. 122 Value Chain Collaboration

Engagement with Stakeholders

Our Own Employees

■ Toyota places strong emphasis on listening to employees' voices. Each company does so through employee communication initiatives, including dialogue with employees, engagement surveys, and speak-up systems. Through these efforts, it helps employees understand company's actions and direction. It also captures their concerns and challenges, reflects them in HR-related actions.

P. 95 Dialogue with Employees

External Stakeholders

■ Toyota advances human rights due diligence across its operations and supply chain by working with the external stakeholders to understand societal expectations, in addition to complying with laws and regulations.

External Stakeholders	Engagement Activities
BSR	• Consult to identify human rights risks related to the automotive industry • Participate in the Human Rights Working Group (two sessions per year) and seminars (four sessions per year) • Monitor human rights legislation trends and current affairs • Network with other participating companies • Share human rights practices among the participating companies
CHRB Corporate Human Rights Benchmark / World Benchmarking Alliance	• Participation by responding to surveys on human rights • Benchmark best practices from top leading companies • Engage in dialogue with each organization to confirm assessment results and details
IOE A powerful and balanced voice for business / GIRN AN INITIATIVE OF IOE	• Participate in seminars and conferences • Network with other participating companies • Share human rights practices among the participating companies • Monitor the latest ILO insights
ASSC	• Consult to mitigate forced labor/migrant labor risks (support on issuing the Modern Slavery Report, recommendations on company activities, etc.) • Collaborate to implement on-site engagement surveys
JP-MIRAI	• Collaborate with a multistakeholder consultation and grievance mechanism initiative • Participate in seminars on issues related to migrant labor • Exchange opinions with participating companies and participate in subcommittee meetings

Actions for Anti-harassment

Aim

- Toyota does not tolerate any form of harassment, such as sexual harassment, abuse of authority, peer pressure, or any act that harms the dignity of any individual.
- We aim to create a workplace where all employees can work with peace of mind and a sense of well-being.

Initiative

- Toyota's Human Rights Policy and The Toyota Code of Conduct clearly states that Toyota will not tolerate any form of harassment.
- Each company provides training to foster a shared understanding of harassment prevention among everyone and to promote an open workplace culture.

Actions at Toyota Motor Corporation

- Employment rules clearly specify the prohibition of harassment and disciplinary provisions for harassment.
- Once a year, web-based training is provided to all employees—from executives and managers to general employees—to ensure broad awareness of harassment prevention.
  - The importance of eradicating harassment, basic knowledge and examples of workplace responses
  - Harassment consultation and response

Anti-Harassment Training: FY2026 Results

Training for:	Number of participants (people)	Training hours (hours)
Executives, key staff, and group leaders in chief positions	Approx. 8,800	Approx. 8,800
Chief positions and below (excluding group leaders in chief positions)	Approx. 17,800	Approx. 7,400
Shop floor employees	Approx. 43,000	Approx. 15,800

- To enable the early identification and resolution of employee concerns and workplace issues, Toyota has integrated its internal and external harassment consultation channels into the Speak-up Hotline.

P. 164 Speak-up

- We continuously provide online training for all executives and managers that addresses the psychological aspects of human behavior. Going beyond harassment prevention, we promote workplaces where employees can work with a sense of well-being.

Name	• OMOIYARI Interpersonal Skills and Communication Training
Contents	Practicing compassionate communication to improve employees' well-being and create vibrant workplaces • Main topics • Unconscious bias in communication • Psychological safety and resilience • Self-management of emotions and behavior based on the cognitive behavioral model • Positive psychology
Key Strength	• Developed and delivered in-house by internal expert staff in psychology and mental health • Combination of psychological education and communication skills training to address both behavior and the underlying psychological factors • Participatory, experiential learning • Program delivered annually over five years

OMOIYARI Interpersonal Skills and Communication Training: FY2026 Results

Training for:	Number of participants (people)	Training hours (hours)
Supervisors and managers	Approx. 15,300	Approx. 30,600

P. 98 Actions to Promote Psychological Well-being

Actions at Group Company

Case: Actions by Toyota Financial Services Co., Ltd. (Japan)

- Toyota Financial Services Co., Ltd. (Japan) has strengthened its anti-harassment efforts by issuing to all employees the following anti-harassment declaration: "Do not engage in, allow, or tolerate harassment."
- Annual anti-harassment training is provided to all managers, while anti-harassment education for all employees is delivered through e-learning.
- In addition to establishing a consultation hotline to help prevent mental health issues before they arise and providing return-to-work support for employees on leave, the company has introduced training in collaboration with Toyota Motor Corporation to enhance psychological safety. These efforts are aimed at fostering employee well-being and improving the communication skills that form its foundation.

Updated in September 2026

Human Resource Development

GRI 3-3, 404-2

Overview

87 Fundamental Approach

Details

89 Embedding "Philosophy, Skills, and Behavior"

91 Education and Development to Enhance "Skills and Expertise" Required for Each Role and Job

92 Supporting Self-Directed Career Development through Transfers, Assignments, Evaluation and Feedback

92 Securing Talent to Support Sustainable Growth and Transformation Into a Mobility Company

94 Recruitment and Development of Digital Human Resources and Software Professionals

Fundamental Approach

Aim

- Recruit and develop people who, based on the Toyota Philosophy, think independently and continue to act for the sake of others

Material Impacts, Risks, and Opportunities (IROs)

	Category	Impact/Risk/Opportunity	Time Horizon	Value Chain
I-3	Positive Impact	Embedding Toyota's shared values and enhancing employee growth and fulfillment through work	Short, medium, and long term	Own operations
RO-1	Opportunity	Promoting the transformation into a mobility company and enhancing productivity through talent acquisition and active employee contribution	Short, medium, and long term	Own operations
RO-2	Risk	Experiencing production limitations and stagnation in talent development and the transfer of technical skills due to increasing difficulty in securing talent	Medium and long term	Own operations

Financial Effect

Financial Opportunities from Securing Talent and Enabling Active Contribution RO-1

- Promoting transformation through securing talent and enabling active contribution, together with improving employee productivity, represents an important opportunity for Toyota's sustainable growth.
- We expect this opportunity to have the following financial effects in the current period and over the short, medium, and long term. However, as those effects are not separately identifiable from the effects of other factors, we provide only qualitative information.
  - Increased sales revenues through expanded business opportunities and value creation by strengthening the talent foundation that supports Toyota's transformation into a mobility company
  - Reduced cost of sales and selling, general and administrative expenses through business efficiency improvement driven by the promotion of Human Resource Development

Financial Risks from Increasing Difficulty in Securing Talent RO-2

- Going forward, particularly in Japan, the working-age population is expected to decline and competition for talent is expected to intensify. As a result, production constraints arising from increasing difficulty in securing talent, as well as stagnation in human resource development and skills transfer, represent significant risks to Toyota's sustainable growth.
- We expect this risk to have the following financial effects over the medium and long term. However, due to the high degree of measurement uncertainty involved in estimating those effects and the difficulty of providing quantitative information useful for decision-making, we provide only qualitative information.
  - Decreased sales revenues due to a weaker talent foundation supporting the production system as the labor force, as well as production line downsizing.
  - Increased cost of products sold due to declines in operational quality and efficiency caused by stagnation in human resource development and skills transfer resulting from talent shortages.

Initiative

Actions to Address Material IROs

- Based on the belief that "*monozukuri* (manufacturing) begins with developing people," Toyota has focused on Human Resource Development since its founding.
- The common foundation for Toyota's human resource development is as follows:
  - Philosophy: Toyota Philosophy
  - Skills: Toyota Production System (TPS)
  - Behavior: Toyota Way 2020

P. 79 Developing People Who Act for the Sake of Others

- Based on our principle of "Respect for People,"* Toyota positions improvement and ingenuity by people working at *genba* (frontline workplaces) as essential elements of competitiveness and value in manufacturing.
- Each company determines the specific action plans and operational details tailored to its management policies and the characteristics of its region and business. Each company continuously promotes the actions through diverse approaches.

* Respecting people's ability to think

Developing People Who Will Shape the Future I-3 RO-1

Embedding "Philosophy, Skills, and Behavior"

- To continue providing better value even in an uncertain environment, we embed the "philosophy, skills, and behavior" we have valued since our founding across all people working at Toyota.

P. 89 Embedding "Philosophy, Skills, and Behavior"

Education and Development to Enhance "Skills and Expertise" Required for Each Role and Job

- We support people who "take on challenges and act" by providing learning opportunities to acquire the skills and techniques required for each role and workplace, as well as selective educational opportunities.

P. 91 Education and Development to Enhance "Skills and Expertise" Required for Each Role and Job

Supporting Self-directed Career Development Through Transfers, Assignments, Evaluation and Feedback

- Based on each individual's career aspirations, we support personal growth, broader career options, and self-realization through transfers and rotation across the departments and regions.
- We also support self-directed career development for each individual through dialogue between supervisors and team members.

P. 92 Supporting Self-Directed Career Development Through Transfers, Assignments, Evaluation and Feedback

Recruitment and Development of Digital Human Resources and Software Professionals

- To respond to changes in society, including diversification of customer needs and technological innovation, we are securing and developing talent responsible for software development, as well as talent that uses digital technologies and data to deliver better value.

P. 94 Recruitment and Development of Digital Human Resources and Software Professionals

Securing Talent to Maintain Future Competitiveness RO-2

Securing Talent to Support Sustainable Growth and Transformation into a Mobility Company

- Each company independently conducts optimal recruiting based on its regional and business characteristics, continuously securing talent with diverse expertise and backgrounds to support growth and transformation.

P. 92 Securing Talent to Support Sustainable Growth and Transformation into a Mobility Company

Building a Foundation Where Diverse Talent Can Thrive

- We help diverse talent thrive in their own way by developing and showing flexible work arrangements and by promoting workstyle reforms.

P. 100 Diversity, Equity, and Inclusion (DE&I)

Risk Resilience Assessment

- We conducted a qualitative assessment of our resilience to the medium- to long-term risk of increasing difficulty in securing talent.
- To reduce and minimize the risk identified through its double materiality assessment, Toyota is promoting talent acquisition measures and fostering a workplace where diverse talent can thrive in line with Toyota's Human Rights Policy, which applies throughout Toyota.
- At present, no indications of a material impact from this risk on Toyota's business operations have been identified. Continued implementation of these actions is expected to reduce the likelihood of this risk having a material adverse impact over the medium to long term, and Toyota has therefore assessed itself as having a certain level of resilience against this risk.

P. 12 Materiality Identification Process

Toyota's Human Rights Policy

Targets and Metrics

- In line with Toyota's approach to strategic regional management, targets for these actions are established by each region and company based on their specific circumstances and priorities, while remaining aligned with Toyota's shared principles and objectives.
- Each company evaluates the effectiveness of its own actions against the targets it has established, taking into account its specific circumstances and business priorities.
- Toyota has begun collecting multiple metrics related to material IROs, and monitoring the status of each company.
- As metrics related to human resource development, we collect data globally on the average training hours per employee, and the percentage of employees who participated in regular performance and career development reviews.

P. 148 Social Data

Embedding "Philosophy, Skills, and Behavior"

Aim

- Developing talent who can act in line with "Toyota's philosophy (Toyota Philosophy), skills (Toyota Production System (TPS)) and behavior (Toyota Way 2020)" while inheriting the precepts of the Toyoda Principles.

Initiative

- Based on the founding philosophy that "*monozukuri* (manufacturing) begins with developing people," we place on-the-job training (OJT) through day-to-day work at the center of human resource development, and each region and company implements actions tailored to its business and regional characteristics.
- We offer off-the-job training (Off-JT) programs to provide the necessary knowledge and know-how that enhance the quality of human resource development through OJT.

Rank-Specific Education Programs

Toyota Motor Corporation and certain consolidated subsidiaries

- Toyota provides repeated opportunities to learn the company's history and founding spirit, its "philosophy, skills, and behavior," and its problem-solving methods, through different organizational levels and role-based training programs taken in accordance with job type, qualification, and role.
- At Toyota Motor Corporation, we incorporate these elements into training for all participants, including executives, managers and supervisors, and new hires.

Loom Learning

Toyota Motor Corporation and Woven by Toyota (Japan)

- Through hands-on experience with the Toyoda Wooden Hand Loom invented by Sakichi Toyoda, the founder of the Toyota Group, participants learn the philosophy of "for the sake of others."
- Employees of Toyota Motor Corporation and Woven by Toyota, as well as executives of Toyota Group, participate in this program, which promotes understanding of this philosophy (Toyota Philosophy) across positions and roles.



Deployment of the Toyota Production System (TPS)

- We thoroughly eliminate waste and pursue cost reduction. Through these efforts, we build a strong corporate foundation and develop talent who can continue to practice and pass on TPS.
- Key Actions :

Domestic	In-house	• Established the TPS Headquarters as the company-wide organization responsible for promoting TPS • Conducted improvement and study activities at production sites in collaboration with each plant • Expanded TPS to non-manufacturing workplaces, including administrative and engineering functions
	Suppliers	• Carried out improvement and study activities carried out in collaboration with group companies and suppliers • Developed talent by accepting secondees from each company
Overseas		• Established promotion organizations within each regional headquarters to deploy TPS to overseas affiliates and suppliers

- These efforts include dispatching instructors to educational institutions and external organizations, conducting community contribution activities in collaboration with local governments, and engaging in mutual learning activities with companies in other industries.
- Toyota also promotes the dissemination and practice of TPS at dealers, financial services companies, and other affiliated businesses

Akio Toyoda's View on Toyota Production System. Toyota Times

Case: Study Activities Conducted in Collaboration with TPS Promoters at Suppliers in Japan (Toyota Production System Self-study Meetings)

Toyota Motor Corporation, certain Toyota Group, consolidated subsidiaries, and suppliers

- In 1976, activities began as a voluntary study meeting and mutual learning forum, initiated by a call from three founding members.
- At present, TPS promoters from more than 50 Toyota Group companies and suppliers are participating.
- We develop leaders who can implement and teach the Toyota Production System (TPS). To achieve this, we use participating companies' workplaces as learning sites and promote *genchi genbutsu* (onsite, hands-on experience)-based training and cost-focused improvement activities.



"Toyota Production System Self-Study Meeting Joint Presentation Meeting," where promoters from each company gather in one place

Case: Deployment of TPS in Administrative and Engineering Workplaces

Toyota Motor Corporation, certain Toyota Group companies, consolidated subsidiaries, and suppliers

- Toyota Motor Corporation, certain Toyota Group companies, consolidated subsidiaries, and suppliers expands TPS-based improvement practices to address workplace issues in functions such as design, advanced development, and sales.
- To support these efforts, they provide off-the-job training (Off-JT) on the TPS mindset and way of thinking.
- It also deploys TPS practices and training across Group companies.



"Administrative and Engineering Toyota Production System Self-Study Meeting Joint Presentation Meeting," where top management also learn from representative cases

How Toyota Now Promotes TPS Beyond Manufacturing. Toyota Times

Case: TPS Education in the Financial Business

Toyota Financial Services (Japan) and subsidiaries

- The company and its subsidiaries disseminate and practice TPS education. To support this, they dispatch instructors from Toyota Motor Corporation and develop TPS coaches within overseas subsidiaries to lead *kaizen* (continuous improvement) activities.



Case: Cross-industry Mutual Learning Activities

Toyota Motor East Japan (Japan)

- The company promotes crossindustry learning with local businesses, including seafood processing and agriculture, to develop people who can continuously improve their operations through their own ideas and ingenuity.
- Employees gain exposure to different industry perspectives and broaden their horizons.



Toyota's Unbelievable Improvements in Making... Yakitori?!Toyota's. Toyota Times

Creative Idea Suggestion System and Toyota's QC Circle Activities (Quality Control Circle)

- Toyota's ways of working—such as "observing things carefully," "continuing improvement," and "freeing up time"—are instilled as daily habits from the time employees first join the company. These individual and team-based activities, which form the foundation for human resource development and the creation of positive workplaces, are expanded globally.

Creative Idea Suggestion System

Toyota Motor Corporation, Toyota Group, and certain consolidated subsidiaries

- The company operates an employee suggestion system that encourages each employee to identify waste in daily operations and propose improvements. Based on its philosophy of "respect for people," the system begins with *genchi genbutsu* (onsite, hands-on experience)—careful observation of the actual workplace and work processes.
- The system was launched at Toyota Motor Corporation in 1951. At present, it is also practiced within the Toyota Group and at certain consolidated subsidiaries, with each company implementing it in ways suited to its own circumstances as a framework for improvement suggestions.

(Toyota Motor Corporation)

Total number of suggestions submitted (FY2026)	790,000
Cumulative number of suggestions submitted (as of the end of March 2026)	Approx. 50,270,000

- The system creates a virtuous cycle of continuous improvement. It enhances problem-solving at the workplace and operational efficiency while increasing employees' sense of accomplishment and motivation to improve further.

Series: Kaizen through Creativit. Toyota Times

Toyota's QC Circle Activities

Toyota Motor Corporation and certain consolidated subsidiaries

- Employees form workplace-based circles of five to seven members. Each circle works together with full participation to share ideas and implement improvements that address workplace issues for the sake of others.
- At Toyota Motor Corporation, these activities began in 1964. As of 2025, about 100,000 people participate in QC Circle activities across 50 overseas affiliates.

"Toyota is Family"--A Little-Known Event Brings Global Employees Closer Together. Toyota Times



"Global QC Circle Convention", a forum for sharing the results and lessons learned from QC Circle activities

Objectives and Effectiveness of Toyota's QC Circle Activities

Objectives	Effectiveness
(1) To enhance individual capabilities and support self-fulfillment	• Acquisition of knowledge and improvement skills • Enhanced communication skills • Development of leadership • Sense of accomplishment through problem-solving, etc.
(2) To respect humanity and foster bright, fulfilling workplaces	• A workplace culture where people can speak up freely • Strengthened teamwork • Greater sense of personal purpose and value, etc.
(3) As a result of (1) and (2), to contribute to the development of the company and society	• Continuous development of people who can demonstrate improvement capabilities and teamwork • Contribution to the company's growth through improved quality and productivity, etc.

Mendomi

Toyota Motor Corporation and certain consolidated subsidiaries

- Based on the concept of "*Mendomi*,"* supervisors and team members maintain close, attentive communication to enhance employees' well-being and provide development and feedback tailored to each individual's abilities.

* *Mendomi* refers to providing support while building trusting relationships so that each member of the workplace can work with a sense of security and vitality

Workplace Mentor System

Toyota Motor Corporation and certain consolidated subsidiaries

- A program designed to provide support and advice to new members joining the workplace through both new graduate and mid-career hiring.
- Workplace mentors serve as companions and guides for new members, passing on the "philosophy, skills, and behavior" that Toyota values, while respecting individual's diverse personality and strengths.

Global Skill-up Training (GST)

Toyota Motor Corporation and certain consolidated subsidiaries

- A program in which employees working at production sites of overseas affiliates undergo hands-on training at Toyota Motor Corporation to learn not only Toyota's *monozukuri* (manufacturing) and way of doing work, but also to internalize the concept of *Mendomi*.
- After returning to their home countries, each participant takes the lead in sharing these practices with others and helping enhance the competitiveness of overseas affiliates.

Examples of Learning through GST (Toyota Motor Corporation's *Monozukuri*)

Safety	• Team members raise awareness with one another about unsafe behaviors in the workplace
Quality	• Committed to built-in quality with ownership, without passing defects to the next process
Discipline Teamwork	• Everyone observes working hours and break times • The team works together as one
Mendomi	• Leaders consistently pay close attention to even the smallest details

- Through *Mendomi* for trainees, Toyota Motor Corporation employees further verbalize and systematize skills and work methods, while also enhancing their coaching capabilities and deepening their understanding of diverse cultures.



Scenes from practical training



GST trainees with workplace members

Case: Active Contributions by Employees Returning from GST

Toyota South Africa Motors (South Africa)

- Toyota South Africa Motors promotes two actions to develop supervisors and managers who can lead workplace activities and transformation: level-based training for all employees and workplace human resource development led by employees returning from GST assignments.

Employees returning from GST are highly motivated and play an influential role in improving workplace quality.



Toyota South Africa Motors Assembly Department General Manager

Education and Development to Enhance "Skills and Expertise" Required for Each Role and Job

Aim

- Employees acquire the skills and expertise suited to each role and workplace, and contribute effectively in their respective fields.

Initiative

Leadership Development

- Toyota's values and management approach are centered on "philosophy, skills, and behavior." Guided by these values, we develop leaders who can provide a vision to follow and drive transformation with passion and empathy, even in a highly uncertain business environment.

Global Executive Human Resource Development: "GLOBAL 21" Program

Toyota Motor Corporation and certain consolidated subsidiaries

- The program enables talented global employees to acquire the skills and insights necessary for global Toyota executives and enables them to leverage their strengths in their respective areas of responsibility.
- The program is structured around the following three pillars:
  (1) Indication of management philosophy and expectations of executives: Dissemination of the Toyota Philosophy and incorporation thereof into the global human resource system and training
  (2) Human resource management: Utilization of evaluation standards and processes suited to specific regions based on shared values
  (3) Assignment-based education and training programs: Utilization of global assignments and executive training, together with regional succession committees, to identify and develop next-generation leaders



Actions at Domestic Consolidated Subsidiaries

- Leadership and executive training programs are provided in consideration of the business characteristics and other relevant factors specific to each company.
- Off-JT training programs are provided for division general manager-level employees at Japanese sites and senior professional/senior management candidates and other selected employees at overseas sites.

Learning Opportunities Tailored to Roles and Job Responsibilities

- While placing emphasis on OJT, we also promote human resource development through a variety of off-the-job training programs (Off-JT) and workplace environment improvements.
- Level-based and role-based training according to the employee's job type, qualification, and role
- Training according to the specialized areas of each workplace
- An independent and selective training system where employees can choose the learning path that aligns with their area of expertise, and personal motivation

Examples of independent and selective educational systems

- Languages
- Career development
- Management (workplace operations), etc.
- AI application
- Communication

Case: The Comprehensive Frontline of "Making Ever-better Cars" (Toyota Technical Center Shimoyama)

Toyota Motor Corporation



- A comprehensive development frontline where vehicles are refined end-to-end, and where the process of "driving, breaking, and fixing cars" is repeated every day, over and over, on a harsh test course (in operation since 2019).
- Approximately 3,000 personnel, including designers, engineers, mechanics, and test drivers, work together at the *genba* (frontlines) to accelerate human resource development for "making ever-better cars."

Inside the Unified Genba for Ever-Better Car making: Toyota Technical Center Shimoyama. Toyota Times

Case: Education for Shop Floor Employees

Toyota Motor Corporation

- **TWI* training (education for supervisors and managers)**
  A training program aimed at improving leadership capabilities at *genba* through the acquisition of knowledge and practical skills, according to the qualification level, communication skills, job instruction, and TPS.

* Training Within Industry for supervisors

Education Program	Content
TCS (Toyota Communication Skill)	Creating a positive workplace through the acquisition of appropriate communication techniques, etc.
TJI (Toyota Job Instruction)	Efficient development of subordinates through proper job instruction, together with improvements in productivity and quality
TPS (Toyota Production System)	Cost reduction through the thorough elimination of waste

- **Specialized technical training**
  Specialized technical training aimed at acquiring the knowledge and skills required for each job type, in addition to OJT, through group training and practical work experience.



Comprehensive Vehicle Evaluation, Job Category S-Level Certified
Specialist in bringing out the performance of off-roading vehicles



Tool-and-die work, Job Category S-Level Certified
Specialist supporting the quality and shaping of resin products

Supporting Self-Directed Career Development through Transfers, Assignments, Evaluation and Feedback

Aim

- To promote self-directed career development for each individual, we provide placement and development aligned with the members' motivation and capabilities, along with fair and impartial evaluation of demonstrated capabilities and results and feedback based on dialogue between supervisors and members.

Initiative

Support for Independent Career Building

- We have implemented rotation-based transfers across departments and regions based on the career aspirations of each individual working at Toyota, as well as the experience and capabilities needed to achieve them.
- Employees' self-actualization is supported by fostering the capabilities and resilience to thrive regardless of environment, country, or region through experience in diverse workplaces.

Development Through Employee Exchange with Overseas Affiliates

Toyota Motor Corporation and certain consolidated subsidiaries

- We are promoting business and developing talent through employee exchanges between Toyota Motor Corporation and overseas affiliates.

Case: Dialogue for Career Building

Toyota Motor Corporation

- Through the "Self-Reporting System" each April, supervisors and members align on medium to long-term career plans and discuss the experience and capabilities required to achieve them during interviews.

Case: Self-nominated Transfers (Internal Job Posting/Internal Posting Secondment)

Toyota Motor Corporation

- Employees may apply for roles that they wish to take on, based on their career aspirations.
- By matching applicants with suitable roles, we achieve both individual growth and the needs of the host company.

Employee Evaluation and Feedback

- Each region and company promotes actions for employees' self-directed career development, as well as evaluations and feedback that they can accept, thereby supporting the growth and self-actualization of every individual.
  - Roles and goals are set annually, followed by progress reviews, evaluations, and feedback.
  - One-on-one meetings and other actions are held between managers and team members as needed.
  - Training is provided for managers to achieve fair and impartial evaluations and feedback that employees can accept.
- We are encouraging employees to take on challenges by providing differentiated evaluations and rewards based on each role, performance, and result.

Case: Improving the Quality of Fair and Impartial Evaluations and Feedback

Toyota Motor Corporation

- We promote understanding of fair and impartial evaluation (assessment) and feedback methods by providing performance reviewer training for division and department general managers and evaluator training for group managers.

Securing Talent to Support Sustainable Growth and Transformation into a Mobility Company

Aim

- Each company independently promotes optimal recruiting activities based on its regional and business characteristics, securing talent with diverse expertise and backgrounds over the medium to long term to support growth and transformation.
- We recruit diverse individuals who have the kind of personality that makes others want to work with them, who act through trial and error with a commitment to think independently and continue to act for the sake of others, and who are passionate about chasing their dreams at Toyota.

Initiative

Securing a Stable Workforce to Support the Foundation of *Monozukuri* (Primarily Shop Floor Employees)

- In response to declining birthrates and the increasing sophistication of *monozukuri* (manufacturing), we have gradually expanded the scope of recruitment from a focus on high school students to include vocational school and university students.
- We have launched actions to strengthen talent acquisition in collaboration with suppliers.

Case: Event to Showcase the Appeal of *Monozukuri* to High School Students

Toyota Motor Corporation and suppliers

- In collaboration with Kyohokai, Eihokai, and Toyota Motor Corporation, we held an event for high school students to introduce the automotive industry and showcase the appeal of shop floor positions at participating companies. More than 40 companies participated as exhibitors.



Car-Making Jobs Exposition for High School Students

Securing Diverse Talent to Lead Growth and Transformation (Primarily Engineering and Administrative Employees)

- To secure talent with diverse areas of expertise, we will continue to promote mid-career hiring while also leveraging direct recruiting methods such as referrals and direct scouting.
- In new graduate recruitment, we are expanding touchpoints with candidates through internships and other programs. We also place emphasis on aligning candidates' aspirations and aptitudes with workplace needs through job- and career-track-based recruitment. In addition, we are shifting away from evaluating candidates based solely on short-term achievements and instead placing greater value on the aspirations they have developed over time and their sustained efforts.
- We are increasing diverse touchpoints with doctoral talent who have developed advanced expertise and the ability to think independently and continue to act for the sake of others through research.

Case: Building Connections with Doctoral Talent

Toyota Motor Corporation

- We recruit newly graduated PhD holders on a year-round basis through a specialized hiring track.
- Since FY2022, placements have been offered for Cooperative Education through Research Internships, a program conducted as part of graduate education.
- Lattice Lab was established in Tokyo in 2025 to explore new models of corporate research. Through research activities, passionate young external researchers and in-house engineers interact and collaborate. This also helps create more diverse opportunities to engage with doctoral talent.

Securing Locally Rooted Talent (Recruitment and Development)

Toyota Motor Kyushu (Japan)

Case: A Shared Approach to Talent and Development under TEAM Kyushu

- To strengthen Kyushu's *monozukuri* (manufacturing) foundation, Toyota Motor Kyushu, Inc. has formed "TEAM Kyushu" with its partners across the Kyushu region, including suppliers, dealers, and local governments.
- Against the backdrop of worsening labor shortages, the action aims to enhance the appeal of the automotive industry in the region and promote talent retention through collaborative efforts.

Key Actions

- Enhancing recruitment capabilities through the creation and use of a joint PR website and brochures
- Mutual securing of specialized talent through talent exchange, including secondments and side business
- Shared use of training assets, such as facilities and content
- Organizing workshops to examine responses to common issues



Building a Strong Talent Foundation for the Future

Toyota Motor Corporation and certain Toyota Group, consolidated subsidiaries, and suppliers

Toyota Technical Skills Academy (Vocational Training School)

- We provide learning opportunities in manufacturing fundamentals, basic skills, and specialized technical and maintenance fields. Through these efforts, we develop talent that will play core roles in Toyota's workplaces in the future.
- Japan: 10 schools (All Toyota in-house facility for training technicians)
  - Toyota Technical Skills Academy (established in 1938)
  - Training schools operated by Group companies and suppliers, including Toyota Industries Corporation, Aichi Steel Corporation, JTEKT Corporation, and AISIN Corporation
- Overseas: 4 schools
  - China, India, Indonesia, and South Africa



The Liaoning Toyota Jinbei Technician Institute (China)



Toyota Technical Training Institute (India)



Toyota Indonesia Academy (Indonesia)



Toyota Manufacturing Academy (South Africa)

Foundation for the Development of Women Engineers

- We foster women engineers through support such as introducing science and engineering career paths and providing scholarship for female university students in science and engineering.

P. 104 Promotion of Women's Active Participation

Recruitment and Development of Digital Human Resources and Software Professionals

Aim

- Securing and developing talent to support the transformation into a mobility company, with a focus on not only automobile manufacturing and sales but also new domains centered on Software Defined Vehicles (SDVs).
- Developing human resources who can create value and drive transformation by making full use of digital and software technologies while leveraging the strengths of *monozukuri* (manufacturing).

Initiative

- We are actively advancing the recruitment of digital and software talent, talent shifts (reassignments), and reskilling (specialized education) in collaboration with affiliated companies.

Developing Hardware and Software Talent with the Strengths of an Automaker

- We recognize that advancing new mobility requires strong capabilities in both hardware and software. To enhance the value of mobility and to promote human-centered, sustainable manufacturing, we are recruiting and developing digital and software talent with expertise across both areas.

Toyota Software Academy

Toyota Motor Corporation and certain Toyota Group

- With the aim of developing AI and software talent grounded in the strengths of an automaker, the Toyota Software Academy was launched in 2025 by five Toyota Group companies.*1
- In FY2027, several additional companies, both within and outside the consolidated Group, are expected to join. Member companies are provided with the following opportunities:

*1 Woven by Toyota is the only consolidated subsidiary among them

Offering hands-on training through *genchi genbutsu* (on-site, hands-on experience)	• Approximately 160 training courses are offered to provide practical learning in specialized areas such as AI, data security, vehicle regulations, and more. • Existing courses from the five companies are being reorganized into a structured curriculum, with educational resources consolidated to enable the more efficient delivery of high-quality programs. • Case: Toyota Software Boot Camp Participants acquire advanced skills in a short period through end-to-end practical experience spanning planning, development, implementation, and operations  
Creating opportunities for global AI and software talent to connect, and supporting career development	• Building a community of software talent centered on evangelists*2 from each company and strengthening employees' collaboration across the Group *2 Employees who communicate skills and knowledge to others in a clear and accessible way • Providing opportunities for engineers to connect, inspire one another, and reflect on their careers

Strengthen Frontline-led *Kaizen* (Continuous Improvement) Capabilities

Toyota Motor Corporation and Toyota Auto Body (Japan)

- To make a sustained contribution to society, we develop talent capable of advanced software development through a *genchi genbutsu* (on-site, hands-on experience) approach —thinking independently and making decisions within teams built on non-hierarchical relationships.
- This will raise Toyota's deeply rooted strength in *kaizen* to a level beyond the conventional extension of existing approaches, while also improving adaptability and resilience in response to changes in the business environment.

DIG (Digital Innovation Garage)

- To create a hands-on development environment, we select participants from among employees who self-nominate company-wide.
- We are developing advanced digital solutions in-house with a team of more than 200 employees drawn from manufacturing sites and corporate and medical divisions—including shop floor employees, administrative and engineering employees, and operational staff—many of whom have no prior experience in software development.



DIG product development milestone meeting, where all DIG stakeholders gather semiannually

DIG College	DIG Software Development
• Introductory courses • Foundation courses • Boot camp **Key training topics** • Self-direction and self-sufficiency • Psychological safety • Service design • Business value creation • Agile development • Cloud native	• Through agile development in teams formed regardless of job category, position, experience, or age, employees develop not only software development skills but also flexible thinking, action, and communication skills.  On-site interviews ▶ Agile development by eight-person teams ⇄ Improvement and verification ▶ On-site effectiveness verification

- By leveraging our members' deep understanding of business processes and corporate culture, we have been able to develop software more quickly, cost-effectively, and with greater ease of use.
  Examples of deliverables: Improving efficiency in production preparation for the paint process and streamlining information sharing at manufacturing sites.
- These solutions have also been deployed not only within Toyota Motor Corporation but also at certain consolidated subsidiaries, including Toyota Auto Body Co., Ltd. (Japan), contributing to reductions in both labor hours and costs.

Updated in September 2026

Dialogue with Employees

GRI 2-29, 3-3

Overview
95 Fundamental Approach
Details
96 Dialogue between the Company and Employees
97 Well-being/Engagement

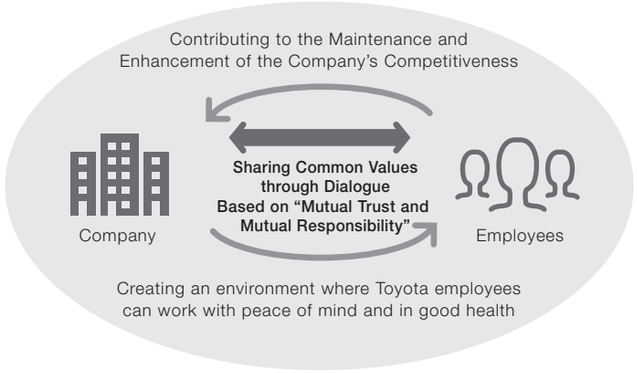
Fundamental Approach

Aim

■ Promote action through dialogue between the company and employees based on “mutual trust and mutual responsibility”

Material Impacts, Risks, and Opportunities (IROs)

	Category	Impact/Risk/Opportunity	Time Horizon	Value Chain
I-4	Positive Impact	Promoting company growth and employee well-being through dialogue with employees and actions based on their feedback	Short, medium, and long term	Own operations



Initiative

Actions to Address Material IROs

■ We engage in discussion and dialogue with employees through various opportunities, including labor-management communication and engagement surveys, to deepen our understanding of the views of our diverse workforce,* identify issues that need to be addressed, and make improvements.

* This includes employees who may require support or accommodations, such as women, persons with disabilities, and non-permanent employees

P. 100 Diversity, Equity, and Inclusion (DE&I)

■ With the aim of improving employees’ well-being and enabling higher-quality dialogue, we implement measures to build a shared understanding between the company and employees.

■ Toyota Motor Corporation and almost all consolidated subsidiaries continuously carry out these actions through one or both of the approaches in (1) and (2) in the table below, including combination with other methods.

- Each company determines the specific action plans and operational details, including target participants and methods, tailored to its management policies and the characteristics of its region and business.

	Dialogue with employees	
	(1) Discussion and dialogue with employees	(2) Employee engagement survey
Overview	• Gaining qualitative insights into issues and opinions through two-way communication, including discussions between the company and labor unions/ employee representatives, as well as workplace-level discussions	• Gathering employees’ awareness, satisfaction, and perceptions of issues through questionnaire-based surveys, and quantitatively assessing and analyzing the results
Main objectives	• Understanding the issues, requests, and concerns perceived by employees • Monitoring the progress of actions and measuring their effectiveness • Communicating the company’s situation accurately to employees	• Understanding how employees perceive company issues and the current situation • Measuring the effectiveness of ongoing and completed actions
Frequency	• Conducted at least once a year at many consolidated subsidiaries	
Actions based on dialogue	• Sharing the results with management, managers, and employees • Discussing the results at management meetings and other forums to determine response measures • Promoting discussions in the workplace and improvement actions	

Dialogue between the Company and Employees I-4

P. 96 Dialogue Between the Company and Employees

Embedding a Dialogue-Focused Mindset

- We share the contents of the “Labor-Management Joint Declarations,” which set out the basic approach to labor relations, with domestic and overseas consolidated subsidiaries.

Respect for Freedom of Association

- We respect our employees’ rights to freely associate or not to associate in accordance with the applicable laws and regulations of the countries where we operate.

Diverse Approaches to Dialogue

- Based on “mutual trust and mutual responsibility,” the company and employees engage in dialogue at all levels and through various opportunities, and take concrete action to address issues.

Well-being/Engagement I-4

P. 97 Well-being/Engagement

Actions to Enhance Well-being

- We implement actions to enhance employee well-being, enabling each employee to feel fulfilled and thrive at work with a sense of purpose.

Implementation of Engagement Surveys

- Through employee engagement surveys, we assess employees’ understanding and acceptance of company measures, as well as identify workplace issues, and use the findings to plan and implement improvement actions.

Targets and Metrics

- In line with Toyota’s approach to strategic regional management, targets for these actions are established by each region and company based on their specific circumstances and priorities, while remaining aligned with Toyota’s shared principles and objectives.
- Each region and company evaluates the effectiveness of dialogue with employees, taking into account progress in improving working conditions and HR systems, changes in employee satisfaction, and other factors.
- Toyota has begun collecting multiple metrics related to material IROs, and monitoring the status of each company.

P. 148 Social Data

Dialogue between the Company and Employees

Aim

- Based on “mutual trust and mutual responsibility,” the company and employees engage in dialogue at all levels and through various opportunities, and take concrete action to resolve issues.
- We respect both the “right to freedom of association and the right not to be compelled to belong to an association,” in accordance with the “Universal Declaration of Human Rights” and the laws of the countries in which we operate.

Initiative

Dissemination of an Attitude That Emphasizes Dialogue

- The Labor-Management Joint Declarations signed in 1962 between Toyota Motor Corporation and the labor union of Toyota Motor Corporation outlines Toyota’s approach to labor-management relations.
  This declaration is also shared with subsidiaries in Japan and overseas.

Labor-Management Joint Declarations (excerpt)

1. We will contribute to the development of the national economy through the prosperity of the automotive industry
2. The relationship between labor and management shall be based on mutual trust and respect
3. We will endeavor to maintain and enhance the company’s prosperity and labor conditions through the improvement of productivity

- In addition to Toyota Motor Corporation, several overseas entities have also signed the Labor-Management Joint Declarations: Thailand (1993), Indonesia (2004), Brazil (2015), and the Philippines (2023).
- We share specific cases related to labor-management relations and discuss the importance of ongoing communication between labor and management at meetings of HR practitioners across the Toyota Group.

Respect for Freedom of Association

- We respect our employees’ rights to freely associate or not to associate in accordance with the applicable laws and regulations of the countries where we operate.
- If cases that could constitute unfair labor practices are identified at consolidated subsidiaries or other affiliated companies, we urge corrective actions.
- 2023 - 2025: No applicable cases were identified.

Diverse Approaches to Dialogue

- The relationship between the company and employees at Toyota is not limited to the relationship between the company and labor unions or employee representatives.
  Rather, we view the company's relationship with employees as the aggregate of all relationships between managers/supervisors and subordinates/members in each workplace.
- Each company adopts the most suitable approaches to employee dialogue based on its regional and business characteristics, as well as differences in national systems and labor practices.

Case: Discussions of the Labor–Management Council and the Joint Labor Management Round Table Conference

Toyota Motor Corporation

- A forum attended by executives, including the President and Vice Presidents, to directly understand employees' voices and identify directions for resolution.
- Both the company and the labor union use various media to promote awareness of the outcomes of the dialogue.



[Available in Japanese only] トヨタ春交渉2026. ToyotaTimes

Case: TMK Time

Toyota Motor Kyushu (Japan)

- A session held once every other month (30 minutes) for all employees in each workplace.
- The Company sets a theme for each session, such as safety and quality; at plants, sessions are conducted with production lines stopped, while in other workplaces they are held through group meetings and other formats.



Case: Roundtable

TOYOTA MOTOR NORTH AMERICA (U.S.)

- North American manufacturing locations hold regular forums for direct dialogue between senior management and randomly selected team members across various job functions with the frequency varying by site from weekly to quarterly.



Case: Fureai-Hiroba

Daihatsu Motor (Japan)

- Started in 2024 as a platform for direct dialogue between management and employees.
- Objectives:
  - to deepen employees' understanding of business conditions and align everyone in the same direction as a team
  - to enable management to hear frontline voices directly and quickly reflect them in management decisions
  - to enhance employee motivation and sense of fulfillment
- It is also streamed online, allowing all employees to watch it in real time or afterward.



Case: Management Information Exchange Meetings

Toyota Motor East Japan (Japan)

- To help employees better understand the company's situation and translate that understanding into action, management shares business information with employees via live and archived broadcasts.
- After each session, a survey (optional response) is conducted on employees' level of understanding, how they received the message, etc., and the results are reflected in company measures.



Overview | Details

Well-being/Engagement

Aim

- We listen to employees' voices, which leads to candid dialogue between the company and employees.
- Each employee finds happiness and fulfillment in working at Toyota and thrives with a sense of purpose.

Life Well-being
||
Happiness in each individual's life

+

Work Well-being
||
Motivation and satisfaction at Toyota (in the workplace and in work performance)

Anyone can take on new challenges at any time, as many times as possible, without fear of mistakes
Transformation into a mobility company to achieve the mission of "Producing Happiness for All"

Initiative

Implementation of Engagement Surveys

- Taking into account the characteristics of each region's and each company's business, as well as differences between each country's systems and labor practices, each company conducts engagement surveys and follow-up actions based on its own decision.

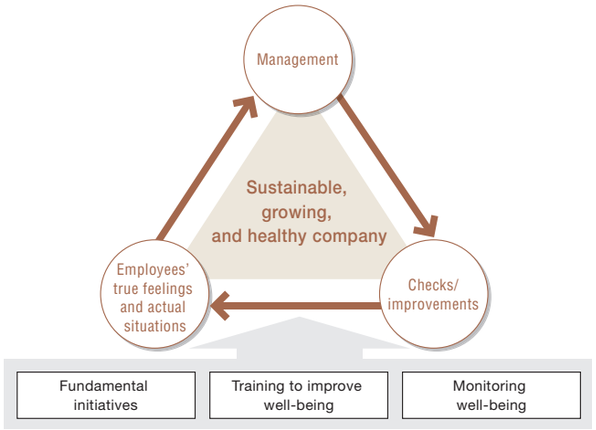
Actions to Promote Psychological Well-being

Toyota Motor Corporation

- Staff with expertise in mental health and related fields implement actions to promote psychological well-being for all employees.
  - The persons responsible for operational administration: the chief occupational physician and the chief psychiatrist
  - Full-time psychiatrist: 1 (part-time*1: 18), full-time psychologists: 8.
  - Full-time public health nurse: 1, full-time psychologist/public health nurse: 1, full-time mental health social worker: 1, full-time office staff: 6.

*1 Active in the field of community-based health care with a high level of expertise in sleep conditions, dementia, developmental disorders, and other conditions

- Employees' candid views and actual situations identified through these actions are shared with management on an anonymous basis and are used to review and improve company actions. We have also established a cyclical system through which employees' candid views and actual situations continue to be communicated even after company actions have been reviewed and improved.



- The contents and results of these actions are presented at the Japanese Bulletin of Social Psychiatry and the Japanese Positive Health Psychology Society, and are refined on an ongoing basis in light of feedback from experts. In addition, the chief psychiatrist participates in academic conferences related to industrial and occupational mental health and the psychiatric field,*2 and reflects the latest findings into these actions.

*2 Delegates from the Japan Society of Occupational Mental Health, organizers from the Japanese Association for Cognitive Therapy, councilors from the Japanese Positive Health Psychology Society, trustees of the Japanese Association of Occupational Health Psychiatrists, and fellows of the Japanese Society of Mood Disorders For Bipolar Disorders

Fundamental Actions

Toyota Motor Corporation

- Create an environment in which anyone can freely access and apply for consultation services and a variety of trainings at any time.

Actions	Target audience	Overview
Advice and dialogue from dedicated staff	All executive	Regularly providing information on mental health care and employees' candid views via dedicated staff, leading to the development and implementation of better company actions
Distribution of e-mail newsletters	All employees	Regularly sending monthly emails containing information that serves as a boost to mental health and providing nourishment in daily life (like a Psychological Vitamin)
Online consultation hotline	• Occupational health staff • Human resources • Supervisors	Setting up a consultation hotline with part-time staff who are active in their fields and can provide appropriate information on medications and medical facilities, guidance on medical cooperation, and other useful tips

Training to Improve Well-being

Toyota Motor Corporation and certain domestic consolidated subsidiaries

- Psychoeducation is provided to officers and executives/managers, as well as to all employees.
- The action was launched at Toyota Motor Corporation and is currently being rolled out to certain domestic consolidated subsidiaries.

Actions	Target audience	Overview	Number of participants (people)*3
OMOIYARI Interpersonal Skills and Communication Training (live/online) P. 86 Actions for Anti-harassment	All executives/managers (mandatory)	• Implementing ongoing group psychoeducation in a constant and ruminative manner*4 with the aim of preventing harassment and promoting well-being	Approx. 15,300
Well-being Dojo (live/online + video streaming)	All employees (optional)	• Providing psychoeducation via dedicated staff to bring about mutually enhanced changes in awareness and behavior that help both the participants and others experience a valued sense of well-being	15,488
Cognitive behavior modification skills training Communication skills training		• Providing training on understanding cognitive behavioral models for use in stress management • Providing training that utilizes cognitive behavior models and can improve relationships through listening, accepting others, assertiveness, and comprehension, expression, and relationship adjustment skills	278
PERMA-V*5 Training		• Providing training in which participants can experience and learn about the elements of PERMA-V to improve their own and others' well-being	430
Cognitive Behavior Modification Approach and PERMA-V Psychological Education (online)		• Providing training from a neutral perspective via dedicated staff who are familiar with circumstances inside the company (individual case work, etc.)	169

*3 FY2026, Toyota Motor Corporation (non-consolidated)
*4 A framework for deepening understanding through repeated reflection on learning content
*5 Positive Emotion, Engagement, Relationship, Meaning, Accomplishment, and Vitality

Monitoring Well-being

Toyota Motor Corporation

- The following new actions will be implemented from fiscal 2024.

Actions	Target audience	Overview
Well-being Survey	All employees	• Conducting surveys on subjective well-being and experiences of happiness
Well-being Check	Employees in administrative and technical positions up to the third year of employment	• Conducting surveys on PERMA-V • Providing opportunities to focus on well-being and self-monitoring • Conducting triage and case work with the involvement of dedicated staff when a reduced sense of well-being is observed

Well-being Survey: Survey on Happiness and Sense of Purpose*1

Toyota Motor Corporation

- We conduct two surveys: the “Life Part” survey covering each employee’s sense of well-being, and the “Work Part (Employee Engagement)” survey covering fulfillment at work and pride in the workplace.
- The results of these surveys are used to transform organizational culture to improve employee well-being, through both a top-down approach that fosters a culture of addressing well-being as a management issue and a bottom-up approach to organizational development driven by dialogue at the workplace level.
- We provide each respondent with immediate feedback on their results from the “Life Part” survey, report the results to management, and use them to inform management-led measures to foster a healthy workplace culture.
- We share the results of the “Work Part (Employee Engagement)” survey with each workplace, and use them for improvement activities through dialogue at the workplace level.

*1 Includes the Employee Engagement Survey

Life Part Survey (Satisfaction with Life*2 score) [%]

	FY2025	**FY2026**
Toyota Motor Corporation	22.5*3	**22.8***4
(comparison with similar organizations*5)	(22.6)	**(23.0)**

*2 Satisfaction with Life Scale; Diener, E., Horwitz, J., & Emmons, R. A. (1985). One method of measuring well-being.
5 questions, 7-point scale per item, 35-point scale. Average satisfaction level with life is considered to be 20-24.
*3 FY2025 number of subjects: 69,428. Number of valid responses: 60,959. Number of valid responses/respondents consenting to research: 54,765
*4 FY2026 number of subjects: 70,607. Number of valid responses: 67,504. Number of valid responses/respondents consenting to research: 59,775
*5 Number of valid responses over two consecutive years/number of respondents consenting to participate in research: 46,712

Work Part Survey

(1) Percentage of Toyota employees who feel a sense of purpose and fulfillment (engagement) [%]

	FY2025	**FY2026**
Toyota Motor Corporation	60.0	**64.0**

(2) Percentage of Toyota employees who feel that diversity and individuality are valued (inclusion) [%]

	FY2025	**FY2026**
Toyota Motor Corporation	55.0	**58.0**

Overseas Actions

Employee Engagement Survey (Overseas)

certain consolidated subsidiaries

Percentage of employees who feel satisfied with the company [%]

	FY2026
Administrative and Engineering employees	**78.2***6
Shop floor employees	**75.4***7

*6 Weighted average of 31 companies
*7 Weighted average of 21 companies

Case: My Voice (Europe-wide Engagement Survey

Toyota Motor Europe (Belgium)

- Toyota Motor Europe NV/SA (TME, Belgium) conducts this survey every other year for itself and its 29 consolidated subsidiaries.
- It includes 44 questions across 12 key areas, such as employee engagement, leadership, teamwork & collaboration, health and well-being, diversity & inclusion, ethics & respect. Subsidiaries may also add questions tailored to regional issues.
- TME HR consolidates the survey results and instructs each subsidiary to formulate improvement action plans based on the findings.
- Each Vice President receives a summary of the results for their respective function, while the consolidated results are shared with the CEO and executives. The results are also made available to all employees on the internal platform. Progress on improvements is reported to management regularly and feed back to employees as needed.

Updated in September 2026

Diversity, Equity, and Inclusion (DE&I)

GRI 3-3, 405-1

Overview

100 Fundamental Approach

Details

101 Organization Structure
102 Actions for "Active Contribution by All"
104 Promotion of Women's Active Participation
106 Childcare/Nursing Care Support
107 Promoting Active Participation of the Senior Employees
108 Inclusion of Persons with Disabilities
109 Inclusion of LGBTQ+ Employees
109 Actions Related to Respecting Rational, National, and Cultural Diversity

Fundamental Approach

Aim

- Ensure that all people working at Toyota are respected and that those with diverse talents and values can fully demonstrate their individuality, strengths, and abilities

Material Impacts, Risks, and Opportunities (IROs)

	Category	Impact/Risk/Opportunity	Time Horizon	Value Chain
I-5	Positive impact	Improving each individual's well-being by enabling ways of working that allow them to leverage their diverse individuality, strengths, and abilities	Short, medium, and long term	Own operations
RO-3	Opportunity	Creating innovation and retaining talent by enabling diverse talent to make active contributions and fully demonstrate their capabilities	Short, medium, and long term	Own operations

Financial Effects

Financial Opportunities from Active Contribution and Full Skill Application of Diverse Talent RO-3

- Creating innovation and retaining talent by enabling diverse talent to make active contributions and fully demonstrate their capabilities represents an important opportunity for Toyota's sustainable growth.
- We expect this opportunity to have the following financial effects in the current period and over the short, medium, and long term. However, as those effects are not separately identifiable from the effects of other factors, we provide only qualitative information.
  - Increased sales revenues through creating innovation that leverages the knowledge and perspectives of diverse talent.
  - Reduced cost of sales and selling, general and administrative expenses through creating workplaces where diverse talent can demonstrate their capabilities, thereby promoting talent retention, lowering turnover, and shortening leave periods.

Initiative

Actions to Address Material IROs

- **We respect diverse ways of living and working, enabling each individual to contribute according to their motivation and abilities.**
  - The active contribution of every individual working at Toyota enables us to better respond to increasingly diverse customer and societal needs, while driving transformation beyond conventional business domains and taking on challenges in new areas.
- We do not tolerate discrimination for any reason, including **sex, gender, age, nationality, race, color, ethnicity, creed, political affiliation, religion, social origin, sexual orientation, gender identity, disability, pregnancy, marital status or parental status.**
- In line with Toyota's Human Rights Policy, we create opportunities for diverse talent to thrive by drawing on their individuality, strengths, and abilities. Each company continuously implements actions tailored to its management policies and the characteristics of its region and business.

Creating an Environment Where Diverse Talent Can Leverage Their Individuality, Strengths, and Abilities

I-5 RO-3

Actions for "Active Contribution by All"

- Against the backdrop of increasingly varied customer and societal needs, as well as the diversification of work styles and values, we are fostering an environment in which each employee's differences are respected, and all employees can thrive by leveraging their unique strengths.

P. 102 Actions for "Active Contribution by All"

Promotion of Women's Active Participation

- We are fostering an environment where women can thrive, by holding roundtable discussions, establishing mentoring systems, and promoting other initiatives that help employees build networks, broaden their perspectives, and expand their career options.

P. 104 Promotion of Women's Active Participation

Childcare/Nursing Care Support

- We are developing an environment that allows each individual to balance work and life, childcare, and caregiving, regardless of gender, while taking into account each person's life events and circumstances.

P. 106 Childcare/Nursing Care Support

Promoting Active Participation of the Senior Employees

- Primarily at companies in Japan, we have established systems to support the active contribution of people who are willing to work regardless of age.

P. 107 Promoting Active Participation of the Senior Employees

Inclusion of Persons with Disabilities

- We are creating an environment where every individual can thrive by making the most of their individuality, regardless of disability, through actions such as improving facilities and providing training to foster understanding in the workplace.

P. 108 Inclusion of Persons with Disabilities

Inclusion of LGBTQ+ Employees

- We work to deepen correct knowledge and understanding of LGBTQ+ issues to ensure each individual's sexual orientation and gender identity are respected by those around them.

P. 109 Inclusion of LGBTQ+ Employees

Actions Related to Respecting Racial, National, and Cultural Diversity

- We provide facility improvements and daily life support so that people with diverse backgrounds can live and work with peace of mind.

P. 109 Actions Related to Respecting Racial, National, and Cultural Diversity

Targets and Metrics

- In line with Toyota's approach to strategic regional management, targets for these actions are established by each region and company based on their specific circumstances and priorities, while remaining aligned with Toyota's shared principles and objectives.
  - Each company evaluates the effectiveness of its own actions against the targets it has established, taking into account its specific circumstances and business priorities.
- Toyota has begun collecting multiple metrics related to material IROs, and monitoring the status of each company.

P. 148 Social Data

Organization Structure

Aim

- Formulate, build consensus on, and implement policies for promoting Diversity, Equity, and Inclusion (DE&I)

Initiative

- The proposed direction, issues, and other matters are presented and deliberated at the meeting attended by the heads of the relevant departments at Toyota Motor Corporation.
- Important matters are deliberated at the Sustainability Meeting, chaired by the President, and are then submitted to the Board of Directors for oversight and decision-making.

P. 7 Organization Structure

- Each company's sustainability or human resources department implements actions tailored to the local culture and employment practices of each country.

Actions for "Active Contribution by All"

Aim

- Diverse people working at Toyota thriving in their own way while experiencing growth and a sense of contribution
- Employees recognizing that they, too, are part of diversity and take ownership of promoting "Active Contribution by All"

Initiative

- Against the backdrop of increasingly diverse customer and societal needs, as well as the evolving work styles and values, we are fostering an environment in which each employee's differences are respected, and all employees can thrive by leveraging their unique strengths.
- Rather than uniformly applying the same systems and rules across all workplaces as in the past, we place emphasis on engaging with each individual and accommodating diverse working styles and approaches to evaluation.

History of Actions

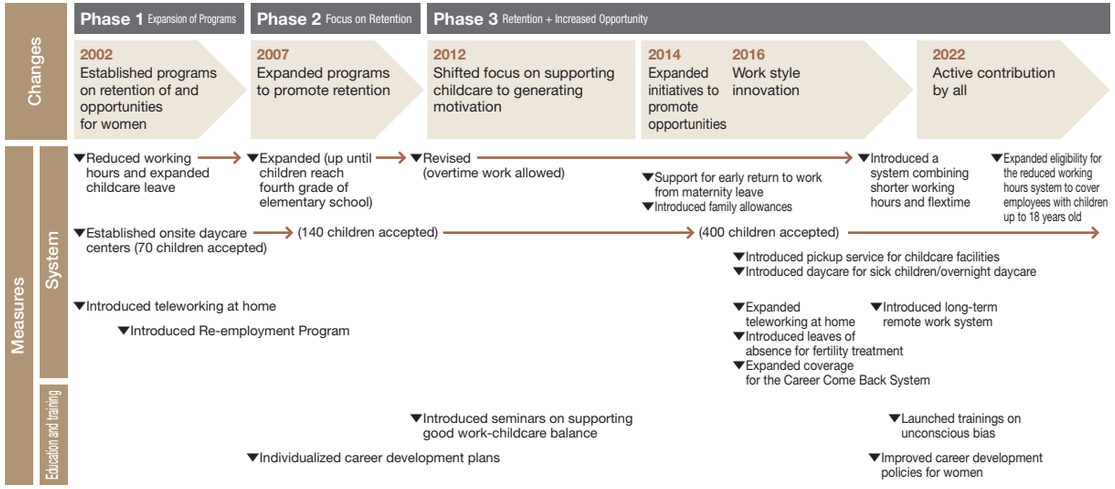
Toyota Motor Corporation

- Since 2023, under the leadership of management, we have positioned "promoting the active participation of diverse talent" and "fundamental environmental improvements and workstyle reform at plants" as one of our key sustainability themes. By sharing and discussing the current situation and related issues at the Sustainable Meeting, we have accelerated concrete initiatives in these areas.

P. 13 Major Themes of Sustainability Initiatives

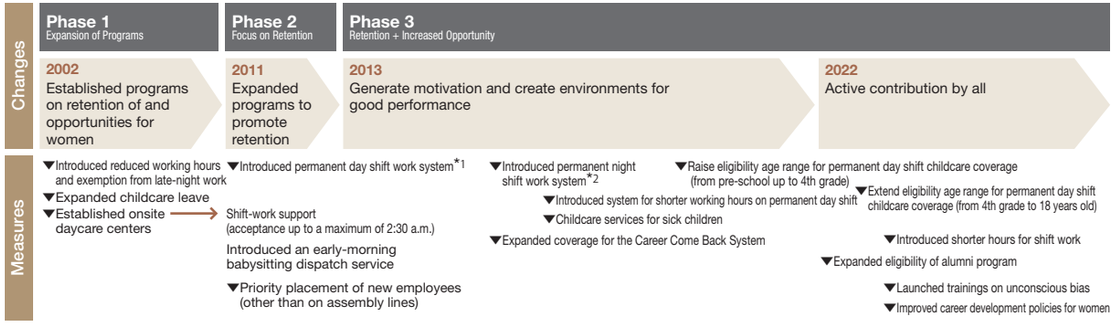
Administrative, Engineering, and "Gyomushoku" Employees

(Toyota Motor Corporation)



Shop Floor Employees

(Toyota Motor Corporation)



*1 A system that allows employees engaging in childcare to be exempted from shift work at plants
*2 Support workplaces with employees using the permanent day shift work system for childcare

Action Plan

Toyota Motor Corporation

- To create a work environment in which women and the next generation of talent can thrive, we have established an action plan for the period from April 1, 2025 to March 31, 2030.

Action Plan Based on the Act on Promotion of Women's Participation and Advancement in the Workplace (Excerpt)

Target (1) By 2030, increase the number of women in managerial positions to five times the target set in 2014

Action ■ Maintain a certain ratio of women in new graduate hiring, continue active hiring of women in mid-career recruitment, provide opportunities for professional development and networking through mentoring and roundtable discussions, etc.

Target (2) Bring the average paternity leave rate to 85% or higher

Action ■ Organize seminars to encourage employees to take childcare leave regardless of gender, publish the experiences of employees who have taken childcare leave, etc.

Action Plan Based on the Act on Advancement of Measures to Support Raising Next-Generation Children (Excerpt)

Aim (1) Promote "Active Contribution by All" based on the three pillars of Diversity, Growth, and Contribution

Action ■ Further strengthen labor-management dialogue on the "Growth" and "Active Contribution by All" of diverse talent, promote open and honest dialogue between supervisors and employees, etc.

Aim (2) Establish an environment that allows individuals, regardless of gender, to achieve a balance between work and personal responsibilities, including childcare and caregiving.
- To achieve a paternity leave rate of 85% or higher during the planning period
- To maintain an average overtime of less than 30 hours per month for workers

Action ■ Utilize the zero-hour work system, promote the use of annual paid leave, strengthen diversity training, etc.

Action Plan for Creating More Positive Work Environments and Supporting Work-life Balance

Employee Understanding and Awareness

Toyota Motor Corporation and certain consolidated subsidiaries

- To realize "Active Contribution by All," we promote understanding of diversity and foster a stronger sense of ownership among employees through labor-management discussions and events.

Case: "Active Contribution by All" Week

- In July 2025, we held an event to encourage all employees to reflect on the significance of "Active Contribution by All" and "To Break Away from Uniformity" and to turn that understanding into action.
  - In addition to a top management message on "Active Contribution by All," the event featured 30 programs, including dialogue sessions, hands-on activities, and exhibits, to deepen understanding of diversity.





Case: TLAC Inclusion Conference

Toyota do Brasil (Brazil) and Toyota Argentina (Argentina)

- Toyota do Brasil Ltda. (Brazil) and Toyota Argentina S.A. (Argentina) promoted TLAC Inclusion Conference, hosted in Sorocaba Plant, with the participation of distributors, suppliers and dealers, as well as Toyota Motor Corporation and regional headquarters in North America, Asia, and Europe.
- The purpose was to connect and reflect on "Active Contribution by All", while sharing best practices and encouraging concrete actions for a more inclusive and vibrant workplace, where all people can thrive.
- The activity was focused on sharing diverse experiences and perspectives and included topics such as generational challenges, LGBTQ+ journey, women in engineering experience and how to foster inclusion in manufacturing operations, among others.





Future Factory

Toyota Motor Corporation and certain consolidated subsidiaries

- We have designated "fundamental environmental improvements and workstyle reform at plants " as a priority sustainability initiative. We are advancing related actions primarily through discussions at the Sustainability Meeting.
- We aim to realize sustainable, "Human-Centered" *monozukuri* (manufacturing) built on two pillars: "productivity" and "fulfillment." In response to a shrinking workforce, we are creating attractive workplaces where every employee can equally experience the joy and fulfillment of *monozukuri*.

Case: Actions at Takaoka Plant

Toyota Motor Corporation

- The Takaoka Plant is accelerating efforts to create factories where "everyone can thrive." To this end, it is eliminating physically and psychologically demanding tasks, including carrying heavy loads, working in high-temperature environment, and overhead work.
- The plant has also developed and introduced software capable of simultaneous interpretation in three languages for production lines where multiple languages are spoken. This is helping create workplaces where everyone can work with peace of mind, regardless of language or origin.

A Workplace for All--How a Focus on People & Skills Drives the Takaoka Plant's Evolution. Toyota Times



Software capable of simultaneous interpretation in three languages

Case: Actions at Kamigo Plant

Toyota Motor Corporation

- The Kamigo Plant is developing inclusive production processes known as the ("Nijiiro (Rainbow) Line") which enable a diverse workforce, including women and older employees, to work more comfortably. To accommodate differences in employees' physical characteristics, the plant is reducing the weight of parts and jigs and adjusting their placement.

How Automation, Digitalization & Diversity Drive the Kamigo Plant's Evolution. Toyota Times



To enable workers to retrieve parts close at hand at all times, the parts tray highlighted in red rotates

Any Member Any Process (AMAP)

Toyota Motor Corporation and certain consolidated subsidiaries

- Toyota Motor Corporation, Toyota Motor North America (U.S.), Toyota Motor Europe NV/SA (Belgium) and other consolidated subsidiaries collaborated to launch Any Member, Any Process, a global initiative that supports workforce sustainability by transforming how we design our products and processes.
- AMAP is about "fitting the process to people" by designing work around team member ergonomic differences.
- By utilizing ergonomic* assessments and simple kaizen, AMAP focuses on creating a workspace where more team members can perform more roles, while reducing the risk of discomfort or injury, thereby directly impacting team member happiness.
  - Early work at Toyota Manufacturing, Texas, Inc. (U.S.) and in Toyota Motor Manufacturing Poland Sp. o.o. (Poland) improved accessibility by addressing height, reach, push-force, and clearance requirements.
  - The work helped drive changes towards new global standards, including updates to the Toyota Manufacturing Standard in Japan.



Software capable of simultaneous interpretation in three languages

* The design of machinery and equipment to fit the human body. This approach aims to reduce work burdens while improving safety and operational efficiency

Promotion of Women's Active Participation

Aim

- Promoting actions that support women's empowerment in the workplace, as part of our efforts to realize "Active Contribution by All"
- Creating an environment in which women have access to a wide range of opportunities to take on challenges and grow, shape their own careers, fully demonstrate their capabilities, and thrive

Initiative

Actions for Next Generation Development

Toyota Motor Corporation, certain Toyota Group companies, and certain consolidated subsidiaries

- We have established the Toyota Female Engineer Development Foundation in 2014 to help promote women's participation in Japan's manufacturing. As of the end of March 2026, the foundation was supported by a total of 12 companies including Toyota Motor Corporation, 6 Toyota Group companies, and 5 consolidated subsidiaries.
- By providing support such as introducing science and engineering career paths and providing scholarships to female university students in science and engineering, we are contributing to an increase in the number of female students aspiring to enter science and engineering and to the development of female engineers who can thrive in the manufacturing industry.

Action on Recruitment

Toyota Motor Corporation

- Toyota Motor Corporation has set targets for the percentage of women among new graduates: 40% for administrative positions and 10% for engineering positions (the percentages of women in the respective labor market)
- The percentage of women hired as shop floor employees has also been steadily increasing.

Career Development Support

Toyota Motor Corporation

- Each year, Toyota Motor Corporation undertakes the following actions for approximately 100 women who are candidates for managerial positions or junior managers, with the aim of helping them build networks and expand their perspectives.
- **Mentor program**:
  Participants are matched with mentors both inside and outside of Toyota based on their individual concerns and aspirations, and engage in one-on-one sessions over a three-month period.
- **Participation in Japan Institute for Women's Empowerment & Diversity Management programs**:
  Participants attend 21st century seminars for women's empowerment and training seminars for women in management.
- **Networking events**:
  Participants join networking events with women from other companies and other female executives at Toyota.

Women Engineers Community, SAKURA



- In 2024, we established "SAKURA," an internal community for women engineers.
  Membership as of April 2026: approximately 380
  - Expands internal networks through roundtable discussions
  - Broadens perspectives and deepens professional insight through exchanges with internal and external experts and peers at other companies
  - Supports career development and contributions to technical fields through self-reflection workshops
  - Engages with students to help cultivate the next generation of women engineers,etc.

Actions Related to Promotion to Managerial Positions

Toyota Motor Corporation

- The Human Resources Division works closely with each workplace to confirm the progress of promotion candidates each year. Candidates are assigned challenging roles and responsibilities corresponding to the next higher qualification level.

Targets and results for Toyota Motor Corporation

Indicator	Target (by 2030)	Result (FY2026)
Women in managerial positions	5 times the 2014 level	455 employees (4.5 times the 2014 level)

Trend in the Proportion of Female Managers at Major Companies in Japan [%]

	FY2024	FY2025	FY2026
Toyota Motor Corporation	3.7	4.0	3.9
Daihatsu Motor Co., Ltd.	3.2	3.3	3.1
Toyota Auto Body Co.	2.4	2.7	2.8
Toyota Motor Kyushu, Inc.	2.9	3.2	3.4
Toyota Motor East Japan, Inc.	2.3	2.4	2.4
Toyota Financial Services Co., Ltd.	16.3	15.6	14.9
Toyota Mobility Tokyo Inc.	4.7	4.9	5.6

Executive Pipeline Development and Board Appointments

Toyota Motor Corporation

- Based on the succession plan, Toyota Motor Corporation is developing executive candidates who will lead the Company's future management.
  Results as of June 2026
  - Percentage of women in executive positions: 10.0%*1

*1 Directors, Vice Chairmen Operating Officers and Fellows: 2 out of 20

- The company appoints directors based on a comprehensive assessment of each candidate's achievements, responsibilities, and experience, with an emphasis on diversity and the principle of assigning the right person to the right position, regardless of gender or nationality.
  Results as of June 2026
  - Percentage of Female Directors: 20.0% (2 out of 10)
- The company supports Keidanren's "30% by 2030 Challenge"*2 and promotes actions in accordance with its action plan under the Act on Promotion of Women's Participation and Advancement in the Workplace.

*2 Under Keidanren's "NEW Growth Strategy," the aspirational target has been set for "30% of executives to be women by 2030," to accelerate the "active participation of diverse talent in the workforce."

KPIs Related to the Promotion of Women's Participation

- Across many business entities, Toyota continues actions aimed at steadily increasing the share of women at each stage, from hiring through promotion to management positions.

Female Representation by Country and Region (FY2026)

	Percentage of Women (%)				Average tenure (year)	
	Hiring	Permanent Employees	Managers	Executives	Men	Women
Global*3	25.9	15.2	12.4	5.1	12.8	9.4
Japan	22.4	14.6	3.9	20.0	15.4	13.4
North America	23.1	20.9	20.9	0.0	9.7	7.2
Europe	27.3	21.2	16.5	0.0	12.9	8.3
China	26.1	9.8	22.3	0.0	12.6	15.2
Asia-Pacific	19.8	19.8	19.6	4.5	13.1	7.0
Latin America	54.4	16.9	12.6	0.0	9.2	2.6
Africa	46.6	29.2	30.4	14.3	14.6	9.4

*3 The disclosed data covers Toyota Motor Corporation and 46 overseas companies, for a total of 47 entities

Initiatives at Major Global Operations

Toyota Motor Europe NV/SA (Belgium)





- Held company-wide events during the week of International Women's Day (Video message by top management, workshops, etc.)
- Dual-income household support: Remote-working system, part-time working regimes, support in finding employment for spouses of employees sent to the company
- Female career development: Mentorship system, sponsorship system
- Holds networking events to promote gender diversity
- Actively recruits qualified mid-career talent
- Conducts unconscious bias awareness training for all managers
- Sets targets related to recruitment and the ratio of women in management positions

Toyota South Africa Motors (Pty) Ltd. (South Africa)

- Held the "TSAM Women Leading the Change" to promote women's participation, empowerment, and leadership in manufacturing
- With focus on Employment Equity, talent reviews are being conducted to support the equitable representation and progression of women




Toyota Motor (China) Investment Co., Ltd. (China)



- Breastfeeding break of up to one hour each day for lactating female employees

Toyota Motor North America (U.S.)



- Childcare facilities at multiple operational sites allow flexible workstyles for team members to take care of their children



- 14 women's employee resource group (ERG) chapters celebrated Women's History Month* across North America through guest speaker events, panels, and volunteer efforts in partnership with other ERGs
- Events are sponsored by ERGs throughout the year providing team member engagement, community engagement, and career readiness opportunities

* A month-long observance originating in the United States that recognizes women's historical achievements and contributions to society and promotes reflection on gender equality

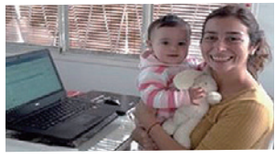
Toyota do Brasil Ltda. (Brazil) Toyota Argentina S.A. (Argentina)



- Designated Women's Day, which promotes an open conversation about the challenges women face in balancing their professional and personal lives



- Healthy pregnancy program for pregnant employees: Guidance and advice related to health conditions, as well as orientation on breastfeeding and baby care



- Allowed working from home

- Conducted unconscious bias awareness training for all managers
- Set employment targets
- Held dialogue between human resources division and management to promote diversity within the company
- Introduced the mentor system to support female leaders
- Introduce the Soft-Landing Program in support of employees returning to work after childbirth
- Support for nursing care costs for employees who return to work early
- Provides all employees with children with equipment necessary for school

Toyota Motor Asia (Thailand) Co.,Ltd. (Thailand)



- Holds Asia Women's Conference: cross-regional learning and networking
- Visualizes workforce composition and the ratio of female managers across Asian affiliates
- Provides nursing rooms
- Provides designated parking areas for pregnant employees

Domestic Consolidated Subsidiaries

Daihatsu Motor Co., Ltd. (Japan)



- Established an on-site childcare center that offers the following services to support employees' early return to work:
  - Childcare for children aged 0 and above
  - Childcare on public holidays
  - Dinner service for children who stay for extended hours
- Introduced a shortened working hours system available to employees until their child completes the third year of junior high school

Toyota Auto Body Co., Ltd. (Japan)



- Continues to improve work processes to create more comfortable and supportive environments for women
- Conducting discussion on the advancement of women at the top management level
- Introduced regular and shortened day-shift options
- Prepares development plans tailored to each individual's development goals and career stage

Toyota Mobility Tokyo, Inc. (Japan)



- Established a dedicated department to promote women's participation and advancement in the workplace
- Holds career design training programs for early-career female employees
- Creates networking opportunities and hosts events for employees
- Utilizes internal side-job programs to provide greater flexibility in arranging employees' days off

Childcare/Nursing Care Support

Aim

- Respect for diverse values of individuals and provision of diverse workstyle options that reflect their perspectives on work-life balance, enabling each employee to pursue the life and career they envision
- Expanding available programs and fostering of an environment in which employees balancing work with childcare, nursing care, and other responsibilities, can use these programs without hesitation, while ensuring sustainable workplace operations without undue burden

Initiative

Expansion of Family-Related Leave Systems

- Regardless of gender, companies across Toyota are enhancing a variety of family-related leave systems in accordance with applicable laws and labor agreements to support employees in balancing work with childcare, nursing care, and other responsibilities.

P. 148 Social Data

Balancing Work and Childcare

- We promote gender-inclusive systems and workplace environments that help employees balance work and childcare, tailored to the local laws, labor practices, business characteristics, and working styles in each country and region.

Leave Systems

Toyota Motor Corporation

- Childcare leave: Available until a child is two years old
- Parental leave for sick/injured child:
  Equivalent of 15 days annually for one child
  (Equivalent of 20 days annually for two or more children).
  Available until a child is 18 years old
- Notes: In Japan, the following statutory leave systems are provided related to childbirth.

	Leave Systems	Income Replacement
Employee giving birth	• Before childbirth: Available from 6 weeks before the expected date of childbirth (14 weeks in the case of a multiple pregnancy). • After childbirth: Prohibited from working for 8 weeks starting from the day after childbirth	• 67% of wages (maternity allowance)
Partner	• Postnatal paternity leave: Available up to 4 weeks of leave within 8 weeks after childbirth*1 *1 This leave is available separately from childcare leave	• 67% of wages; under certain conditions, up to 4 weeks at 80% of wages (100% of take-home pay)
Both	• Childcare leave: Available until the child turns 1 (extendable under certain conditions)	

Shorter Working Hours and Remote Work Programs

Toyota Motor Corporation

- Toyota Motor Corporation expanded eligibility for the reduced working hours system to cover employees with children up to 18 years old.
- It has developed a remote working system to support diverse and flexible work styles.

Creating an Environment and Raising Awareness on Utilizing Work-Life Balance Systems

Toyota Motor Corporation

- Toyota Motor Corporation holds seminars on career planning and work styles for employees during periods of balancing work and family responsibilities, regardless of gender.
- It provides staffing support when employees work reduced hours or take a leave of absence, ensuring access to these programs while maintaining smooth workplace operations.

Men's Participation in Childcare

Toyota Motor Corporation

- Toyota Motor Corporation conducts awareness campaigns and employee surveys to better understand barriers and encourage greater uptake of childcare leave among male employees.
- A framework was established to confirm employees' intentions to take parental leave and the desired duration of such leave during career discussions with supervisors, thereby facilitating a dialogue on career and life plans.

Targets and Performance for Toyota Motor Corporation

Metric	Target	Performance (FY2026)
Rate of Men Taking Childcare Leave	An average take-up rate of 85% or higher from April 1, 2025 to March 31, 2030	79.0%

Trends in the Rate of Men Taking Childcare Leave at Major Domestic Group Companies*2 [%]

	FY2024	FY2025	FY2026
Toyota Motor Corporation	61.0	67.0	79.0
Daihatsu Motor Co., Ltd.	70.0	64.0	73.0
Toyota Auto Body Co.	58.0	75.0	87.0
Toyota Motor Kyushu, Inc.	39.0	40.0	58.0
Toyota Motor East Japan, Inc.	40.0	50.0	59.0
Toyota Financial Services Co., Ltd.	71.4	150.0	100.0
Toyota Mobility Tokyo Inc.	50.0	65.0	84.0

*2 Because male employees whose spouses gave birth in a previous fiscal year may take childcare leave in the current fiscal year, the take-up rate may exceed 100%

Establishment of On-site Childcare Facilities

Toyota Motor Corporation

- Introduced early morning and overnight childcare services, along with bus transportation for preschool children from nearby factories, to support shift workers and nurses on night shifts at hospitals.

Balancing Work and Caregiving

(Toyota Motor Corporation)

Programs	• Provides nursing care leave, shortened working hours and other systems Supports diverse and flexible workstyles through the development of remote working systems • Developed a recruiting program for employees who leave the company to provide nursing care (Career Comeback System)
Information	• Set up a caregiving consultation hotline • Introduced an e-learning program on nursing care • Published a nursing care guidebook, etc.
Caregiving Services	• Introduced a flexible benefits program that allows employees to accrue and use points for future caregiving needs • Established partnerships with major caregiving service providers
Financial Support	• Provides an optional insurance program for caregiving needs for employees and their parents • Offer nursing care insurance for parents

Balancing Work and Medical Treatment

(Toyota Motor Corporation)

Category	• Provides 5 days of special leave annually for hospital visits related to cancer treatment • Provides up to 2 years of leave per pregnancy for full-time employees undergoing infertility treatment • Provides 20 days of special leave annually for full-time employees undergoing infertility treatment
Details	• Promotes awareness and fosters a supportive workplace culture through diversity training and other initiatives

Promoting Active Participation of the Senior Employees

Aim

■ Respecting each employee's diverse lifestyle and willingness to work, while developing systems and a workplace environment that enable employees to continue working with motivation and a sense of fulfillment

Initiative

■ We expand opportunities for senior employees to contribute in ways that reflect their expertise, experience, preferences, and health conditions, in line with the laws and labor practices in each country.

Expansion of Re-Employment Systems

(Toyota Motor Corporation)

Year	Description
1991	• An internal re-employment system for skilled retirees was introduced
2001	• The Optional Re-employment Application System was launched to place applicants with external affiliates and other sites
2006 · 2013	• Based on the revisions to the Law on Stabilization of Employment of Elderly Persons, the support was revised to expand re-employment by conducting surveys and interviews on the needs of the employees
2016	• The Advanced Skilled Partner System was set up for shop floor employees to encourage and motivate them to keep working after 60 by maintaining their job rank and salary at the time of their statutory retirement at 60
2024	• A new system expanding re-employment for senior employees age 65 and older was introduced

Inclusion of Persons with Disabilities

Aim

- Realizing a "symbiotic society" in which people work together and live together regardless of disabilities
- Developing a working environment in which anyone can make the most of their characteristics in various workplaces and gain a sense of job satisfaction through demonstrating their abilities

Initiative

- Each company fosters an inclusive workplace culture and an accessible work environment in line with applicable laws and labor agreements to support employees with disabilities.

Toyota Motor Corporation's Actions

- Employment rate of people with disabilities (as of June 2026)
  2.48% (including special-purpose subsidiaries)

	Main Content
Building an inclusive workplace culture	• The following actions were implemented for employees to foster understanding of and empathy for persons with disabilities: • Experiential training programs on an inclusive society (wheelchair experience sessions) • Opportunities to learn sign language • Training sessions for departments that work with employees with disabilities
Support for ensuring the full skill application at work	• Set up a privacy-conscious consultation • Introduced a special leave system that can be used for outpatient visits, etc. • Dispatches sign language interpreters • Distributes various support tools
Facility improvements	• Installed a parking lot exclusively for people with disabilities • Installed universally accessible toilets • Assesses workplace conditions and assigns employees to positions suited to their individual disabilities and needs, with the support of an occupational physician

Actions of Toyota Loops Co., Ltd. (Japan) , a Special-purpose Subsidiary of Toyota Motor Corporation

- Toyota Loops started its business together with persons with disabilities in 2009.
- Number of employees with disabilities (as of June 2026): 579

Contribution to Office and Service Operations

- Toyota Loops has expanded its business scope beyond printing and internal mail handling services. Employees with disabilities play active roles in a wide range of fields, including administrative support, service operations such as annotation* and document digitization, and in-house café and massage services.

* The task of adding tags to images to create AI training data, serving as a foundational process supporting the development of autonomous driving technology



Goods picking, packing, and shipping



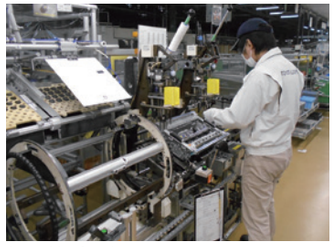
Annotation, data entry, and digitization services

Contribution at Manufacturing Sites

- Employees with disabilities support manufacturing at seven vehicle production plants through parts picking, assembly, measurement, and other tasks.



Parts picking



Assembly of engine

Contribution in Development Operations

- The employees have participated in user evaluations of Toyota's assist-mobility vehicles, contributing to improved ease of use and safety from the user's perspective.
- They have also participated in studies on vehicle use and disaster prevention in Woven City.



Participated in user evaluations for welfare vehicle development



Electric wheelchair "JUU"

Contribution Outside Regular Work Duties

- Employees with disabilities actively participate in external competitions, including the Abilympics (Skills Competition for Persons with Disabilities)



Won gold medals in the "Product Packing" and "Photography" categories at the 45th National Skills Competition



Scene from the Product Packing game at the 45th National Skills Competition

Support Framework

- Toyota Loops has established a support system founded on collaboration among specialist professionals, including physicians, psychologists, and psychiatric and social workers.
- It has also established a consultation service.
- It actively exchanges information with government agencies, local communities, and welfare organizations.

Inclusion of LGBTQ+ Employees

Aim

■ Fostering a culture of appropriate understanding, awareness, and acceptance that respects each individual's sexual orientation and gender identity

Initiative

■ In line with labor practices and laws and regulations in each country and region, we promote the dissemination of basic knowledge and understanding of LGBTQ+.

Toyota Motor Corporation Actions

Building an Inclusive Workplace Culture	• Provides mandatory basic LGBTQ+ awareness training for all employees and executives • Provides optional training by external instructors from the LGBTQ+ individuals • Promotes the ALLY*1 program; As of June 2026, approximately 23,000 employees were registered *1 A program that registers employees committed to creating an inclusive workplace where everyone can be themselves, grounded in understanding and respect for sexual diversity, including LGBTQ+ people
Recruiting and Hiring Process	• Removed the gender field from application forms for new graduate recruitment
Expansion of Internal system	• Since 2020, employees in same-sex partnerships or common-law marriages have been eligible for the same internal benefit systems as those in legal marriages (leave, employee benefits, etc.).
Facility Improvements	• Established an internal harassment consultation hotline • Gradually expanding the availability of gender-inclusive restrooms
Social Recognition	• Received a Gold rating in the PRIDE Index developed by work with Pride, a voluntary organization that supports the advancement and adoption of diversity management for sexual minorities (November 2025)

Toyota Motor Europe's (Belgium) Action

Building an Inclusive Workplace Culture	• Support for five key employee resource groups, including LGBTQ+ communities, to elevate the voices of underrepresented employees and foster a safe and welcoming environment

Actions Related to Respecting Rational, National, and Cultural Diversity

Aim

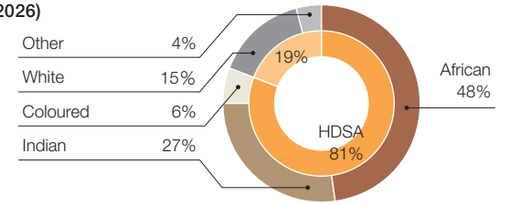
■ Creating an environment tailored to regional circumstances that respects diverse racial and ethnic backgrounds, nationalities, cultures, and customs, ensuring that employees can work and live safely and with peace of mind

Initiative

Toyota Motor Corporation's Actions

Facility Improvements	• Developing living environments that take religion, culture, and customs into consideration (e.g., adding private showers and dedicated kitchens in employee dormitories)
Support for Daily Living	• Provides language support including interpretation, language learning, and lending of translation tools • Supports employees' enrollment in liability insurance, provides 24-hour medical assistance services, and assists employees in obtaining a driver's license

Toyota South Africa Motors's (South Africa) Actions

Education and Awareness Activities	• Hold events that deepen mutual understanding of diverse cultures and customs
Broad-Based Black Economic Empowerment (B-BBEE*2)	• Promotes actions aligned with Broad-Based Black Economic Empowerment (B-BBEE) to support economic development and job creation TSAM Performance as of March 2026: Achieved Level 3 **Management workforce composition*3 (FY2026)** ■ Percentage of employees defined under South African law as "Historically Disadvantaged South African (HDSA)" (African, Indian, Coloured): 81% 

*2 Broad-Based Black Economic Empowerment (B-BBEE): Rating of the efforts for and contributions to B-BBEE by companies and organizations with scores (from the highest, Level 1, through Level 8 to the lowest, Noncompliant)
*3 Categories are based on racial classifications used in South Africa

Updated in September 2026

Labor Practices

GRI 3-3

Overview
110 Fundamental Approach

Details
111 Employment Stability
112 Adequate Compensation
112 Appropriate Management of Working Hours and Flexible Work Styles

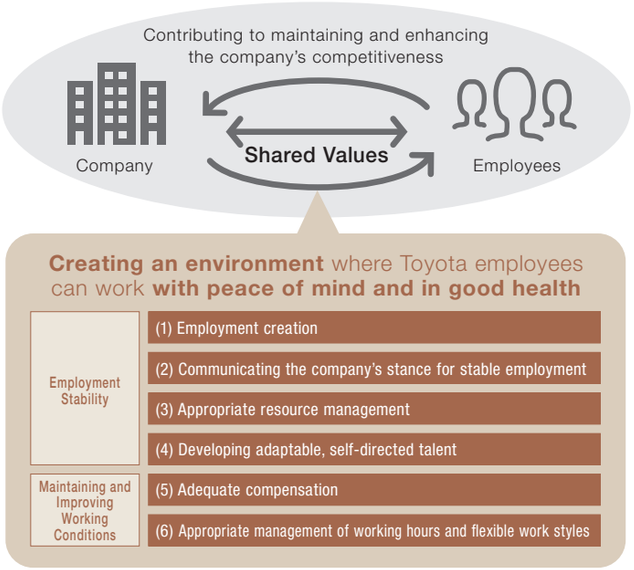
Fundamental Approach

Aim

- Contribute to employees' peace of mind and the sustainable growth of local communities by ensuring stable employment and maintaining and improving working conditions

Material Impacts, Risks, and Opportunities (IROs)

	Category	Impact/Risk/Opportunity	Time Horizon	Value Chain
I-6	Positive impact	Ensuring stable employment and contributing to local communities	Short, medium, and long term	Own operations
I-7	Positive impact	Fostering employees' peace of mind through adequate compensation and flexible work styles	Short, medium, and long term	Own operations



Initiative

Actions to Address Material IROs

- We place importance on achieving both of the following: responsibly creating an environment where employees can work with peace of mind and in good health, and enabling employees to contribute to maintaining and enhancing the company's competitiveness through autonomous *Kaizen* (continuous improvement) and growth.
- Based on the approach above, in addition to complying with laws, regulations, and practices in each country and region, we continuously promote creating an environment where each employee can work with peace of mind and in good health.

Employment Stability I-6

P. 111 Employment Stability

Employment Creation

- With Japan at the core, we are expanding our automotive manufacturing footprint and business operations globally, thereby contributing to the development of local communities.

Communicating the Company's Stance for Stable Employment

- We foster employees' peace of mind through communicating the company's stance.
- We also use opportunities for dialogue between the company and employees to reinforce that each employee's cooperation is essential to achieving stable employment.

Appropriate Resource Management

- We assign personnel based on workload and workforce composition, aiming to create workplace structures that support continuous improvement in productivity and human resource development.

Developing Adaptable, Self-directed Talent

- We provide employees with various opportunities to enhance their skills and expand their scope of responsibility, including rotations across multiple processes and job functions. These opportunities are grounded in a shared foundation of "philosophy (Toyota Philosophy), skills (Toyota Production System (TPS)), and behavior (Toyota Way 2020)."
- We provide regular opportunities for members and supervisors to align on individual goals and challenges and to review specific action items and progress.
- We also promote action and continuous improvement through employee evaluation system that encourage challenge-taking and Creative Idea Suggestion System and other systems.

Maintaining and Improving Working Conditions I-7

P. 112 Appropriate Management of Working Hours and Flexible Work Styles

Adequate Compensation

- We promote measures suited to the circumstances of each company, including developing compensation systems aligned with performance and roles as well as enhancing employee benefits.

Appropriate Management of Working Hours and Flexible Work Style

- We promote flexible work styles that are not bound by time or location, according to business and job requirements.
- Each company complies with laws and regulations related to working hours, breaks, and leave.

Targets and Metrics

- In line with Toyota's approach to strategic regional management, targets for these actions are established by each region and company based on their specific circumstances and priorities, while remaining aligned with Toyota's shared principles and objectives.
  - Each company evaluates the effectiveness of its own actions against the targets it has established, taking into account its specific circumstances and business priorities.
- Toyota has begun collecting multiple metrics related to material IROs, and monitoring the status of each company.

P. 148 Social Data

Employment Stability

Aim

- Creating an environment where employees can work with peace of mind and in good health in order to maintain stable employment
  - We strive to maintain stable employment to the greatest extent possible, even in a challenging external environment, to develop talent who deeply understand Toyota's values and continue to enhance and demonstrate their capabilities.

Initiative

Employment Creation

- Through manufacturing and collaboration, we create jobs and maintain them in a stable and sustainable manner, thereby contributing to the sustainable development of local communities and aiming to be "Best-in-Town".

Case: Start of Operations at an Automotive Battery Plant in United States

Toyota Battery Manufacturing, North Carolina (The United States)

- Toyota Battery Manufacturing, North Carolina (United States) is Toyota's first in-house battery manufacturing company outside Japan.
  - Toyota North Carolina is a manufacturing operation by Toyota's 10th wholly-owned subsidiary established in the United States and its first U.S. battery plant to produce batteries for HEVs, PHEVs, and BEVs.
  - The facility is designed to create more than 5,000 local jobs.



Communicating the Company's Stance for Stable Employment

- We foster employees' peace of mind through dialogue between company and employees. In these dialogues, we continuously communicate the shared belief that "The company seeks the well-being of its employees, and the labor union seeks the company's growth. Based on this shared commitment, management and the union place the highest priority on employees' job security and work together to safeguard it."
- We also maintain ongoing dialogue with employees so that both the company and employees accurately understand the business environment and discuss solutions to challenges.

P. 95 Dialogue with Employees

Appropriate Resource Management

- We assign personnel based on workload and workforce composition, aiming to create workplace structures that support continuous improvement in productivity and human resource development.
- To respond flexibly to changes in production volume and processes, we implement mutual support across Toyota Group and workplaces.

* A system that enables flexible sharing of personnel across Toyota Groups, plants, and workplaces when production volumes fluctuate or temporary staffing shortages arise

Actions to Address Precarious Work certain consolidated subsidiaries

- Based on labor laws and practices in each region, we take the following actions:

- We identify overseas entities that require action regarding fixed-term employment relationships by reviewing workforce composition.
- Where remediation is needed, we request reallocations and reviews of employment rules related to contract terms.
  2023-2025: No applicable cases were identified as a result of the investigation

Developing People Who Are Resilient to Change and Who Think and Act on Their Own Initiative

- We provide employees with a range of opportunities to enhance their skills and broaden their areas of responsibility, including rotation across multiple processes and functions. These initiatives are built on a shared foundation of Toyota's "philosophy, skills, and behavior."
- We provide regular opportunities for members and supervisors to align on individual goals and challenges and review specific action items and progress.
- Each company has established performance evaluation and promotion systems. These systems encourage employees to take on challenges and demonstrate a high level of capabilities in line with their positions and roles.
- We foster a culture and work environment in which employees can think, act, and grow on their own initiative through the Creative Idea Suggestion System and QC Circle Activities.

P. 92 Supporting Self-Directed Career Development Through Transferring, Assignments, Evaluation and Feedback

P. 89 Embedding "Philosophy, Skills, and Behavior"

Adequate Compensation

Aim

- Payment of wages at appropriate levels, based on legal requirements and competitiveness, to secure necessary talent, foster employees' sense of security, and improve well-being.

Initiative

- Each company complies with local laws and practices in each country and region regarding wages.
- Each company revises wages as necessary when minimum wages rise.
- Each company advances measures suited to its circumstances to design compensation systems aligned with individual performance and roles, provide competitive wages that reflect living standards and market levels, and enhance employee benefits.

CASE: Actions at Toyota Motor Corporation

- Administrative and Engineering employees:
  By clearly defines the capabilities and performance expected at each qualification level and determines pay based on annual competency evaluations, demonstrated capabilities and performance are appropriately reflected in compensation.
- Shop floor employees:
  Consideration of a mechanism to reflect the scale of the roles employees actually assume in wages, in addition to conventional evaluations based on job capability and results.
- Fixed-term employees:
  We improve compensation and employment terms for temporary workers by providing family allowances, granting special leave, and offering opportunities for permanent employment.

Appropriate Management of Working Hours and Flexible Work Styles

Aim

- Comply with laws and regulations related to working hours, breaks, and leave.
- Secure employee health and safety through communication between the company and employees.

Initiative

- Each company complies with local laws and practices in each region and country regarding working hours, rest periods, and leave.
- We promote flexible work styles tailored to each business and job type, without being bound by time or location, to enhance productivity through autonomous work styles and support work-life balance.

P. 106 Childcare/Nursing Care Support

CASE: Actions at Toyota Motor Corporation

- Track and manage arrival/departure times and computer login/logout times through the time management system, and have the supervisor approve employees' work applications.
- Promote optimizing working hours and taking annual paid leave through visualization of workloads in systems and statuses of annual paid leave spent and communication between supervisors and members.
- We enable flexible work styles by offering a range of options. These include our Free Time & Location (FTL) program, which allows remote work, and a reduced-hours program available until a child reaches age 18.
- If an employee requests permission to engage in outside employment, decide whether or not it is acceptable according to the perspectives such as safety considerations, confidentiality, non-competition, duty of good faith.

Updated in September 2026

Health and Safety

GRI 3-3, 403-1~10

Overview
113 Fundamental Approach

Details
115 Organizational Structure
115 Health and Safety Education
116 Action for Health
120 Action for Safety

Fundamental Approach

Aim

■ Continue to protect the health and well-being of employees and their families, while embedding a safety culture and striving for zero workplace accidents

Material Impacts, Risks, and Opportunities (IROs)

	Category	Impact/Risk/Opportunity	Time Horizon	Value Chain
I-8	Positive Impact	Building a foundation that enables employees to continue working with peace of mind by maintaining and promoting employees' physical and mental health	Short, medium, and long term	Own operations
I-9	Negative impact	Experiencing injuries or illnesses due to work-related accidents	Short, medium, and long term	Own operations

Initiative

Actions to Address Material IROs

■ We focus on creating workplaces where **everyone at Toyota's operational sites can work safely, maintain their physical and mental well-being, and continue to thrive at work**.
■ Each company determines the specific implementation and operational details of these actions, tailored to its management policies and the characteristics of its region and business. Each company continuously promotes the actions through diverse approaches.

Embedding Toyota's Health and Safety Philosophy and Providing Education to Promote Employee Health and Ensure Safety

I-8 I-9

Toyota's Philosophy for Health and Safety

■ **We promote health and safety for employees as well as everyone working at Toyota, including on-site contractors**, based on the following philosophy and policies:
- Philosophy for health and safety: the "Toyota Motor Corporation's Declaration of Health Commitment" and the "Basic Philosophy for Safety and Health".
- Health and safety policy*: Globally expanding the "Inheritance and Evolution of the Interdependent Health and Safety Culture"

* Operational guidelines outlining actions specifically focused on health and safety, distinct from the policy for managing the IROs related to this materiality (the Toyota's Human Rights Policy)

Declaration of Health Commitment
Aiming at health first company

Mental and physical wellness is **"driving force for good performance."** It is fundamental key point of **"happiness of individual employee"** as well as of **their family**.
I wish you work lively with positive motivation in Toyota and after retirement you can continue to enjoy satisfying life.
TMC culture **"Step in batter box and challenge!"** without fearing failure is applicable for health. I would like to declare that TMC proactively supports individual **"challenge to improve your lifestyle"** and develops **"health promotion & illness prevention activity"** in cooperation with health insurance society.

バッターボックスに立ち続けるために 健康な心と体づくりから 豊田章男

(September, 2017)

Philosophy for health and safety

Basic Philosophy for Safety and Health

Safe work
Reliable work
Skilled work
Safe work is "the gate" to all work
Let us pass through this gate

Education to Foster Employees' Health and Safety Awareness

- We foster a culture in which employees take ownership of their health and workplace safety through training tailored to the laws and cultures of each country and through actions that raise health and safety awareness.
- Training is delivered in a variety of formats and on a range of topics tailored to different organizational levels and age groups.
- Health and safety awareness is reinforced through messages from top management and dialogue in each workplace.

P. 115 Health and Safety Education

Actions to Maintain and Promote Employee Health I-8

P. 116 Action for Health

- Including measures to prevent lifestyle-related diseases and support mental health.
- In Japan:
  Promoting health and productivity management through KPI setting and Kaizen activities at each company, while fostering workplaces where employees can thrive
- Overseas:
  Implementing health promotion actions tailored to local laws, cultures, and employee needs, including health checkups and mental health support

Actions to Prevent Work-related Accidents I-9

P. 120 Action for Safety

- We make every effort to ensure safety, with the aim of "ultimately achieving zero accidents and the continuation of zero accidents at all worksites."
- We promote workplaces where everyone can work safely and with peace of mind through health and safety activities embedded in each worksite:
- Safety knowledge-sharing activities among companies across regions
- Various actions to put the "Three Pillars of Safety"* into practice, including making safe behaviors routine practice and implementing heat-stress countermeasures in the workplace

* Safe People, Safe Work, Safe Places/Environments

Targets and Metrics

- In line with Toyota's approach to strategic regional management, targets for these actions are established by each region and company based on their specific circumstances and priorities, while remaining aligned with Toyota's shared principles and objectives.
- Each company evaluates the effectiveness of its own actions against the targets it has established, taking into account its specific circumstances and business priorities.
- Toyota has begun collecting multiple metrics related to material IROs, and monitoring the status of each company.
- As metrics related to health and safety, we collect data globally on the recordable work-related accident cases, the rate of work-related injuries and ill health due to accidents per one million hours worked, fatalities as a result of work-related accidents, days lost due to work-related accidents, and percentage covered by the health and safety management system.

P. 148 Social Data

Social Recognition

(Toyota Motor Corporation)

System and Certification Name	Details	Years Awarded
2023 健康経営銘柄 Health and Productivity	• Recognizes and selects companies based on approaches and activities that emphasize "prevention," including employee lifestyle improvement challenge activities and work styles with clear boundaries that support work-life balance • Implemented by the Ministry of Economy, Trade and Industry (METI) and the Tokyo Stock Exchange	2021, 2023
2026 健康経営優良法人 KENKO Investment for Health ホワイト500	• Recognizes outstanding organizations engaged in health and productivity management • Jointly implemented by the Ministry of Economy, Trade and Industry (METI) and the Japan Health Council	2018 to 2026
2026 食育実践優良法人	• Recognizes companies that provide healthy meals for employees and implement and evaluate initiatives that contribute to improving dietary habits • Implemented by the Ministry of Agriculture, Forestry and Fisheries (MAFF)	2026
SPORTS YELL COMPANY 2026+	• Recognizes companies that proactively support and promote sports activities to enhance employees' health • Implemented by the Japan Sports Agency	2024 to 2026

Organizational Structure

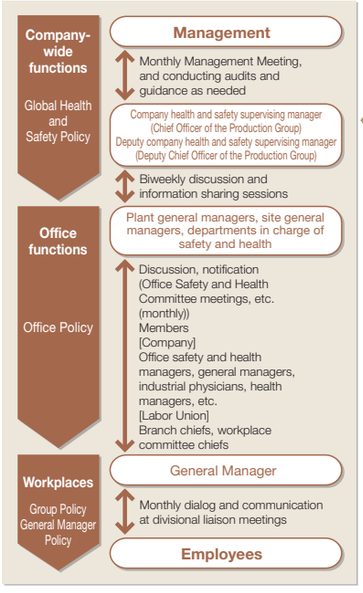
Aim

- We promote a comfortable working environment through collaboration with diverse business partners, including labor unions, suppliers, and on-site contractors.
- We promote actions based on day-to-day collaboration and work together to identify and address workplace issues.

Initiative

- We have established an organizational structure under the overall responsibility of the company health and safety supervising manager (Chief Officer of the Production Group).
  - We formulate the health and safety policy and KPIs in response to technological innovation and changes in the business environment.
  - We report to executives on the status of illnesses and accidents, as well as the results of actions to promote health and safety.
- The Safety and Health Promotion Department of Toyota Motor Corporation (TMC) coordinates with business sites, labor unions, the health insurance society, regional business entities, suppliers, and other partners.

Organizational Structure



Suppliers and Affiliated Companies

Group companies	All Toyota Safety and Health Cooperation Association (17 companies)*1
Parts and materials suppliers	Kyohokai Safety and Health Committee (226 companies)
Equipment, installation, and logistics suppliers	Eihokai safety and health committee (127 companies) Toyota Motor Corporation Safety and Health Cooperating Association (573 companies)

Overseas affiliated companies *2



*1 Companies that do not participate in the study group also work with regional and consolidated companies to promote actions to maintain and improve health and safety

*2 TME (Toyota Motor Europe NV/SA)
TTCC (Toyota Motor Technical Cente (China) Co.,Ltd.)
TMA (Toyota Motor Asia (Thailand) Co., Ltd.)
TSAM (Toyota South Africa Motors (Pty) Ltd.)
TMNA (Toyota Motor North America)
TDV (Toyota de Venezuela Compania Anonima)
TDB (Toyota do Brasil Ltda.)
TASA (Toyota Argentina S.A.)

Health and Safety Education

Aim

- We provide training across regions and companies to help employees understand the health and safety roles expected at each level.

Initiative

Level-specific Training

- We provide training tailored to employees' job levels, age groups, and other relevant categories.

Case: Training for Managers Toyota Motor Corporation

- Discussions on key workplace management points and case studies
- Reaffirmation of the importance of day-to-day communication
- Early identification of signs of health issues among team members and suggestions for identifying potential hazards

2025 Results (Toyota Motor Corporation)

Trainees	Training Hours [hours]	Number of Participants [Persons]
Division general managers	6	51
Section general managers	6	200
Chief experts	8	181
Workplace leaders	12	810
New employees	1	1,944

Training for Hazardous Work and Skills Improvement

- We provide skills training based on the Industrial Safety and Health Act.
- In addition to the legally required training, experienced instructors provide hands-on instruction using actual equipment.

2025 Results (Toyota Motor Corporation)

Trainees	Number of Participants
Production division members involved in hazardous operations	3,861

Promoting Health and Safety Awareness

- Toyota Motor Corporation's president and heads of each organization communicate health and safety messages to people working at Toyota.
- We foster employees' health and safety awareness in each region and company by passing on safety knowledge and lessons learned and by reviewing health and safety practices in each workplace.

(Toyota Motor Corporation)

Top message on health and safety	• The President and the heads of each organization communicate health and safety messages to all people working at Toyota (2026)
Passing down safety knowledge and lessons learned	• Conducting managers' commitment statements and safety meetings based on lessons learned from serious incidents and accidents within the company, Toyota Motor Corporation (TMC) passes on the importance of safety across all workplaces to help prevent accidents
Review of health and safety activities	• Sharing safety messages from all company officers as well as managers' commitment to safety, TMC provides opportunities for all workplace personnel to review their daily operations

Top message on health and safety (Kenta Kon, President, Member of the Board of Directors, 2026)

> Let's always put health and safety first in our decisions and actions.
>
> Kenta Kon

Additional Training to Further Improve Health and Safety

- We also provide employee education based on the judgment of each region, company, and workplace.

2025 Results (Toyota Motor Corporation)

	Details	Trainees	Seminars
On-site health education	Providing health and safety-related activities led by expert instructors, including seminars to boost health literacy and accident simulation training	All employees	204
Online healthrelated learning	Providing online learning materials to increase awareness and knowledge of mental health and the prevention of lifestyle-related diseases		97,999

Action for Health

Aim

- We promote prevention-focused actions based on a "health first" concept, including lifestyle-related disease prevention, mental health measures, and efforts to enhance job satisfaction and create comfortable working environments.
- Through health and productivity management, we aim for employees and the company to grow together, while promoting Active Contribution by All and improving productivity.

Initiative

Formulation of the 2030 Health Vision

- TMC has formulated the 2030 Health Vision to help realize Producing Happiness for All by enabling everyone to work in good health, thrive, and experience fulfillment and happiness through contributing to *monozukuri* (manufacturing).



(Toyota Motor Corporation)

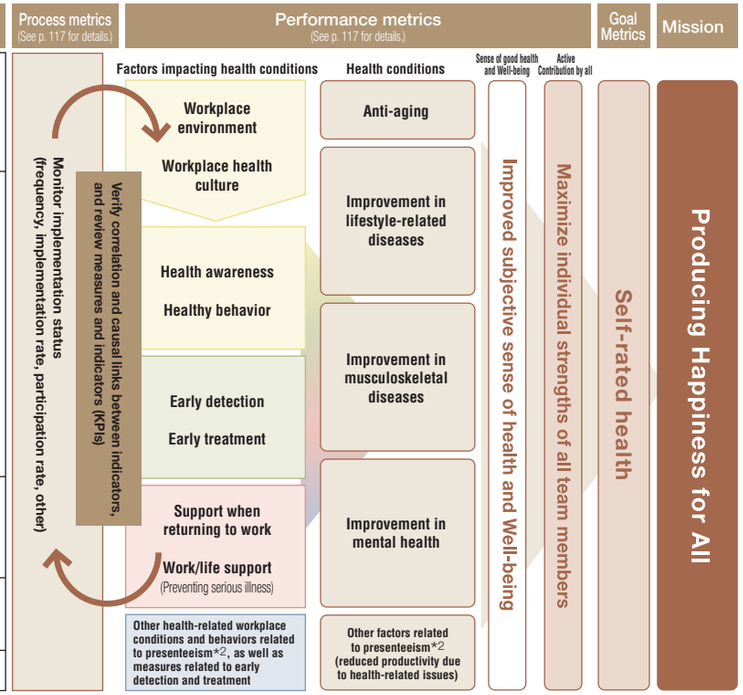
Health vision	Background on formulation of vision	Key actions
Develop human resources who can take charge of and improve their own health	Support must be strengthened for each individual, leaving no one behind in this time of aging and diversity	• Strategies for maintaining and improving health in older adults • Support for balancing work with medical treatment and disabilities • Prevention of mental health issues and recurrence
Create workplaces where people from diverse backgrounds can thrive	Support is required for creating workplaces (improvements in workplace environments), including suppliers and overseas businesses, where all employees play an active role.	• Improvements in workplace environments using data in collaboration with workplace management • Create good work environments that are aware of diversity in collaboration with different stakeholders (HR, health insurance unions, hospitals, labor unions, suppliers, etc.)

Actions to Achieve the Health Vision

- TMC establishes metrics for each action, as well as metrics to measure employees' physical and mental health.
- These metrics are shared throughout the company—from senior management to members of each department—while respecting confidentiality, and discuss ways to improve both the actions and the metrics.
- The company reviews actions and metrics after examining the relationships and causal links among those metrics.
- The company continues this cycle to achieve the Health Vision.

(Toyota Motor Corporation)

	Measures (Promotion of different measures in the areas of promoting healthy lifestyles, lifestyle-related diseases, musculoskeletal diseases, and mental health)
Common items	• Compliance with Japan's Industrial Safety and Health Act • Tiered training programs for different organizational levels • Walking events P. 115 Health and Safety Education • Health and Fitness Program • Maintain and improve physical fitness from a young age and prevent age-related physical function decline • Annual health check-ups: body fat, bone and muscle mass, basal metabolic rate measurement (scope is to be expanded) • Employees aged 36 and above are tested every four years to measure their grip strength, sit-and-reach, and foot-gripping force, and check the shoulders, upper arms, and other functions, etc
Primordial and primary prevention Environmental improvement, disease prevention, promotion of healthy lifestyles	• Healthy Lifestyle Challenge 8 • Define the "8 healthy habits"*1 necessary for preventing mental and physical illnesses, and encourage employees to raise their level of awareness and integrate more of these habits or practice at least one more habit than they currently do *1 1) BMI (Body Mass Index) 2) Breakfast 3) Alcohol consumption 4) Snacking between meals 5) Exercise 6) Quitting smoking 7) Sleeping 8) Stress • Passive smoking prevention and smoking bans on company premises • Expand smoke-free environments by prohibiting smoking indoors, during work hours, and on regularly non-smoking days • From April 2025: Smoking prohibited on all company premises • Food and dietary education through the company cafeteria • Healthy certified smart meals (nutritional balance, reduced sale, more vegetables) • On the health support app: hosting food-related events, displaying meal history and nutritional information, and browsing recipes • Milestone educational sessions • Specific health guidance • Stress checks • Preventive activities at production sites, etc • Health support systems for employees dispatched overseas P. 121 Actions to Create a More Comfortable Working Environment • Pre-departure support for employees dispatched overseas and accompanying family members, including health screenings, vaccinations, and guidance on daily safety risks such as malaria and AIDS • Guidance on local health screenings, follow-up on results, and consultation services for all concerns while on assignment, including those of accompanying family members, to help ensure well-being • Regular on-site visits by occupational physicians and nursing professionals to assess regional healthcare systems and living conditions
Secondary prevention Early detection and treatment	• Health consults, regular health and milestone check-ups • Required support for detailed medical examinations • Follow-up on employees working long hours P. 118 Health Checkups and Health Guidance • More detailed health checks and interviews with occupational physicians during temporary peak seasons or when dealing with problems than required by law. Extensive follow-up is also provided in terms of work adjustments and coordination, etc
Tertiary prevention Support when returning to work and work/life balance	• Interviews prior to resuming work or returning from leave, follow-up health interviews • Follow-up during leaving of absence for mental health • Support systems for balancing work/life (treatment, disability), other P. 118 Actions for Mental HealthGuidance
Other factors contributing to presenteeism*2	• Pre-health check-up approaches • Stronger recommendations for women's health check-ups



In-house measures related to producing happiness for all

- Providing opportunities for communication
  Company-wide/workplace sporting events, informal activities, support for sports clubs, volunteer work, different consultation services, other
- Sharing information company-related information
  Sharing management perspectives on labor-management meetings, and organize external events/activities
- Improved workstyles (i.e. working rules)
  Promote better work-life balance by improving rules for shorter working hours/working from home/allowing work in any location, the use of various types of leave and diversity.
- Enhanced welfare benefits and convenience
  Enhance both internal and external facilities, systems and services, and enrich employee asset-building programs.
- Supporting opportunities for growth
  Promote training based on job type and level, interactive interviews with managers, self-reporting system, performance evaluation feedback, sharing of work improvements, professional skills training, promotion of digital transformation (DX) and information and communications technologies (ICT)
- Measures to improve well-being by psychological staff specialists
  Opportunities to help individuals achieve fulfilling lives with a balance between happiness and productivity through advice, consultations, training, monitoring and other measures

P. 97 Well-being/Engagement

*2 Reduced productivity due to health-related issues

Key KPIs

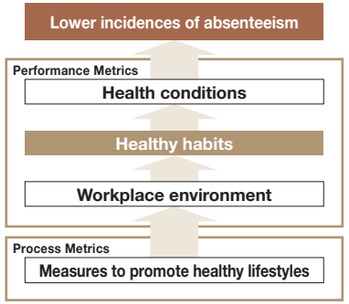
- KPIs have been revised to monitor mental and physical health throughout the process, from improving health habits to reducing health-related leave.

2024 (Toyota Motor Corporation)

			2024 perspective
Employees on leave			Workforce of 801 employees or less
Health conditions	Physical	Health score 6 Average number of applicable cases within the six inspection criteria	4.37
	Mental	Percentage of people experiencing high levels of stress	18.9%
Healthy habits		Healthy Lifestyle Challenge 8 (Average results from adopting 8 healthy lifestyle habits)	6.40
Workplace environment		Attitude towards creating healthy lifestyles Percentage of workplaces implementing initiatives in a planned manner	50%
Health measures		<Company-wide activities> Walking event participation rate	20%

2025 (Toyota Motor Corporation)

				2025 perspective
Ongoing	Employees on leave			Workforce of 801 employees or less
Ongoing	Health conditions	Physical	Health score 6 Average number of applicable cases within the six inspection criteria	4.33 or higher
Changed		Mental	Percentage of people not experiencing high stress	81% or higher
Ongoing	Healthy habits		Healthy Lifestyle Challenge 8 (Average results from adopting 8 healthy lifestyle habits)	6.5 or higher
Ongoing	Workplace environment		Attitude towards creating healthy lifestyles Percentage of workplaces implementing initiatives in a planned manner	50% or higher
Added	Health measures		<Company-wide activities> Walking event participation rate and retention rate	Participation rate: 23% Retention rate: 66%



Key Metrics and Results

■ TMC establishes process metrics to measure the implementation status of various actions, as well as performance metrics to measure employee and organizational conditions, and monitor trends over time to systematically promote health and productivity management.

(Toyota Motor Corporation)

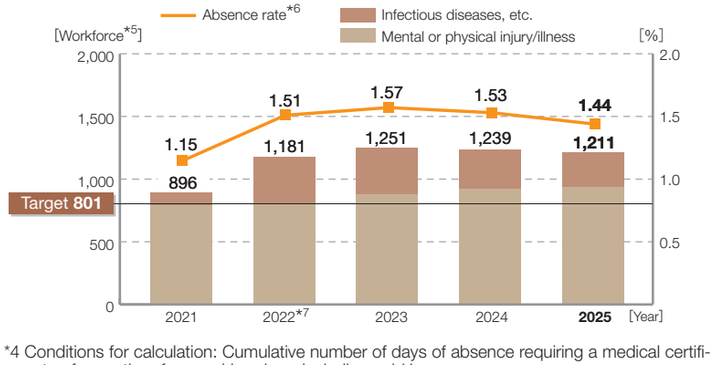
Item	Process metrics	Performance metrics	Goal metrics	2023	2024	2025
Regular health check-ups (Consultation rate)	○			100.0%	100.0%	100.0%
Regular health check-ups (Ratio of persons with related findings)		○		43.2%	41.9%	47.6%
Regular health check-ups (Health score 6: Number of cases falling within the criteria for obesity, blood pressure, liver functions, lipids, blood glucose, and uric acid levels)		○		4.25/6	4.27/6	4.31/6
Percentage of patients undergoing detailed medical examinations after regular health check-ups	○			96.2%	96.4%	95.1%
Stress Check Participation Rate	○			89.5%	94.2%	94.5%
Percentage of specific health guidance	○			74.8%	83.4%	—*1
Specific health guidance efficacy data		○		41.2%	44.5%	—*1
Lifestyles (Average of people who cleared Healthy Lifestyle Challenge 8)		○		6.3/8	6.4/8	6.4/8
(Healthy weight) 40 years and older		○		63.3%	65.2%	64.3%
(Exercise routine) 30 min/day x 2 times/week, 40 years and older		○		54.9%	57.2%	53.3%
(Exercise routine) 30 min/day x 1 time/week		○		70.0%	72.1%	73.9%
(Smoking rate)		○		19.5%	18.4%	17.4%
Installation rate of health apps (hosting food-related events, displaying meal history and nutritional information, and browsing recipes)	○			41.1%	48.2%	52.3%
Participation rate in health events for all employees (walking events)	○			17.6%	20.5%	22.6%
Participation of managers at all levels in educational activities on women's health issues	○			40.1%	11.3%	—*2
Participation of employee at all levels in educational activities on women's health issues	○			9.8%	9.2%	—*2
Absenteeism (Leave of absence due to injury or illness)		○		Workforce of 1,252 employees	Workforce of 1,239 employees	Workforce of 1,211 employees
Presenteeism (Rate of performance decline due to physical or mental health issues)*3		○		—	—	10.9%
Self-rated health (percentage of positive responses)			○	—	—	58.5%

*1 Updated the following fiscal year *2 Updated in October 2026 *3 Results for July to December 2025 (assessed using the The Single-Item Presenteeism Question)

Lost Workdays Due to Absences*4

■ TMC monitors trends over time in the number of employees on leave for health reasons as one of our key KPIs.

(Toyota Motor Corporation)



*4 Conditions for calculation: Cumulative number of days of absence requiring a medical certificate of more than four working days, including paid leave
*5 Cumulative number of days of absence / Number of working days in a year ≒ Workforce (annual absent Workforce)
*6 Absent Workforce / Number of employees x 100 ≒ Absence rate
*7 Figures increased compared to 2021 due to an increase in absences caused by COVID-19 infections

Actions to Maintain and Promote the Health of "Senior Employees"

Health Checkups and Health Guidance

- Our full-time in-house medical staff conduct health check-ups tailored to age and health risks, encourage optional screenings such as brain and gynecological screenings, and provide specific health guidance.
- TMC conducts milestone health check-ups*1 for employees and their dependent spouses once every four years from age 36 until the retirement age of 60, and once every two years thereafter for senior employees. These check-ups include examinations equivalent to comprehensive medical check-ups, oral health checks for periodontal disease and other conditions, and health education sessions tailored to each individual's health condition.
- Individualized guidance is provided for people working at TMC whose conditions show no signs of improvement despite in-house monitoring or outpatient treatment.

*1 Approximately 20,000 people undergo these examinations each year, including employees and family members enrolled in the Toyota Motor Health Insurance Society.

2024 Results (Toyota Motor Corporation)

	Results [%]
Rate of employees who have received physical examinations	100.0
Specific health guidance implementation rate	83.4

Physical Fitness Assessment and Exercise Guidance

- As part of the milestone health check-ups conducted every four years, employees receive an assessment of their exercise capacity. We provide employees with opportunities to recognize age-related declines in exercise capacity and to receive guidance on ways to improve their physical fitness tailored to their capabilities, thereby supporting them in taking the first step toward exercise.
- We have begun incorporating muscle mass measurement using body composition analyzers into annual health check-ups to help employees recognize their own muscle mass from a younger age.



Health education sessions during milestone health check-ups

Support for Balancing Work with Medical Treatment and Disability-related Needs

- TMC provides provide consultation services through occupational physicians and occupational health staff, and has established various support systems to help employees balance work with medical treatment.
  - Examples of support programs: Designated sick leave, and other programs
- The company helps create help create an environment where employees with disabilities can work with peace of mind by assessing health and safety considerations before they join the company and conducting regular interviews with occupational physicians during their first year of employment.

P. 106 Childcare/Nursing Care Support

Actions for Mental Health

- Employees themselves, workplace managers, occupational health staff including mental health professionals, and HR and labor personnel each undertake various initiatives aimed at preventing the onset and recurrence of mental health issues.

(Toyota Motor Corporation)

Primordial and primary prevention	• Mindfulness and meditation training • Self-care ◦ Encouraging better lifestyles and habits (Healthy Lifestyle Challenge 8) ◦ Providing Stress checks to raise awareness ◦ Rank specific training for new recruits and young employees • Line care ◦ Workplace management (receiving support from and communicating with supervisors and co-workers) ◦ Workplace-specific and individual support provided by workplace counsellors ◦ Rank-specific training for managers • Care by experts ◦ Training by psychology expert staff
Secondary prevention (rapid identification and response to issues)	• Screening at physical examination • Setting up a permanent in-house health counselling service
Tertiary prevention (preventing reoccurrence and re-absence)	• Follow-ups upon returning to work in accordance with the guidelines • Care by experts ◦ Advice for relevant employees and industrial health staff at a counselling center where a psychiatric specialist is permanently stationed

Data-driven Workplace Environment Improvement in Collaboration with Workplace Management

- Each department head is provided with feedback on group stress-check analysis results. For workplaces identified as high-stress, the Human Resources Department, psychiatrists from the Safety and Health Promotion Department, and occupational physicians meet to discuss issues and support workplace environment improvement actions.
- Each workplace is provided with feedback on the participation rate in Healthy Lifestyle Challenge 8. Based on these data, TMC supports the planning and implementation of workplace-level activities that encourage behavioral change among employees.

Creating "a Comfortable Working Environment" with Diversity in Mind through Collaboration with Stakeholders such as Human Resource (HR), the Health Insurance Society, Hospitals, Labor Unions, and Suppliers

- We hold "Health Improvement Forums" with the health insurance society, Toyota Memorial Hospital, and the labor union to share needed health measures from each perspective and incorporate them into our actions.
- In collaboration with the HR department and the labor union, we gathered feedback on challenges related to women's health. In particular, as many concerns related to menstruation were identified, especially in production workplaces, we have conducted menstrual health training to improve literacy among supervisors and managers at production sites.
- TMC has published case studies on health and productivity management actionsfor suppliers on a dedicated website. We have also provided tailored advice on promoting "Health and Productivity Management" in response to each company's requests.

Employee Confidence in Company Support Measures

- As one of the items in our Well-being Survey, we assess employees' sense of satisfaction with systems and support frameworks that allow employees to continue working comfortably and confidently, even in the face of physical or mental health challenges*2.
- TMC will consider actions for the following fiscal year and beyond based on employee feedback.

	FY2026
Toyota Motor Corporation	5.29 / 7*3

*2 One of the survey items in the Well-being Survey (on happiness and purpose)
*3 Number of subjects: 70,607, Number of valid responses: 67,504, Number of valid responses/research consent: 59,775

P. 99 Well-being Survey: Survey on Happiness and Sense of Purpose

Expansion of Health Promotion Actions in Japan

- Domestic consolidated subsidiaries implement actions to promote employee health.
- Through the ALL Toyota Safety and Health Cooperation Association,*1 information is shared on health and safety education, case examples, and other topics.
- In addition, each company implements initiatives based on its own policies.

*1 Applicable only to some subsidiaries

Health and Productivity Management

- Each company promotes health and productivity management by managing the health of employees and others from a management perspective, and implementing strategic actions
- Formulating strategic maps for health promotion
- Setting KPIs
  - "Healthy Lifestyle Challenge 8"*2:
    Promoting employees' lifestyle habits by focusing on eight habits necessary to prevent physical and mental illness
  - In addition, each company sets its own KPIs to promote employee health.

*2 These eight focus areas are:1.Healthy weight, 2.Breakfast, 3.Alcohol, 4.Snacks, 5.No smoking, 6.Exercise, 7.Sleep, 8.Stress.
Each company reviews and adapts the focus areas to suit its own circumstances, for example by implementing "Healthy Life-styles Challenge 9."



Case: Implementation of Health Festival (Toyota Motor Kyushu (Japan))

- Toyota Motor Kyushu, Inc. organizes exercise events, such as *Ekiden* (A Japanese long-distance relay race), every year to promote employee health, strengthen workplace unity, and encourage communication.
- Voluntary practice in preparation for these events helps create opportunities for exercise and encourages the development of regular exercise habits.
- On the day of the event, we set up a health booth in cooperation with the Health Insurance Society to help raise health awareness among employees and their families.



Mental Health/Well-being

- In recent years, preventing mental health-related leave and relapse has become an important priority.
- Each company considers and promotes actions to prevent mental health issues and enhance well-being.
- Sharing Toyota Motor Corporation's Well-being-related training programs
  - Certain consolidated subsidiaries also conduct training using the same content.
- Monitoring employees' physical and mental conditions through surveys
- Ensuring access to care provided by specialists

P. 97 Well-being/Engagement

Overseas Actions

- At overseas consolidated subsidiaries, we promote employee health in ways tailored to the characteristics of each region, while respecting local laws and regulations, cultures, and employee needs.
- Offering health checkups and collecting and analyzing health data
- Promoting workplace dialogue and information sharing
- Providing mental health support, including surveys and professional support
- Holding health promotion events, such as ekiden



Ekiden (Toyota do Brazil Ltda. (Brazil))



Ekiden (Toyota Argentina S.A. (Argentina))

Action for Safety

Aim

- We aim for **“ultimately achieving zero workplace accidents and the continuation of zero workplace accidents,”** while building and evolving a safety culture rooted in the frontline workplaces.
- We thoroughly instill across the company a shared principle for business activities: based on the four priorities of **“safety, quality, quantity, and earnings,”** we undertake such activities only after firmly confirming that safety and quality are secured.
- Based on the above action guidelines, we implement actions not only for employees but also for secondees from other companies, assistant secondees, agency workforces, and on-site contractors.

Initiative

Promoting the “Three Pillars of Safety”

Three Pillars of Safety

- We promote the development of “people,” “work,” and “place/environment,” which are the **“Three Pillars of Safety,” in order to realize the four priorities of “safety, quality, quantity, and earnings.”**

Safe “People”	• Enhancing employees’ hazard awareness and ability to anticipate risks through lessons learned from past accidents and other activities, we continuously develop employees who understand the rationale behind safety rules, follow them, and think proactively and act accordingly
Safe “Work” (Risk Management)	• Conducting on-site risk assessments for all work, we thoroughly manage and reduce high-risk work and standardize safe work procedures while ensuring compliance with them • Rigorously implementing the 4S approach (Sort, Set in Order, Shine, and Standardize) and 5 Sets (Set path, Set quantity, Set place, Set name, and Set color), we make normal and abnormal conditions visible and establish mechanisms to ensure safety through the early detection and prevention of abnormalities
Safe “Places / Environments”	• Aiming to create positive, worker-friendly processes, find troubles, take quick actions, and make speedy decisions • Complying with international standards, we ensure the safety of new equipment and processes through assessment and the planning, implementation, and verification of risk reduction measures • By conducting legally required working environment measurements, we create a workplace where everyone can work comfortably and thrive

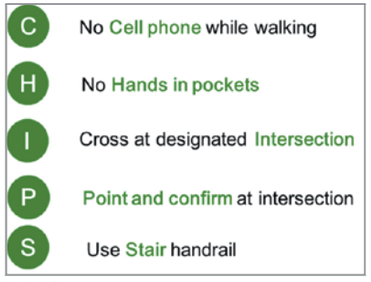
Actions to Develop Safe People

- Passing down safety knowledge and lessons learned
- We pass on the lessons learned from past accidents and fires to future generations to help prevent recurrence.
- Through level-specific training and other programs, we ensure the reliable handover of workplace management policies when managers, supervisors, and team members change roles or are reassigned.
- Sharing accident cases and preventing recurrence: When work-related accidents occur, we share information throughout the Group, both in Japan and overseas. We encourage all employees to see such incidents as relevant to their own work and to remain committed to preventing similar accidents.
- Forum for leaders of skilled workplaces: Through candid exchanges of views, participants share company-wide occupational accident trends and challenges faced by individual workplaces, thereby promoting the early identification of issues and timely improvements.
- Enhancing safety management for suppliers working on-site: Through practical work simulations in the construction safety management training program, construction planning personnel gain a firsthand understanding of on-site hazards and key points for ensuring safety. Also, by understanding the challenges faced by suppliers, they strengthen their safety management capabilities and heighten their awareness of the need to prevent work involving excessive burdens in advance.

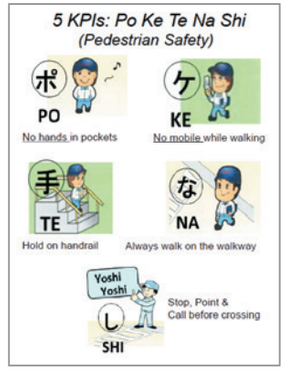
Posters promoting safe walking (examples from various countries)



Japan



United States



Asia

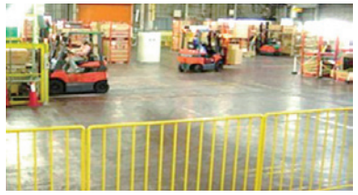


Brazil

Actions for Risk Management to Realize Safe Work

■ Preventing contact between workers and industrial vehicles: We separate pedestrian zones from vehicle travel routes.

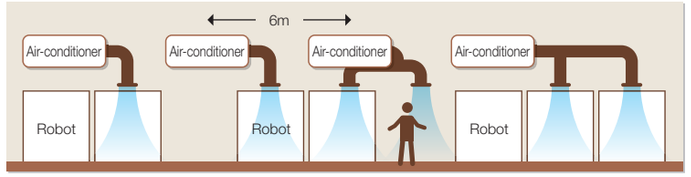

Before improvement


After improvement

Actions to Create a “Safe Places/Environments”

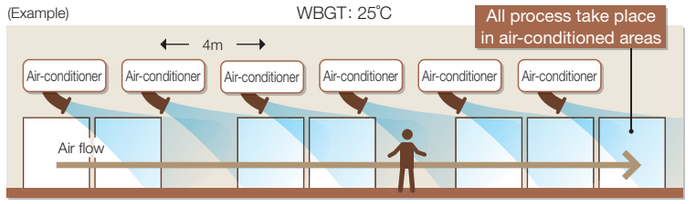
■ Heat countermeasures in workplaces: We improve the work environment by circulating cooled air throughout the workplace.

Before improvement
(Example)



*1 WBGT (Wet Bulb Globe Temperature): Environmental assessment indicator to prevent heatstroke that considers both temperature and humidity

After improvement
(Example)



Safety Risk Assessment

■ We are promoting the **global deployment of the Occupational Safety and Health Management System (OSHMS)**.

- Identifying weaknesses through *genchi genbutsu* inspections (on-site, hands-on experience) under OSHMS.
- Confirming whether countermeasures for accidents that occurred at other business entities have been implemented, and checking the status of mechanisms in place to ensure their continuous implementation.

■ Acquisition of ISO 45001*2 Certification

- Eight global plants have acquired ISO 45001 certification (as of March 31, 2026). Further acquisition of certification by affiliates will be considered depending on the needs of the region and the plant concerned.

■ Global Safety Meeting

- Managers in charge of health and safety in each region attend a meeting (Six times a year).
- We consider measures to address common issues and share best practices from each region.

■ When establishing new workplaces, we promote safety measures with suppliers based on legal requirements in each country and region, as well as on construction safety rules and equipment safety standards common across global Toyota for site, building, and equipment construction work.

*2 The international standard for occupational safety and health management systems established by the ISO (International Organization for Standardization)

Actions to Create a More Comfortable Working Environment (Prevention of Musculoskeletal Disorders and Early Response)

■ We aim to create a workplace environment where everyone can work with peace of mind regardless of age, gender, or physical characteristics. To this end, we promote actions to prevent musculoskeletal disorders and support early intervention.

- Reducing risk by using AI to visualize physical strain
- Promoting appropriate job assignments tailored to workers’ physical characteristics
- Promoting improvements to parts, processes, and equipment to reduce physical strain
- Providing individualized workplace support and early intervention by medical professionals to prevent conditions from worsening



Visualizing physical strain using AI

■ Contribution to Future Factory Development

- We promote “worker-friendly vehicle structures and process designs” that reflect the needs of employees at each site and enable a diverse workforce to work in a variety of ways and thrive.


Vehicle interior assembly work


Worker-friendly vehicle structure enabled by a modular design

P. 103 Future Factory

Updated in September 2026

Value Chain Collaboration

GRI 2-26, 3-3, 205-2, 414-1, 2

122 Fundamental Approach
122 Initiative with Suppliers
125 Actions to Prevent Migrant Labor (Forced Labor)
126 Actions to Prevent Child Labor
126 Responsible Material Sourcing
128 Initiative with Dealers

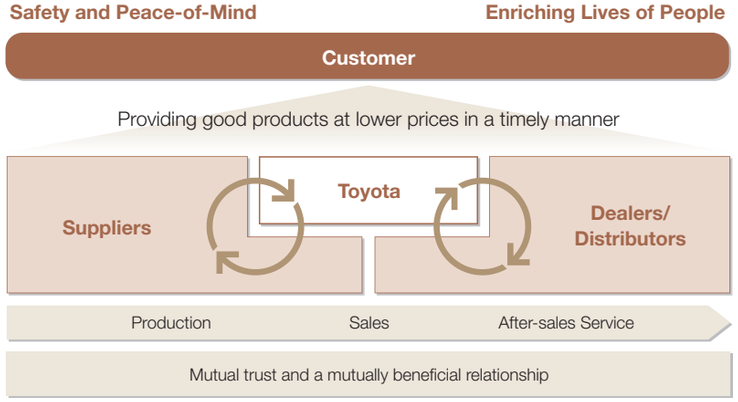
Fundamental Approach

Aim

- Building a sustainable and trusted value chain founded on respect for human rights and guided by our “Customer First” principle, **in collaboration with our business partners, including suppliers and dealers.**

Initiative

- Toyota promotes open and fair business practices and is **making constant progress with initiatives to promote sustainability.** We are also working closely with suppliers and dealers to improve quality, as well as providing safety and peace-of-mind to our customers, to achieve a high level of customer satisfaction.



Initiative with Suppliers

Aim

- **Achieve mutual benefits based on mutual trust.**
- Pursue manufacturing in close partnership with our suppliers.

Initiative

Promotion of activities based on our Basic Purchasing Policies and supplier guidelines

- Implementation of our **Basic Purchasing Policies** worldwide
  - Before any transactions are made with a new business partner, an agreement is signed stipulating the requirements for **legal compliance, respect for human rights, and consideration of both the regional and global environmental issues**.

Toyota’s Basic Purchasing Policies

1. Fair Competition Based on an Open-door Policy
Toyota is open and fair to any and all suppliers, regardless of nationality, size, or whether they have done business with us before. We evaluate suppliers by quality, technological capabilities, and reliability in delivering the required quantities on time, and their efforts in addressing social responsibilities, such as environmental issues.

2. Mutual Benefit Based on Mutual Trust
We develop mutual benefit in long-term relationships. To foster trust, we engage in close communication with suppliers.

3. Localization with Good Corporate Citizenship
We actively procure from local suppliers, including parts, materials, tools, equipment and other materials. In this way, we aim to contribute to the local society and be a good corporate citizen.

■ **Sharing the Supplier Sustainability Guidelines worldwide**

- Importance of sustainability initiatives is communicated towards suppliers with a request that suppliers carry out their business activities in line with the Sustainability Guidelines (established in 2009, last revision in 2021)
- The Guidelines clearly indicate that suppliers in Tier-1 are requested to expand the implementation of the Guidelines to suppliers in Tier-2 and beyond in order to disseminate these principles throughout the supply chain.
- The Guidelines have also been implemented to suppliers through regional purchasing divisions.

Key items covered in the guidelines:

- Legal Compliance
- Labor and Human Rights
- Environment
- Responsible Material Procurement
- Social Contribution and Disclosure of Information to Stakeholders
- Developing and Deploying Policies and Guidelines for Business Partners
- Compliance with Sustainability Guidelines

Supplier Sustainability Guidelines

■ **In order to eliminate all forms of bribery, Anti-Bribery Guidelines have been adopted and shared with suppliers.**

Anti-bribery Guidelines (For Business Partners)

Organizational Structure

■ Approaches, issues, and other matters are reported to and discussed at meetings attended by the leaders of the relevant departments. Key issues are discussed at the Sustainability Meeting and brought up to the Board of Directors meeting for oversight and decision-making.

- Supervisor: Chief Officer and Deputy Chief Officer of the Purchasing Group
- The Purchasing Group takes a lead in promoting initiatives in cooperation with divisions related to the environment, human resources, compliance and sustainability.

P. 7 Organizational Structure

Due diligence initiatives aimed at sustainable procurement with suppliers

■ Implementation of sustainable procurement initiatives in accordance with the following key steps with the aim of encouraging suppliers to engage in efforts to reduce risk within their own organizations.

Step 1 Roll out guidelines → Step 2 Inspections through SAQ* → Step 3 Assess and identify supplier risks → Step 4 Risk reduction activities and request for improvement

* Self-Assessment Questionnaire

Step 1 Roll out Supplier Sustainability Guidelines

- Toyota's Supplier Sustainability Guidelines are shared with suppliers, with a request to carry out procurement activities in line with the guidelines.
- Initiatives in Japan:
  - Major suppliers in Japan (Approx. 1,000 companies) have endorsed the purpose of and signed the Guidelines (as of April 2026)
  - Initiatives overseas:
    - All suppliers in the U.S., Europe, and Thailand have endorsed the guidelines (as of 2026)

Step 2 Inspections through SAQ

- The status of compliance with guidelines and initiatives of individual suppliers are assessed through SAQ.
- Initiatives in Japan:
  - Content revised in 2024
  - SAQ was conducted in the form of a questionnaire as shown below

Survey description	• Actual status of the existence of policies, implementation of training programs, and the nature of initiatives on the following topics • Company management • Labor and Human Rights • Safety and health • Corporate ethics • Environment • Responsible supply chain management • Responsible purchasing of raw materials
Results	• The guidelines were shared with 980 major suppliers, with responses received from 814 (2024)

- Initiatives overseas:
  - Similar initiatives are being implemented in the U.S., Europe, and Thailand (as of 2026)

Step 3 Assess and identify supplier risks

- Toyota assesses and identifies risks based on the results of inspections of individual suppliers.
- Initiatives in Japan:
  - Issued evaluation reports and provided feedback to suppliers following a review of SAQ (2025)
  - Selected priority items from the contents of the SAQ, and identified suppliers with room for improvement in those areas.
- Initiatives overseas:
  - Provided feedback based on assessment results in the U.S., Europe, and Thailand.
  - Conducted risk assessments and identified high-risk suppliers (as of 2026).

Step 4 Risk reduction activities and request for improvement

- Suppliers with room for improvement in identified areas are encouraged to implement risk reduction activities and make improvements, with third-party audits utilized in some cases.
- Initiatives in Japan and overseas:
  - Third-party audits have been conducted in Japan, the U.S., Europe, and Thailand (2025: 21 companies; 2026 planned: 30 or more companies)
  - Continued follow-up on improvement plans and dialogue with suppliers.

■ **Responses when problems are identified**

- In addition to the above steps, if an issue is identified within the supply chain, Toyota engages in communication with the supplier concerned and requests improvements to be made while providing support including the development of measures to prevent recurrence and sharing examples of best practices from other companies.
  ⇒ If no improvements are made, business relationship may be reconsidered as a last resort.
- To prevent issue reoccurrence at other suppliers, notices explaining the issue are sent and suppliers are asked to implement preventative measures.

Remediation Desk

■ **Supplier Hotline**

- An anonymous hotline has been established for suppliers to report any actions that could potentially violate laws, regulations, and/or business norms.

P. 164 Speak-up

■ **Mechanisms for addressing grievances and providing remedies for human rights violations in the supply chain and beyond**

- Toyota has established a grievance mechanism that can also be used by external stakeholders. As part of this effort, Toyota became a member of Japan Center for Effective Remedies for Business and Human Rights (JaCER) on April 1, 2026.
- Grievances or inquiries about human rights and related issues arising from business activities and the supply chain are accepted through an engagement and remedy platform that operates in accordance with the United Nations Guiding Principles on Business and Human Rights (UNGP)
- Facts are verified and dialogue is carried out as necessary, with the aim of implementing corrective measures and remedies.

Awareness-Raising and educational Activities

- Within Toyota Motor Corporation: Activities to educate and raise awareness among all employees, including buyers in purchasing division.
- For suppliers: Promoting initiatives that involve voluntary activities at suppliers.

Major Initiatives Led by Toyota (Japan and overseas)

	Target Audience	Details	
Toyota Motor Corporation employees	All purchasing division staff	Training after joining purchasing division	• Training related to sustainability
		Regular seminars	• Regular seminars related to human rights, the environment, and other sustainability topics
	Employees dispatched overseas from Toyota Motor Corporation purchasing divisions	Pre-departure training	• Labor relations training provided by the human resources division
Suppliers	Suppliers in Japan	Various briefings	Recent seminars • Dissemination of information on **human rights due diligence** (2024 to 2025) • A briefing session was held on the external environment around human rights due diligence and Toyota's efforts to promote and improve human rights awareness throughout the entire supply chain. A Self-Assessment Questionnaire(SAQ) was also conducted • Dissemination of information on **carbon neutrality** (2021 to 2025) • Dissemination of specific emission reduction calculation methods and tools to achieve CO_2 reduction targets • Presentation about items to reduce CO_2 emissions • Organization of study groups on energy savings and renewable energies • Organization of a webinar and exhibition to link companies providing emission reduction solutions with suppliers facing challenges in cutting emissions • Calculation of emission reduction targets for suppliers (Scope 1, 2, and 3) and the collection of green materials*1, as well as products and technologies that utilize environmentally friendly energy sources to achieve these targets • Suppliers in Tier-1 encourage suppliers in Tier-2 and beyond to participate in the initiatives above in an effort to disseminate this information throughout the supply chain • Introduction of specific Toyota initiatives designed to respect the human rights of foreign workers and the company's efforts to promote respect for human rights across the supply chain at external seminars (as opportunities arise)
	overseas	Various briefings	Recent examples (U.S., Europe, Thailand) • Conduct of training for suppliers on human rights due diligence • Information sharing and dialogue with suppliers through annual sustainability meetings and other forums • Exchange of best practices through meetings with suppliers

*1 Materials, such as recycled plastic, that emit less CO_2 than conventional options

Voluntary activities by suppliers (Japan and overseas)

	Activities	Details
Japan*2	Round-table conference for corporate executives	• A regular event intended to encourage corporate executives to take a leading role in promoting activities • Participants from Toyota Motor Corporation also attended discussions about carbon neutrality and digital transformation (DX) which included information sharing, issue identification, and discussion of responses
	Kyohokai Thematic Research Group (Environment) and Eihokai Sustainability Study Group	• Suppliers share information with each other to boost mutual awareness. Participants can deepen their understanding on environmental and carbon neutral management, circular economy, carbon footprint, energy-saving measures and other topics. This know-how is compiled into a collection which is then distributed and shared with all participants
overseas	• Organization of supplier-led sustainability meetings and events, with examples of activities and other knowledge shared to raise awareness of sustainability among suppliers	

*2 Implemented by associations comprised of Toyota's suppliers, Kyohokai and Eihokai Kyohokai: Comprised mainly of automotive parts and materials suppliers
Eihokai: Comprised mainly of equipment, construction and logistics suppliers

Other initiatives with suppliers

P. 135 Quality Risk Management – Initiatives with Suppliers
P. 140 Information Security Measures - Initiatives for Supply Chains

Actions to Prevent Migrant Labor (Forced Labor)

Aim

- Ensure freedom of movement, fair treatment, and appropriate employment contracts for migrant workers in our business operations and supply chain

Initiative

- We recognize that migrant workers are vulnerable to exploitation and forced labor. We are also aware that potential risks of forced labor involving migrant workers may exist within our business and supply chains due to the nature of the manufacturing business.
- As part of our due diligence activities, we have been working with non-governmental organizations to ensure fair working conditions for migrant workers within our affiliates and suppliers, both inside and outside Japan

Guidelines and Declaration Development

- We participated in developing "ASSC Tokyo Declaration 2020"*1 guidelines on eliminating exploitation by recruitment agencies that charge excessive fees and ensuring freedom of movement, fair treatment, and appropriate employment contracts for migrant workers.

*1 Set of 13 declarations created to enhance and respect the rights of migrant workers from the moment of recruitment, during overseas employment, and until their safe return to their home countries. The "ASSC Tokyo Declaration 2020" was developed with reference to the "Dhaka Principles," regarded as the international norm advocated by the International Organization for Migration and the International Labor Organization

ASSC Tokyo Declaration 2020

Due Diligence on Foreign Technical Intern Trainees

Toyota Motor Corporation

- Among migrant labor, we conducted the due diligence focused on foreign technical intern trainees in Japan, who are generally at high risk of being subjected to forced labor through debt bondage.

Step 1 Survey on Accepting Foreign Technical Intern Trainees and Fees Paid by Technical Intern Trainees (2025)

Scope	• Group companies in Japan and their major Tier 1 suppliers (202 companies)
Description	• Number of foreign technical intern trainees and their dispatching countries • Fees paid by foreign technical intern trainees
Results	• Total number of 3,097 foreign technical intern trainees • Among the companies in the survey scope, 97 companies (approx. 50%) had foreign technical intern trainees . Indonesia, Vietnam, and the Philippines account for 80% • Verified fee levels based on 140 itemized breakdowns of fees paid by foreign technical intern trainees. Obtained breakdowns from supervising organizations and trainee dispatch organizations, focusing primarily on trainees from the three countries above • Conducted additional fact-finding for 5 cases in which the fees were relatively high. We did not identify any cases in which corrective action was taken

Step 2 Dialogue with Companies in the Survey Scope

- Based on the survey results, we engaged in dialogue with Toyota Group companies to confirm their status and plans for accepting technical intern trainees, as well as their initiatives to reduce fees paid by technical intern trainees.

Step 3 Fact-finding and Improvement Proposals Through *Genchi Genbutsu* (On-site, Hands-On Experience)

- Based on the survey results, we worked with a third-party organization and visited the manufacturing sites of tier-one suppliers to understand the actual conditions of foreign technical intern trainees through *Genchi Genbutsu*. We reviewed actual workplace environments and operating conditions, interviewed the trainees themselves and the management of the companies, confirmed their compliance status under applicable laws and regulations and provided improvement proposals to those companies.



Collaboration with JP-MIRAI (Grievance Mechanism)

- In 2020, Toyota became part of the initial body to establish the "Japan Platform for Migrant Workers toward a Responsible and Inclusive Society (JP-MIRAI),"*2 which has grown to be a multi-stakeholder framework for resolving issues faced by migrant workers in Japan
- We have taken part in a grievance mechanism for migrant workers and encouraged its use within group companies, suppliers and dealers
- Contents of the activities:
  - Multilingual web portal and application that provide relevant information on living and working in Japan (available in 23 languages)
  - Grievance mechanism (available in 23 languages and free of charge; also provides consultations on daily life)
  - Follow-up support for cases that are likely to develop into serious problems
  - Consultation with expert and Alternative Dispute Resolution (ADR)

*2 Over 900 members, consisting of various stakeholders such as private companies, local governments, NPOs, academics, and lawyers

Information Disclosure

- "Toyota's Action Taken for Forced Labor of Migrant Workers (Statement on the Modern Slavery Acts)" has been disclosed since 2021.
- The report covers human rights due diligence actions in Australia, the United Kingdom, the United States, and Canada, with a focus on Toyota's actions in Japan (Toyota Motor Corporation).

Toyota's action taken for Forced Labor of Migrant Workers (Statement on the Modern Slavery Acts)

Actions to Prevent Child Labor

Aim

- Prohibition and abolition of child labor that deprives children of educational opportunities, or hinders their growth and development, causing them to work at an early age in ways that hinder their growth
- In line with international norms, we adhere to the following conditions:
  - The minimum age for employment shall be 15 years of age, the legal minimum age for employment, or the age of completing compulsory education, whichever is the highest under the local applicable laws and regulations
  - Employees under the age of 18 shall not be assigned to hazardous work.
  - Vocational training or apprenticeship programs are permitted only with the scope under applicable local laws and regulations

Initiative

- In hiring, Toyota verifies age by checking identification documents and other materials before employment begins, and strictly ensures compliance with the minimum working age required under the laws and regulations of each country.
  - This verification is intended to ensure legal compliance and prevent child labor, and Toyota does not engage in unfair discrimination in hiring.
- Toyota Motor Corporation reviews the enrollment status of employees by age group at consolidated subsidiaries to verify whether any child labor has been identified.
- Toyota conduct human rights due diligence in areas of our own operations and supply chains where the risk of child labor is high.

Responsible Material Sourcing

SASB TR-AU-440a.1

Aim

- Toyota carefully appraises the negative impacts of its business activities on human rights and the environment, and strives to identify, prevent, and mitigate risks.

Initiative

Organizational Structure

- **Cross-functional task force established to promote close cooperation between related divisions.**
  - Leader: Senior General Manager (Sustainability)
  - Related divisions: Sustainability, Purchasing, Human Resources, Environment and major regional affiliates.
  - The task force monitors external trends, assesses risks , discusses action policies, and implements measures.
- Reports on progress of initiatives to meetings attended by the leaders of the relevant departments.

P. 7 Organizational Structure

Policy

- Toyota established “Policies and Approaches to Responsible Mineral Sourcing” based on the “OECD Due Diligence Guidance for Responsible Supply Chains of Minerals from Conflict-Affected and High-Risk Areas” aimed to prevent human rights violations, such as child labor and forced labor.
- The “Supplier Sustainability Guidelines” clarify Toyota’s expectations of suppliers in terms of “Responsible Material Sourcing”.

Policies and Approaches to Responsible Mineral Sourcing

Supplier Sustainability Guidelines

Risk Awareness and its countermeasures

■ Toyota analyzes risks associated with automotive parts and materials and takes actions based on external surveys, regulatory trends, and the results of dialogues with external stakeholders. (Risk awareness is updated accordingly.)

Major potential material risks[*1] **/ Implementation of measures**[*2]

● : High risk ○ : Potential risk □ : Ongoing measures

		Cobalt	Lithium	Nickel	Natural graphite	Tin	Tantalum	Tungsten	Gold	Natural rubber	Mica
Major potential risks	Child labor	●				●	●		●	●	●
	Forced labor	●				●	●		●	●	●
	Impacts on indigenous people / local communities	○	●	●	○	○	○	○	●	●	○
	Environmental impacts (e.g., GHG emissions/pollutants)	●	●	●	○	●	●		●	●	○
Implementation of measures	• Implementation of measures to comply with the EU Battery Regulation • **Identification of multiple smelters and mines through ongoing survey on the supply chain for battery materials** • Ongoing dialogue with major battery manufacturers and suppliers	□	□	□	□						
	• Conduct of annual survey using the questionnaire provided by RMI[*3] (CMRT)[*4] in accordance with the U.S. Dodd-Frank Act (since 2013)[*5] • Collaboration with RMI to identify the background of smelters and refiners and promote their participation in the RMAP[*6] • Submission of a list of identified smelters and refiners to RMI after compiling the results of surveys tracing which smelters materials pass through • Toyota Motor North America (U.S.) has been involved in the activities of the Global Smelter Engagement Teams Working Group and the Automotive Industry Action Group (AIAG)'s Smelter Engagement Teams Working Group on conflict minerals originating from the Democratic Republic of the Congo in cooperation with the RMI • Implementation of the following actions for subsidiaries and suppliers that fall within the scope of surveys (Japan) • Organization of briefing sessions for operational staff to improve awareness of Human Rights and Environmental Due Diligence, and these surveys • Implementation of risk assessments based on survey results in line with internal standards, with feedback provided to each company (2026)					□	□	□	□		
	• Formulation of a Policy for Sustainable Natural Rubber Procurement[*7] to eradicate deforestation and ecological changes in the natural rubber supply chain • Implementation of measures to comply with EU deforestation regulations • **Conduct of visits to natural rubber plantations in Indonesia to assess actual working conditions and human rights issues through dialogue with producers, operators, and workers (2026).**									□	
	• Start of survey using the questionnaire provided by RMI (EMRT)[*8] (since 2024)	□									□

*1 Table created based on information from "Material Change" (Drive Sustainability, Responsible Minerals Initiatives, Dragonfly Initiative" and other sources

*2 External affiliated organizations (year joined)
- Responsible Business Alliance (RBA) (2024) RBA
- Global Platform for Sustainable Natural Rubber (GPSNR) (2019)

*3 Responsible Minerals Initiative

*4 Conflict Minerals Reporting Template Conflict Minerals Reporting Template

*5 Conflict Minerals Report

*6 Responsible Minerals Assurance Process

*7 Policy for Sustainable Natural Rubber Procurement P. 58 Policy for Sustainable Natural Rubber Procurement

*8 Extended Minerals Reporting Template EMRT

P. 82 Human Rights Due Diligence

Initiative with Dealers

Aim

- **As the most trusted dealers in town, we are committed to ensuring the continued support of our customers by building up local communities and contributing to the happiness and wellbeing** of our customers and employees who live there.
- Based on the "Customer First, Dealer Second, Manufacturer Third" concept, **we will work in tandem with dealers to meet customer expectations and increase customer satisfaction**.

Initiative

Support for The Toyota National Dealers' Advisory Council (TNDAC)*1 and Toyota Dealers to Enhance Compliance (Japan)

TNDAC initiatives	• **Toyota dealers promote initiatives by utilizing various inspection tools and "The Legal Compliance Manual"*2 in accordance with the TNDAC annual compliance schedule** • Details: Provision of a checklist of the following laws and various inspection tools, etc. • Laws related to dealers' duties including sales activities and customer interactions (Act on the Protection of Personal Information, Act Against Unjustifiable Premiums and Misleading Representations, Copyright Act, Consumer Contract Act, Insurance Business Act, Installment Sales Act, Act on Specified Commercial Transactions, Garage Act, civil law, and criminal law) • Laws related to safety and the environment (Road Transport Vehicle Act, End-of-life Vehicle Recycling Law) • Laws related to labor and employment of employees (Labor Standards Act, Industrial Safety and Health Act, Act on Securing Equal Opportunity and Treatment Between Men and Women, laws and ordinances related to harassment) • Laws related to transactions (Act on Prohibition of Private Monopolization and Maintenance of Fair Trade, Act on Ensuring Proper Transactions Involving Specified Entrusted Business Operators) • General inspections of each dealer function (self-inspections) related to designated service maintenance (since 2020) • Addition of body paint (sheet metal & paint) inspections to designated maintenance services in each dealer function (since 2023) • Operation verification activities by dealer groups to Toyota dealers (since April 2024) • Companies are encouraged to create operation verification teams in each dealer group and conduct regular checks to verify that operations are being properly carried out in line with legal requirements, and company policies and procedural guidelines in accordance with business processes • Provision of basic guides (detailed/excerpted versions), checklist items, and sample confirmation documents and checklists • **TNDAC Helpline** • Repeated notices to dealers and employees to prevent and quickly detect any legal or regulatory violations
Support from Toyota	• Implementation of the following initiatives in response to the occurrence of designated vehicle maintenance violations and improper handling of personal information and other issues by dealers (from FY2022 onward) • Compliance seminars for dealer representatives and other personnel • Supporting improvement activities at dealers by disseminating TPS (Toyota Production System) know-how and holding training sessions • Support for improving self-inspection tools and internal regulations aimed at strengthening governance (from 2025) • Supporting dealers' initiatives through the distribution of a Privacy Governance Guidebook reflecting amendments of the Act on the Protection of Personal Information (from April 2022) • Developed and distributed guidebooks and verification tools to support dealer initiatives in preparation for the revision from the Subcontracting Act to the Act on Ensuring Proper Transactions Involving Specified Entrusted Business Operators (2025) • Support for the development of tools for operation verification activities by dealer groups and training for activity leaders • Distributing video training materials to improve awareness among store staff (from July 2025) • Disseminating Toyota Motor Corporation's Human Rights Policy to dealers • The policy has a particular focus on appropriate management of foreign technical internship trainees and creating harassment-free workplaces

*1 An organization comprised of Toyota dealers in Japan *2 Tools to support voluntary legal compliance activities by dealers

Support to improve CS*3 and ES*4 to ensure "stable management" at Toyota dealers (Japan)

Support from Toyota	• CS: Provision of a CS Questionnaire system to dealers and implementation of support activities in accordance with the status of initiatives at each dealer • Collection and dissemination of useful information about successful initiatives to improve CS at dealers, and provision of opportunities for dealers to share information with each other • ES: Provision of a Workplace Environment Questionnaire to dealers along with a recommendation to have dealers conduct the questionnaire survey on a regular basis • Introduction of an information website and a consultation service (JP-MIRAI) for foreign workers living in Japan

*3 Customer Satisfaction *4 Employee Satisfaction

P. 125 Collaboration with JP-MIRAI

Updated in June 2026

Vehicle Safety

GRI 3-3, 203-2, 416-1

129 Fundamental Approach
129 Integrated Safety Management Concept
130 Active Safety
131 Passive Safety
131 External Safety Evaluations
131 Emergency Response
132 Automated Driving Technology
133 Initiatives to Improve Traffic Safety Awareness

Fundamental Approach

Aim

- Toyota's ultimate goal – **Zero casualties from traffic accidents, and ultimately, the realization of a society with zero traffic accidents**.

Initiative

- Promotion of our **integrated three-part initiative for people, vehicles, and the traffic environment.**
- **Pursuing real-world safety** by learning from actual accidents and incorporating that knowledge into vehicle development.
- Moving forward with the development of technologies for accident prevention, collisions, and emergency rescue based on our integrated safety management concept.



People
Raising awareness of traffic safety through education

Accident investigation and analysis
Investigation and analysis of actual accidents

Vehicles
Development of technologies for accident avoidance and driver/passenger protection support in collisions

Traffic Environment
Information on traffic jams, and maintenance and management of traffic lights and roads

Development and assessment
Evaluation of actual vehicles to work toward safe vehicles and incorporate preventive technologies into our vehicles

Simulations
Accident simulations to develop preventive measures

Integrated Safety Management Concept

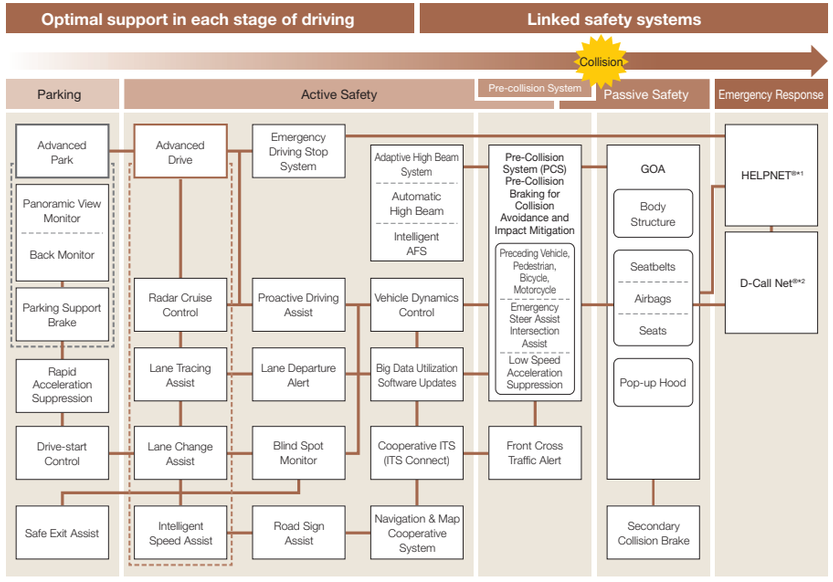
Aim

- Toyota's approach to pursue reasonable safety by reinforcing links between vehicle safety systems rather than thinking about each system as a separate component system. - **Integrated Safety Management Concept**

Initiative

- Toyota provides optimum driver support for reasonable safety in each stage of driving, **from parking to normal operation, the moment before a collision, during a collision, and post-collision emergency response.**

Integration of Individual Technologies and Systems



*1 Registered trademark of Japan Mayday Service Co., Ltd.
*2 Registered trademark of the Emergency Medical Network of Helicopter and Hospital (HEM-NET)

Active Safety

Aim

■ Contributing to a reduction in serious traffic accidents causing death or serious injury by utilizing safety functions focusing on assistance to avoid collisions with cars and reduce damage, assistance to prevent accidents caused by leaving the lane, and ensuring optimal visibility during nighttime driving.

Initiative

■ **Toyota Safety Sense (Active Safety Package)**

- A package of multiple active safety functions that help reduce serious traffic accidents causing death or serious injury.

Pre-Crash Safety (PCS)	Designed to assist in avoiding and mitigating damage from collisions with cars ahead or pedestrians
Lane Departure Alert (LDA)	Contributes to preventing accidents caused by the vehicle leaving the lane
Automatic High Beam (AHB)	Helps to ensure optimal forward visibility during nighttime driving
Radar Cruise Control (RCC)	Detects the vehicle in front to support adjusting distance and speed
Lane Tracing Assist (LTA)	Helps to keep the vehicle in the middle of the lane when using RCC
Road Sign Assist (RSA)	Detects road signs to help keeping the driver updated with the latest information
Proactive Driving Assist (PDA)	Predicting risks to support safe driving

- Toyota Safety Sense (TSS) has been installed in more than **61.0 million vehicles globally** since it was launched on to the market in 2015 (figure as of March 2026).
- TSS is now available on nearly all passenger car models (as standard or option) in the Japanese, United States, and European Markets. It has also been introduced in a total of 144 countries and regions in major markets including China and other selected Asian countries, the Near and Middle East, and Australia.

- The recognition range was expanded through enhanced sensor performance (camera and radar). Enhancements include assistance for avoiding collisions at intersections, acceleration suppression for pedal misapplication, natural deceleration assistance, stop assistance under abnormal conditions, and enhanced visibility of displays.

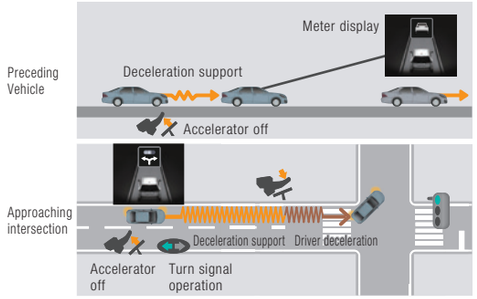
Pre-Crash Safety (PCS)

Intersection collision avoidance support (right turns) enables detection of otherwise hard-to-detect, same-direction pedestrians and cyclists



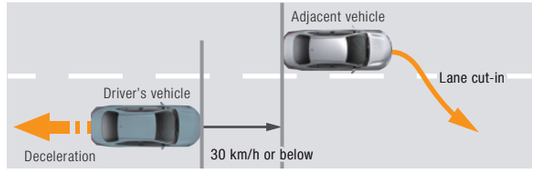
Proactive Driving Assist (PDA)

Enhanced recognition of situations in which the driver is expected to decelerate



Radar Cruise Control (RCC)

Intersection collision avoidance support (right turns) enables detection of otherwise hard-to-detect, same-direction pedestrians and cyclists



* Certified drivers with advanced skills and in-house qualifications

Enhanced meter display

Real-time display of driving assist control status and surrounding vehicles



Passive Safety

Aim

- **Minimizing collision damage** by combining vehicle bodies that absorb the energy of collision with devices that provide support to protect drivers, passengers, and pedestrians.

Initiative

- **GOA (Global Outstanding Assessment)**
  - Toyota's world-class collision safety rating.
    ⇒ Toyota has continued to advance GOA, continuously pursuing the real-world safety performance of its vehicles in a wide variety of accidents.
- **THUMS (Total HUman Model for Safety)**
  - A virtual model of the human body jointly developed by Toyota and Toyota Central R&D Labs, Inc. to analyze injuries to the human body caused by vehicle accidents through computer simulations.
  - The model is used to research and develop various safety technologies including safety devices such as seatbelts and airbags, and vehicle structures that mitigate injuries in accidents involving pedestrians.
    ⇒ Since 2021, Toyota has made the THUMS software available to the public free of charge on its website.

THUMS

- Plans to roll out models to support virtual testing that is expected to become mainstream in automotive assessments in various countries.

External Safety Evaluations[*1]

SASB TR-AU-250a.1

Figures in brackets: (Number of vehicles receiving the highest ranking/Number of vehicles evaluated

Five Star Award (the highest ranking) in the JNCAP[*2]	No vehicle models evaluated	(0/0)
TSP+[*3]/TSP (the highest ranking) in the Car Assessment Program of the Insurance Institute for Highway Safety (IIHS)[*4] in the U.S.	bZ4X, Camry, Corolla Cross, Prius, Tundra, Lexus NX 25MY[*6], NX 26MY[*6]	(7/7)
Five Star Award (the highest ranking) in the NCAP[*2] in the U.S.	bZ4X, Camry, Corolla (Sedan), Corolla (Hatchback),Grand Highlander, Highlander, Prius,Prius PHEV, RAV4, RAV4 PHEV, Sienna, Tundra, Lexus ES, IS, RX, RZ, TX,UX	(18/23)
Five Star Award (the highest ranking) in the Euro NCAP[*2] in Europe	bZ4X	(1/5)
Five Star Award (the highest ranking) in the ANCAP[*2] in Australia	bZ4X, Hiace, Hilux	(3/3)
Five Star Award (the highest ranking) in the Latin NCAP[*2] in Latin America	—	(0/2)
Good (the highest ranking) in occupant protection, pedestrian protection, and prevention in the C-IASI[*5] in China	bZ5	(1/1)
Five Star Award (the highest ranking) in the CNCAP[*2] in China	bZ3X, bZ5	(2/2)
Grade 1 Award (the highest ranking) in the KNCAP[*2] in Korea	No vehicle models evaluated	(0/0)
Five Star Award (the highest ranking) in the ASEAN NCAP[*2]	Yaris Cross	(1/1)
Five Star Award (the highest ranking) in the Bharat NCAP*2 in India	Innova Hycross	(1/1)
Five Star Award (the highest ranking) in the Global NCAP*2 in Africa	—	(0/1)
Five Star Award (the highest ranking) in the Taiwanese NCAP[*2]	Lexus RX	(1/4)

*1 Evaluation Period: Japan - April 2025 to March 2026; US IIHS – September 2024 to December 2025 (2025 TSP+/TSP winners), US NCAP – 2025 model year, Other – January to December 2025
*2 NCAP (New Car Assessment Program): New car assessment programs carried out by different countries and regions
*3 TSP+: A ranking given to the most outstanding TSP-ranked vehicles
*4 IIHS: Insurance Institute for Highway Safety
*5 C-IASI: China Insurance Automotive Safety Index
*6 MY: Model Year

Emergency Response

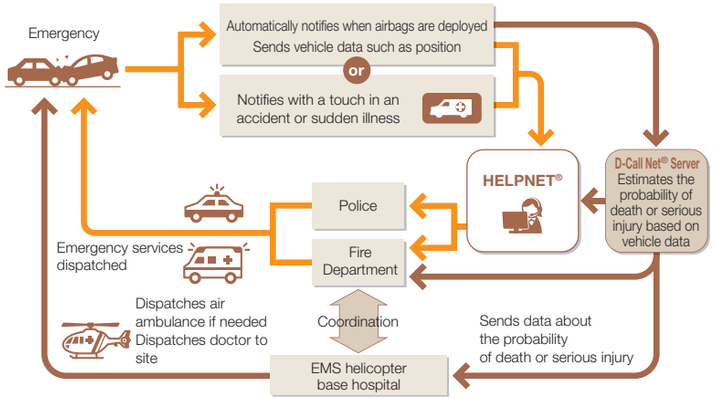
Aim

- Contributing to a reduction in traffic accident fatalities by **facilitating the rapid response and the rapid rescue of people involved in traffic accidents**.

Initiative

- **HELPNET® service – Toyota's emergency reporting system (Japan)**
  - In the event of an accident or sudden illness, a dedicated operator contacts police, fire, or ambulance services to ensure the rapid dispatch of emergency vehicles.
- **D-Call Net® compatible**
  - The system assesses the probability of death or serious injury of the driver and/or passengers based on vehicle data that is automatically sent when the airbags deploy. This system sends data to hospitals or fire departments to facilitate rapid decisions to dispatch air ambulances[*7] or other support.

HELPNET® (Airbag-linked Type) Alert Process



→ HELPNET® Service
→ D-Call Net® System

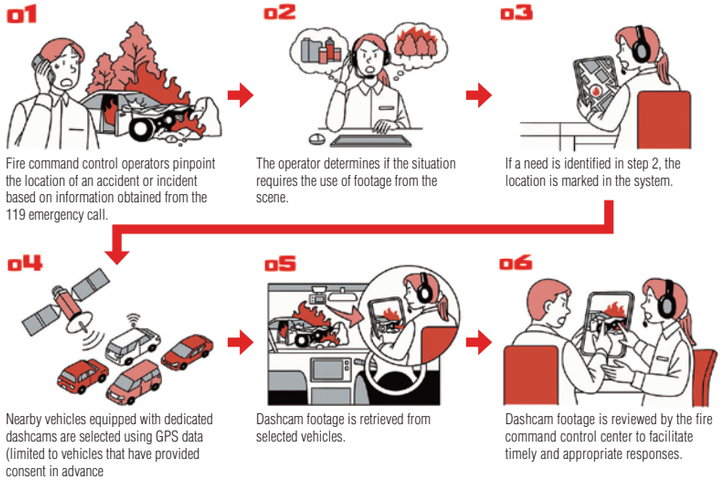
*7 Air ambulances may not be available due to location, time of day, weather, etc
D-Call Net® will not respond when the HELPNET® button is pressed

DRIVE RECORDER 119 (Japan)*1

- Fire command control center operators can view footage from dedicated dashcams*2 in vehicles in the nearby area during 119 emergency calls where it may be difficult to assess conditions at the scene.
- Dashcam footage from 119 emergency calls can be used to assess situations and provide rapid and efficient firefighting responses.
- Dashcams serve as the “eyes” of the fire department helping to ensure fast and effective firefighting and rescue operations in emergencies where every second counts.

*1 Service introduced in Sakai City and proof-of-concept trial currently in progress in the cities of Kyoto, Okayama, Kawasaki, and Toyota
*2 Dedicated dashcams are installed in commercial vehicles such as buses, taxis, and trucks
In Toyota City, coordination also extends to select Toyota and Lexus branded vehicles with the prior consent of their owners

Sequence of events from a 119 emergency call to the use of dashcam footage



Example of application in field demonstration (Sakai City, Osaka Prefecture)

Accident details	Advantages of using dashcams
Two overturned trucks in highway accident	Confirm emergency vehicle access routes to mitigate the risk of secondary disasters and prevent excessive response
Passenger car and pedestrian collision at intersection	Quick medical intervention provided 15 minutes faster, saving patients from a life-threatening crisis
Passenger car collision under overpass	Faster arrival time as a result of quick identification of the accident site and understanding of traffic conditions

Dashcams Become the Eyes of the Fire Department - The Scene Moves to Kyoto as Project Gets Rolling

Automated Driving Technology

Aim

- Achieving a society where **everyone, including elderly people and people with disabilities, can enjoy mobility safely, smoothly, and freely** using automated driving technology that aims to reduce traffic accident injuries and deaths to zero.

Initiative

Development of Automated Driving Technology

- Began implementing research and development into automated driving technology in the 1990s.
- Toyota’s unique approach to automated driving, known as the **“Mobility Teammate Concept”**, seeks to create a friendly relationship between people and vehicles that allows them to communicate and assist each other.
- Automated driving technology is not intended to take driving away from humans or replace human drivers. Instead, it is designed to achieve an even greater level of safety, peace-of-mind, and freedom of mobility by establishing people and cars as trusted partners that can share the joy of driving, and take over driving duties as necessary.
- Toyota is advancing R&D into automated driving technologies not only for personally owned vehicles (POVs), but also in the field of mobility as a service (MaaS) which involves the movement of people and things.
- Introduction of autonomous driving technology to reduce workloads and enhance safety in industries facing labor shortages.
- In collaboration with Woven by Toyota, data from these vehicles will continue to be collected, analyzed, and fed back into development to further enhance automated driving technologies.

Woven by Toyota, Inc.

Models Equipped with Advanced Driver Support Technology

- Lexus LS and MIRAI models launched in April 2021 are equipped with the **new Advanced Drive function integrated into the Lexus Teammate or Toyota Teammate advanced driver** support technologies.

Technology Details

Advanced Drive for Driving Support on Highways	• The on-board system will appropriately detects the vehicle’s surrounding, make decisions, and assist driving under the driver’s supervision according to actual traffic conditions. It can keep the vehicle in its lane, maintain the distance from other vehicles, navigate a lane split, change lanes, and overtake other vehicles until leaving the roadway for the destination • The system achieves reasonable safety and peace-of-mind, reducing driver fatigue and providing a pleasant journey to the driver’s destination
Deep Learning-Focused AI Technologies	• Supports driving by predicting and responding to a wide variety of situations that could occur when driving
Software Updates	• Software can be updated to the latest version using wireless communications or a wired connection

- **Toyota Teammate (Advanced Drive/Advanced Park support for drivers)**
- **Toyota Teammate** is an advanced driver support system developed based on **Mobility Teammate Concept**. It is now available on models in the popular price range to further contribute to a safe society.

Advanced Drive (support during traffic congestion)	Provides support to reduce driver fatigue caused by driving on congested highways
Advanced Park	Assists smooth and easy parking in a range of situations


Advanced Drive (support during traffic congestion)


Advanced Park

Initiatives to Improve Traffic Safety Awareness

Aim

■ Implementing **educational initiatives to raise awareness among drivers and pedestrians** and prevent traffic accidents.

Initiative

(Toyota Motor Corporation)

Target Audience	Activities
General	• Sharing useful information with drivers and pedestrians that pushes past boundaries between manufacturers and industries through a traffic safety awareness website
Drivers	• **Safety Education Center Mobilitas** (located on the grounds of Fuji Speedway) • Regular safe driving technique seminars for the general public and company drivers (Toyota Driver Communication) • Training program created by Toyota's vehicle development drivers (data measurement program) that visualizes customers' driving behavior and provides feedback • **Driving Health (Wellness driving support for veteran drivers)** Program conducted with dealers that measures physical and cognitive functions related to driving and recommends appropriate vehicle safety features and safe driving habits based on the results.
Pedestrians	• Since 1969, **Toyota has provided traffic safety teaching materials to children** in their last year at kindergartens and daycare centers all over Japan in collaboration with Toyota dealers nationwide • Information is provided to children and their parents/guardians using digital content on the Toyota Traffic Safety for Kids website • **SayuU GPS tracking device for children** Includes features for tracking a child's location and behavior, such as detecting and recording if they look right and left before crossing the street or run, with the aim of establishing traffic safety habits in children • Elderly attendees at events can receive pamphlets to raise their traffic safety awareness as well as a variety of reflective items for safety at night

Updated in September 2026

Quality and Service

GRI 3-3, 416-1, 2, 417-1

134 Fundamental Approach
135 Organizational Structure
135 Product Safety Initiatives
135 Quality Risk Management
136 Fostering Quality-oriented Awareness and Culture
136 Coping with Quality Problems
137 After-sales Service
138 Customer Feedback System

Fundamental Approach

Aim

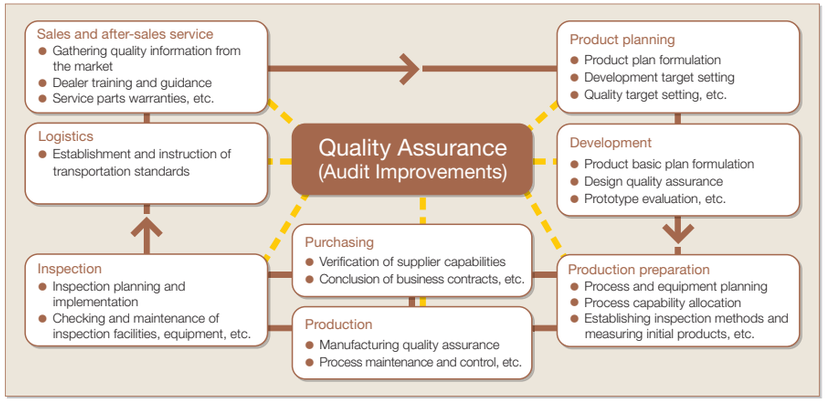
■ **The quality of the work performed by each employee** provides the foundation for the **quality of our products** and the **quality of our sales** and service. The combination of these three elements allows Toyota to provide products and services that our customers can use with confidence.

Initiative

■ Toyota has developed and rolled out a system that also conforms to ISO 9001 to further strengthen its Quality Management System, building on the TPS-based principle of “stopping immediately when abnormalities are detected and improving upon detecting an abnormality”.
■ A quality improvement cycle is maintained with functions linked across the areas of product planning, development, production, purchasing, sales, and after-sales service.
■ In addition to the design, development, and production fields related to vehicle manufacturing, ISO 9001 certification has also been acquired for selected head office functions, such as general affairs, information systems, and after-sales service.
■ ISO 9001 Series Certification (including IATF 16949) has been acquired at 45.1% of production sites* in Japan and overseas.

* Scope: 71 production sites and manufacturing facilities (as of May 2026)

Quality Assurance System



■ Initiatives Based on the **Quality Policy**
- Toyota formulates the code of conduct for globally common quality to maintain and enhance the confidence of the customers and discusses a proper response globally and in each region, with the aim of promoting solutions to quality issues and ensuring quality for new businesses and technologies.
- The policy is also shared with affiliated group companies and suppliers to promote collaborative actions for ensuring quality.
- Information about initiatives implemented under the policy is reported to senior management, including board of directors.

■ **Quality Assurance Based on Toyota Quality Control Standards**
- Toyota establishes the rules, methods, and criteria necessary for controlling its manufacturing and business processes to enable Toyota to continuously provide the product performance and functions, as well as services, that Toyota aims to achieve.
- Based on the global regulations, Toyota establishes its quality control standards at each production base that are suitable for the customers and environment of each region, and periodically checks and reviews the standards.

Organizational Structure

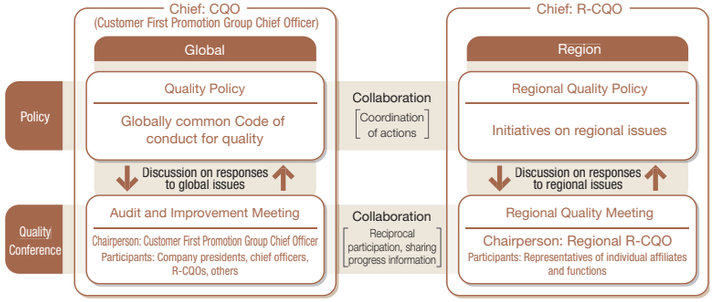
Aim

- Promote regionally-led quality improvement activities so that **decisions and taking actions are made as close as possible to local customers.**
- Be attentive to the increasingly diversified mobility needs of our customers and guarantee the quality of customers' experiences obtained through mobility services.

Initiative

- Appointment of a **Chief Quality Officer (CQO)** in charge of global quality assurance and Regional Chief Quality Officer (R-CQO) in charge of quality in each region of the world.
- **Audit and Improvement Meeting: Discussion and decision-making on quality-related policies and important issues**.
  - Participants: Operating officers, Company presidents, chief officers, regional CQOs.
  - Several times a year, CQOs from all regions gather together on a monthly basis to discuss responses to global issues, evaluate the results of the responses, and further discuss and make decisions on new policies and targets based on these evaluations.
  - Each region has a variety of quality-related conferences. Meetings chaired by regional CQOs are attended by the CQO or a member of the administration at Toyota Motor Corporation to facilitate further communication and collaboration.

Global Policy Implementation Structure and the Quality Conference



Product Safety Initiatives

Aim

- Engaging in **car manufacturing while giving due consideration to safety and security throughout the entire process from design to production.** In addition to achieving regulatory conformity in each country, we listen to the voices of customers around the world and utilize their opinions to make ever-better cars.

Initiative

- **Development phase**
  - Maintaining our constant pursuit of world-class reliability and durability.
    - Compiling the quality-related targets and priority items in the form of a written quality plan during the product development phase, and sharing the plan with all parties involved in the development
    - Setting targets geared to vehicle longevity through, for example, surveying the environments where our vehicles are used and analyzing recovered parts.
    - Carrying out durability tests based on Toyota standards.
  - Developing vehicles with fail-safe functions to ensure that customers can stop and evacuate from a vehicle safely in the event of a malfunction, and utilizing quantitative data and other means to address vehicle behaviors that may cause concern for customers, so that they can drive with confidence.
- **Production phase**
  - With regard to equipment, operations and inspections at plants associated with product safety, including our supply chain, we visualize how the equipment is managed and how the operations and inspections are conducted. Through particularly focused management, we make sure to prevent problems.

Quality Risk Management

SASB TR-AU-250a.2

Aim

- **Sharing information about quality risks worldwide, implementing proper actions from the standpoint of local customers, and ensuring streamlined responses to emergencies** on a global scale.

Initiative

Organizational Enhancement

- Appointment of a Regional-Product Safety Executive (RPSE).
- Develop quality risk management structure that represent the voices of local customers.

Auditing

- **Conducting company-wide internal audits and at each Toyota Group plant annually** to further enhance proper quality assurance activities in accordance with the laws and regulations of each country as well as our internal rules.
  - Our auditing teams are comprised of internal auditors with comprehensive knowledge of ISO 9001, Toyota's quality assurance rules and systems, and various auditing methods. These teams conduct audits focusing on audit points that have been determined based on internal and external changes to the business environment, quality indicators, and other factors.
  - Audit results are shared with relevant parties so that improvement measures can be implemented promptly.
  - Toyota listens sincerely to the opinions of third parties, including the certification organizations of each country, and reflects them in the enhancement of our quality assurance activities.

Initiatives with Suppliers

- Working in close cooperation with suppliers to ensure the level of quality that Toyota aims to achieve.
  - Transactions start after verifying that suppliers possess the required capabilities for design, development, and quality assurance. Subsequently, on-site inspections (genchi genbutsu) are performed with suppliers focusing on safety, quality, and supply to guarantee mass production quality.
  - A quality assurance manual is used that details the required tasks by both suppliers and Toyota at each stage from production readiness to the start of mass production. Toyota works together with suppliers to promote the creation of drawings, production of molds, and development of processes.
  - After mass production begins, the PDCA cycle is used to maintain and improve quality by indicating policies, targets, and tracking actual performance. Toyota jointly assesses current conditions, develops improvement plans, and implements corrective actions with suppliers facing specific challenges, as identified in the previous year's performance.

Fostering Quality-oriented Awareness and Culture

Aim

- **Training people in the "Toyota Way" and improving the quality of work by keeping the customer's perspective in mind and adhering to the principle of prioritizing safety first, followed by quality, volume, and then cost.**

Initiative

- Annual initiatives to boost quality awareness among all employees, and quality related training designed for employees at each job level.

Toyota Restart Day	• February 24 was designated as Toyota Restart Day after Akio Toyoda (President at the time) attended a US Congressional hearing on that date in relation to a series of recalls in 2010. Toyota is committed to creating better mechanisms and carrying out awareness-raising activities to ensure that the lessons learned from this experience are never allowed to fade away
Customer Quality Learning Centers	• Established in 2014, the Customer Quality Learning Centers are educational facilities for conveying the experiences and lessons Toyota learned from the series of recall issues to future generations of employees • Measures are implemented to ensure that lessons learned are not forgotten, including annual updates that incorporate experiences and lessons from certification issues along with the latest customer feedback and expectations • Knowledge is transferred internally through in-person and remote tours in conjunction with rank-specific education programs. Efforts to pass on knowledge are also promoted in collaboration with major companies within the Toyota Group • Customer Quality Learning Centers unique to individual plants and overseas sites have also been established, and they are working to ensure employees in each region and each plant thoroughly understand the importance of quality • As of FY2026, 15,000 employees have participated in activities at our Centers (within Toyota Motor Corporation) All-Toyota TQM Convention
Exhibition of Quality Improvement Activities	• As part of "Quality Month" each November, Toyota organizes an Exhibition of Quality Improvement Activities Quality Case Study Exhibition to raise awareness across the entire organization about recent quality issues and lessons learned • The exhibition is conducted concurrently at Toyota headquarters and in multiple locations at each site to allow more employees to take part and apply what they learn to their work • Participants (FY2026): approx. 32,000 (Toyota Motor Corporation only)
All-Toyota TQM Convention	• Toyota holds dialogues and improvement case study exhibitions with suppliers and dealers across various organizations and roles • Participants (FY2026): approx. 4,200 people at exhibitions and open-floor dialogue • These events provide opportunities for people to access information to be able to work together beyond their companies and organizations for further quality improvement

Coping with Quality Problems

SASB TR-AU-250a.2
SASB TR-AU-250a.3

Aim

- **Early detection and rapid resolution of quality-related issues** to ensure that our customers can use our vehicles safety.
- Ensuring constant legal compliance and making recall decisions from the customer's perspective, putting safety and assurance first and making it possible to implement rapid responses and minimize inconvenience to the customer.

Initiative

- **Recall decision-making process**
  - Clarifying response procedures and persons in charge based on the Toyota Quality Control Standards.
  - A study meeting participated by the heads of relevant departments and the Regional Product Safety Executives (RPSE) is held to discuss based on the quality information, and a recall is made by mutual consent and subject to CQO's approval.
  - Feedback from customers in the region is always reflected in responses, and regional representatives located closest to the customer are also involved.
- **Responses when a recall has been made**
  - The customer's safety and security will be our the highest priority and the following steps will be taken to ensure rapid repairs and encourage customers to bring their vehicles in for repairs:
    - Notification will be sent in a prompt and fair manner by postal mail to customers who own vehicles covered by the recall. Dealers will also contact customers, if necessary.
    - Recall information will be posted on the company's website on the same day as the recall notification.
    - We also make the required reports, including notifications to the authorities in accordance with the laws and regulations of each country, and report the ratio of the number of repaired vehicles to the number of recalled vehicles.

FY2026 Recalls SASB TR-AU-250a.3

Country/Region	Number of Recalls	Number of Units
Japan	13	2,300,000
North America	21	3,740,000
Europe	19	1,770,000
Other	24	1,900,000
Global	48*1	9,710,000*2

*1 The figures above include recalls that cover multiple countries and regions, therefore totals for recalls and units in each country/region may differ from global figures
*2 Scope of recalls listed above: Toyota or Lexus branded vehicles for which Toyota Motor Corporation has issued a recall notice (including OEM by Toyota Motor Corporation)

After-sales Service

Aim

- Provide accurate and caring service to every Toyota and Lexus customer, resulting in customer safety, peace of mind and finally trust.
  (3S philosophy: Seikaku(Accuracy) + Shinsetsu(Caring) = Shinrai(Trust)).
- Pursuing the best service in town, which customers say “that store” and “that person”, leading to “Producing happiness for all”.
- In carrying out the above, continue to protect the Toyota and Lexus brands by ensuring through everlasting priority order of “Safety>Quality>Volume>Profit” at all times.

Initiative

- Timely and steady implementation of various measures anchored on the four pillars of safety and CSR, people-centered dealership management, ever better service and ever better cars.



Safety & CSR	• Implementation of preventive actions using information and case studies on accidents around the world with the aim of eliminating all accidents in the workplace • Creation of mechanisms to ensure legal compliance in all processes for vehicles, parts, and field operations in and outside Japan and development of risk management systems
People-centered dealership management	• Support for increasing the appeal of technician careers and creating comfortable working environments at Toyota and Lexus dealerships around the world • Promotion of reforms in working styles for technicians in cooperation with the Ministry of Land, Infrastructure, Transport and Tourism and the automotive industry through efforts to reform vehicle inspection systems and other initiatives
Ever better service	• Support for improving operations in repairs and maintenance, customer service, parts supply and other areas • Development of equipment and distribution of information on repairs from the perspectives of technicians and information users, tailored to the needs of each region • Establishment of systems to supply parts needed in different countries around the world, as and when needed • Development of new services, such as vehicle monitoring using connected data and promotion of the development of new connections with customers through operational support for the service above
Ever better cars	• Use and incorporation of diverse regional needs and feedback from customers and technicians to design and manufacture “ever better cars”

Customer Feedback System

Aim

■ Customer feedback is gathered and channeled appropriately to internal departments and relevant companies in accordance with the “Customer First” principle that has guided Toyota since its founding, leading to improvements in products, sales, and services.

Initiative

■ Directly collecting customer feedback and relaying information to internal departments and relevant companies

(1) Operation of customer service helplines

- In Japan:
  Customer inquiries for Toyota Motor Corporation and Toyota brand products are handled at our “Customer Assistance Center” and at the “Lexus Information Desk” and “Lexus Owners Desk” for Lexus brand products.
- Outside Japan:
  Distributors in each country and region have set up customer assistance centers to handle customer inquiries.

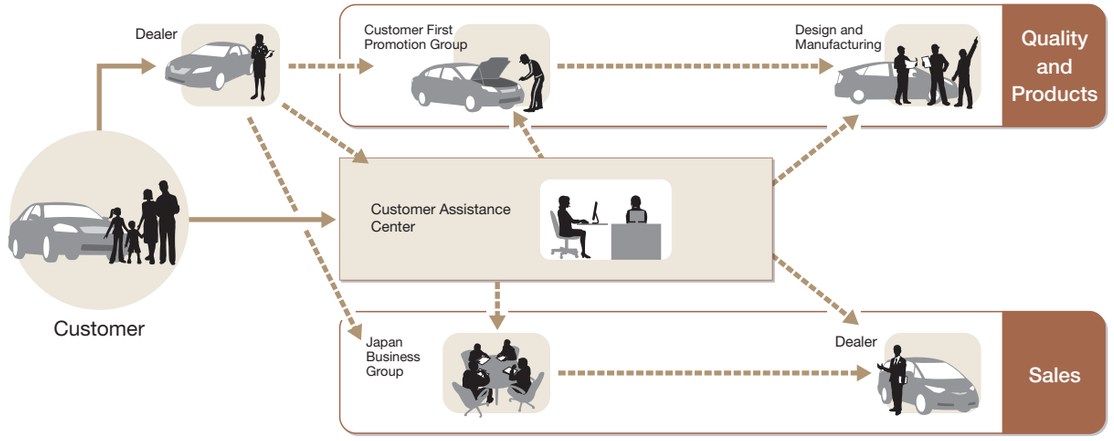
(2) Inquiry Line for Dealers (Japan)

- A “Salesperson Support Desk” exclusively for sales staff at Toyota dealers has been set up within Toyota Motor Corporation to support dealers in providing “Customer First” consultation services.

(3) Customer Feedback

- Customer feedback received through our Customer Assistance Center and Salesperson Support Desk is used in efforts to create ever-better cars, sales, and services.

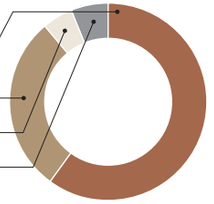
Customer Feedback Flowchart (Example: Japan)



Number of inquiries received by the Toyota Customer Assistance Center in FY2026

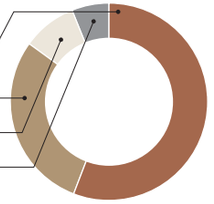
Toyota Motor Corporation Customer Assistance Center
Number of inquiries: **202,000** (Japan)

Vehicle-related	60%
Navigation/connected services	29%
Sales - related	5%
Other	6%



Lexus Information Desk
Number of inquiries: **14,000** (Japan)

Vehicle-related	56%
Navigation/connected services	29%
Sales - related	9%
Other	6%

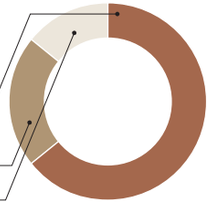


FY2026 Customer Satisfaction Survey

Toyota Motor Corporation Customer Assistance Center: User feedback (Japan)
Number of questionnaires sent: **7,169**
Number of responses: **883**

Customer referral ratings for service desks

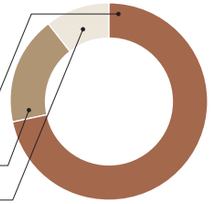
Recommendable	64.2%
Neutral	21.7%
Not recommendable	14.1%



Lexus Information Desk: User feedback (Japan)
Number of questionnaires sent: **1,531**
Number of responses: **173**

Customer referral ratings for service desks

Recommendable	71.7%
Neutral	17.9%
Not recommendable	10.4%



* Percentages are rounded to the nearest whole number and thus totals may not add to exactly 100%.

Internal Awareness-Raising Activities (Toyota Motor Corporation)

Experience and learn from customer feedback	• Employees visit our Customer Assistance Center to learn about how it functions • A bulletin board compiling customer feedback is available on the company intranet
Consumer Affairs Advisor qualification	• Our company actively encourages employees to obtain the Consumer Affairs Advisor qualifi cation, which is certified by the Japanese Prime Minister and the Minister of Economy, Trade and Industry, to instill the “Customer First” mindset throughout the organization

Updated in June 2026

Information Security

GRI 416-1, 418-1

139 Fundamental Approach
139 Organizational Structure
140 Information Security Measures
140 Preparing for Information Leaks and External Attacks
141 Security for Automobiles

Fundamental Approach

Aim

- **Protect information assets and ensure the safety and security of our customers** from the threats and risks of cyber attacks, which target confidential corporate information and information systems, the networks of systems that control plant facilities and vehicles (such as on-board device systems), and even supply chains.

Initiative

- Based on the **Information Security Policy**, Toyota Motor Corporation and its consolidated subsidiaries work together to prevent information leaks.

Information Security Policy

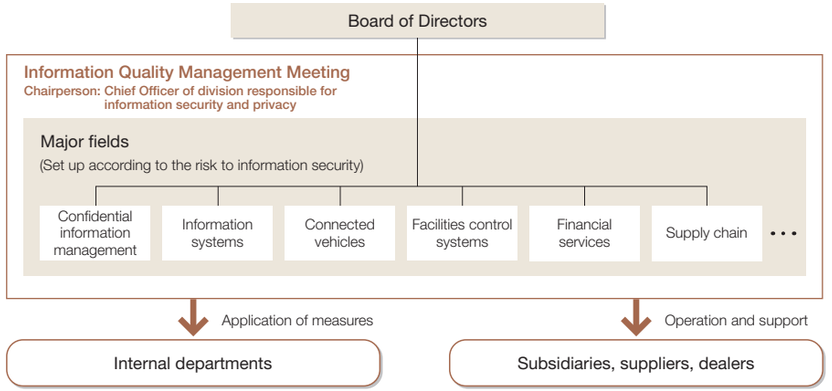
Organizational Structure

Aim

- Share and discuss details of activities in each security field and overall common issues.
- Assure readiness for potential cases of serious incidents.

Initiative

- **Information Quality Management Meeting** is a decision-making meeting regarding important matters, policies, and specific measures related to security chaired by the **Chief Officer of division responsible for information security and privacy**.
- If a serious incident occurs:
  Promptly confirm the facts of the incident → Report to management, including Board of Directors → Analyze the causes and take countermeasures



Information Security Measures

Aim

■ Preventing leaks of confidential information and protecting information assets from cyber attacks.

Initiative

Initiatives in Toyota Motor Corporation

■ **Level up activities based on All Toyota Security Guidelines (ATSG)**

Complied/reference guidelines	• ISO 27001/27002 • US National Institute of Standards and Technology (NIST) Cybersecurity Framework • Cyber/Physical Security Framework by the Ministry of Economy, Trade and Industry • JAMA/JAPIA Cybersecurity Guidelines, etc.
Contents * Revised periodically to cope with environmental changes	• Organizational management measures • Human resource management measures • Technical management measures • Physical management measures • Establishment of incident/accident response
Self-inspection based on ATSG	• **Once a year**

■ **Major Activities for Information Security Education**

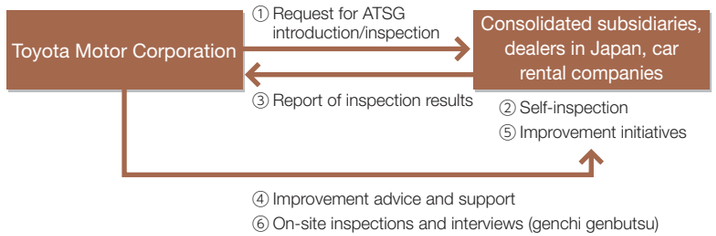
Examples
- Training for all employees (including secondees and dispatched employees)
- Carrying out activities, which all employees are required to take part in, to raise awareness in Information Security Reinforcement Month (twice a year).
- Displaying educational or warning information at startup of personal PCs.
- Providing information security training for new employees and special training when a new law is enforced to ensure information is distributed in a timely manner (e-learning).
- Sending targeted-attack-type emails without notice to all employees, including executives. (once or twice each year).
- Launch of educational programs and security certification systems designed for cloud service users in response to the rapid shift to cloud computing.

Initiatives at Consolidated Subsidiaries, Dealers, and Car Rental Companies

■ Promoting level-up activities based on the ATSG like at Toyota Motor Corporation.

■ Toyota Motor Corporation's specialized team carries out on-site audits and interviews at consolidated subsidiaries, dealers (Japan), and car rental companies (Japan) (to check responses to ATSG and the status of implementation of physical security measures).

Process of ATSG inspections, audits, and interviews



Initiatives for Supply Chains

■ In recent years, cyber-attacks targeting supply chains have been increasing.
(Hacking and ransomware attacks actually happened to suppliers.)

■ Establish a structure for security measures of supply chains and implement initiatives to reinforce security of the entire automotive industry.
⇒ Promote initiatives using JAMA/JAPIA Cybersecurity Guidelines, the standards of the industry, for suppliers

Preparing for Information Leaks and External Attacks

Aim

■ Preparing for potential cyber-attacks to company information asset, information system, networks of systems that control plant facilities and taking proper and prompt action in case of a serious issue.

Initiative

■ **Information gathering and monitoring by a specialized team**
- Share information on security threats with each regional headquarters. Regional headquarters ensure that the information is shared within the region and promptly take necessary measures.

■ **Conduct training**
- Assuming increasingly complex and sophisticated cyber-attacks, the specialized team conducts training **at least once a year** and prepares scenarios for early recovery to be prepared for a large-scale issue.

■ **Third-party evaluations**
- Receive third-party evaluations every three to five years on the status of security measures for management and technical aspects of internal security systems based on NIST SP800-82/53, ISO 27001/2, IEC 62443, and other standards. Implement necessary measures for the problems indicated to raise security levels (FY 2025: facility control systems; FY 2026: corporate systems).

■ **Response to serious incidents**
- Formed a response team including members in management positions (TMC-SIRT*) to settle the situation properly and promptly.

* Toyota Motor Corporation-Security Incident Response Team

Security for Automobiles

Aim

- Ensure safety of customers with the world's top-level countermeasures.

Initiative

- **Compliance with international regulations and standards**
  In addition to compliance with the international rules and standards below, implement initiatives for the entire vehicle life cycle, such as development in consideration of security by design*1 and layered defense*2 and gathering and monitoring of information on threats and vulnerabilities.
  - United Nations regulations concerning automobile cyber security (UN R155*3).
  - International standards concerning cyber security of electrical/electronic systems of automobiles (ISO/SAE 21434).
- **Be a member of the Automotive Information Sharing & Analysis Center (Auto-ISAC) in Japan and the U.S.**
  - Learn promptly about cases that occur within the industry and put them to use in responding to serious incidents.
  - Implement measures to enhance capabilities of the entire industry to tackle security issues.
- **Collaboration with external specialists**
  - By proactively collaborating with external specialists, utilize external know-how to enhance cyber security of automobiles.
  - Introduce a vulnerability reporting system (clarification of the contact point for reporting security problems from outside).

*1 Security by design: Design approach that defines the security requirements needed for safe system operations, beginning from the planning and design phases of an information system, and which aims to reliably incorporate these requirements into the information system through the development processes, moving away from the approach of implementing security countermeasures only after a problem has been discovered.
*2 Layered defense: Security practice of combining multiple defense "layers" to enhance security so that an attack is not successful even if one layer is penetrated.
*3 UN R155: Regulations concerning cybersecurity, which were adopted at the World Forum for the Harmonization of Vehicle Regulations (WP29) in June 2020

Updated in October 2025

Privacy

GRI 416-1, 418-1

142 Fundamental Approach
142 Organizational Structure
143 Respect for Privacy and Protection of Personal Information

Fundamental Approach

Aim

- In line with Toyota's Customer First philosophy, **respect privacy** as a member of the international community, through **compliance with the laws and regulations of each country and region**.
- Assure appropriate management and correct utilization of information to contribute to creating Ever-Better Cars and enriching the lives of communities.

Initiative

- **Establishment and Operation of a Privacy Governance System**
  - Appropriate management and protection of personal information based on the Toyota Code of Conduct and basic policies on the protection of personal information formulated by Toyota Group companies in each country and region.
- **Compliance with the Act on the Protection of Personal Information and other related laws and ordinances.**
- **Utilization of information** to solve social issues and provide ever-better products and services.

Toyota Code of Conduct (Personal Information)
Data utilizing initiatives
Privacy
Toyota Privacy Notice

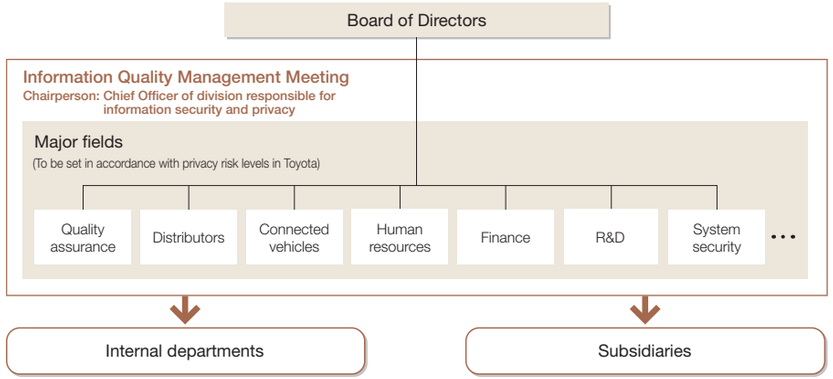
Organizational Structure

Aim

- Building a privacy governance structure applied throughout the company while integrating the perspectives of those outside the company.

Initiative

- **Information Quality Management Meeting** is a decision-making meeting regarding important matters, policies, and specific measures related to privacy chaired by the **Chief Officer of division responsible for information security and privacy**.
- **Establishment of an Advisory Board**
  - Reflecting advice based on the perspectives of external third parties, such as experts outside the company, into in-house initiatives.
- If a serious incident occurs:
  Promptly confirm the facts of the incident → Report to management, including Board of Directors → Analyze the causes and take countermeasures



Respect for Privacy and Protection of Personal Information

Aim

- Aim to serve our customers as a company that abides by social norms with the establishment of flexible, innovative, and sustainable information management systems to handle personal information and confidential information.
- Carry out duties and develop human resources with an awareness of the need to respect privacy and protect personal information.

Initiative

Compliance with Laws, Ordinances, and Internal Regulations

- The Toyota Code of Conduct clarifies Toyota's aims for the handling of information that includes personal information, as well as the direction that should be taken by the company and each employee.
- Necessary procedures including the gathering, utilization, and management of personal information are stipulated and operated in accordance with company regulations, while also complying with the laws and regulations of each country and region such as GDPR*1 (Europe) and CPRA*2 (California, USA).
- Information that requires more secure handling will undergo a risk assessment in advance to facilitate the implementation of appropriate measures.

*1 GDPR: The EU General Data Protection Regulation
*2 CPRA: California Privacy Rights Act

Code of Conduct

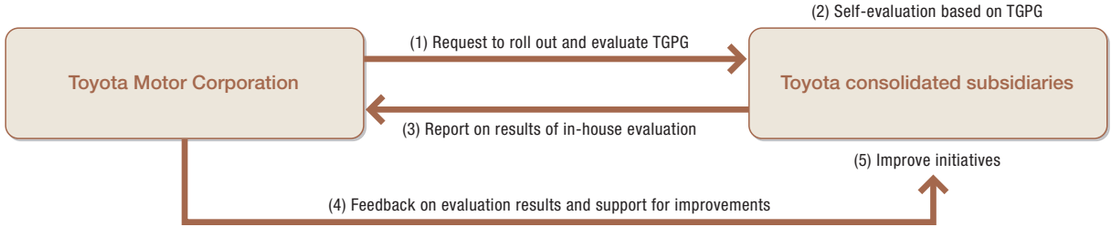
Customer first	Carefully and sincerely listen to and consider consumer feedback on privacy issues.
Quality first	Toyota practices Privacy by Design, by taking privacy considerations into account early in the development and operation of products and services.
Product and Experience	Use consumer personal information responsibly to develop products and services tailored to the consumer with a goal of achieving consumer happiness and satisfaction.
Compliance	Ensure that personal information is managed and processed throughout the enterprise in a manner that complies with applicable laws and regulations.
Stakeholder	By cooperating and coordinating on privacy issues across all business functions throughout the enterprise, Toyota works to create and sustain an appropriate personal information management system.

Human resource development
Toyota promotes a corporate culture that respects privacy via continuous training and education.

Toyota Code of Conduct (Personal Information)

Global Implementation of Privacy Governance

- Strengthen initiatives across the entire Toyota Group, including its subsidiaries in Japan and overseas, through the **"Toyota Global Privacy Guidelines (TGPG)***3**"**, and promote the establishment of a PDCA cycle for protecting personal information.
- Self-evaluation process based on the TGPG (once annually)



*3 Compliance with international standards and requirements, such as OECD's eight privacy principles and ISO/IEC 27701 and 29100.

Training

Examples: Toyota Motor Corporation (Japan)

- Training for all employees (including secondees and dispatched employees)
  - Training to suit each job type and job description.
  - Conduct awareness-raising activities and trainings for all company employees in specific months designated for strengthening initiatives (once or twice a year).
  - Special training sessions will be carried out when a new law comes into force or existing law is revised to ensure that relevant information is disseminated throughout the company in a timely manner.
- Training for targeted employees
  - Training for new employees and on-demand training.

Examples: Toyota Motor Europe NV/SA (Belgium)

- Training for all employees (including secondees and dispatched employees)
  - e-learning training about privacy and data protection (every two years).
  - Activities involving all employees such as awareness-raising using the company intranet (once a year).
- Training for targeted employees
  - e-learning training about privacy and data protection after joining the company.
  - Training sessions, including privacy by design, for members of specific departments (once or twice a year).
  - Special training sessions for members of specific departments when a new law comes into force or existing law is revised.

Examples: Toyota Motor North America (U.S.)

- Training for targeted employees
  - General privacy training for employees who are in an administrative function (once a year) .
  - Training sessions about privacy-related laws (once a year).
  - Providing specialized training to members of specific departments.

P. 128 Support for The Toyota National Dealers' Advisory Council (TNDAC) and Toyota Dealers to Enhance Compliance (Japan)

Updated in June 2026

AI

145 Fundamental Approach
145 Initiatives for AI

Fundamental Approach

Aim

- Position AI as a key technology that, in collaboration with people, expands human potential and supports our corporate competitiveness by creating societal value.
- Create a safe and secure environment for our stakeholders and promote the responsible use of AI across the industry, with the aim of achieving sustainable growth and enhancing our corporate value.

Initiative

- We appropriately manage risks associated with the use of AI and promote its responsible use in accordance with our “AI Principles”, with due consideration of potential impacts on the global environment.

AI Principle

Initiatives for AI

Aim

- Promote the establishment of a company-wide AI governance framework that covers all processes in which AI is developed and used, in accordance with domestic and international laws, regulations, and societal expectations.
- Review and update the governance framework to keep pace with the evolution of AI technologies and related regulations.

Initiative

Organizational Structure

- Establish a company-wide “AI Governance Promotion Committee” to promote responsible AI use and strengthen Toyota’s AI governance framework.
- Deliberate and decide on important policies related to AI utilization, with the aim of ensuring fairness, transparency, and trustworthiness in the decision-making process through dialogue with internal and external experts and stakeholders.

AI Guidelines

- Establish “AI Guidelines” for both developers and users as internal rules to put the “AI Principle” into practice.
- Promote operations and updates with focuses on safety, security, respect for privacy, and reducing bias throughout all stages of development and utilization.
- Identify risks and take corrective action at an early stage.

Education and Licensing

- Introduce internal education programs and a licensing system tailored to AI-related risks to ensure the safe and effective operation of AI.
- Establish a framework that enables employees who meet technical and ethical standards to use AI appropriately.
- Systematically provide AI literacy educational programs for all employees to enhance their understanding of risks and promote the proper use of AI.

Standardization Activities

- Collect the latest information on related laws, regulations, and international trends in a timely manner by engaging with domestic and international standardization organizations.
- Incorporate the obtained intelligence into our internal rules and operational processes to appropriately respond to the evolution of AI technologies and emerging risks.

Toyota’s Global AI Accelerator (GAIA)

- Promote substantial investment in the development of related technologies and human resources, with the aim of rapidly accelerating the utilization of AI across all areas of Toyota, from research and development to manufacturing.
- Improve team productivity and support the creation of new AI-enabled products, grounded in Toyota’s longstanding practice of Jidoka: automation with a human touch.
- Focus on the utilization of AI in 10 categories* globally and consider expanding the scope of categories in the future.

* AD/ADAS, Business Software Development, Knowledge Retention and Transfer, In-Vehicle Agents, Material Discovery, Manufacturing, Novel Mobility, Office Productivity, Robotics, and Vehicle Engineering

Updated in June 2026

Intellectual Property

146 Fundamental Approach
146 Organizational Structure
146 Intellectual Property Activities

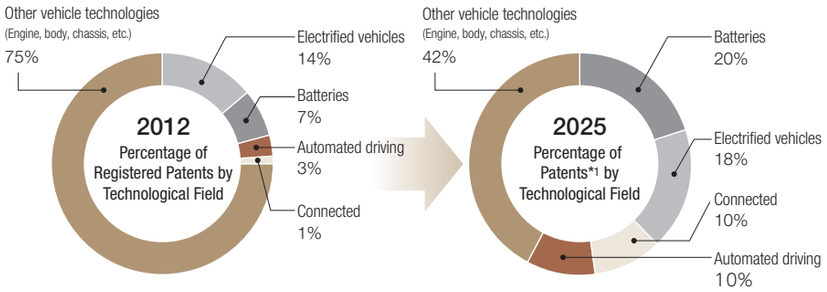
Fundamental Approach

Aim

- **Protect and utilize intellectual property** such as invention, know-how and brands, which are Toyota's important management resources, in an appropriate manner. Endeavor to conduct research and development that is one step ahead, thereby enhancing product appeal and technological prowess, which are the source of Toyota's competitiveness.

Initiative

- **Build strategic portfolios aligned with Toyota's focus areas** with the aim of realizing a future mobility society.
- Distribute resources mainly to such areas as carbon neutrality, including the development of electrified vehicles and batteries, and Software & Connected Initiatives. Enhance the obtainment and use of intellectual property rights.



*1 Total of patents under application and registered patents in Japan and overseas

Organizational Structure

Aim

- Promote activities that incorporate **management, R&D, and intellectual property in one**.

Initiative

- Support technology development globally by securing organic, systematic coordination between R&D activities and intellectual property activities.
  - Established intellectual property functions at the R&D centers in Japan, the United States, Europe, and China.
- Discuss and make decisions at **the Intellectual Property Management Committee** on policies for obtaining and utilizing important intellectual property conducive to management and for responding to management risks related to intellectual property.
- Work in collaboration with approximately 110 law firms around the world to collect intellectual property information and take measures suitable for each country/region.

Intellectual Property Activities

Aim

- Protect and utilize Toyota's intellectual property, including invention, know-how, and brands, in an appropriate manner.

Initiative

- Patent applications and registered patents

2025 Results (global)

Number of patent applications	approx. 19,000
Number of registered patents	approx. 10,000 • Japan: Top position among automobile manufacturers in annual ranking (1st overall) *2 • U.S.: Leader among automobile manufacturers in annual ranking (8th overall)*2

*2 Source:
Japan: IP Force (as of December 31, 2025)
U.S.: IFI CLAIMS (as of December 31, 2025)

Toyota Promotes Global Vehicle Electrification by Providing Nearly 24,000 Licenses Royalty-Free

Updated in June 2026

Social Contribution

GRI 201-1, 203-2, 413-1

147 Fundamental Approach
147 Organizational Structure
147 Social Contribution Activities

Fundamental Approach

Aim

- **Contribute to achieving the SDGs** by working together with stakeholders to achieve our mission of Producing Happiness for All.

Initiative

- Work on issues in each area with a **sense of ownership** and a **genchi genbutsu (going to the source to get the facts)** approach. Actively working together with partners to resolve an ever-wider range of issues faced by society.

Basic Principles and Policies of Social Contribution Activities
Toyota Social Contribution Activities

Organizational Structure

Aim

- Promote social contribution activities and discuss and report activity policies.

Initiative

- The Corporate Citizenship Division plays the lead role in promoting activities in cooperation with regional headquarters in the United States, Europe, Asia and China.

Social Contribution Activities

Aim

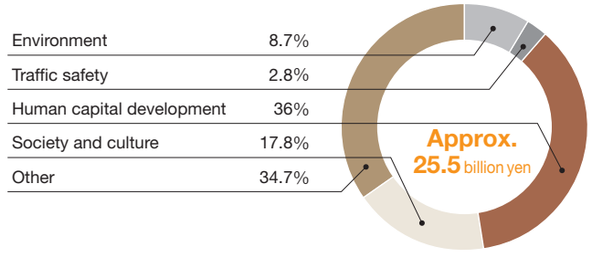
- Toyota works together with members of the community to create a more prosperous and sustainable society through our social contribution efforts in culture and the arts, traffic safety, natural environment, and disaster relief.
- We place special emphasis on providing formative experiences that will inspire the next-generation leaders of the future to hope and dream, and develop activities under the philosophy that each individual is a human asset with unique and irreplaceable capabilities.

Initiative

- Four key areas: Initiatives to fulfil our philosophy of becoming the “best-in-town”
  We are committed to building a thriving and sustainable society, guided by the following four key areas:
  Culture and the arts: Cultural-support (Mecenat) activities, efforts to promote automotive and mobility culture, and build corporate culture
  Traffic safety: Activities focusing on advancing the goal of creating a society with zero traffic accident fatalities and injuries (Safety Education Center “mobilitas,” development of picture books on traffic safety for young children)
  Natural environment: Biodiversity conservation and environmental education (Forest of Toyota, Toyota Shirakawa-Go Eco-Institute)
  Disaster relief: Disaster relief and support activities for affected areas using our resources and technical expertise as an automaker (volunteer activity support, mobility assistance, in-vehicle evacuation support, emergency power supply, and more)
- Other major social contribution activities
  - Support for persons with disabilities to create an inclusive society (e.g., Special Olympics)
  - Promotion of employee volunteer activities (Toyota Volunteer Center)
  - Support of activities by NPOs, NGOs, etc. (donations and sponsorship)

Social Contribution

Expenditure for Social Contribution Activities (FY2026)



* Scope of calculation revised from FY2026 results
Scope: Toyota Motor Corporation and 62 subsidiaries
* Subsidiaries’ results have been converted to yen based on the average for each fiscal year

Updated in September 2026

Social Data

GRI 2-7·8·30, 204-1, 401-1·3, 403-8~10, 404-1·3, 405-1·2

148 A Human Capital (TMC)
150 B Human Capital (Consolidated)*
150 B-1 People Working at Toyota
151 B-2 Human Resource Development
151 B-3 Health and Safety
152 C Supply Chain
152 D Quality
152 E Social Contribution Activities

* Beginning in September 2026, this section provides additional disclosure of basic information related to talent across the consolidated Group.

Notes: Data definitions for certain metrics differ from those used in Securities Reports; therefore, reported values may not be consistent.

A Human Capital (TMC)

TMC: Toyota Motor Corporation

		Unit	FY2024	FY2025	**FY2026**
Employees (TMC)		Persons	70,224	71,515	**72,239**
	Male		60,663	61,483	**61,695**
	Female		9,591	10,032	**10,544**
Employees (Consolidated)			380,793	383,853	**390,927**
Hires (TMC)			934	1,928	**2,428**
	Male		723	1,489	**1,885**
	Female		211	439	**543**
Mid-career hires (TMC)			410	869	**996**
	Male		349	667	**777**
	Female		61	202	**219**
Average age (TMC)		Years old	40.6	40.5	**40.9**
	Male		41.2	41.1	**41.4**
	Female		37.0	37.1	**37.8**
Average period of employment (TMC)		Years	16.0	15.6	**15.1**
	Male		16.3	15.9	**15.4**
	Female		13.9	13.8	**13.4**
Turnover rate (TMC, voluntary resignation due to personal reasons)		%	0.9	0.9	**0.7**
Re-employed retirees (TMC)*1		Persons	1,579	1,690	**1,929**
Local management employees at overseas subsidiaries		%	74.4*2	75.0*2	**69.4***3
Non-Japanese CEOs/COOs in major overseas subsidiaries			63.9*4	64.2*4	**60.6***5
Number of managers (TMC)		Persons	10,503	10,762	**11,675**
Percentage of managerial positions held by women	Global	%	11.0*6	12.0*7	**12.4***6
	TMC		3.7	4.0	**3.9**
Number of female assistant managers (TMC)		Persons	813	865	**944**
Number of female managers (TMC)			386	432	**455**
Percentage of female new recruits (TMC)	Administrative employees	%	34.8	40.1	**27.0**
	Engineering employees		10.7	12.2	**10.2**
	Shop floor employees		20.9	20.0	**19.6**
Female turnover rate (TMC, voluntary resignation due to personal reasons)	Administrative and Engineering employees		1.5	1.4	**1.2**
	Shop floor employees		2.3	2.1	**1.8**

*1 Number of re-employed administrative and engineering retirees
*2 Scope of calculation: 32 overseas companies
*3 Scope of calculation: 23 overseas companies
*4 Scope of calculation: 108 overseas companies
*5 Scope of calculation: 117 overseas companies
*6 TMC and 46 overseas companies (47 companies in total)
*7 TMC and 45 overseas companies (46 companies in total)

		Unit	FY2024	FY2025	**FY2026**
Number of employees using the childcare and nursing care leave program (TMC)		Persons	1,847	1,978	**2,241**
	Male		1,382	1,508	**1,766**
	Female		465	470	**475**
Average period of childcare leave (TMC)	Male	Months	2.0	2.2	**2.4**
	Female		15.2	14.9	**14.4**
Return rate after taking childcare leave (TMC)		%	99.8	99.9	**99.4**
	Male		99.9	100.0	**99.9**
	Female		99.3	99.5	**97.5**
Rate of male employees taking childcare leave (TMC)			61.0	67.0	**79.0**
Rate of male employees taking leave after the birth of their child (TMC)*8			88.5	78.4	**86.7**
Average number of days leave taken by male employees after the birth of their child (TMC)		Days	6.0	3.5	**7.1**
Average annual salary (TMC)		Yen	8,998,575	9,825,635	**10,060,464**
Gender pay gap (TMC)*9	All workers	%	67.0	66.2	**67.2**
	Permanent employees*10		66.9*11	65.9*12	**66.9***13
	Part-time/fixed-term contract employees*14		59.5	58.7	**59.9**
Employment rate of people with disabilities (TMC, including special-purpose subsidiaries)		%	2.51	2.49	**2.48**
Number of people with disabilities employed (TMC, including special-purpose subsidiaries)		Persons	1,477	1,528	**1,579**
Number of employees using the flexible working hours system (TMC)*15			37,182	38,389	**39,201**
Percentage of annual paid leave taken (TMC)*16 *17		%	87.8	88.4	**90.4**
Average monthly overtime per employee (TMC)*16		Hours/month	21.8	21.1	**20.3**
Total training hours (TMC)*18		Hours/year	487,381	494,681	**613,965**
Average training hours per employee (TMC)*18		Hours/year	6.9	6.9	**8.5**
Total training cost (TMC)*19		Million yen/year	442	730	**880**
Percentage of Toyota employees who experience sense of purpose and fulfillment (TMC)		%	57.0	60.0	**64.0**
Percentage of Toyota employees who feel that diversity and individuality are valued (TMC)			52.0	55.0	**58.0**
Percentage of employees who feel satisfied with the company	Administrative and Engineering employees (Overseas)		78.3*20	78.5*21	**78.2***21
	Shop floor employees (Overseas)		69.5*22	70.2*22	**75.4***23
Rate of non-permanent employment (TMC)			19.8	21.8	**19.3**
Ratio of employees covered by collective bargaining agreements*24			86.4	86.4	**86.4**
Number of work stoppages and total days idle		Cases (person-days)	1 (1,267)*25	1 (4,318) *26	**0**
Absence rate (TMC)*27		%	1.57*28	1.53	**1.44**
Stress Check Participation Rate (TMC)*27			89.5	94.2	**94.5**

*8 Percentage of male employees who took more than a half-day or full day of leave within two months of the birth of their child (including annual paid leave and childcare leave.)
*9 Average annual wage of female workers / Average annual wage of male workers x 100 Average annual wage is total wage (including bonuses and non-standard wages)/number of workers. Permanent employees do not include employees dispatched from TMC to external companies or employees despatched from other companies to TMC. Part-time/fixed-term contract employees include fixed-term employees, non-permanent employees, parttimers, post-retirement rehires, and temporary employees. (The number of part-timers is not calculated in terms of equivalent hours worked.) The wage framework and system does not allow pay gaps between male and female employees
*10 The pay gap between male and female permanent employees is due to average age and affiliation according to job type. Pay gaps between male and female employees of the same age in the same job type will be reduced
*11 The pay gaps between male and female permanent employees aged 30 years is as follows:
Administrative and engineering positions: 94.0%; Gyomushoku: no data (due to no male employees); Shop floor employees: 74.9%; and Medical staff: 88.6%
*12 The pay gaps between male and female permanent employees aged 30 years is as follows:
Administrative and engineering positions: 94.7%; Gyomushoku: no data (due to no male employees); Shop floor employees: 79.9%; and Medical staff: 94.5%
*13 The pay gaps between male and female permanent employees aged 30 years is as follows:
Administrative and engineering positions: 93.5%; Gyomushoku: no data (due to no male employees); Shop floor employees: 82.0%; and Medical staff: 87.1%
*14 Pay gaps between part-time and fixed-term contract employees are due to employment type
Particularly, remuneration for post-retirement rehires is calculated in accordance with their job description and qualifications, etc., resulting in pay gaps.
*15 Including use of the system other than for childcare or nursing care
*16 Union member average
*17 As a fraction of the number of days given each year. Including days of annual paid leave carried over from previous years (annual paid leave can be carried over for up to two years.)
*18 Covers only company-wide training programs organized by HR (does not include training programs at each division, in-house companies, or departments)
*19 Personnel costs (internal personal costs for setup and operation, outsourcing costs, Advisor labor costs), venue rental costs, equipment costs (rental/purchase), outside speaker costs, fees for attending external training [Note: Does not include labor costs when attending training]
*20 Weighted average of 29 companies
*21 Weighted average of 31 companies
*22 Weighted average of 30 companies
*23 Weighted average of 21 companies
*24 Countries with unionized operations (only countries/regions with manufacturing: 19 out of 22) SASB TR-AU-310a.1
*25 21 On March 5 and 6, 2024, employees were briefed on the relocation of the Indaiatuba Plant and plant operations were suspended at Toyota do Brasil Ltda. (Brazil) A total of 1,267 work days were lost based on the definition by SASB (1,267 affected employees x 1-day shutdown) SASB TR-AU-310a.1
*26 Period from April 10th to 15th, Indaiatuba plant operations were suspended as a result of a union strike in response to response to an announcement regarding the planned transfer of the plant by Toyota do Brasil Ltda. (Brazil) A total of 4,318 work days were lost based on the definition by SASB (1,238 affected employees x 3.49 day shutdown) SASB TR-AU-310a.1
*27 Period covered: January to December
*28 Revised in June 2025

B Human Capital (Consolidated)

Beginning in September 2026, this section provides additional disclosure of basic information related to talent across the consolidated Group, reflecting our view of human capital as a key foundation for sustainable growth.

B-1 People Working at Toyota

			As of	Unit	FY2026
Employees*29			EOY	Persons	**414,045**
Employees (top 10 countries/regions)*30	Japan				**213,748**
	United States				**50,988**
	Indonesia				**22,003**
	India				**16,750**
	Thailand				**15,607**
	China				**10,987**
	Canada				**10,715**
	Brazil				**9,109**
	South Africa				**9,032**
	Argentina				**7,758**
Employees (by gender)	Male				**341,641**
	Female				**72,269**
	Other*31				**32**
	Not reported*32				**103**
Employees (by employment category and gender)*33	Permanent employees				**348,339**
		Male			**286,581**
		Female			**61,636**
		Other			**28**
		Not reported			**94**
	Temporary employees				**65,250**
		Male			**54,722**
		Female			**10,515**
		Other			**4**
		Not reported			**9**
	Non-guaranteed hours employees				**456**
Employees turnover rate*34			FYB	%	**4.9**
Non-employees*35			EOY	Persons	**66,601**

[Basic Information about Consolidated Data]
Reporting period: April 1, 2025 to March 31, 2026
Scope: Toyota Motor Corporation and its consolidated subsidiaries, excluding Hino Motors, Ltd. and its subsidiaries

The column "As of" indicates whether the information is presented on an End-of-Year Basis or a Full-Year Basis, as defined below:
- EOY=End-of-Year Basis: information as of the end of the reporting period
- FYB=Full-Year Basis: cumulative information during the reporting period

*29 The reported value may differ from Employees (Consolidated) figures in Section A, which is based on Securities Reports, due to differences in data definitions.
Employee figures are reported on a headcount basis, regardless of working hours, to maintain consistency with other publications.
*30 In principle, employees working outside the home country of their company are reported under that country.
*31 Other: gender other than male or female.
*32 Not reported: cases where no response was provided to the company.
*33 Employees: workers who have a direct employment contract with Toyota and are classified as Permanent employees, Temporary employees, or Non-guaranteed hours employees.
- Permanent employees: employees who are employed under an indefinite term employment contract.
- Temporary employees: employees who are employed under a fixed-term employment contract.
- Non-guaranteed hours employees: employees who are employed under a fixed-term employment contract without a guarantee of a minimum.

*34 Calculation method: Number of Permanent employees who have left the company during the reporting period ÷ Average number of Permanent employees during the reporting period.
Average number of Permanent employees during the reporting period: (Number of Permanent employees at the end of the reporting period + Number of Permanent employees at the beginning of the reporting period) ÷ 2
Reasons for leaving are not considered.
To accurately reflect actual turnover, Temporary employees and Non-guaranteed hours employees, whose employment is premised on contract expiration, are excluded.
*35 Non-employee figures are reported on a headcount basis, regardless of working hours, to maintain consistency with other publications.
Non-employees: workers who supply labor to the company but do not have a direct employment contract with the company, namely:
- Contractors (self-employed persons, such as freelancers)
- Agency workforce supplied by a temporary staffing agency.

B-2 Human Resource Development

	As of	Unit	FY2026
Average training hours per employee*36	FYB	Hours	**21.5**
Percentage of employees who participated in regular performance and career development reviews*37	EOY	%	**76.4**

*36 Training: recordable off-the-job training (Off-JT) that is planned or coordinated internally, regardless of the organizing department or delivery format.
For comparability, time spent in individually organized study sessions or time equivalent to on-the-job training (OJT) is not included.
Calculation method : Total hours of employee training ÷ Number of employees at the end of the reporting period.
If actual training hours are not available, they are estimated using the method below:
Required training hours per participant for each training × Number of applicable participants.

*37 Calculation method: Number of employees who participated in regular performance reviews and career development reviews ÷ Number of employees at the end of the reporting period.
To avoid double counting based on the number of times conducted, the number of program-eligible employees is collected.
The scope includes not only Permanent employees but also Temporary employees and Non-guaranteed hours employees.

B-3 Health and Safety

			As of	Unit	FY2026
Recordable work-related accident cases*38	Work-related injuries and ill health due to accidents*39		FYB	Cases	**1,502**
		Employees			**1,328**
		Non-employees			**174**
	Ill health due to workplace environment*40	Employees			**1,552**
Rate of work-related injuries and ill health due to accidents per one million hours worked*41				—	**1.58**
		Employees			**1.60**
		Non-employees			**1.44**
Fatalities as a result of work-related accidents				Persons	**0**
	Work-related injuries and ill health due to accidents				**0**
		Employees			**0**
		Non-employees			**0**
		Others workers at company sites*42			**0**
	Ill health due to workplace environment	Employees			**0**
Days lost due to work-related accidents*43		Employees		Days	**49,788**
Percentage covered by the health and safety management system*44			EOY	%	**95.0**

*38 Work-related accidents are recorded if they meet any of the following criteria and, in principle, are filed with the relevant public authorities:
- Death
- Restricted work or job transfer
- Medical treatment beyond first aid
- Loss of consciousness
- Diagnosis of a serious injury or illness by a physician or other licensed healthcare professional
- More than three days of absence from work (injuries only)

If multiple workers are affected by the same accident, a separate case is recorded for each affected worker to reflect the full extent of impact caused by the accident.

*39 Physical damage, trauma, or acute illness resulting from an event arising from work.

*40 Recurrent or chronic physical or mental conditions caused or worsened by working conditions or work practices (due to physical, organizational, chemical, biological factors, or a combination thereof)

*41 Calculation method: Number of cases of injuries and ill health due to work-related accidents ÷ Total working hours × 1,000,000
If actual working hours are not available, they are estimated using the method below:
Number of employees and non-employees used for calculation × Prescribed working hours × Number of working days per year (excluding paid leave)

*42 For other workers at company sites, only fatalities resulting from work-related injuries and ill health due to accidents are counted.

*43 If a permanent impairment remains, the number of days lost is calculated in accordance with the domestic laws of the country concerned and is recorded in full in the year of occurrence.

*44 Calculation method: Number of people covered by the health and safety management system ÷ (Number of employees at the end of the reporting period + Number of non-employees at the end of the reporting period)
Health and safety management system: a company's internal health and safety management framework based on the health and safety standards required under the laws of the relevant country, including internal rules and mechanisms for education and training, not limited to Japan's Occupational Safety and Health Management System (OSHMS).
The percentage represents persons covered by such systems in actual operation, regardless of certification under public standards.

C Supply Chain

		Unit	FY2024	FY2025	**FY2026**
Number of suppliers (Tier 1 suppliers)		Companies	11,349	11,759*45	**11,489***45
	Japan (parts)		480	487	**491**
	Overseas (parts)		2,978	3,013	**2,893**
	Number of non-Japanese suppliers		(1,692)	(1,636)	**(1,638)**
	Japan (equipment, logistics, etc.)		1,264	1,267	**1,254**
	Overseas (equipment, logistics, etc.)		6,627	6,992	**6,851**

*45 TMC and 20 overseas companies

D Quality

SASB TR-AU-250a.2 SASB TR-AU-250a.3

	Unit	FY2024	FY2025	**FY2026**
Number of vehicles recalled	Million units	10.91	3.67	**9.71**
Number of safety-related defect complaints, percentage investigated	%	100 (Investigations conducted for all investigation requests from authorities in each county and results reported to relevant authorities)	100 (Investigations conducted for all investigation requests from authorities in each county and results reported to relevant authorities)	100 (Investigations conducted for all investigation requests from authorities in each county and results reported to relevant authorities)

Status of ISO 9001 Series Certifications at Major Production Sites (including IATF 16949) as of May 2026

Regions	Country Business	Operators and plants	Business scope
Japan	—	Miyoshi Plant	Parts manufacturing
		Kinuura Plant	
		Tsutsumi Plant	Vehicle Manufacturing
North America	United States	TMMK	Vehicle Plant
		TMMI	
	Canada	TMMC	
Europe	Belgium	TME	Parts manufacturing
	Czech Republic	TMMCZ	Vehicle Plant
	France	TMMF	
	Poland	TMMP	Parts manufacturing
	Turkey	TMMT	Vehicle Plant
	United Kingdom	TMUK	Vehicle Plant, Parts manufacturing
Asia	Indonesia	TMMIN	Vehicle Plant
	Malaysia	ASSB	
	Pakistan	IMC	Parts manufacturing
	Thailand	TMT	
		TAW	
	Vietnam	TMV	
China	—	FTMC	
		FTEV	
		FTCC	
		FTCF	
		FTET	Parts manufacturing
		FTEC	
China	—	GTMC	Vehicle Plant
		TFAP	Parts manufacturing
		GTE	
		TTFC	
		CPAB	
South America	Argentina	TASA	Vehicle Plant
	Brazil	TDB	
Africa	South Africa	TSAM	

E Social Contribution Activities

	Unit	FY2024	FY2025	**FY2026**
Total expenditure for social contribution activities	Billion yen	23.5*46	33.5*46	**25.5***47

*46 TMC and 64 subsidiaries
*47 Toyota Motor Corporation and 62 subsidiaries (Scope of calculation revised from FY2026 results)

Governance

154 Corporate Governance
159 Risk Management
162 Compliance
166 Governance Data

Updated in June 2026

Corporate Governance

GRI 2-9~13, 2-17, 19, 20, 3-3

154 Fundamental Approach
154 Corporate Governance Structure
156 Board of Directors
157 Audit & Supervisory Committee
157 Executive Compensation
158 Internal Control

Fundamental Approach

Aim

- Establishment of a corporate governance structure that **supports sustainable growth and the stable, long-term enhancement of corporate value.**

Initiative

- Enhancement of corporate governance to build good relationships with all stakeholders, including shareholders, customers, suppliers, local communities, and employees, and consistently deliver products that satisfy customers' expectations.

Corporate Governance Structure

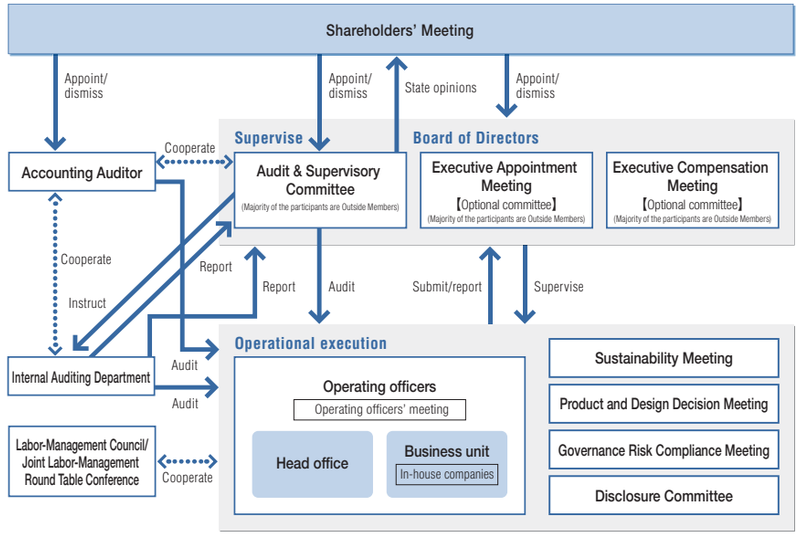
Aim

- Put in place a structure that enables customer opinions and on-site information to be swiftly communicated to management in order to **realize timely and accurate management decision-making**, and to **review whether such management decisions are accepted** by the customers and society.

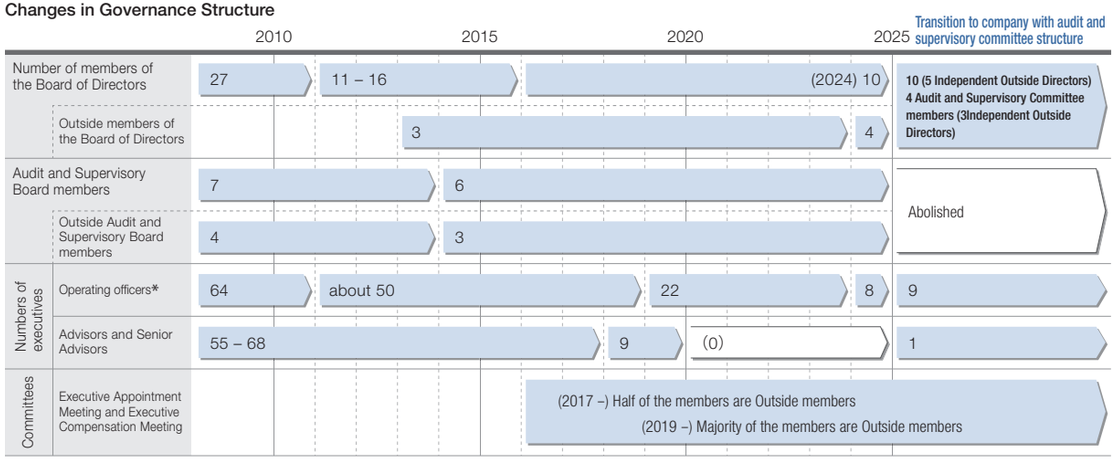
Initiative

- Members of the Board of Directors, composed of internal and outside directors, participate equally in discussions irrespective of position with the aim of further invigorating the board, and speed up decision-making by delegating authority to operating officers, in addition to promoting efforts to strengthen the board's oversight functions.
- The president, executive vice presidents and operating officers, to whom authority is delegated by the Board of Directors, work together with the business units (in-house companies and Business Planning & Operation Units) to reach decisions quickly and promote initiatives through operating officers' meeting and others.
- The Board of Directors, which includes Outside Directors, and the Audit & Supervisory Committee, supervise and audit the execution of business operations.
- The "Governance Risk Compliance Meeting" is newly established to enhance governance and management foundations.

Corporate Governance Organizational Diagram



Changes in Governance Structure



* Executive vice presidents, senior managing officers, and managing officers prior to introduction of executive officer system

2017	• Further clarification of the responsibilities of Members of the Board of Directors as decision making and management oversight and of Operating Officers as operational execution • Reduced the number of Members of the Board of Directors(including Outside Directors) to 9 • Changed the advisor and senior advisor system
2018	• Increased appointment of people with high expertise from both within and outside of the Company (the Toyota Group, people with technical positions, backgrounds, etc.) • Executive Vice President, in addition to supporting the President, personally leads the field as an in-house company president and organizational group chief officers • Newly established a fellow system to secure people with high level of specialist expertise and expand the breadth of executive human resource development
2019	• Created a new classification: “senior professional/senior management,” integration of Managing Officer, Executive General Manager, (sub-executive managerial level] Senior Grade 1 and Senior Grade 2 Manager, and Grand Master
2020	• Discontinued use of Field General Manager rank, shifting to Senior General Manger and Fellow • Integrated the roles of Executive Vice President and Operating Officer into Operating Officer • Further clarified the roles of Operating Officers
2022	• Reorganized the roles of operating officers and newly established the position of executive vice president to create a position for focusing on management perspectives with the president
2023	• Shifted to a new management structure whereby, under the theme of “inheritance and evolution,” operating officers implement product-centered (making ever-better cars) and region-centered (being the best car company in town) management
2024	• Clarified roles and expectations of outside members of the Board of Directors and revised independence criteria
2025	• Transitioned to a company with an Audit & Supervisory Committee Structure to further invigorate the Board of Directors • 50% of board to consist of independent outside directors (5 out of 10 members)

Board of Directors

Aim

■ **Accelerate decision-making and conduct appropriate supervision** to realize sustainable growth through transformation into a “mobility company”.

Initiative

■ Participation in discussions by internal members of the Board of Directors capable of practicing “product- and region-centered management” and all independent outside members of the Board of Directors who can provide advice on the creation of new value and governance from a broad perspective.
■ Establishment of “Executive Appointment Meeting” and “Executive Compensation Meeting,” of which a majority of the members are independent Outside Members of the Board of Directors, in order to enhance governance.

(As of June 2026)

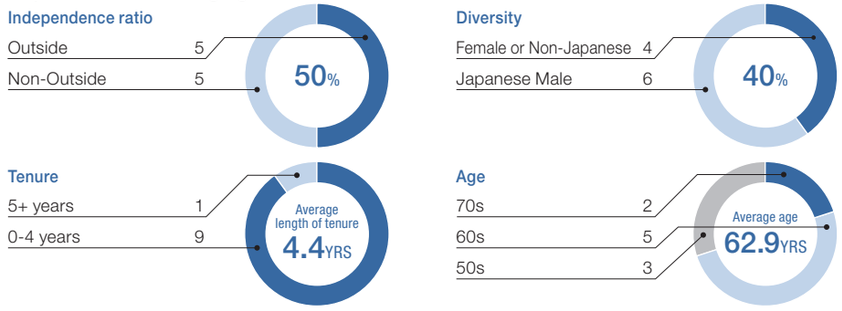
Composition	10 members (Independent Outside Directors: 5, Female: 2, Non-Japanese: 2)	
Chairperson	Chairperson of Toyota Motor Corporation	
Tenure as Director	Average tenure: 4.4 years (0-4 years: 9 persons, 5-9 years: 0 person, over 10 years: 1 person)	
Appointment/dismissal of Directors	The Executive Appointment Meeting discusses and makes recommendations to the Board of Directors	
Independence of Outside Directors	Considered in accordance with the requirements for Outside Members of the Board of Directors set out in the Companies Act and the independence standards established by the relevant financial instruments exchanges	
Membership of the Board of Directors	The Board of Directors is to consist of members with abundant knowledge, deep insight and the highly professional expertise needed by Toyota, and members are appointed in consideration of Board diversity	
Members’ career summary	Executives	
Attendance rate at Board of Directors’ meetings	Notice of Convocation “Attendance at the Board of Directors Meetings (Number of BOD meetings attended)”	
Skills matrix	Notice of Convocation “Corporate Governance Highlights and Skills Matrix”	
Measures to make full use of the insight of Outside Members of the Board of Directors and the Audit & Supervisory Board	• Review the criteria for submission of proposals to the Board of Directors as needed to reduce the number of proposals submitted, so that sufficient time can be secured to discuss each proposal • Provide an explanation of proposals in advance to help ensure thorough understanding of the background of the proposals • Besides the Board of Directors meetings, set opportunities for two-way communication between Outside Members of the Board of Directors and the Audit & Supervisory Board and the operational execution side on important management issues and medium-to long-term issues	
Analysis/evaluation of the effectiveness of the Board of Directors	Frequency	Once a year
	Subject of evaluation	Members of the Board of Directors
	Matters to be evaluated	Matters including • Composition and operation of the Board of Directors • Roles of the Board of Directors, procedures for deliberation, other
	Method	• Self-evaluation through interviews
	Review (in 2025)	• Structure: Participation of all internal and outside members of the Board of Directors in discussions drawing on their respective areas of expertise • Deliberating on matters brought forward by executive management at a preliminary stage, with a focus on enhancing corporate value. Supporting initiatives undertaken by executive management under the theme of “Strengthening Japan” • Decision-making speed: Improvements in decision-making speed as a result of early-stage consultations from management, with the overall direction approved before authority is delegated
	Improvement measures	• Ongoing improvements focused on activating discussions with the full participation of all directors and application of individual areas of expertise, strengthening discussions aimed at enhancing corporate value, and reviewing approaches across the board

Integrated Report 2025, p. 108 Dialogue with Shareholders and Investors

Meetings

Name	Composition (as of June 2026)	Number/ Attendance Rate (FY 2026 results*)	Main Discussion Points
Executive Appointment Meeting	Chairperson: Vice Chairperson of the Board of Directors, 3 members (Independent Outside Directors: 2, Female: 1)	7 times / 100%	• Recommendations regarding appointment/ dismissal of Members of the Board of Directors and Audit & Supervisory Board Members • Appointment/dismissal and changes in roles of operating officers • Individual performance evaluation • Organizational structure
Executive Compensation Meeting	Chairperson: Vice Chairperson of the Board of Directors, 3 members (Independent Outside Directors: 2, Female: 1)	9 times / 100%	• Compensation levels according to position and responsibilities • Evaluation of performance indicators • Determination of individual remuneration levels

Corporate Governance Highlights



Audit & Supervisory Committee

Aim

- **Appropriately conduct audits of Toyota**, which aims to achieve global sustainable growth by transforming itself into a “mobility company”.

Initiative

- Conduct risk-based audits focusing on on-site inspections (genchi genbutsu) by members of the Audit & Supervisory Committee.
- Establish a guidance and reporting system between the Audit & Supervisory Committee and the Internal Audit Department to facilitate organizational audits through internal control auditing systems.

(As of June 2026)

Composition	4 members (Outside Members of the Board of Directors: 3, Female: 1, Non-Japanese: 2)
Appointment/dismissal of Audit & Supervisory Committee Members	The Executive Appointment Meeting discusses and makes recommendations to the Audit & Supervisory Committee
Independence of Outside Directors	Considered in accordance with the requirements for Outside Members of the Board of Directors set out in the Companies Act, independence standards established by the relevant financial instruments exchanges, and independence assessment criteria established by Toyota
Career summary of members of the Audit & Supervisory Committee	Executives
Skills matrix	Notice of Convocation “Corporate Governance Highlights and Skills Matrix”

Executive Compensation

Aim

- Grounded in the “Toyota Philosophy”, the executive compensation system is an important means of encouraging executives to practice “product-centered and region-centered management” and contribute to decision-making aimed at sustainable growth into the future. It further encourages executives to play a significant role in transforming Toyota Motor Corporation into a mobility company through partnerships, while working to address environmental issues such as climate change and other social challenges connected to Toyota Motor Corporation and its value chain.

Initiative

- Toyota’s executive compensation system is determined based on the following policy.
  - It should be a system that encourages Members of the Board of Directors to work to improve the medium- to long-term corporate value of Toyota.
  - It should be a system that can maintain compensation levels that will allow Toyota to secure and retain talented personnel.
  - It should be a system that motivates Members of the Board of Directors to promote management from the same viewpoint as our shareholders with a stronger sense of responsibility as corporate managers.
  - The clawback rule has been introduced in November 2023.

(As of June 2026)

Compensation system		• Policies for determining remuneration for each member of the Board of Directors (excluding Directors who are members of the Audit & Supervisory Committee) are resolved by the Board of Directors • Remuneration is effectively linked to corporate performance while reflecting individual job responsibilities and performance. Appropriate remuneration levels and payment methods are set • Remuneration for Outside Members of the Board of Directors (excluding Directors who are members of the Audit & Supervisory Committee) and Audit & Supervisory Committee Members consists only of fixed payments, and as a result, is not readily impacted by business performance, helping to ensure independence from management
Remuneration for Members of the Board of Directors (excluding Directors who are members of the Audit & Supervisory Committee)	Maximum cash compensation	3.0 billion yen annually (of which, the maximum amount payable to Outside Members of the Board of Directors is 0.3 billion yen per year)
Remuneration for Members of the Board of Directors (excluding Outside Directors and Directors who are members of the Audit & Supervisory Committee)	Maximum share compensation	4.0 billion yen annually
Remuneration for Directors who are members of the Audit & Supervisory Committee		0.36 billion yen or less annually
Method of determining remuneration	Directors with Japanese Citizenship (excluding Directors who are Outside Members of the Board of Directors and on the Audit & Supervisory Committee)	• The total amount of remuneration received annually by each member of the board of directors is determined in accordance with the scope of each person’s role and other factors, using compensation levels of global companies as benchmarks • Compensation of composition and performance evaluation indicators: See next page
	Directors with Foreign Citizenship (excluding Directors who are Outside Members of the Board of Directors and on the Audit & Supervisory Committee)	• Fixed remuneration and performance-based remuneration are set based on the remuneration levels and structures that allow Toyota to secure and retain talented personnel • The total amount of remuneration received by each member of the board of directors in a year and the respective ratios of fixed- and performance-based remuneration as a percentage of total remuneration are set based on remuneration levels for job responsibilities, affiliate origin, and other factors (determined on an individual basis) • There are cases where Toyota provides income tax compensation for certain members of the Board of Directors in light of the difference in income tax rates with the compensation standards of the entity for which the individual has worked previously

Form 20-F “COMPENSATION”

Composition of Compensation

Type of remuneration	Percentage of total remuneration	Remuneration Method	Concept
Base compensation	Around 30%	Cash compensation	The percentage of total remuneration represented by LTI is designed to increase as an individual's roles and duties become greater
STI (Short Term Incentive)	Around 20%	Cash compensation	
LTI (Long Term Incentive)	Around 50%	Share compensation	

Concept of Performance Evaluating Indicators

TMC: Toyota Motor Corporation

STI	Financial indicators	(1) Consolidated operating income (single year)	Indicator for evaluating TMC's efforts based on short-term business performance
		(2) Fluctuation of TMC's market capitalization	Corporate value indicator for shareholders and investors to evaluate TMC's efforts
	Individual performance evaluation*		Qualitative evaluation of performance of each member of the Board of Directors
LTI	Financial indicators	(3) Consolidated operating income (multiple years)	Indicator for evaluating TMC's medium- to long-term efforts based on business performance
		(4) Total shareholder return	Corporate value indicators used by shareholders and investors to evaluate TMC's medium- and long-term initiatives
		(5) Return on equity	
	Non-financial indicators	(6) Progress of efforts to resolve sustainability issues	Indicator for evaluating TMC's medium- to long-term efforts based on the degree of corporate value enhancement
	Individual performance evaluation*		Qualitative evaluation of performance of each member of the Board of Directors

* The evaluation takes into account various factors such as initiatives (including the ESG perspective) based on the Toyota Philosophy and initiatives towards gaining trust from his or her peers and contribution to the promotion of human resources development.

Form 20-F "COMPENSATION"

Internal Control

Aim

- **Establish a system for ensuring the appropriateness of business operations** as a corporate group and **the proper implementation of that system** in accordance with the "Basic Policies on Establishing Internal Controls."

Initiative

- **Integrate the principles of problem identification and continuous improvement into the business operation process** and train employees who will put these principles into practice.
  - In each of the environmental, social, and governance areas, we visualize processes, document work procedures, and identify controls in accordance with the "Basic Policies on Establishing Internal Controls".
  - Confirm that the activities conducted by organizational units and subsidiaries responsible for implementing internal controls are carried out autonomously and that internal controls are enhanced as necessary.

Form 20-F "Toyota Group Vision"

Updated in June 2026

Risk Management

GRI 2-16, 3-3

159 Fundamental Approach
159 Organizational Structure
160 Risk Management System
160 Business Continuity Management (BCM)

Fundamental Approach

Aim

- **Reinforcing our risk management to handle increasing uncertainty** while responding to expectations to take on new challenges amid a period of tremendous change in the conditions and values of the automotive industry, including the push toward carbon neutrality and expansion of the value of mobility through electrification, intelligent technologies, and diversification.

Initiative

- Protecting the interests of our stakeholders, including customers and employees, even in the event of a risk occurrence, through the improvement of the organizational structure and the operation of the risk management system.

Organizational Structure

Aim

- Preventing, mitigating, reducing, and effectively managing risks that may arise in Toyota's business activities from a global perspective through collaboration and mutual support among regions, functions, and in-house companies under the leadership of the Chief Risk Officer (CRO).

Initiative

- Persons responsible for risk management: **CRO, Deputy Chief Risk Officer (DCRO)**
  - Person supervising risk management in each region: Regional CEO
  - Person responsible/in charge of risk management by function: Chief officer/risk manager of each division within the head office
  - Person responsible/in charge of risk management by product: Company president/risk manager of each division in each in-house company
- Identifying and addressing significant risks from a holistic, cross-organizational perspective, discussing key issues at the Governance Risk Compliance Meeting, chaired by the CRO, and presenting these issues to the Board of Directors Meeting as appropriate to promote business initiatives.

Organizational Structure



Risk Management System

Aim

■ **Identifying, assessing, and handling significant risks** through the development of Toyota's globally common risk management policy, structure, and operating procedures.

Initiative

■ Identifying, assessing, aggregating, handling, and monitoring risks in accordance with the **Toyota Global Risk Management Standard (TGRS)**, a company-wide risk management framework developed with reference to the ISO and Committee of Sponsoring Organizations of the Treadway Commission (COSO).

■ Assessing and aggregating risks following Toyota's globally common risk management policy, classifying risks by priority, and incorporating external perspectives and information to promote mitigation measures.

Identify risks	Assess risks	Aggregate risks	Handle risks	Monitor risks
Have each global region identify a **wide range of potential future risks**	Use **Toyota's globally common risk management policy** as a "common language" to gauge the significance of risks (Assess impacts, likelihood of occurrence, and measures)	Specify **significant risks through communication with internal departments etc. based on risks identified by each individual site**	**Prioritize risks and promote measures** based on **level of importance**	Monitor risks on a continuous basis to **steadily and promptly gauge the effectiveness of measures and detect increased risks**

■ Using the TGRS to identify significant risks (as listed below), and forming cross-organizational task forces, as appropriate, to promote risk management, with the Governance Risk Meeting and other groups conducting checks on the progress of measures.

Item	Overview
Significant risks	• Business Continuity Management (BCM) • Cyberattacks • Confidential information breaches • Intellectual property and technology • Internal control • Management strategies • New laws and regulations • Aging infrastructure, other
Scope	Headquarters, group companies, supply chains with suppliers, other

Business Continuity Management (BCM)

Aim

■ **Ensure that business operations can continue and quickly recover** from major disasters, such as earthquakes and floods, by preparing for impacts on Toyota's sites and employees, potential disruptions in the supply chain, and interruptions in the delivery of essential goods.

Initiative

Preparation for major disasters

■ Strong focus on preparedness for a Nankai Trough earthquake by developing the systems and processes needed from first responses to the resumption of operations.

• Nankai Trough earthquake: A natural disaster predicted to cause extensive damage to the Tokai region, an area where Toyota has its headquarters, R&D and production facilities, as well as a high concentration of supply chain factories. A comprehensive response will be required from global Toyota.

Toyota's Basic Guidelines (priorities during a disaster)

• In the event of a disaster, we support the recovery of local communities and then steadily resume in-house production while making the protection of employees' safety the highest priority.

Toyota's Basic Guidelines (priorities during a disaster)

1	2	3
Humanitarian aid (lifesaving first, relief)	Early recovery of the affected areas (communities)	Restoration of Toyota's operations and production

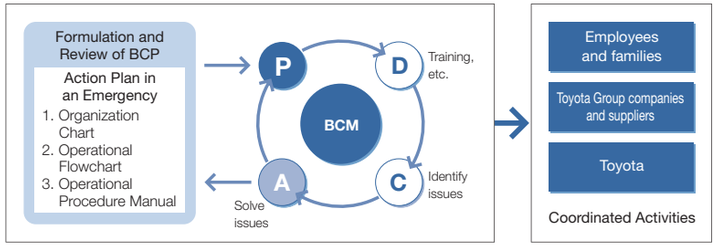
Ongoing review of the Business Continuity Plan (BCP)

■ **Developing risk-resilient organizations and workplaces**

• Improving the effectiveness of the BCP by implementing PDCA through training and other means in coordination among employees and their families, Toyota Group companies and suppliers, and Toyota.

• Conducting reviews of BCPs in response to changes in the business environment and to the latest damage projections and damage risk assessments by national and local governments.

• Developing risk-resilient individuals.

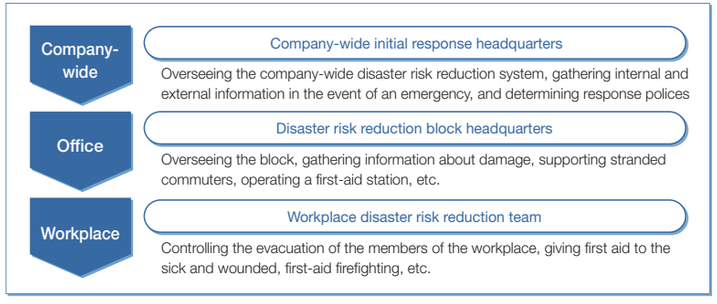


■ **Disaster risk reduction system and implementation of emergency drills**

• Establishment of an initial response system divided into three levels: company-wide, office, and workplace levels.
⇒ Through company-wide emergency drills (once a year), in which these three levels are linked together, and emergency drills held by each disaster risk reduction block organized at the office level, we work toward improving the accuracy and effectiveness of our initial responses.

• Establishment of recovery systems and coordination with relevant parties in non-emergency situations so that flexible responses can be implemented with limited resources, keeping pace with the recovery of society and local communities in the event of an emergency.

Organizational Structure



■ **Utilization of the Safety Confirmation System**

- In case that a large-scale disaster or incident occurs in Japan, the system enables employees working, living or staying in the affected area to report to the company if they and their family members are safe using their computers or smartphones.
- Issuing notifications to encourage all employees to report their safety status in the event of a disaster or other emergency, as deemed necessary..
- Conducting a safety confirmation drill for all employees every year in tandem with the company-wide emergency drill.
  FY2026 Results
  - Safety reporting rate at company-wide drill: 99% (Toyota Motor Corporation)

Humanitarian Aid and Early Recovery for Disaster-affected Regions

■ **Toyota has concluded comprehensive disaster support agreements with local governments** (Toyota City, Miyoshi City, Tahara City, Hekinan City, and Susono City).

- Humanitarian support and regional recovery assistance are to be provided under mutual cooperation with local governments. Toyota is preparing relevant structures by incorporating necessary provisions in its BCP, conducting joint training with the local governments, and carrying out appropriate reviews as and when necessary.
- Details of the major support items
  - Rescue and relief in a disaster
  - Provide temporary evacuation facilities to local residents
  - Provide food, drinking water, and daily necessities for distribution through local governments (local residents)
  - Support cargo handling at municipal relief supply facilities
  - Provide space necessary for restoration of local infrastructure (water supply and drainage, roads, etc.)
  - Employee participation in local recovery activities

Initiatives to Mitigate the Impact of Disasters on Buildings and Equipment

■ We work to **mitigate the impact of disasters on buildings and equipment** in order to reduce any human injury and property damage in the event of a disaster and resume production immediately after shifting to the business restoration phase.

- Buildings:
  Our new buildings in Japan fully meet the latest earthquake-resistance standards, and buildings constructed under former standards have undergone seismic testing and been systemically retrofitted as needed.
- Production equipment:
  We constantly identify hazards, such as collapse, fire and a loss of power in the event of a disaster, and risks that may affect manufacturing quality while taking work processes and the characteristics of the machinery into consideration. To eliminate the identified hazards and risks, we make continuous efforts to incorporate reasonable measures into equipment specifications and operational procedures.
- The know-how regarding the mitigation of the impact of disasters on buildings and equipment is being put to use in assessing risks and devising measures at affiliates in each country and region.

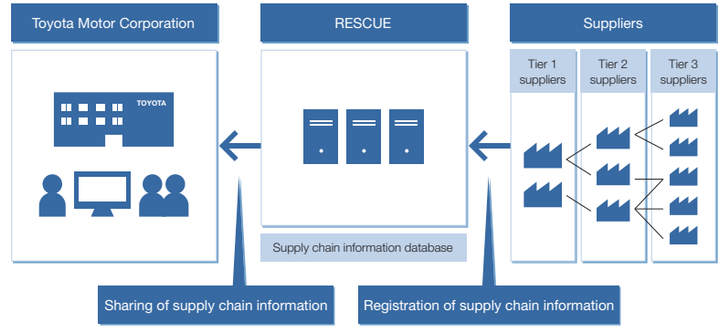
Building a Disaster-resilient Supply Chain

■ **Enhancing prompt initial action and early recovery**

- Working with suppliers in each country and region to build a disaster-resilient supply chain and pushing forward **the visualization of supply chain information** and the implementation of **measures as precautions against disasters** even in normal times.
  - Visualization of supply chain information: Building the **RESCUE*** system
  - Building a database based on highly confidential information from suppliers.
  - Conducting training with suppliers on a regular basis to ensure effective utilization of the system in the event of a disaster while strictly protecting suppliers' confidential information.
    ⇒ This system is shared with other companies through the Japan Automobile Manufacturers Association, helping to build a disaster-resilient supply chain.
- Advancing equivalent initiatives together with suppliers in each country and region.

* RESCUE: REinforce Supply Chain Under Emergency

RESCUE System to Store Supply Chain Information



Raising awareness aimed at the development of disaster risk reduction personnel (Toyota Motor Corporation)

■ We distribute an "Emergency Response Handbook" to employees to improve their disaster response capabilities. The handbook provides guidance on responses to various disasters such as earthquakes, typhoons, heavy rainfall, and fires, as well as instructions on how to use the Safety Confirmation System.

■ Training is carried out as part of programs for disaster response personnel and orientation for new employees with the aim of improving their disaster preparedness knowledge and response capabilities.

■ We use a variety of internal communication tools to spread awareness among employees on disaster preparedness knowledge and household readiness.

Updated in June 2026

Compliance

GRI 2-15, 16, 25~17, 3-3, 205-1~3, 207-1~3

162 Fundamental Approach
162 Compliance Education
163 Bribery / Corruption Prevention Measures
163 Initiatives for Taxation
164 Speak-up
165 Checks & Improvement Activities

Fundamental Approach

Aim

■ **People working at Toyota around the world** live up to the social responsibilities that society expects of us by complying with laws and acting with integrity in **accordance with the Toyota Code of Conduct, as we work towards our mission of "Producing Happiness for All" based on the Toyota Philosophy and Toyota Principles***.

* Honor the language and spirit of the law of every country and region, and undertake open and fair business activities to be a strong corporate citizen of the world.

Toyota Philosophy
Guiding Principles at Toyota
Toyota Code of Conduct

Initiative

■ Formulation of the Toyota Code of Conduct as a set of guidelines for appropriate behavior and actions for Toyota employees, both within the company and in daily life, for the implementation of the Toyota Philosophy and the Guiding Principles at Toyota (formulated in 1998, revised in 2006 and 2023)
- The Toyota Code of Conduct was revised in 2023 being approved by the Board of Directors. It includes updates for the key risks relevant to today's business environment and priorities, such as anti-bribery and anti-corruption and human rights in addition to top messages from Chairperson of the Board of Directors and president.
- It has been translated into 14 languages, which covers about 98% of the native languages of Toyota employees worldwide. It is shared across Toyota, together with educational videos/materials in 6 languages, so that it can take root companywide.

■ Promotion of compliance activities to ensure that all employees of Toyota act responsibly in compliance with the Toyota Code of Conduct under the leadership of Chief Compliance Officer and Deputy Chief Compliance Officer.

■ We have established the "Speak up" Hotline (for Toyota Motor Corporation), the Global Speak Up Line, All Toyota Speak Up and Toyota Consolidated Helpline (for domestic and overseas subsidiaries and sub-subsidiaries companies), etc. as whistle-blowing hotlines to receive compliance related questions and consultations.

■ Enhancing compliance through training and education, and strengthening compliance through activities to check compliance status.

P. 165 Checks & Improvement Activities

Compliance Education

Aim

■ **Ensure that all employees of Toyota act with integrity** by having not only top management but also each employee receive training about the Toyota Code of Conduct and compliance training regarding important laws and regulations.

Initiative

For employees:

■ Familiarize employees with various laws and regulations that they must understand when carrying out their tasks.

■ Providing the following various educational courses and seminars:
- The training on the Toyota Code of Conduct to all employees and obtaining commitment to their understanding and compliance with the content.
- The Business Compliance Seminar, in which lectures are given by the responsible division (held every year).
- E-learning-based training.
- Individual training courses tailored to specific needs of in-house divisions.
- Training at career milestones, such as at the time of joining the company, promotion and overseas assignment.

Major Training Themes

- Contracts
- Act against Unjustifiable Premiums and Misleading Representations
- Intellectual Property (copyrights, trademarks)
- Confidentiality Management
- Labor
- Antimonopoly Law
- Insider Trading Regulations
- Product Liability
- Bribery/Corruption
- Security Export Control
- Subcontracting Law
- Act on Ensuring Proper Transactions Involving Specified Entrusted Business Operators
- Taxation
- Safety and Health

For officers

- Thoroughly inform officers, including directors, about the basic matters for which they must demonstrate compliance.
- **Legal Handbook for Corporate Officers**
  - The Handbook explains the various laws, regulations and points that directors must observe while performing their duties. It provides a comprehensive explanation of how to prevent corruption, including regulations with regard to bribery/corruption, insider trading, conflict-of-interest transactions and competitive transactions.
  - The Handbook is posted on the company intranet for officers, and relevant explanations are provided for newly-appointed of directors.
  - The Handbook is revised annually to reflect amendments to the relevant laws.
- **Code of Ethics for Directors and Operating of Officers**
  - It is a code of ethics that de¬fines the basic matters that directors and operating officers, etc. must comply with while performing their duties, together with internal regulations such as the Guiding Principles at Toyota and the Toyota Code of Conduct.
  - It has been formulated by the Board of Directors and is thoroughly informed to subject officers.

For subsidiaries

- Provide training on the Toyota Code of Conduct and obtain commitment to understand and comply with its contents.
- Provide educational support tailored to the specific needs of subsidiaries in Japan.
- Distribute the Legal Handbook for Corporate Officers (Subsidiary Edition)

Bribery / Corruption Prevention Measures

Aim

- **Contribute to maintaining and improving social order and a fair and just competitive environment based on trust and ethics by promoting Toyota's strong commitment to doing business free from bribery and corruption.**

Initiative

- The Toyota Code of Conduct clearly states our policy and commitment to preventing bribery and corruption, including prohibitions on offering, accepting, or soliciting bribes and making facilitation payments. This policy is shared with and communicated to all Toyota employees.

Toyota Code of Conduct (Anti-bribery Anti-corruption)

- Formulation of Anti Bribery/Corruption policies.
  - Toyota Code of Conduct (Revised in 2023).
  - Toyota Global Anti-Bribery and Anti-Corruption Policy (2023).
  - Anti-Bribery Guidelines (For Business Partners) (2012).

Toyota Global Anti-Bribery and Anti-Corruption Policy
Anti-bribery Guidelines (For Business Partners)

- Systems to enhance awareness
  - Continue to raise awareness through training and communication at all times, such as when an employee joins the company, is promoted and is assigned overseas.
  - Ensure an authorizer (manager) reviews actions and transactions for red flags that may indicate bribery in the payment process.
  - Implement initiatives starting in 2020 to reinforce anti-bribery and anti-corruption frameworks, with a focus on subsidiaries located in countries identified as high-risk based on objective indices.

Initiatives for Taxation

Aim

- Maintain compliance on taxation and conduct **high-quality tax accounting operations**.

Initiative

- Disclosure of Toyota's tax payments and various initiatives in countries and regions around the world
  - Disclose taxes paid and other relevant information related to business activities in each country and region where Toyota operates with the aim of improving transparency in tax matters.
  - Share information on tax payments and various initiatives in each country and region.

Toyota's Contributions in Various Countries and Regions

Speak-up

Aim

■ **Quickly and appropriately respond to workplace- and duty-related concerns**, complaints or questions that employees and other relevant parties may have.

Initiative

Speak-up Hotline (Toyota Motor Corporation)

Persons eligible to use the hotline	• **As long as the topics of the consultation are matters related to employees or workplaces** of Toyota Motor Corporation, the hotline is **open to not only its employees but also any other third parties, including employees' family members and business partners** • The hotline can also be used anonymously
Methods for disseminating information on the hotline	• **Through various media** including the intranet
Handling	• Consultation requests are accepted through law firms, websites, by phone and other means (inquiries online and by email are accepted 24 hours a day) • The in-house office forwards the content of the consultation to the division responsible, which carefully investigates the details, taking all precautions to protect the identity of the individual who raised the concern • It is stipulated in company regulations that attempts to search for individuals who consulted the hotline or cooperated with the investigation are prohibited • It is stipulated in relevant company regulations that unless the purpose is malicious, seeking a consultation through the hotline and taking other related actions **will not disadvantage the person who voiced the concern, nor individuals who cooperated in the investigation** • For cases where an issue is identified, appropriate measures will be taken in accordance with company regulations such as the Work Regulations
Number of consultations received (FY2026)	• 915 (104% of the previous fiscal year's level) Breakdown • Potential rule/regulatory infractions: 188 • Financial matters: 10 • Potential Harassment: 130 • Workplace environment/personnel matters: 345 • Opinions/inquiries: 95 • Others: 147

Speak-up Lines for overseas and domestic subsidiaries

■ A number of reporting channels have been established to supplement those in subsidiaries, such as the Global Speak Up Line (available for Toyota Motor Corporation and all of its consolidated subsidiaries), and the All Toyota Speak Up and Toyota Consolidated Helpline (mainly for subsidiaries and sub-subsidiaries in Japan).

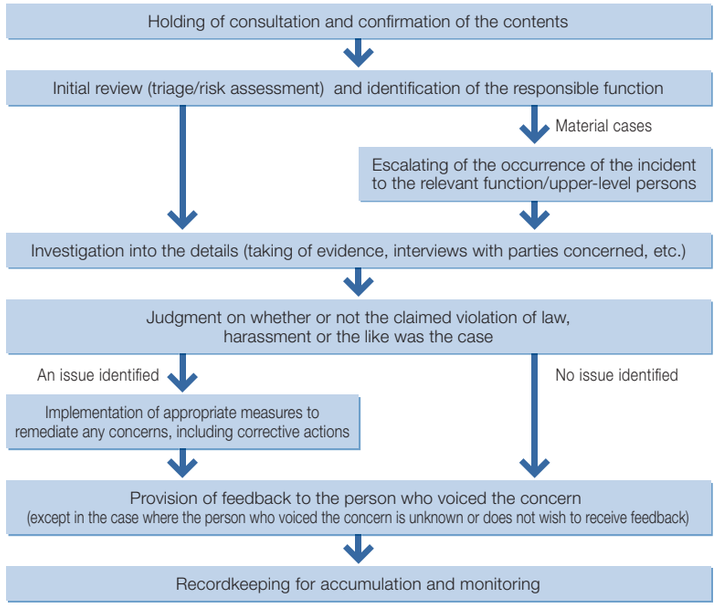
- Inquiries are accepted through websites, by telephone and by email.
- These hotlines can be used anonymously, where permitted by local law.
- The Toyota Code of Conduct and Toyota Speak Up Policy explicitly state that employees who report concerns will not be treated unfavorably, and that anyone who attempts to identify or retaliate against them may face disciplinary action.
- Employees and other individuals who make reports can express their views on the investigation process at any time through the reporting system or when they receive feedback upon completion of the response.
- To identify reporting trends and drive improvements, response data from the hotline is accumulated and monitored, including the numbers of reports received and closed, case categories, and investigation and response outcomes.
- For major subsidiaries, TMC monitors reporting activity through the speak-up lines and requests improvements where necessary.

■ In particular, the Global Speak Up Line is available in multiple languages to ensure accessibility for all employees.

Number of consultations received (FY2026)	Global Speak Up Line • 513 (98% of the previous fiscal years's level) All Toyota Speak Up and Toyota Consolidated Helpline • 196 (89% of the previous fiscal years's level) Breakdown • Potential rule/regulatory infractions: 62 • Financial matters: 6 • Potential Harassment: 34 • Workplace environment/personnel matters: 35 • Opinions/inquiries: 6 • Others: 53

Toyota Code of Conduct (Speak Up) Toyota Speak Up Policy

Report and response procedures (various speak-up channels)



Checks & Improvement Activities

Aim

- Continue to demonstrate the highest compliance standards **by grasping/encouraging compliant behaviors and activities and making ceaseless improvements**, including at domestic and overseas subsidiaries.

Initiative

- **Select fields to be checked in accordance with the Toyota Code of Conduct, and conduct checks. (Conducted regularly)**
- Request that issues and improvement items identified through inspections be incorporated into actions plans in the next fiscal year, and provide necessary support for continued engagement, such as educational materials.
- Conduct audits on priority areas and priority subsidiaries to ensure the accuracy of activities of checks to enhance compliance

  Checks carried out in FY2026
  - Checks 25 items in 7 categories, such as **Harmonious, Safe and Lively Work Environment (Working Environment), Speak Up, Product Safety and Quality,** etc.
  - Over 100 types of improvement tools, including educational materials, manuals, and checklists, have been compiled and made available to support improvement activities at each company.

Updated in June 2026

Governance Data

A Governance

TMC: Toyota Motor Corporation

		As of June 2024	As of June 2025	**As of June 2026**
Number of Directors	Persons	10	10	**10**
Male		9	8	**8**
Female		1	2	**2**
Outside Directors (independent officers)		4	5	**5**
Female ratio	%	10	20	**20**
Diversity ratio		30	40	**40**
Independence ratio		40	50	**50**

		FY2024	FY2025	**FY2026**
Number of fines, penalties or settlements paid by Toyota Motor Corporation in relation to corruption (excluding global affiliates)	Cases	0	0	**0**
Number of Toyota Motor Corporation staff (excluding global affiliates) disciplined or dismissed due to non-compliance with anti-corruption policies		0	0	**0**
Number of consultations to the Speak-up Hotline (TMC)		884	884	**915**
Global Speak Up Line*2		–*1	522	**513**
All Toyota Speak Up and Toyota Consolidated Helpline*3		–*1	221	**196**

*1 Disclosed from FY2025
*2 Mainly for subsidiaries and sub-subsidiaries located overseas
*3 Mainly for subsidiaries and sub-subsidiaries located in Japan

SASB/GRI/TCFD Content Index

168 SASB Content Index
169 GRI Content Index
175 TCFD Content Index

SASB Content Index

Updated in September 2026

Topic	Accounting Metric	Code	Response
Product Safety	Percentage of vehicle models rated by NCAP programs with an overall 5-star safety rating, by region	TR-AU-250a.1	Vehicle Safety > External Safety Evaluations
	Number of safety-related defect complaints, percentage investigated	TR-AU-250a.2	Quality and Service > Quality Risk Management
			Quality and Service > Coping with Quality Problems
			Social Data > Quality
	Number of vehicles recalled	TR-AU-250a.3	Quality and Service > Coping with Quality Problems
			Social Data > Quality
Labor Practices	Percentage of active workforce covered under collective bargaining agreements	TR-AU-310a.1	Social Data > Human Capital (TMC)
	(1) Number of work stoppages and (2) total days idle	TR-AU-310a.2	Social Data > Human Capital (TMC)
Fuel Economy & Use-phase Emissions	Sales-weighted average passenger fleet fuel economy, by region	TR-AU-410a.1	Metrics and Targets > Greenhouse Gases > [E] Average CO_2 Emissions from New Vehicles
	Number of (1) zero emission vehicles (ZEV), (2) hybrid vehicles, and (3) plug-in hybrid vehicles sold	TR-AU-410a.2	Carbon Neutrality (CN) > Transition Plan > Electrified Vehicles Adoption Record
			Metrics and Targets > Greenhouse Gases > [F] Electrified Vehicle Sales
	Discussion of strategy for managing fleet fuel economy and emissions risks and opportunities	TR-AU-410a.3	Carbon Neutrality (CN) > Fundamental Approach > Overview of the Multi-Pathway Strategy
			Carbon Neutrality (CN) > Transition Plan
Materials Sourcing	Description of the management of risks associated with the use of critical materials	TR-AU-440a.1	Value Chain Collaboration > Responsible Material Sourcing
Materials Sourcing	Total amount of waste from manufacturing, percentage recycled	TR-AU-440b.1	Metrics and Targets > Circular Economy > [M] Waste
	Weight of end-of-life material recovered, percentage recycled	TR-AU-440b.2	—
	Average recyclability of vehicles sold	TR-AU-440b.3	—
Number of vehicles manufactured		TR-AU-000.A	Company Profile
Number of vehicles sold		TR-AU-000.B	Company Profile

GRI Content Index

Updated in September 2026

TOYOTA MOTOR CORPORATION has reported the information cited in this GRI content index for the period from April 1, 2024 to March 31, 2025 with reference to the GRI Standard.

Universal Standards

Code	Requirements	Publication Pages
1. The organization and its reporting practices		
GRI 2: General Disclosures 2021		
2-1	Organizational details	Profile
2-2	Entities included in the organization's sustainability reporting	Editorial Policy
2-3	Reporting period, frequency and contact point	Editorial Policy
		Sustainability Management Div.
2-4	Restatements of information	Update History
2-5	External assurance	Third-Party Assurance
2. Activities and workers		
2-6	Activities, value chain and other business relationships	Facilities
		Form 20-F "INFORMATION ON THE COMPANY"
2-7	Employees	Profile
		Social Data > Human Capital (Consolidated)
2-8	Workers who are not employees	Social Data > Human Capital (Consolidated)
3. Governance		
2-9	Governance structure and composition	Corporate Governance
2-10	Nomination and selection of the highest governance body	Corporate Governance > Board of Directors
2-11	Chair of the highest governance body	Corporate Governance > Board of Directors
2-12	Role of the highest governance body in overseeing the management of impacts	Corporate Governance
		Promoting Sustainability > Organization Structure
2-13	Delegation of responsibility for managing impacts	Corporate Governance
		Promoting Sustainability > Organizational Structure
		Carbon Neutrality (CN) > Governance
2-14	Role of the highest governance body in sustainability reporting	Promoting Sustainability > Organizational Structure
2-15	Conflicts of interest	Corporate Governance Reports
		Compliance
2-16	Communication of critical concerns	Risk Management
		Compliance
		Corporate Governance Reports
		Carbon Neutrality (CN) > Governance
2-17	Collective knowledge of the highest governance body	Promoting Sustainability > Organization Structure
		Corporate Governance > Corporate Governance Structure
2-18	Evaluation of the performance of the highest governance body	Corporate Governance Reports
2-19	Remuneration policies	Corporate Governance > Executive Compensation
2-20	Process to determine remuneration	Corporate Governance > Executive Compensation
		Form 20-F "COMPENSATION"
2-21	Annual total compensation ratio	Form 20-F "COMPENSATION"
4. Strategy, policies and practices		
2-22	Statement on sustainable development strategy	New Management Policy & Direction Announcement
		Carbon Neutrality (CN) > Fundamental Approach > Overview of the Multi-Pathway Strategy

Code	Requirements	Publication Pages
2-23	Policy commitments	Sustainability Related Policies and Guidelines
2-24	Embedding policy commitments	Promoting Sustainability
2-25	Processes to remediate negative impacts	Compliance
		Policy and Environmental Management > Environmental Management
		Respect for Human Rights > Human Rights Due Diligence
2-26	Mechanisms for seeking advice and raising concerns	Compliance > Speak-up
		Respect for Human Rights > Human Rights Due Diligence
		Value Chain Collaboration > Initiatives with Suppliers
2-27	Compliance with laws and regulations	Compliance > Bribery / Corruption Prevention Measures
		Policy and Environmental Management > Environmental Management
2-28	Membership associations	Promoting Sustainability > Stakeholder Engagement
5. Stakeholder engagement		
2-29	Approach to stakeholder engagement	Promoting Sustainability > Stakeholder Engagement
		Dialogue with Employees
2-30	Collective bargaining agreements	Social Data > Human Capital (TMC)
GRI 3: Material Topics 2021		
3-1	Process to determine material topics	Promoting Sustainability > Sustainability Strategy and Philosophy
3-2	List of material topics	Promoting Sustainability > Sustainability Strategy and Philosophy
3-3	Management of material topics	Policy and Environmental Management
		Respect for Human Rights
		Human Resource Development
		Dialogue with Employee
		Diversity, Equity, and Inclusion (DE&I)
		Labor Practices
		Health and Safety

Code	Requirements	Publication Pages
		Value Chain Collaboration
		Vehicle Safety
		Quality and Service
		Corporate Governance
		Risk Management
		Compliance

Topic Standards (Economic)

Code	Requirements	Publication Pages
GRI 101: Biodiversity 2024		
101-1	Policies to halt and reverse biodiversity loss	Promoting Sustainability > Sustainability Strategy and Philosophy
		Nature Positive (NP) > Fundamental Approach > Toyota Policy on Harmony with Nature
		Metrics and Targets > The 8th Toyota Environmental Action Plan (2030 Target)
101-2	Management of biodiversity impacts	Nature Positive (NP) > Initiatives Addressing Nature-Related Issues
		Nature Positive (NP) > Biodiversity
		Value Chain Collaboration > Initiatives with Suppliers > Policy for Sustainable Natural Rubber Procurement
101-3	Access and benefit-sharing	—
101-4	Identification of biodiversity impacts	Promoting Sustainability > Sustainability Strategy and Philosophy
		Nature Positive (NP) > Initiatives Addressing Nature-Related Issues
		Value Chain Collaboration > Responsible Material Sourcing
101-5	Locations with biodiversity impacts	Nature Positive (NP) > Initiatives Addressing Nature-Related Issues
		Value Chain Collaboration > Initiatives with Suppliers > Policy for Sustainable Natural Rubber Procurement
		Value Chain Collaboration > Responsible Material Sourcing

Code	Requirements	Publication Pages
101-6	Direct drivers of biodiversity loss	Nature Positive (NP) > Initiatives Addressing Nature-Related Issues
		Value Chain Collaboration > Initiatives with Suppliers > Policy for Sustainable Natural Rubber Procurement
		Value Chain Collaboration > Responsible Material Sourcing
101-6	Direct drivers of biodiversity loss	Metrics and Targets > Water
		Metrics and Targets > VOC, NOx, and SOx
101-7	Changes to the state of biodiversity	Nature Positive (NP) > Initiatives Addressing Nature-Related Issues
101-8	Ecosystem services	Nature Positive (NP) > Biodiversity
GRI 201: Economic Performance 2016		
201-1	Direct economic value generated and distributed	Form 20-F "OPERATING AND FINANCIAL REVIEW AND PROSPECTS"
		Social Contribution
201-2	Financial implications and other risks and opportunities due to climate change	Carbon Neutrality (CN) > Identification and Assessment of Climate Change-Related Impacts, Risks, and Opportunities
		Carbon Neutrality (CN) > Transition Plan > Scope 3 Category 11
		Carbon Neutrality (CN) > Transition Plan > Scopes 1 and 2
		Carbon Neutrality (CN) > Transition Plan > Life Cycle
201-3	Defined benefit plan obligations and other retirement plans	Form 20-F "FINANCIAL INFORMATION"
201-4	Financial assistance received from government	—
GRI 202: Market Presence 2016		
202-1	Ratios of standard entry level wage by gender compared to local minimum wage	—
202-2	Proportion of senior management hired from the local community	—
GRI 203: Indirect Economic Impacts 2016		
203-1	Infrastructure investments and services supported	Circular Economy (CE) > Use Less Resources
		Circular Economy (CE) > Promote Longer Use
		Circular Economy (CE) > Avoid Waste
203-2	Significant indirect economic impacts	Vehicle Safety
		Social Contribution
GRI 204: Procurement Practices 2016		
204-1	Proportion of spending on local suppliers	Social Data > Supply Chain
GRI 205: Anti-corruption 2016		
205-1	Operations assessed for risks related to corruption	Compliance
		Form 20-F "DIRECTORS, SENIOR MANAGEMENT AND EMPLOYEES", "CORPORATE GOVERNANCE"
205-2	Communication and training about anti-corruption policies and procedures	Form 20-F "DIRECTORS, SENIOR MANAGEMENT AND EMPLOYEES", "CORPORATE GOVERNANCE"
		Value Chains Collaboration
		Compliance
205-3	Confirmed incidents of corruption and actions taken	Governance Data > Governance
GRI 206: Anti-competitive Behavior 2016		
206-1	Legal actions for anti-competitive behavior, anti-trust, and monopoly practices	—
GRI 207: Tax 2019		
207-1	Approach to tax	Compliance > Initiatives for Taxation
207-2	Tax governance, control and risk management	
207-3	Stakeholder engagement and management of concerns related to tax	
207-4	Country-by-country reporting	—

Topic Standards (Environmental)

Code	Requirements	Publication Pages
GRI 301: Materials 2016		
301-1	Materials used by weight or volume	Metrics and Targets > Circular Economy > [L] Raw Material Content and Recycled Content
		Circular Economy (CE) > Use Less Resources > Reuse and Remanufacturing of Parts

Code	Requirements	Publication Pages
301-2	Recycled input materials used	Metrics and Targets > Circular Economy > [L] Raw Material Content and Recycled Content
		Circular Economy (CE) > Use Less Resources > Reuse and Remanufacturing of Parts
301-3	Reclaimed products and their packaging materials	Circular Economy (CE) > Use Less Resources
		Circular Economy (CE) > Use Less Resources > Reuse and Remanufacturing of Parts
GRI 302: Energy 2016		
302-1	Energy consumption within the organization	Metrics and Targets > Energy > [G] Energy Consumption and Energy Intensity
302-2	Energy consumption outside of the organization	—
302-3	Energy intensity	Metrics and Targets > Energy > [G] Energy Consumption and Energy Intensity
302-4	Reduction of energy consumption	Metrics and Targets > Energy > [G] Energy Consumption and Energy Intensity
		Carbon Neutrality (CN) > Transition Plan > Scopes 1 and 2
302-5	Reductions in energy requirements of products and services	Carbon Neutrality (CN) > Transition Plan > Electrified Vehicles Adoption Record
		Metrics and Targets > Greenhouse Gases > [E] Average CO_2 Emissions from New Vehicles
GRI 303: Water and Effluents 2018		
303-1	Interactions with water as a shared resource	Nature Positive (NP) > Water Environment
303-2	Management of water discharge-related impacts	Nature Positive (NP) > Water Environment
303-3	Water withdrawal	Metrics and Targets > Water > [H] Water Withdrawal
303-4	Water discharge	Metrics and Targets > Water > [I] Water Discharge
303-5	Water consumption	Metrics and Targets > Water > [J] Water Consumption
GRI 305: Emissions 2016		
305-1	Direct (Scope 1) GHG emissions	Metrics and Targets > Greenhouse Gases > [B] GHG Emissions, GHG Emission Intensity Scope 1 (Direct Emissions) and Scope 2 (Indirect Emissions Generated from Purchased Energy)
305-2	Energy indirect (Scope 2) GHG emissions	Metrics and Targets > Greenhouse Gases > [B] GHG Emissions, GHG Emission Intensity Scope 1 (Direct Emissions) and Scope 2 (Indirect Emissions Generated from Purchased Energy)

Code	Requirements	Publication Pages
305-3	Other indirect (Scope 3) GHG emissions	Carbon Neutrality (CN) > Transition Plan > Life Cycle
		Metrics and Targets > Greenhouse Gases > [C] GHG Emissions Scope 3 (Other Indirect Emissions)
305-4	GHG emissions intensity	Metrics and Targets > Greenhouse Gases > [B] GHG Emissions, GHG Emission Intensity Scope 1 (Direct Emissions) and Scope 2 (Indirect Emissions Generated from Purchased Energy)
305-5	Reduction of GHG emissions	Carbon Neutrality (CN) > Transition Plan > Electrified Vehicles Adoption Record
		Carbon Neutrality (CN) > Transition Plan
		Metrics and Targets > Greenhouse Gases > [E] Average CO_2 Emissions from New Vehicles
305-6	Emissions of ozone-depleting substances (ODS)	Review of the 7th Toyota Environmental Action Plan (2025 Target)
305-7	Nitrogen oxides (NOx), sulfur oxides (SOx), and other significant air emissions	Metrics and Targets > VOC, NOx, and SOx > [N] VOC Emissions
		Metrics and Targets > VOC, NOx, and SOx > [O] NOx and SOx Emissions
GRI 306: Effluents and Waste 2016		
306-3	Significant spills	Metrics and Targets > Review of the 7th Toyota Environmental Action Plan (2025 Target) > Environmental Management > Risk management
GRI 306: Waste 2020		
306-1	Waste generation and significant waste-related impacts	—
306-2	Management of significant waste-related impacts	Circular Economy (CE)
		Policy and Environmental Management > Environmental Management > Minimizing Risks
306-3	Waste generated	Metrics and Targets > Circular Economy > [M] Waste
306-4	Waste diverted from disposal	Metrics and Targets > Circular Economy > [L] Raw Material Content and Recycled Content
		Circular Economy (CE) > Use Less Resources > Reuse and Remanufacturing of Parts
306-5	Waste directed to disposal	—
GRI 308: Supplier Environmental Assessment 2016		
308-1	New suppliers that were screened using environmental criteria	Value Chain Collaboration > Initiatives with Suppliers

Code	Requirements	Publication Pages
308-2	Negative environmental impacts in the supply chain and actions taken	Value Chain Collaboration > Initiatives with Suppliers

Topic Standards (Social)

Code	Requirements	Publication Pages
GRI 401: Employment 2016		
401-1	New employee hires and employee turnover	Social Data > Human Capital (TMC) Social Data > Human Capital (Consolidated)
401-2	Benefits provided to full-time employees that are not provided to temporary or part-time employees	—
401-3	Parental leave	Social Data > Human Capital (TMC)
GRI 402: Labor/Management Relations 2016		
402-1	Minimum notice periods regarding operational changes	—
GRI 403: Occupational Health and Safety 2018		
403-1	Occupational health and safety management system	Health and Safety Social Data > Human Capital (Consolidated)
403-2	Hazard identification, risk assessment, and incident investigation	
403-3	Occupational health services	
403-4	Worker participation, consultation, and communication on occupational health and safety	
403-5	Worker training on occupational health and safety	
403-6	Promotion of worker health	
403-7	Prevention and mitigation of occupational health and safety impacts directly linked by business relationships	
403-8	Workers covered by an occupational health and safety management system	
403-9	Work-related injuries	
403-10	Work-related ill health	

Code	Requirements	Publication Pages
GRI 404: Training and Education 2016		
404-1	Average hours of training per year per employee	Social Data > Human Capital (TMC)
404-2	Programs for upgrading employee skills and transition assistance programs	Human Resource Development
404-3	Percentage of employees receiving regular performance and career development reviews	Social Data > Human Capital (Consolidated)
GRI 405: Diversity and Equal Opportunity 2016		
405-1	Diversity of governance bodies and employees	Corporate Governance Reports Diversity, Equity, and Inclusion (DE&I) > Promotion of Women's Active Participation Social Data > Human Capital (TMC)
405-2	Ratio of basic salary and remuneration of women to men	Social Data > Human Capital (TMC)
GRI 406: Non-discrimination 2016		
406-1	Incidents of discrimination and corrective actions taken	—
GRI 407: Freedom of Association and Collective Bargaining 2016		
407-1	Operations and suppliers in which the right to freedom of association and collective bargaining may be at risk	—
GRI 408: Child Labor 2016		
408-1	Operations and suppliers at significant risk for incidents of child labor	Value Chain Collaboration > Actions to Prevent Child Labor Value Chain Collaboration > Responsible Material Sourcing
GRI 409: Forced or Compulsory Labor 2016		
409-1	Operations and suppliers at significant risk for incidents of forced or compulsory labor	Value Chain Collaboration > Actions to Prevent Migrant Labor (Forced Labor) Value Chain Collaboration > Responsible Material Sourcing
GRI 410: Security Practices 2016		
410-1	Security personnel trained in human rights policies or procedures	—
GRI 411: Rights of Indigenous Peoples 2016		
411-1	Incidents of violations involving rights of indigenous peoples	—

Code	Requirements	Publication Pages
GRI 413: Local Communities 2016		
413-1	Operations with local community engagement, impact assessments, and development programs	Social Contribution
		Review of the 7th Toyota Environmental Action Plan (2025 Target)
		Policy
413-2	Operations with significant actual and potential negative impacts on local communities	—
GRI 414: Supplier Social Assessment 2016		
414-1	New suppliers that were screened using social criteria	Value Chain Collaboration > Initiatives with Suppliers
414-2	Negative social impacts in the supply chain and actions taken	Value Chain Collaboration > Initiatives with Suppliers
GRI 415: Public Policy 2016		
415-1	Political contributions	—
GRI 416: Customer Health and Safety 2016		
416-1	Assessment of the health and safety impacts of product and service categories	Vehicle Safety
		Quality and Service
		Information Security
		Privacy
416-2	Incidents of non-compliance concerning the health and safety impacts of products and services	Quality and Service > Coping with Quality Problems
GRI 417: Marketing and Labeling 2016		
417-1	Requirements for product and service information and labeling	User Manual (Japanese Only)
417-2	Incidents of non-compliance concerning product and service information and labeling	—
417-3	Incidents of non-compliance concerning marketing communications	—

Code	Requirements	Publication Pages
GRI 418: Customer Privacy 2016		
418-1	Substantiated complaints concerning breaches of customer privacy and losses of customer data	Information Security
		Privacy

TCFD Content Index

Updated in June 2026

Main Categories	Recommended Disclosures	Publication Pages
Governance	Board's Oversight of Climate-related Risks and Opportunities	Carbon Neutrality (CN) > Governance
	Management's Role in Assessing and Managing Climate-related Risks and Opportunities	
Strategy	Short-, Medium- and Long-term Climate-related Risks and Opportunities the Organization Has Identified	Carbon Neutrality (CN) > Fundamental Approach > Overview of the Multi-Pathway Strategy Carbon Neutrality (CN) > Identification and Assessment of Climate Change-Related Impacts, Risks, and Opportunities Carbon Neutrality (CN) > Resilience Analysis Carbon Neutrality (CN) > Transition Plan
	Resilience of the Organization's Strategy Under a 1.5°C, 4°C, and Other Climate-related Scenarios in Terms of Business, Strategy, and Financial Planning	
	Impact of Climate-related Risks and Opportunities on the Organization's Businesses, Strategy, and Financial Planning	
Risk Management	Organization's Processes for Identifying and Assessing Climate-related Risks	Carbon Neutrality (CN) > Governance Carbon Neutrality (CN) > Identification and Assessment of Climate Change-Related Impacts, Risks, and Opportunities
	Organization's Processes for Managing Climate-related Risks	
	How Processes for Identifying, Assessing, and Managing Climate-related Risks are Integrated into the Organization's Overall Risk Management	
Metrics and Targets	Metrics Used by the Organization to Assess Climaterelated Risks and Opportunities in Line with Its Strategy and Risk Management Process	Metrics and Targets
	Scope 1, Scope 2, and, If Appropriate, Scope 3 Greenhouse Gas (GHG) Emissions, and the Related Risks	
	Targets Used by the Organization to Manage Climate-related Risks and Opportunities and Performance Against Targets	

TOYOTA MOTOR CORPORATION

Published by Sustainability Management Div.

https://global.toyota/en/sustainability/report/sdb/

Published: Updated in September 2026